



Source: Xu Jing/Xinhua/Alamy Live News/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 9-1** Distinguish between the different types of groups.
- 9-2** Describe the punctuated-equilibrium model of group development.
- 9-3** Show how role requirements change in different situations.
- 9-4** Demonstrate how norms exert influence on an individual's behavior.
- 9-5** Show how status and size differences affect group performance.

9-6 Describe how issues of cohesiveness and diversity can be integrated for group effectiveness.

9-7 Contrast the strengths and weaknesses of group decision making.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethic Diler
Critical Thinking	✓	✓		✓	✓	✓
Communication	✓	✓	✓		✓	✓
Collaboration	✓	✓	✓	✓	✓	✓
Knowledge Application and Analysis		✓		✓	✓	✓
Social Responsibility	✓	✓	✓			✓

MyLab Management Chapter Warm Up

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

A Tale of two Cops

Imagine listening to a recording of a 911 phone call in which the caller describes two police officers drawing their weapons during a traffic stop, followed by the sound of a window shattering. If you asked two people to listen to this 911 call, would both people agree whether the officer should have drawn a gun during the phone call? The answer is maybe.

Lisa Mahon was driving with her friend, Jamal, and two children when she was pulled over by Officer Fucari for not wearing her seat belt. Lisa became uneasy when the officer, rather than running her driver's license and plates, put her license and registration in his pocket and asked for her friend Jamal's license. Jamal did not have his license with him, so he knelt down to grab his bag and retrieve another form of identification. Officer Fucari, along with another police officer on the scene, pulled their weapons and pointed them at the car. At this point, Lisa grew concerned and called 911.

There is much debate over what happened next. After the officers drew their weapons, Officer Fucari asked both Lisa and Jamal to step out of the vehicle, but, as Lisa told the dispatcher on the 911 call, she and Jamal were scared to step out of the car. When they refused to step out of their vehicle, the officers broke the passenger side window, used a Taser on Jamal, then forcibly removed Jamal from the car. Jamal was arrested for failure to aid an officer and resisting law enforcement, while Lisa was issued a ticket for not wearing a seat belt.

A video of the incident was also released to the public. After viewing the video and listening to the 911 call, many people have different interpretations of what happened that day. Some individuals believe that the officers could reasonably have suspected that Jamal was reaching for a weapon and that drawing their guns was thus justified. These viewers may also believe that the officers used an acceptable amount of force in the situation, given that Jamal refused to follow orders. Many other viewers, however, believe that the officers treated Lisa and Jamal differently because of their race (Lisa and Jamal are African American). They suggest that the officers were unusually suspicious of them and point out that Jamal was asked to identify himself even though he was not driving the car. In addition, many viewers believe that it was reasonable for Lisa and Jamal not to step out of the vehicle when guns were pointing at them.

As individuals, we all belong to groups based on our occupations, race, gender, and many other categories. When we are part of a group, it changes our perception of the situation. In the chapter-opening vignette above, identification with a racial group may make us more likely to identify with Lisa and Jamal, who were frightened by the officers' actions and by the weapons drawn on them. If we work in law enforcement, however, we may be more likely to side with the police officers, believing that they were serving their roles as police officers by using force when a citizen did not respond to orders.

These disagreements are very common, especially in cases where a police officer used force on an African American. When speaking of relations with the African American community, Chief Ed Flynn of the Milwaukee Police Department noted that many African Americans in high-crime areas have strong antipathy toward law enforcement, partly because "the police have often been in the middle of great conflict and not infrequently been agents of social control to preserve a status quo."

Tensions between African American communities and law enforcement officers highlight one of the pitfalls of group identification. Some groups can exert a powerful positive influence, and others can create bias. The objectives of this chapter and Chapter 10 are to familiarize you with group and team concepts, provide you with a foundation for understanding how groups and teams work, and show you how to create effective working units. Let's begin by defining a group.

Defining and Classifying Groups

9-1 Distinguish between the different types of groups.

In organizational behavior, a **group** ⓘ is two or more individuals, interacting and interdependent, who have come together to achieve particular objectives. Groups can be either formal or informal. A **formal group** ⓘ is defined by the organization's structure, with designated work assignments and established tasks. In formal groups, the behaviors that team members should engage in are stipulated by and directed toward organizational goals. The six members of an airline flight crew are a formal group, for example. In contrast, an **informal group** ⓘ is neither formally structured nor organizationally determined. Informal groups in the work environment meet the need for social contact. Three employees from different departments who regularly have lunch or coffee together are an informal group. These types of interactions among individuals, though informal, deeply affect their behavior and performance.

Social Identity



People often feel strongly about their groups, partly because, as research indicates, shared experiences amplify our perception of events.¹ Also, according to research in Australia, sharing painful experiences, in particular, increases our felt bond and trust with others.² Why do people form groups, and why do they feel so strongly about them? Consider the celebrations that follow when a sports team wins a national championship. The winner's supporters are elated, and sales of team-related shirts, jackets, and hats skyrocket. Fans of the losing team feel dejected, even embarrassed. Why? Even though fans have little to do with the actual performance of the sports team, their self-image can be wrapped up in their identification with the group. Our tendency to personally invest in the accomplishments of a group is the territory of **social identity theory** ⓘ.

Social identity theory proposes that people have emotional reactions to the failure or success of their group because their self-esteem gets tied to whatever happens to the group.³ When your group does well, you bask in reflected glory, and your own self-esteem rises. When your group does poorly, you might feel bad about yourself, or you might reject that

part of your identity, similar to fair-weather fans. If your group is devalued and disrespected, your social identity might feel threatened, and you might endorse deviant behaviors to restore your group's standing.⁴ Social identities can even lead people to experience pleasure as a result of seeing another group suffer. We often see these feelings of *schadenfreude* in the joy fans experience when a hated team loses.⁵



Jeffrey Webster, director of human resources at a Nissan plant in Mississippi, also serves as the director of the plant's gospel choir. Choir members are a diverse group of employees who identify with each other because they all share a love of singing and performing for fellow workers, company executives, state officials, and community events.

Source: Rogelio V. Solis/AP Images



People develop many identities through the course of their lives. You might define yourself in terms of the organization you work for, the city you live in, your profession, your religious background, your ethnicity, and/or your gender. Since 2011, over 100,000 nationals have become Irish citizens. The top 10 nationalities are Polish, Indian, Nigerian, Romanian, Filipino, Pakistani, Chinese, Ukrainian, South African, and Bangladeshi. At a recent ceremony, the new Irish citizens were advised to “not forget your own country, your own people, your own traditions.”⁶ We may thus pick and choose which of our social identities are salient to the situation, or we may find that our social identities are in conflict, such as the identities of business leader and parent.⁷

OB POLL

Most People Report Drinking with Coworkers Is Acceptable



Note: Society for Human Resources Management (SHRM) survey of 501 individuals and how drinking is viewed in their organization at a range of work-related activities.

Source: Based on S. M. Heathfield, "To Drink or Not to Drink: Does Alcohol Drinking Mix Safely with Work Events?," *About.com Guide*, 2013, http://humanresources.about.com/od/networking/qt/drink_i3.htm.

Our social identities help us understand who we are and where we fit in with other people, and research indicates they bring us better health and lower levels of depression because we become less likely to attribute negative situations to internal or insurmountable reasons.⁸ To experience these good outcomes, however, we need to feel that our social identities are positive.⁹

Until now, we've discussed social identities primarily in a cultural context. However, the identity we may feel with respect to our organization is only one aspect of our work-related identities (see OB Poll). Within our organizations and work groups, we can develop many identities through (1) *relational* identification, when we connect with others because of our roles, and (2) *collective* identification, when we connect with the aggregate characteristics of our groups. We can identify with groups within our team, our work group, and our organizations. Often, our identification with our work groups is stronger than with our organizations, but both are important to positive outcomes in attitudes and behaviors. The strength of our identification may vary, depending on how unique a group is within an organization.¹⁰ Low identification to the group may lead to problems. If we have low identification with our organizations, we may experience decreased satisfaction and engage in fewer organizational citizenship behaviors (OCBs).¹¹ Similarly, we are less likely to apply to organizations that do not correspond to our collective identities.¹²

Ingroups and Outgroups

Ingroup favoritism ⓘ occurs when we see members of our group as better than other people, and people not in our group as all the same. Recent research suggests that people with low openness and/or low agreeableness are more susceptible to ingroup favoritism.¹³

Whenever there is an ingroup, there is by necessity an **outgroup** ⓘ, which is sometimes everyone else but is usually an identified group known by the ingroup's members. For example, if my ingroup is the Republican Party in U.S. politics, my outgroup might be anyone in the world who is not a Republican, but it's more likely to be the other U.S. political parties, or perhaps just Democrats.



When there are ingroups and outgroups, there is often animosity between them.

One of the most powerful sources of ingroup–outgroup feelings is the practice of religion, even in the workplace. A study in Kenya examined the effects of interfaith dialog in the workplace in the achievement of organizational goals. Employees of different faiths have the potential to clash when they come into contact. Diverse faiths may enhance or jeopardize organizational cohesiveness and goal achievement. In the Diamond Trust Bank and Co-operative Bank of Kenya, the workforce, which consists of Christians, Muslims, and Hindus, meets once a week to pray. Faith may, in some environments, provide a framework for intercultural communication.¹⁴

Social Identity Threat

Ingroups and outgroups pave the way for *social identity threat*, which is akin to stereotype threat (see Chapter 5). With social identity threat, individuals believe they will be personally negatively evaluated due to their association with a devalued group, and they may lose confidence and performance effectiveness. One study found, for example, that when subjects from high and low socioeconomic backgrounds took a high-pressure math test, the low-status subjects who felt social identity threat could be as confident as the high-status subjects only when they were first deliberately encouraged about their abilities.¹⁵

Now test your understanding of what you have just read by attempting the questions below.



Test Your Understanding

9.1.1 Which one of the following characteristics is not necessarily true about groups?

- ☐ Group members are interdependent.
- ☐ Groups have two or more members.
- ☐ Groups are determined by the organization chart.
- ☐ Groups interact.

Check answer

Reset

9.1.2 Which of the following statements is true regarding informal groups?

- ☐ Informal groups are defined by the organization's structure.
- ☐ In informal groups, the behaviors team members should engage in are stipulated by and directed toward organizational goals.
- ☐ A group of people who come together to protest against a new law is an informal group.
- ☐ The six members of an airline flight crew are an informal group.

Check answer

Reset

Stages of Group Development

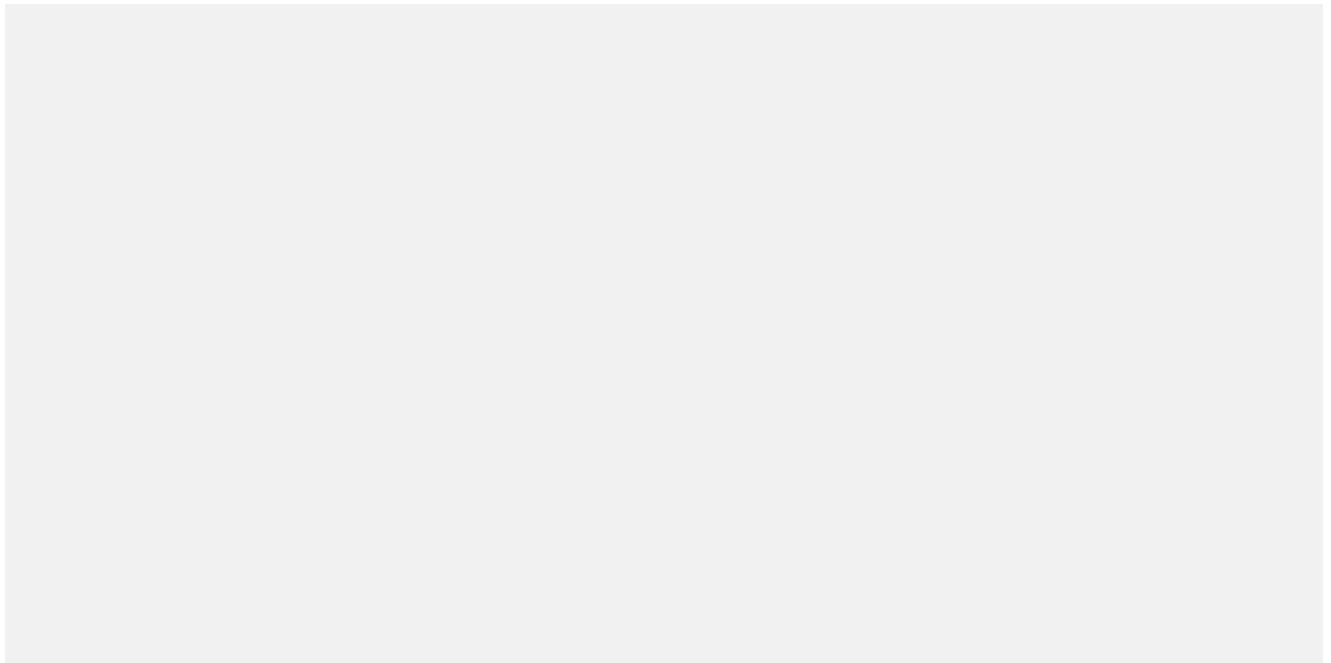
9-2 Describe the punctuated-equilibrium model of group development.

MyLab Management Watch It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Witness.org Managing Groups and Teams

Watch it video.



A **transcript** of this video is available [here](#).

Transcript

Witness.org Managing Groups and Teams

>> [Background music]

>> In 1988, musician Peter Gabriel accompanied Amnesty

>> International on the Human Rights Now Tour.

>> He brought along a Sony Handycam,

>> one of the first camcorders marketed to consumers

>> and he used it to document the suffering that he witnessed.

>> I traveled to different countries and met people

>> who had been tortured, who had watched members

>> of their family killed in front of them and one of the things

>> that amazed me was that these people could suffer like this

>> and then have their stories buried and it seemed

>> that if they'd had cameras there might be a better chance

>> of doing something.

>> Three years later

>> when a bystander captured the brutal beating of Rodney King

>> on video, it opened an international dialogue

>> on police brutality and racial profiling.

>> The resulting momentum allowed Peter

>> to raise seed money and WITNESS was born.

>> WITNESS has deep in its DNA

>> that you listen to the local voices.

>> People on the ground have the answers to their problems

>> and they know what to do.

>> They just sometimes need help to get there.

>> WITNESS provides direct hands-on training

>> to our partners in the field, both technical training

>> and training to think about how to tell the best story

>> to the right audience.

>> We edit the video with them side-by-side

>> and then together we think about how to get that video in front

>> of the right audiences.

>> WITNESS often opens doors and brokers relationships

>> at the international and regional level

>> and often our partners have those relationships

>> at the national and local level.

>> When Chintan, a New Delhi based advocacy group,

>> wanted to stop the local government of Mumbai

>> from privatizing trash collection,

>> they turned to WITNESS for help.

>> Together they partnered to create Counterbalance,

>> a documentary showing how hundreds

>> of local waste-picking families were losing their only

>> livelihood as it became illegal for them to collect

>> and recycle private trash.

>> Together they turned the policy around so

>> that waste picking families could continue their subsistence

>> as paid employees with safety and health consideration

>> and protection from police harassment.

>> There were three distinct groups involved in the project.

>> The waste pickers had a story to tell.

>> Chintan wanted to help but didn't have the means.

>> WITNESS had the expertise

>> to bring the collaboration to fruition.

>> These groups had different values, dynamics and levels

>> of experience, so there was both a learning curve and a degree

>> of cultural adjustment involved, but the diversity

>> of the combined group led to creative solutions

>> to the immediate problem.

>> People who do human rights work are incredibly courageous.

>> We work very closely with them to think through the safety

>> and security concerns of filming, not just of the people

>> who are filming but also the people who are being filmed

>> but most often what we find is these people want

>> to tell their stories of the abuses that they've witnessed

>> or experienced because they don't want it to happen

>> to anyone else and also because they want

>> to seek justice and reparations.

>> WITNESS also helps advocacy groups to be safe, ethical

>> and assertive in their efforts without crossing any lines.

>> The video story must be compelling, told by survivors

>> who may only be finding the courage to tell the story

>> for the first time and who need to be educated

>> on how the videos will ultimately be used.

>> When done right, these factual testimonies are more powerful

>> than any emotional editorial or dramatic reenactment,

>> but getting the tone and voice balanced enough

>> to both tell a factual story and to persuade powerful entities

>> to work toward gainful change, all without inflaming abusers

>> to retaliation, is a fine art.

>> A key element of WITNESS's approach is that we focus

>> on empowering the local human rights activists

>> who are there on the ground.

>> So we don't send film crews from New York to film.

>> We identify groups who can really know the stories,

>> know the people, know the language and are really embedded

>> in what's going on and what needs to be done next.

>> How do we really convey this to an audience in a way

>> that engages their head, their heart, their mind?

>> That's one challenge.

>> Another challenge is really helping refine the experience

>> of those advocates in terms of helping people they film

>> to understand the risks and benefits of being filmed,

>> you know, to really understand what is informed consent

>> in visual media where you can identify people from, you know,

>> just something in the background and the basis we start

>> that from is always to ask people to think

>> about the worst case because in a strange way

>> in a digital era your base case scenario is

>> that the media circulates widely and, of course,

>> it might then be seen by the person

>> who committed the violation.

>> WITNESS leads a three-tiered team to get an important story

>> like Counterbalance in front of the parties most capable

>> of achieving lasting change in human rights policy.

>> The survivors can then rebuild, the advocates can follow

>> up to assure compliance with new policy and the enforcement

>> of protective laws and WITNESS can move

>> on to help its next client achieve lasting,

>> meaningful change for the survivors

>> of other human rights abuses.

>> I think WITNESS is unique in the sense it's

>> about visual storytelling.

>> It is what we say is turning people's personal stories

>> of abuse into powerful tools for justice and it's that ability

>> to enable someone to tell their own story and have

>> that story turned into a tool for change

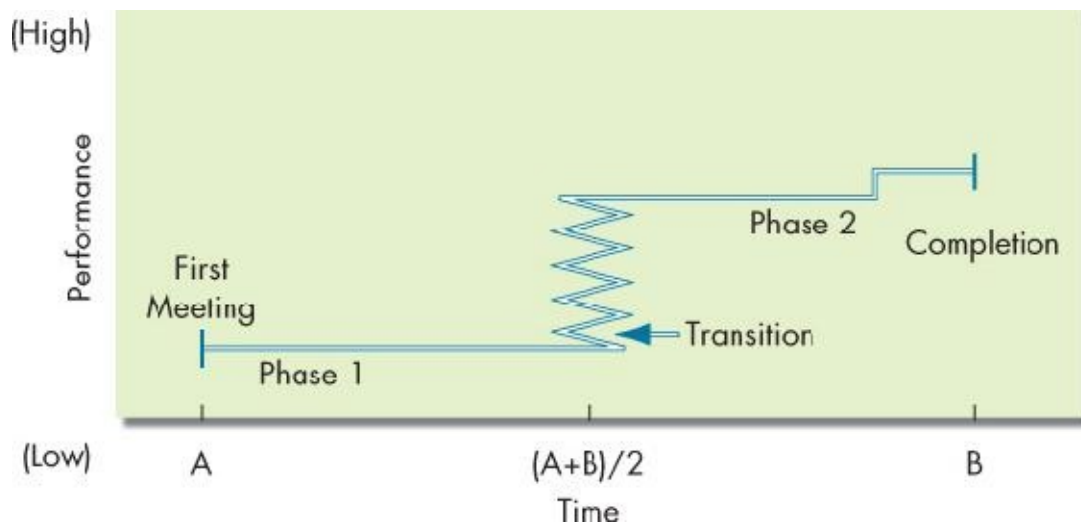
>> that I think is WITNESS's theory of change as we say.

>> [Background music]

Temporary groups with finite deadlines pass through a unique sequencing of actions (or inaction) called the **punctuated-equilibrium model** ⓘ, shown in Exhibit 9-1. The stages in this model include the following: (1) The first meeting sets the group's direction, (2) the first

phase of group activity is one of inertia and thus slower progress, (3) a transition takes place exactly when the group has used up half its allotted time, (4) this transition initiates major changes, (5) a second phase of inertia follows the transition, and (6) the group's last meeting is characterized by markedly accelerated activity.¹⁶ Alternative models suggest that teams progress through a formation stage, a conflict resolution or “storming” stage, a “norming” stage where members agree on roles and make decisions, and a “performing” stage where members begin to work collaboratively. The forming, storming, norming, and performing stages may occur at phase one of the punctuated equilibrium model, while a second performing and conforming stage may occur in the second phase, following a short period of reforming group norms and expectations.¹⁷

Exhibit 9-1 The Punctuated-Equilibrium Model



Let's discuss each stage of the punctuated-equilibrium model. At the first meeting, the group's general purpose and direction is established and then a framework of behavioral patterns and assumptions through which the group will approach its project emerges, sometimes in the first few seconds of the group's existence. Once set, the group's direction is solidified and is unlikely to be reexamined throughout the first half of its life. This is a period of inertia—the group tends to stand still or become locked into a fixed course of action, even if it gains new insights that challenge initial patterns and assumptions.

One of the most interesting discoveries in studies was that groups experienced a transition

precisely halfway between the first meeting and the official deadline—whether members spent an hour on their project or 6 months. The midpoint appears to work like an alarm clock, heightening members’ awareness that their time is limited and they need to get moving. This transition ends phase 1 and is characterized by a concentrated burst of changes, dropping of old patterns, and adoption of new perspectives. The transition sets a revised direction for phase 2, a new equilibrium or period of inertia in which the group executes plans created during the transition period.

The group’s last meeting is characterized by a final burst of activity to finish its work. In summary, the punctuated-equilibrium model characterizes groups as exhibiting long periods of inertia interspersed with brief revolutionary changes triggered primarily by members’ awareness of time and deadlines. This is not the only model of group stages by far, but it is a dominant theory with strong support. Keep in mind, however, that this model doesn’t apply to all groups but is suited to the finite quality of temporary task groups working under a time deadline.¹⁸

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

9.2.1 At the midpoint of a project, groups tend to experience all of the following except which?

- ☐ bursts of changes
- ☐ dropping of old patterns
- ☐ increased group conflict
- ☐ adoption of new perspectives

Check answer

Reset

9.2.2 According to the punctuated-equilibrium model, which two triggers bring about brief revolutionary change during the group's inertia?

- group conflict and missed deadlines

- ☐ missed deadlines and resource utilization
- ☐ resource utilization and awareness of time
- ☐ awareness of time and awareness of deadlines

Check answer

Reset

Group Property 1: Roles

9-3 Show how role requirements change in different situations.

Work groups shape members' behavior, and they also help explain individual behavior as well as the performance of the group itself. Some defining group properties are *roles*, *norms*, *status*, *size*, *cohesiveness*, and *diversity*. We'll discuss each in the sections that follow. Let's begin with the first group property, roles.

Shakespeare said, "All the world's a stage, and all the men and women merely players."* Using the same metaphor, all group members are actors, each playing a **role** ⓘ, a set of expected behavior patterns attributed to someone occupying a given position in a social unit. We are required to play a number of diverse roles, both on and off our jobs. As we'll see, one of the tasks in understanding behavior is grasping the role a person is currently playing.

*William Shakespeare, *As You Like It*, D. C. Heath & Company, 1904.

Bill is a plant manager with EMM Industries, a large electrical equipment manufacturer in Phoenix. He fulfills a number of roles—employee, member of middle management, and electrical engineer. Off the job, Bill holds more roles: husband, father, Catholic, tennis player, member of the Thunderbird Country Club, and president of his homeowners' association. Many of these roles are compatible; some create conflicts. How does Bill's religious commitment influence his managerial decisions regarding layoffs, expense padding, and provision of accurate information to government agencies? A recent offer of promotion requires Bill to relocate, yet his family wants to stay in Phoenix. Can the role demands of his job be reconciled with the demands of his husband and father roles?

Different groups impose different role requirements on individuals. Like Bill, we all play a number of roles, and our behavior varies with each. But how do we know each role's requirements? We draw on our role perceptions to frame our ideas of appropriate behaviors and to learn the expectations of our groups.

Role Perception

Our view of how we're supposed to act in a given situation is a **perception** ⓘ. We get role

perceptions from stimuli all around us—for example, friends, books, films, and television, as when we form an impression of politicians from *House of Cards*. Apprenticeship programs allow beginners to watch an expert so they can learn to act as they should.

Role Expectations

Role expectations ⓘ are the way others believe you should act in a given context. A U.S. federal judge is viewed as having propriety and dignity, while a football coach may be seen as aggressive, dynamic, and inspiring to the players.



Les Hatton, manager of a Recreational Equipment, Inc. (REI), store in Manhattan, pumps up employees before the store's grand opening. Part of the psychological contract between REI and its employees is the expectation that salespeople will display enthusiasm and generate excitement while welcoming and serving customers.

Source: Matt Payton/AP Images

In the workplace, we look at role expectations through the perspective of the **psychological contract** ⓘ: an unwritten agreement that exists between employees and employers. This agreement sets out mutual expectations.¹⁹ Management is expected to treat employees justly, provide acceptable working conditions, clearly communicate what is a fair day's work, and give feedback on how well employees are doing. Employees are expected to demonstrate a good attitude, follow directions, and show loyalty to the organization. When a psychological contract also focuses on relationships between employers (or supervisors) and employees, employees may also be more likely to engage in organizational citizenship

behaviors (OCBs).²⁰

What happens if management is derelict in its part of the bargain? We can expect negative effects on employee performance and satisfaction. One study among restaurant managers found that violations of the psychological contract were related to greater intentions to quit, while another study of a variety of different industries found psychological contracts were associated with lower levels of productivity, higher levels of theft, and greater work withdrawal.²¹



There is evidence that perceptions of psychological contracts vary across cultures.

In France, where people are individualistic and power is more asymmetric, contracts are perceived as self-interested yet favoring the more powerful party. In Canada, where people are individualistic but power is more symmetric, contracts are perceived as self-interested yet focused on balanced reciprocity. In China, where people are collectivistic and power is more asymmetric, contracts are perceived as going beyond the work context into employees' lives. And in Norway, where people are collectivistic but power is more symmetric, contracts are perceived as more relational and based on trust.²²

Role Conflict

When compliance with one role requirement may make it difficult to comply with another, the result is **role conflict** ⓘ.²³ At the extreme, two or more role expectations may be contradictory. For example, if you, as a manager, were to provide a performance evaluation of a person you mentored, your roles as evaluator and mentor may conflict. Similarly, we can experience **interrole conflict** ⓘ²⁴ when the expectations of our different, separate groups are in opposition. An example can be found in work–family conflict, which Bill experiences when expectations placed on him as a husband and father differ from those placed on him as an executive with EMM Industries. Bill's wife and children want to remain in Phoenix, while EMM expects its employees to be responsive to the company's needs and requirements. Although it might be in Bill's financial and career interests to accept a relocation, the conflict centers on choosing between family and work role expectations. Indeed, a great deal of research demonstrates that work–family conflict is one of the most significant sources of stress for most employees.²⁵

Within organizations, most employees are simultaneously in occupations, work groups, divisions, and demographic groups, and these identities can conflict when the expectations of

one clash with the expectations of another.²⁶ During mergers and acquisitions, employees can be torn between their identities as members of their original organization and of the new parent company.²⁷ Multinational organizations have also been shown to lead to dual identification—with the local division and with the international organization.²⁸

Role Play and Assimilation

The degree to which we comply with our role perceptions and expectations—even when we don’t agree with them initially—can be surprising. One of the most illuminating role and identity experiments was done a number of years ago by psychologist Philip Zimbardo and his associates.²⁹ They created a “prison” in the basement of the Stanford psychology building; hired emotionally stable, physically healthy, law-abiding students who scored “normal average” on personality tests; randomly assigned them the role of either “guard” or “prisoner”; and established some basic rules.

It took little time for the prisoners to accept the authority positions of the guards and for the mock guards to adjust to their new authority roles. Consistent with social identity theory, the guards came to see the prisoners as a negative outgroup, and they developed stereotypes about the “typical” prisoner personality type. After the guards crushed a rebellion attempt on the second day, the prisoners became increasingly passive. Whatever the guards dished out, the prisoners took. The prisoners actually began to believe and act like they were inferior and powerless. Every guard, at some time during the simulation, engaged in abusive, authoritative behavior. One said, “I was surprised at myself.... I made them call each other names and clean the toilets out with their bare hands. I practically considered the prisoners cattle, and I kept thinking: ‘I have to watch out for them in case they try something.’” Surprisingly, during the entire experiment—even after days of abuse—not one prisoner said, “Stop this. I’m a student like you. This is just an experiment!” The researchers had to end the study after only 6 days because of the participants’ pathological reactions.

Myth or Science?

Gossip and Exclusion Are Toxic for Groups

he statement above is not necessarily true, but it is counterintuitive. Let's explore the conditions.

What is gossip? Most of us might say gossip is talking about others, sharing rumors, and speculating about others' behaviors; gossip affects a person's reputation. We might also say gossip is malicious, but according to researchers, it can serve positive social functions, too. Prosocial gossip can expose behavior that exploits other people, which can lead to positive changes. For example, if Julie tells Chris that Alex is bullying Summer, then Chris has learned about Alex's poor behavior through gossiping. Chris might refuse to partner with Alex on a work project, which might limit Alex's opportunities with the organization, preventing him from bullying more people. Alternatively, as the gossip spreads, Alex might feel exposed for his behavior and conform to group expectations against bullying behavior. In fact, according to research, Alex is likely to cooperate with the group in response to the gossip, and others hearing and spreading the gossip are likely also to cooperate by not acting on their impulses toward bad behavior.

What about excluding Alex? There are two types of exclusion in the workplace: leaving someone out of a group and ostracizing an individual. Both lead to the same end—the person isn't part of the group. While simply leaving someone out of a group might not send a message of exclusion, ostracism certainly does. Ostracism is more of a felt punishment than gossip because it is more direct. Research indicates that ostracized individuals cooperate to a greater degree when they are around the group to show a willingness to conform, hoping to be invited back into the group.

Can gossip and ostracism work together? Yes, according to a recent study. When subjects were given an opportunity to gossip about the work of another subject, that subject cooperated more than before; when the opportunity to gossip was paired with the ability to ostracize, that subject cooperated to a much greater degree.

Thus, gossip and exclusion may provide groups with benefits, at least when the gossip is confined to truthful work-related discussion, when the opportunity still exists to rejoin the group with full standing, and when the group norms are positive.

Sources: Based on M. Cikara and J. J. Van Bavel, "The Neuroscience of Intergroup Relations: An Integrative Review," *Perspectives on Psychological Science* 9, no. 3 (2014): 245–74; M. Feinberg, R. Willer, and M. Schultz, "Gossip and Ostracism Promote Cooperation in Groups," *Psychological Science* 25, no. 3 (2014): 656–64; and I. H.

Smith, K. Aquino, S. Koleva, and J. Graham, “The Moral Ties That Bind ... Even to Out-Groups: The Interactive Effect of Moral Identity and the Binding Moral Foundations,” *Psychological Science* (2014): 1554–62.

What can we conclude from this study? Like the rest of us, the participants had learned stereotyped conceptions of guard and prisoner roles from the mass media and their own personal experiences in power and powerless relationships gained at home (parent–child), in school (teacher–student), and in other situations. This background allowed them to assume roles easily and rapidly and, with a vague notion of the social identity of their roles and no prior personality pathology or training for the parts they were playing, to execute extreme forms of behavior consistent with those roles.



A reality television show that was a follow-up to the Stanford experiment was conducted by the BBC.³⁰ The BBC results were dramatically different from those of the Stanford experiment, partially because the show used a less intense simulated prison setting. The “guards” were far more careful in their behavior, limiting their aggressive treatment of “prisoners” and expressing concerns about how their actions might be perceived. In short, they did not fully take on their authority roles, possibly because they knew their behavior was being observed by millions of viewers. These results suggest that less intense situations evoke less extreme behavior, and abuse of roles can be limited when people are made conscious of their behavior.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

9.3.1 Role _____ indicates the way others believe you should act in a given context.

- perception
- identity
- expectation

☐ criterion

Check answer

Reset

9.3.2 Role perception indicates _____.

- ☐ others' belief regarding how you should act in a given situation
- ☐ the skills required for performing the job
- ☐ the social norms that are to be followed while performing the role
- ☐ our view of how we're supposed to act in a given situation

Check answer

Reset

Group Property 2: Norms

9-4 Demonstrate how norms exert influence on an individual's behavior.

Did you ever notice that golfers don't speak while their partners are putting? Why not? The answer is norms.

All groups have established **norms** ⓘ—acceptable standards of behavior shared by members that express what they ought to do and ought not to do under certain circumstances. It's not enough for group leaders to share their opinions—even if members adopt the leaders' views, the effect may last only 3 days!³¹ When agreed to by the group, norms influence behavior with a minimum of external controls. Different groups, communities, and societies have different norms, but they all have them.³² Let's discuss the levels of influence that norms can exert over us, starting with our emotions.

Norms and Emotions

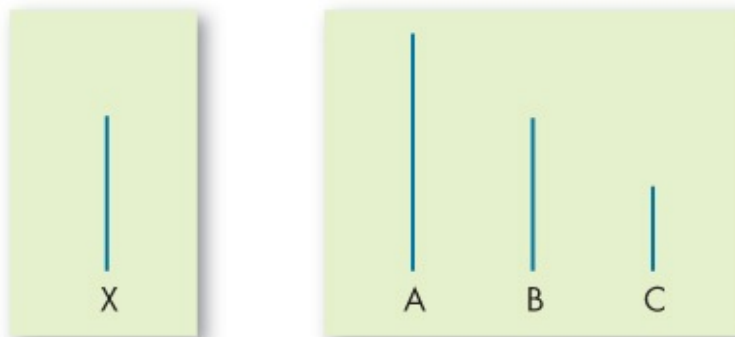
Have you ever noticed how the emotions of one member of your family, especially strong emotions, can influence the emotions of the other members? A family can be a highly normative group. So can a task group whose members work together on a daily basis, because frequent communication can increase the power of norms. A recent study found that, in a task group, individuals' emotions influenced the group's emotions, and vice versa. This may not be surprising, but researchers also found that norms dictated the *experience* of emotions for the individuals and for the groups—in other words, people grew to interpret their shared emotions in the same way.³³ As we discovered in Chapters 4 and 5, our emotions and moods can shape our perspective, so the normative effect of groups can have a powerful influence on group attitudes and outcomes.

Norms and Conformity

As a member of a group, you desire acceptance by the group. Thus, you are susceptible to conforming to group norms. Considerable evidence suggests that groups can place strong pressures on individual members to change their attitudes and behaviors to match the group's standard.³⁴ The impact that group pressures for **conformity** ⓘ can have on an individual

member's judgment was demonstrated in studies by Solomon Asch and others.³⁵ Asch made up groups of seven or eight people who were asked to compare two cards. One card had one line, and the other had three lines of varying length, one of which was identical to the line on the one-line card, as Exhibit 9-2 shows. The difference in line length was obvious; in fact, under ordinary conditions, subjects were incorrect less than 1 percent of the time in announcing which of the three lines matched the single line.

Exhibit 9-2 Examples of Cards Used in Asch's Study



The experiment began with sets of matching exercises. Everyone gave the right answers. On the third set, however, the first subject, who was part of the research team, gave an obviously wrong answer—for example, saying “C” in Exhibit 9-2 was the same as “X.” The next subject, also on the research team, gave the same wrong answer, and so forth. Now the dilemma confronting the subject, who didn’t know any of the subjects were on the research team, was this: Should he or she publicly state a perception that differed from the announced position of the others or give an incorrect answer that agreed with the others?

The results over many experiments showed 75 percent of subjects gave at least one answer that conformed—that they knew was wrong but was consistent with the replies of other group members—and the average conformer gave wrong answers 37 percent of the time. This suggests that we feel the pressure toward conformity with group norms. Other recent research with moral decision making indicated an even stronger effect of conformity when subjects found the nonconforming ideas not just incorrect but objectionable.³⁶ Does that mean we are mere robots? Certainly not. The flip side of the 37 percent of conforming responses is the 63 percent of independent responses, and 95 percent gave the correct

(nonconforming) response at least once. Therefore, we feel the pressure to conform, but it is not a perfect predictor of what we will do. Furthermore, we don't tend to like the pressure we feel to conform. Asch wrote, "Those who participated in this challenging experiment agreed nearly without exception that independence was preferable to conformity."³⁷

Do individuals conform to the pressures of all groups to which they belong? Obviously not, because people belong to many groups whose norms vary and sometimes are contradictory. People conform to their **reference groups** ⓘ, in which a person is aware of other members, defines him- or herself as a member or would like to be a member, and feels group members are significant to him or her. The implication, then, is that all groups do not impose equal conformity pressures on their members.

Norms and Behavior

Norms can cover any aspect of group behavior.³⁸ As we've mentioned, norms in the workplace significantly influence employee behavior. This may seem intuitive, but full appreciation of the influence of norms on worker behavior did not occur until the Hawthorne Studies conducted between 1924 and 1932 at the Western Electric Company's Hawthorne Works in Chicago.³⁹

An Ethical Choice

Using Peer Pressure as an Influence Tactic

We've all experienced peer pressure, and it can be hard to behave differently from your friends and coworkers. As more work in organizations is performed in groups and teams, the possibilities and pitfalls of such pressure have become an increasingly important ethical issue for managers.

Peer pressure can be a positive force in some ways. In groups where high effort and performance are the norms, peer pressure from coworkers, whether direct or indirect, can encourage high performance from those not meeting expectations. A group with a norm toward behaving ethically could also use peer pressure to minimize negative behavior. Thus, peer pressure can promote all sorts of good behaviors, from donating to charity to volunteering at the local soup kitchen.

However, peer pressure can also be destructive. It can create a feeling of exclusion in those who do not go along with group norms and can be very stressful and hurtful for those who don't see eye-to-eye with the rest of the group. Peer pressure itself can be an unethical practice that unduly influences workers' behavior and thoughts. And while groups might pressure others into good behavior, they can just as easily sway them to bad behavior.

Should you use group peer pressure? As a leader, you may need to. One survey found that only 6 percent of leaders reported being able to successfully influence their employees on their own. Peer pressure hastens a group toward consensus, and levels of peer pressure predict how much the leader can control the group. If you use peer pressure to encourage individuals to work toward team goals and behave consistently with organizational values, it can enhance ethical performance. But your behavior should emphasize acceptance and rewarding of positive behavior, rather than rejection and exclusion, as a means of getting everyone to behave consistently in the group.

Sources: Based on E. Estrada and E. Vargas-Estrada, "How Peer Pressure Shapes Consensus, Leadership, and Innovations in Social Groups," *Scientific Reports* 3 (2013), article number 2905; A. Verghese, "The Healing Power of Peer Pressure," *Newsweek*, March 14, 2011, www.newsweek.com; J. Meer, "Brother, Can You Spare a Dime? Peer Pressure in Charitable Solicitation," *Journal of Public Economics* 95, no. 7–8 (2011): 926–41; and L. Potter, "Lack Influence at Work? Why Most Leaders Struggle to Lead Positive Change," *Yahoo*, May 14, 2013, <http://finance.yahoo.com/news/lack-influence-why-most-leaders-121500672.html>.

In the studies, the researchers first examined the relationship between the physical environment and productivity. As they increased the light level for the experimental group of workers, output rose for that unit and the control group. But as they dropped the light level, productivity continued to increase. In fact, productivity in the experimental group decreased only when the light intensity had been reduced to that of moonlight, leading researchers to believe that group dynamics, rather than the environment, influenced behavior.

The researchers next isolated a small group of women assembling telephones so their behavior could be observed more carefully. Over the next several years, this small group's output increased steadily, and the number of personal and sick absences was approximately one-third of that in the regular production department. It became evident that this group's

performance was significantly influenced by its “special” status. The members thought they were in an elite group, and that management showed concern about their interests by engaging in experimentation. In essence, workers in both the illumination and assembly experiments were really reacting to the increased attention they received.

A wage incentive plan was then introduced in the bank wiring observation room. The most important finding was that employees did not individually maximize their output. Rather, their role performance became controlled by a group norm. Members were afraid that if they significantly increased their output, the unit incentive rate might be cut, the expected daily output might be increased, layoffs might occur, or slower workers might be reprimanded. So the group established its idea of a fair output—neither too much nor too little. Members helped each other ensure their reports were nearly level, and the norms that the group established included a number of behavioral “don’ts.” *Don’t* be a rate-buster, turning out too much work. *Don’t* be a chiseler, turning out too little work. *Don’t* squeal on any of your peers. The group enforced its norms with name calling, ridicule, and even punches to the upper arms of violators. It thus operated well below its capability, using norms that were tightly established and strongly enforced.



From studies of employees at the Western Electric Company’s Hawthorne Works in Chicago, researchers gained valuable

insights into how individual behavior is influenced by group norms. They also learned that money was less of a factor in determining worker output than were group standards, sentiments, and security.

Source: Hawthorne Museum of Morton College

Positive Norms and Group Outcomes

One goal of every organization with corporate social responsibility (CSR) initiatives is for the organization's values (or the values of the CEO and executives) to hold normative sway over employees.⁴⁰ After all, if employees aligned their thinking with the organization's positive norms, these norms would become stronger and the probability of positive impact would grow exponentially. We might expect the same outcomes from political correctness (PC) norms. But what is the effect of strong positive norms on group outcomes? The popular thinking is that, to increase creativity in groups, for instance, norms should be loosened. However, research on gender-diverse groups indicates that strong PC norms increase group creativity. Why? Clear expectations about male-female interactions reduce uncertainty about group expectations,⁴¹ which allows the members to express their creative ideas more easily, without combating stereotype norms.



Positive group norms may well beget positive outcomes, but only if other factors are present, too. For instance, in a recent study a high level of group extraversion predicted helping behaviors more strongly when there were positive cooperation norms.⁴² As powerful as norms can be, though, not everyone is equally susceptible to positive group norms. In a study of Italian adolescents, gender, group norms, and social identity predicted perceived frequency of the use of the social networking site Facebook. In addition, the personality traits of emotional stability, extraversion, conscientiousness, and norms directly predicted problematic Facebook use.⁴³

Negative Norms and Group Outcomes

LeBron is frustrated by a coworker who constantly spreads malicious and unsubstantiated rumors about him. Lindsay is tired of a member of her work group who, when confronted with a problem, takes out his frustration by yelling and screaming at her and other members. And Mi-Cha recently quit her job as a dental hygienist after being sexually harassed by her employer.

What do these illustrations have in common? They represent employees exposed to acts of deviant workplace behavior.⁴⁴ As we discussed in Chapter 3, counterproductive work behavior (CWB) or **deviant workplace behavior** ⓘ (also called *antisocial behavior* or *workplace incivility*) is voluntary behavior that violates significant organizational norms and, in so doing, threatens the well-being of the organization or its members. Exhibit 9-3 provides a typology of deviant workplace behaviors, with examples of each.

Few organizations will admit to creating or condoning conditions that encourage and maintain deviant behaviors. Yet they exist. As we discussed before, a work group can become characterized by positive or negative attributes. When those attributes are negative, such as when a work group is high in psychopathy and aggression, the characteristics of deceit, amorality, and intent to harm others are pronounced.⁴⁵ Second, employees have been reporting an increase in rudeness and disregard toward others by bosses and coworkers in recent years. Workplace incivility, like many other deviant behaviors, has many negative outcomes for the victims.⁴⁶ Nearly half of employees who have suffered this incivility say that it has led them to think about changing jobs; 12 percent actually quit because of it.⁴⁷ Also, a study of nearly 1,500 respondents found that, in addition to increasing turnover intentions, incivility at work increased reports of psychological stress and physical illness.⁴⁸ Employees that are repeatedly subjected to incivility feel a sense of injustice and may lash out at the organization by engaging in deviant behaviors.⁴⁹ Research suggests that a lack of sleep, which is often caused by heightened work demands and which hinders a person's ability to regulate emotions and behaviors, can also lead to deviant behavior. As organizations have tried to do more with less, pushing their employees to work extra hours, they may be indirectly facilitating deviant behavior.⁵⁰

Exhibit 9-3 Typology of Deviant Workplace Behavior

Category	Examples
Production	Leaving early Intentionally working slowly Wasting resources
Property	Sabotage Lying about hours worked Stealing from the organization
Political	Showing favoritism Gossiping and spreading rumors Blaming coworkers
Personal	Sexual harassment Verbal abuse Stealing from coworkers

Sources: Based on S. H. Appelbaum, G. D. Iaconi, and A. Matousek, "Positive and Negative Deviant Workplace Behaviors: Causes, Impacts, and Solutions," *Corporate Governance* 7, no. 5 (2007): 586–98; and R. W. Griffin and A. O'Leary-Kelly, *The Dark Side of Organizational Behavior* (New York: Wiley, 2004).

Like norms in general, employees' antisocial actions are shaped by the group context within which they work. Evidence demonstrates deviant workplace behavior is likely to flourish where it's supported by group norms.⁵¹ For example, workers who socialize either at or outside work with people who are frequently absent from work are more likely to be absent themselves.⁵² Thus when deviant workplace norms surface, employee cooperation, commitment, and motivation are likely to suffer.

What are the consequences of workplace deviance for groups? Some research suggests a chain reaction occurs in groups with high levels of dysfunctional behavior.⁵³ The process begins with negative behaviors like shirking, undermining coworkers, or being generally uncooperative. As a result of these behaviors, the group collectively starts to have negative moods. These negative moods then result in poor coordination of effort and lower levels of group performance.

Norms and Culture



Do people in collectivist cultures have different norms than people in individualist cultures? Of course they do.⁵⁴ But did you know that our orientation may be changed, even after years of living in one society? In a recent experiment, an organizational role-playing exercise was given to a neutral group of subjects; the exercise stressed either collectivist or individualist norms. Subjects were then given a task of their personal choice or were assigned one by an ingroup or outgroup person. When the individualist-primed subjects were allowed personal choice of the task, or the collectivist-primed subjects were assigned the task by an ingroup person, they became more highly motivated.⁵⁵

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

9.4.1 Which of the following is not an example of a performance norm?

- ☐ when an employee needs to look busy
- ☐ how hard an employee should work
- ☐ the appropriate levels of tardiness
- ☐ the acceptable level of output

Check answer

Reset

9.4.2 Which of the following terms best represents voluntary actions that violate significant organizational norms and, in doing so, threaten the well-being of the organization or its members?

- ☐ negativity offset
- ☐ deviant workplace behavior
- ☐ self-concordance
- ☐ emotional contagion

Check answer

Reset

Group Property 3: Status, and Group Property 4: Size and Dynamics

9-5 Show how status and size differences affect group performance.

We've discussed how the roles we play and the norms we internalize tend to dictate our behavior in groups. However, those are not the only two factors that influence who we are in a group and how the group functions. Have you ever noticed how groups tend to stratify into higher- and lower-status members? Sometimes the status of members reflects their status outside the group setting, but not always. Also, status often varies between groups of different sizes. Let's examine how these factors affect a work group's efficacy.

Group Property 3: Status

Status ⓘ—a socially defined position or rank given to groups or group members by others—permeates every society. Even the smallest group shows differences in member status over time. Status is a significant motivator and has major behavioral consequences when individuals perceive a disparity between what they believe their status is and what others perceive it to be.

What Determines Status? According to **status characteristics theory** ⓘ, status tends to derive from one of three sources:⁵⁶

1. **The power a person wields over others.** Because they likely control the group's resources, people who control group outcomes tend to be perceived as high status.
2. **A person's ability to contribute to a group's goals.** People whose contributions are critical to the group's success tend to have high status.
3. **An individual's personal characteristics.** Someone whose personal characteristics are positively valued by the group (good looks, intelligence, money, or a friendly personality) typically has higher status than someone with fewer valued attributes.

Status and Norms Status has some interesting effects on the power of norms and pressures to conform. High-status individuals may be more likely to deviate from norms when they

have low identification (social identity) with the group.⁵⁷ They also eschew pressure from lower-ranking members of other groups. For instance, physicians actively resist administrative decisions made by lower-ranking medical insurance company employees.⁵⁸ High-status people are also better able to resist conformity pressures than their lower-status peers. An individual who is highly valued by a group but doesn't need or care about the group's social rewards is particularly able to disregard conformity norms.⁵⁹ In general, bringing high-status members into a group may improve performance, but only up to a point, perhaps because these members may introduce counterproductive norms.⁶⁰

Status and Group Interaction People tend to become more assertive when they seek to attain higher status in a group.⁶¹ They speak out more often, criticize more, state more commands, and interrupt others more often. Lower-status members tend to participate less actively in group discussions; when they possess expertise and insights that could aid the group, failure to fully utilize these members reduces the group's overall performance. But that doesn't mean a group of only high-status individuals would be preferable. Adding *some* high-status individuals to a group of mid-status individuals may be advantageous because group performance suffers when too many high-status people are in the mix.⁶²



Aaron Rodgers has high status as the quarterback of the Green Bay Packers football team. His status derives from his ability

to contribute to his team's success in winning games. Rodgers's teammates and coaches value his character, leadership skills, expertise in calling plays, and ability to throw touchdown passes accurately while on the move.

Source: Matt Ludtke/FR155580/AP Images

Status Inequity It is important for group members to believe the status hierarchy is equitable. Perceived inequity creates disequilibrium, which inspires various types of corrective behaviors. Hierarchical groups can lead to resentment among those at the lower end of the status continuum. Large differences in status within groups are also associated with poorer individual performance, lower health, and more pronounced intentions for the lower-status members to leave the group.⁶³

Groups generally agree within themselves on status criteria; hence, there is usually high concurrence on group rankings of individuals. Business executives may use personal income or the growth rate of their companies as determinants of status. Government bureaucrats may use the size of their budgets, and blue-collar workers may use their years of seniority. Managers who occupy central positions in their social networks are typically seen as higher in status by their subordinates, and this position actually translates into greater influence over the group's functioning.⁶⁴

Groups generally form an informal status order based on ranking and command of needed resources.⁶⁵ Individuals can find themselves in conflicts when they move between groups whose status criteria are different, or when they join groups whose members have heterogeneous backgrounds. Cultures also differ in their criteria for conferring status upon individuals. When groups are heterogeneous, status differences may initiate conflict as the group attempts to reconcile the separate hierarchies. As we'll see in Chapter 10, this can be a problem when management creates teams of employees from varied functions.

Status and Stigmatization Although it's clear that your own status affects the way people perceive you, the status of people with whom you are affiliated can also affect others' views of you. Studies have shown that people who are stigmatized can "infect" others with their stigma. This "stigma by association" effect can result in negative opinions and evaluations of the person affiliated with the stigmatized individual, even if the association is brief and purely coincidental. Of course, many of the foundations of cultural status differences have no merit in the first place. For example, men interviewing for a job were viewed as less qualified when they were sitting next to an obese woman in a waiting room. Another study looking at

the effects of being associated with an overweight person found that even when onlookers were told the target person and the overweight person were unrelated, the target person was still devalued. Similarly, leaders of predominantly African American work groups also suffer from stigma by association, resulting in lower performance appraisals by their peers.⁶⁶

Group Status Early in life, we acquire an “us and them” mentality.⁶⁷ You may have correctly surmised that if you are in an outgroup, your group is of lower status in the eyes of the associated ingroup’s members. Culturally, sometimes ingroups represent the dominant forces in a society and are given high status, which can create discrimination against their outgroups. Low-status groups, perhaps in response to this discrimination, are likely to leverage ingroup favoritism to compete for higher status.⁶⁸ When high-status groups then feel the discrimination from low-status groups, they may increase their bias against the outgroups.⁶⁹ With each cycle, the groups become more polarized.

Group Property 4: Size and Dynamics

Does the size of a group affect the group’s overall behavior? Yes, but the effect depends on what dependent variables we examine.⁷⁰ Groups with a dozen or more members are good for gaining diverse input.⁷¹ If the goal is fact-finding or idea-generating, then larger groups should be more effective.⁷² Smaller groups of about seven members are better at doing something productive.⁷³

One of the most important findings about the size of a group concerns **social loafing** ⓘ, the tendency for individuals to expend less effort when working collectively than when alone.⁷⁴ Social loafing directly challenges the assumption that the productivity of the group as a whole should at least equal the sum of the productivity of the individuals in it, no matter what the group size.

What causes social loafing? It may be a belief that others in the group are not carrying their fair share. If you see others as lazy or inept, you can reestablish equity by reducing your effort. But simply failing to contribute may not be enough for someone to be labeled a free rider. Instead, the group must believe the social loafer is acting in an exploitive manner (benefitting at the expense of other team members).⁷⁵ Another explanation for social loafing is the diffusion of responsibility. Because group results cannot be attributed to any single person, the relationship between an individual’s input and the group’s output is clouded. Individuals may then be tempted to become free riders and coast on the group’s efforts.⁷⁶

The implications for Organizational Behavior (OB) are significant. When managers use collective work situations, they must also be able to identify individual efforts. Greater performance diversity creates greater social loafing the longer a group is together, which decreases satisfaction and performance.⁷⁷



Social loafing appears to have a Western bias.⁷⁸ It's consistent with individualist cultures, such as the United States and Canada, that are dominated by self-interest. It is *not* consistent with collectivist societies, in which individuals are motivated by group goals. When research is compared across cultures, groups from Eastern cultures had significantly lower rates of social loafing.



Young employees of Alibaba's Tmall online shopping site celebrate their group's achievement of increasing the volume of sales orders during China's "Singles Day" shopping event. Although social loafing is consistent with individualistic cultures, in collectivist societies such as China, employees are motivated by group goals and perform better in groups than they do when they are working individually.

Source: Han Chuanhao Xinhua News Agency/Newscom

Research indicates that the stronger an individual's work ethic is, the less likely that person is to engage in social loafing.⁷⁹ Also, the greater the level of conscientiousness and agreeableness in a group, the more likely that performance will remain high whether there is social loafing or not.⁸⁰ There are ways to prevent social loafing: (1) set group goals, so the

group has a common purpose to strive toward; (2) increase intergroup competition, which focuses on the shared group outcome; (3) engage in peer evaluations; (4) select members who have high motivation and prefer to work in groups; and (5) base group rewards in part on each member's unique contributions.⁸¹ Recent research indicates that social loafing can be counteracted by publicly posting individual performance ratings for group members, too.⁸² Although no magic bullet will prevent social loafing, these steps should help minimize its effect.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

9.5.1 Which of the following statements is true regarding the effect of status on group interaction?

- ☐ Lower-status members state fewer commands than high-status members.
- ☐ Lower-status members tend to be more assertive group members as compared to high-status members.
- ☐ Lower-status members speak more often as compared to high-status members.
- ☐ Lower-status members interrupt others more often compared to high-status members.

Check answer

Reset

9.5.2 Which of the following is an effective means of countering social loafing?

- increase the rewards the group is given if it succeeds
- increase the amount by which the group's progress is monitored
- ensure that individual contributions to the group's outcome are identified
- increase the size of the group

Check answer

Reset

Group Property 5: Cohesiveness, and Group Property 6: Diversity

9-6 Describe how issues of cohesiveness and diversity can be integrated for group effectiveness.

For a group to be highly functioning, it must act cohesively as a unit, but not because all the group members think and act alike. In some ways, the properties of cohesiveness and diversity need to be valued way back at the tacit establishment of roles and norms—will the group be inclusive of all its members, regardless of differences in backgrounds? Let's discuss the importance of group cohesiveness first.

Group Property 5: Cohesiveness

Groups differ in their **cohesiveness** ⓘ—the degree to which members are attracted to each other and motivated to stay in the group. Some work groups are cohesive because the members have spent a great deal of time together, the group's small size or purpose facilitates high interaction, or external threats have brought members close together.

Cohesiveness affects group productivity. Studies consistently show that the relationship between cohesiveness and productivity depends on the group's performance-related norms.⁸³ If norms for quality, output, and cooperation with outsiders are high, a cohesive group will be more productive than a less cohesive group. But if cohesiveness is high and performance norms are low, productivity will be low. If cohesiveness is low and performance norms are high, productivity increases, but less than in the high-cohesiveness/high-norms situation. When cohesiveness and performance-related norms are both low, productivity tends to fall into the low-to-moderate range. These conclusions are summarized in Exhibit 9-4.

What can you do to encourage group cohesiveness? Here are some ideas: (1) Make the group smaller, (2) encourage agreement with group goals, (3) increase the time members spend together, (4) increase the group's status and the perceived difficulty of attaining membership, (5) stimulate competition with other groups, (6) give rewards to the group rather than to individual members, and (7) physically isolate the group.⁸⁴

Exhibit 9-4 Relationship among Group Cohesiveness, Performance Norms, and Productivity

		Cohesiveness	
		High	Low
Performance Norms	High	High productivity	Moderate productivity
	Low	Low productivity	Moderate to low productivity

Group Property 6: Diversity

The final property of groups that we consider is **diversity** ⓘ in the group's membership, or the degree to which members of the group are similar to, or different from, one another.

Overall, studies identify both costs and benefits from group diversity.

Diversity appears to increase group conflict, especially in the early stages of a group's tenure; this often lowers group morale and raises dropout rates. One study compared groups that were culturally diverse and homogeneous (composed of people from the same country). On a wilderness survival test, the groups performed equally well, but the members from the diverse groups were less satisfied with their groups, were less cohesive, and had more conflict.⁸⁵ Another study examined the effect of differences in tenure on the performance of 67 engineering research and development groups.⁸⁶ When most people had roughly the same level of tenure, performance was high, but as tenure diversity increased, performance dropped off. There was an important qualifier: Higher levels of tenure diversity were not related to lower performance for groups when there were effective team-oriented human resources (HR) practices. More specifically, groups in which members' values or opinions differ tend to experience more conflict, but leaders who can get the group to focus on the task at hand and encourage group learning are able to reduce these conflicts and enhance discussion of group issues.⁸⁷ Gender diversity can also be a challenge to a group, but if inclusiveness is stressed, group conflict and dissatisfaction are lowered.⁸⁸



You may have correctly surmised that the type of group diversity matters. Surface-level diversity—in observable characteristics such as national origin, race, and gender—alerts people to possible deep-level diversity—in underlying attitudes, values, and opinions. One researcher argues, “The mere presence of diversity you can see, such as a person’s race or gender, actually cues a team that there’s likely to be differences of opinion.”⁸⁹ Surface-level diversity may subconsciously cue team members to be more open-minded in their views.⁹⁰ For example, two studies of MBA student groups found surface-level diversity led to greater openness. The effects of deep-level diversity are less understood. Research in Korea indicates that putting people with a high need for *power* with those with a low need for power can reduce unproductive group competition, whereas putting individuals with a similar need for *achievement* may increase task performance.⁹¹



Although differences can lead to conflict, they also provide an opportunity to solve problems in unique ways. One study of jury behavior found diverse juries were more likely to deliberate longer, share more information, and make fewer factual errors when discussing evidence. Altogether, the impact of diversity on groups is mixed. It is difficult to be in a diverse group in the short term. However, if members can weather their differences, over time diversity may help them be more open-minded and creative and to perform better. For example, gender diversity has been found to improve group performance in Chinese work groups.⁹² On the other hand, even positive effects are unlikely to be especially strong. As one review stated, “The business case (in terms of demonstrable financial results) for diversity remains hard to support based on the extant research.”⁹³ Yet other researchers argue that we shouldn’t overlook the effects of homogeneity, many of which can be detrimental.⁹⁴

MyLab Management Personal Inventory Assessments



Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

One possible side effect in diverse teams—especially those that are diverse in terms of

surface-level characteristics—is **faultlines** ⓘ, or perceived divisions that split groups into two or more subgroups based on individual differences such as sex, race, age, work experience, and education.

For example, let's say that group A is composed of three men and three women. The three men have approximately the same amount of work experience and background in marketing. The three women have about the same amount of work experience and background in finance. Group B has three men and three women, but they all differ in terms of their experience and backgrounds. Two of the men are experienced, while the other is new. One of the women has worked at the company for several years, while the other two are new. In addition, two of the men and one woman in group B have backgrounds in marketing, while the other man and the remaining two women have backgrounds in finance. It is thus likely that a faultline will result in subgroups of males and females in group A but not in group B, based on the differentiating characteristics.

Research on faultlines has shown that splits are generally detrimental to group functioning and performance. Subgroups may compete with each other, which takes time away from core tasks and harms group performance. Groups that have subgroups learn more slowly, make more risky decisions, are less creative, and experience higher levels of conflict. Subgroups may not trust each other. Satisfaction with subgroups is generally high, but the overall group's satisfaction is lower when faultlines are present.⁹⁵

Are faultlines ever a good thing? One study suggested that faultlines based on differences in skill, knowledge, and expertise could be beneficial when the groups were in organizational cultures that strongly emphasized results. Why? A results-driven culture focuses people's attention on what's important to the company rather than on problems arising from subgroups.⁹⁶ Another study showed that problems stemming from strong faultlines based on gender and educational major were counteracted when their roles were crosscut and the group as a whole was given a common goal to strive for. Together, these strategies force collaboration between members of subgroups and focus their efforts on accomplishing a goal that transcends the boundary imposed by the faultline.⁹⁷ Faultlines that are split along task-relevant characteristics may boost performance in certain organizations by promoting division of labor.⁹⁸

Overall, although research on faultlines suggests that diversity in groups is potentially a double-edged sword, recent work indicates they can be strategically employed to improve performance.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

9.6.1 Which of the following is not likely to encourage group cohesiveness?

- ☐ stimulating competition with other groups
- ☐ increasing the size of the group
- ☐ obtaining agreement upon the established goals
- ☐ increasing the group's status and the perceived difficulty of attaining membership

Check answer

Reset

9.6.2 Alberto is working with a group of 15 people to coordinate the merger of two corporations. Everyone in the group is highly qualified, offers relevant information, and has high norms. Still, the group seems to be slow at outlining a definitive plan for the merger. With the information provided, what would be the fastest and best way for Alberto to increase cohesiveness and productivity?

- ☐ hold long meetings at a restaurant or in a social setting
- ☐ stimulate competition within the group
- ☐ decrease the time members spend together
- ☐ decrease the size of the group

Check answer

Reset

Group Decision Making

9-7 Contrast the strengths and weaknesses of group decision making.

The belief—characterized by juries—that two heads are better than one has long been accepted as a basic component of the U.S. legal system and those of many other countries. Many decisions in organizations are made by groups, teams, or committees. We'll discuss the advantages of group decision making, along with the unique challenges that group dynamics bring to the decision-making process. Finally, we'll offer some techniques for maximizing the group decision-making opportunity.

Groups versus the Individual

Decision-making groups may be widely used in organizations, but are group decisions preferable to those made by an individual alone? The answer depends on a number of factors. Let's begin by looking at the strengths and weaknesses of group decision making.

Strengths of Group Decision Making Groups generate *more complete information and knowledge*. By aggregating the resources of several individuals, groups bring more input as well as heterogeneity into the decision process. They offer *increased diversity of views*. This opens up the opportunity to consider more approaches and alternatives. Finally, groups lead to increased *acceptance of a solution*. Group members who participate in making a decision are more likely to support it enthusiastically and to encourage others to accept it later.

Weaknesses of Group Decision Making Group decisions are time-consuming because groups typically take more time to reach a solution. There are *conformity pressures*. The desire by group members to be accepted and considered an asset to the group can squash any overt disagreement. Group discussion can be *dominated by one or a few members*. If they're low- and medium-ability members, the group's overall effectiveness will suffer. Finally, group decisions suffer from *ambiguous responsibility*. In an individual decision, it's clear who is accountable for the final outcome. In a group decision, the responsibility of any single member is diluted.

Effectiveness and Efficiency Whether groups are more effective than individuals depends on how you define effectiveness. Group decisions are generally more *accurate* than the decisions of the average individual in a group, but they are less accurate than the judgments of the most accurate person.⁹⁹ In terms of *speed*, individuals are superior. If *creativity* is important, groups tend to be more effective. And if effectiveness means the degree of *acceptance* of achievable solutions, the nod again goes to the group.¹⁰⁰

But we cannot consider effectiveness without also assessing efficiency. With few exceptions, group decision making consumes more work hours than having an individual tackle the same problem. The exceptions tend to be instances in which, to achieve comparable quantities of diverse input, the single decision maker must spend a great deal of time reviewing files and talking to other people. In deciding whether to use groups, then, managers must assess whether increases in effectiveness are more than enough to offset the reductions in efficiency.



In summary, groups are an excellent vehicle for performing many steps in the decision-making process and offer both breadth and depth of input for information gathering. If group members have diverse backgrounds, the alternatives generated should be more extensive and the analysis more critical. When the final solution is agreed on, there are more people in a group decision to support and implement it. These pluses, however, may be more than offset by the time consumed by group decisions, the internal conflicts they create, and the pressures they generate toward conformity. We must be careful to define the types of conflicts, however. Research in Korea indicates that group conflicts about tasks may increase group performance, while conflicts in relationships may decrease performance.¹⁰¹ In some cases, therefore, we can expect individuals to make better decisions than groups.

Groupthink and Groupshift

Two by-products of group decision making, groupthink and groupshift, can affect a group's ability to appraise alternatives objectively and achieve high-quality solutions.

Groupthink ⓘ relates to norms and describes situations in which group pressures for conformity deter the group from critically appraising unusual, minority, or unpopular views. Groupthink attacks many groups and can dramatically hinder their performance.¹⁰²

Groupshift describes the way group members tend to exaggerate their initial positions when discussing a given set of alternatives to arrive at a solution. In some situations, caution

dominates and there is a conservative shift, while in other situations groups tend toward a risky shift.¹⁰³ Let's look at each phenomenon in detail.

Career OBjectives

Can I fudge the numbers and not take the blame?

I've got a great work group, except for one thing: The others make me omit negative information about our group's success that I'm in charge of as the treasurer. They gang up on me, insult me, and threaten me, so in the end I report what they want. They say omitting the negative information is not really wrong, and it doesn't violate our organization's rules, but on my own I would report everything. I need to stay in the group or I'll lose my job. If we are called out on the numbers, can I just put the blame on the whole group?

— *Jean-Claude*

Dear Jean-Claude:

The short answer is that, because you are in a leadership role in the group, you may not have the option of blaming the others. Further, you may be held individually accountable as a leader for the outcomes of this situation.

Your dilemma is not unusual. Once we think of ourselves as part of a collective, we want to stay in the group and can become vulnerable to pressures to conform. The pressure you're getting from multiple members can make you aware that you're in the minority in the group, and taunting can make you feel like an outsider or lesser member; therefore threats to harm your group standing may feel powerful.

So you have a choice: Submit to the pressure and continue misrepresenting your group's success, or adhere to the responsibility you have as the treasurer and come clean. From an ethical standpoint, we hope you don't consider the first option an acceptable choice. To make a change, you may be able to use social identification to your advantage. Rather than challenging the group as a whole, try meeting with individual group members to build trust, talking to each as fellow members of a worthy group that can succeed without any ethical quandaries. Don't try to build a coalition; instead, build trust with individuals and change the climate of the group to value ethical

behavior. Then the next time you need to report the numbers, you can call upon the group's increased ethical awareness to gain support for your leadership decisions.

Sources: Based on M. Cikara and J. J. Van Bavel, "The Neuroscience of Intergroup Relations: An Integrative Review," *Perspectives on Psychological Science* 9, no. 3 (2014): 245–74; M. A. Korsgaard, H. H. Brower, and S. W. Lester, "It Isn't Always Mutual: A Critical Review of Dyadic Trust," *Journal of Management* 41, no. 1 (2015): 47–70; and R. L. Priem and P. C. Nystrom, "Exploring the Dynamics of Workgroup Fracture: Common Ground, Trust-with-Trepidation, and Warranted Distrust," *Journal of Management* 40, no. 3 (2014): 674–795.

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MyLab Management Try It

If your instructor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Groupthink Groupthink appears closely aligned with the conclusions Solomon Asch drew in his experiments with a lone dissenter. Individuals who hold a position different from that of the dominant majority are under pressure to suppress, withhold, or modify their true feelings and beliefs. As members of a group, we find it more pleasant to be in agreement—to be a positive part of the group—than to be a disruptive force, even if disruption would improve effectiveness. Groups that are more focused on performance than learning are especially likely to fall victim to groupthink and to suppress the opinions of those who do not agree with the majority.¹⁰⁴

Does groupthink attack all groups? No. It seems to occur most often when there is a clear group identity, when members hold a positive image of their group that they want to protect, and when the group perceives a collective threat to its positive image.¹⁰⁵ One study showed that those influenced by groupthink were more confident about their course of action early

on;¹⁰⁶ however, groups that believe too strongly in the correctness of their course of action are more likely to suppress dissent and encourage conformity than groups that are more skeptical about their course of action.

What can managers do to minimize groupthink?¹⁰⁷ First, they can monitor group size. People grow more intimidated and hesitant as group size increases, and although there is no magic number that will eliminate groupthink, individuals are likely to feel less personal responsibility when groups are larger than about 10 members. Managers should also encourage group leaders to play an impartial role. Leaders should actively seek input from all members and avoid expressing their own opinions, especially in the early stages of deliberation. In addition, managers should appoint one group member to play the role of devil's advocate, overtly challenging the majority position and offering divergent perspectives. Yet another suggestion is to use exercises that stimulate active discussion of diverse alternatives without threatening the group or intensifying identity protection. Have group members delay discussion of possible gains so they can first talk about the dangers or risks inherent in a decision. Requiring members to focus initially on the negatives of an alternative makes the group less likely to stifle dissenting views and more likely to gain an objective evaluation.

Groupshift or Group Polarization There are differences between group decisions and the individual decisions of group members.¹⁰⁸ In groups, discussion leads members toward a more extreme view of the position they already held. Conservatives become more cautious, and more aggressive types take on more risk. We can view this group polarization as a special case of groupthink. The group's decision reflects the dominant decision-making norm—toward greater caution or more risk—that develops during discussion.

The shift toward polarization has several explanations.¹⁰⁹ It's been argued, for instance, that discussion makes the members more comfortable with each other and thus more willing to express extreme versions of their original positions. Another argument is that the group diffuses responsibility. Group decisions free any single member from accountability for the group's final choice, so a more extreme position can be taken. It's also likely that people take extreme positions because they want to demonstrate how different they are from the outgroup.¹¹⁰ People on the fringes of political or social movements take on ever-more-extreme positions just to prove they are really committed to the cause, whereas those who are more cautious tend to take moderate positions to demonstrate how reasonable they are.

So how should you use the findings on groupshift? Recognize that group decisions exaggerate the initial position of individual members, the shift has been shown more often to be toward greater risk, and which way a group will shift is a function of the members' prediscussion inclinations.

We now turn to the techniques by which groups make decisions. These reduce some of the dysfunctional aspects of group decision making.

Group Decision-Making Techniques

The most common form of group decision making takes place in **interacting groups** ⓘ. Members meet face-to-face and rely on both verbal and nonverbal interaction to communicate. But as our discussion of groupthink demonstrated, interacting groups often censor themselves and pressure individual members toward conformity of opinion. Brainstorming and the nominal group technique can reduce problems inherent in the traditional interacting group.

Brainstorming **Brainstorming** ⓘ can overcome the pressures for conformity that dampen creativity¹¹¹ by encouraging any and all alternatives while withholding criticism. In a typical brainstorming session, a half-dozen to a dozen people sit around a table. The group leader states the problem in a clear manner so all participants understand. Members then freewheel as many alternatives as they can in a given length of time. To encourage members to “think the unusual,” no criticism is allowed, even of the most bizarre suggestions, and all ideas are recorded for later discussion and analysis.

Brainstorming may indeed generate ideas—but not very efficiently. Research consistently shows individuals working alone generate more ideas than a group in a brainstorming session. One reason for this is “production blocking.” When people are generating ideas in a group, many are talking at once, which blocks individuals' thought process and eventually impedes the sharing of ideas.¹¹²

Nominal Group Technique The **nominal group technique** ⓘ may be more effective. This technique restricts discussion and interpersonal communication during the decision-making process. Group members are all physically present, as in a traditional meeting, but they operate independently. Specifically, a problem is presented and then the group takes the following steps:

1. **Before any discussion takes place**, each member independently writes down ideas about the problem.
2. **After this silent period**, each member presents one idea to the group. No discussion takes place until all ideas have been presented and recorded.
3. **The group discusses the ideas** for clarity and evaluates them.
4. **Each group member silently and independently rank-orders** the ideas. The idea with the highest aggregate ranking determines the final decision.

The chief advantage of the nominal group technique is that it permits a group to meet formally but does not restrict independent thinking. Research generally shows nominal groups outperform brainstorming groups.¹¹³

Each of the group decision techniques has its own set of strengths and weaknesses. The choice depends on the criteria you want to emphasize and the cost–benefit trade-off. As Exhibit 9-5 indicates, an interacting group is good for achieving commitment to a solution, brainstorming develops group cohesiveness, and the nominal group technique is an efficient means for generating a large number of ideas.

Exhibit 9-5 Evaluating Group Effectiveness

Effectiveness Criteria	InteractingType of Group Brainstorming		Nominal
Number and quality of ideas	Low	Moderate	High
Social pressure	High	Low	Moderate
Money costs	Low	Low	Low
Speed	Moderate	Moderate	Moderate
Task orientation	Low	High	High
Potential for interpersonal conflict	High	Low	Moderate
Commitment to solution	High	Not applicable	Moderate
Development of group cohesiveness	High	High	Moderate

Now test your understanding of what you have just read by

attempting the questions below.

Test Your Understanding

9.7.1 Which is not a weakness of group decision making?

- ☐ Group decision making is time consuming.
- ☐ Group decisions tend to be less creative than individual decisions.
- ☐ Group decisions suffer from ambiguous responsibility.
- ☐ Group decisions can be dominated by one or a few members.

Check answer

Reset

9.7.2 Which of the following statements is true regarding brainstorming?

- ☐ Brainstorming encourages criticizing an idea as early as possible.
- ☐ Brainstorming overcomes the problem of ‘production blocking’.
- ☐ Brainstorming can overcome the pressures for conformity.
- ☐ Research consistently shows that a group in a brainstorming session generates more ideas than an individual working alone.

Check answer

Reset

Summary

We can draw several implications from our discussion of groups. First, norms control behavior by establishing standards of right and wrong. Second, status inequities create frustration and can adversely influence productivity and willingness to remain with an organization. Third, the impact of size on a group's performance depends on the type of task. Fourth, cohesiveness may influence a group's level of productivity, depending on the group's performance-related norms. Fifth, diversity appears to have a mixed impact on group performance, with some studies suggesting that diversity can help performance and others suggesting the opposite. Sixth, role conflict is associated with job-induced tension and job dissatisfaction.¹¹⁴ Groups can be carefully managed toward positive organizational outcomes and optimal decision making. The next chapter will explore several of these conclusions in greater depth.

Implications for Managers

- Recognize that groups can have a dramatic impact on individual behavior in organizations, to either positive or negative effect. Therefore, pay special attention to roles, norms, and cohesion—to understand how these are operating within a group is to understand how the group is likely to behave.
 - To decrease the possibility of deviant workplace activities, ensure that group norms do not support antisocial behavior.
 - Pay attention to the status aspect of groups. Because lower-status people tend to participate less in group discussions, groups with high status differences are likely to inhibit input from lower-status members and reduce their potential.
 - Use larger groups for fact-finding activities and smaller groups for action-taking tasks. With larger groups, provide measures of individual performance.
 - To increase employee satisfaction, make certain people perceive their job roles accurately.
- 

Diverse Work Groups Are Smarter and More Innovative

Point

Birds of a feather flock together, but when it comes to business, it may be better for pigeons to flock with crows. Employees may feel more comfortable working with people who are similar to them, but this comfort may come at the cost of success.

Time after time, research demonstrates that more diverse companies have the most success. A global analysis of 2,400 companies demonstrated that the presence of at least one female employee on an executive board leads to higher net income growth and return on equity. Diversity at lower levels of the organization may also be helpful: Companies with more diverse work groups have higher financial returns than companies with fewer minority or female employees.

Diverse groups think smarter. When people are asked to work with people who are different from them, they are forced out of their comfort zone, leading to more critical thinking and innovation. In mock juries, for example, more ethnically heterogeneous juries made more accurate decisions and supported their decisions with more facts from the case. Teams of heterogeneous financial professionals also performed better on tasks where they were asked to price stocks in a stock market simulation. In addition, a recent analysis of research and design teams in Spain found that teams with greater gender diversity created more innovative products. Other types of diversity may also be beneficial. In a murder mystery task, groups with a mix of organizational tenure were more likely to guess the correct suspect. When cultural diversity of businesses in the United Kingdom were analyzed, more culturally diverse leadership teams created more new products.

So the next time you're worried about working with someone you don't have a lot in common with, remember the words of Maya Angelou: "In diversity there is beauty and there is strength."

Counterpoint

here is some evidence that having diverse leadership may benefit companies. What about

The research showing that diversity is linked to lower employee morale and well-being, slower decision making, and increased conflict? Organizations with more diverse work groups are also more likely to be sued for discrimination.

Sometimes more diverse tasks can boost innovation and critical thinking skills, but those advantages may not be worth forcing employees to work with people they feel uncomfortable with. When employees are forced to participate in diversity initiatives, it can lead to more stress. Over half feel that they have to modify their behavior significantly to feel like they fit in. If employees try to act like their peers rather than acknowledging their differences, it doesn't just lead to stress. Research has shown that any advantages on task creativity disappear when team members don't openly discuss and acknowledge their differing backgrounds.

Even if employees feel comfortable enough to express themselves, that's no guarantee that they will actually get along. Group members with diverse racial, gender, and educational backgrounds might have a slight advantage over homogenous groups in some tasks. Yet they can be less effective when group members have different values. When group members have different values because, for example, they have different cultural backgrounds, it may be difficult for the group to overcome these differences.

It may be tempting to think that a diverse team is better, but remember, there's a reason like attracts like.

Sources: Based on S. Bailey, "Why Diversity Is Bad for Business (and Inclusion Is the Answer)," *Forbes*, May 20, 2014, <https://www.forbes.com/sites/sebastianbailey/2014/05/20/why-we-should-prioritize-the-i-in-d-and-i/#2c6b0e54600d>; D. Rock, H. Grant, and J. Grey, "Diverse Teams Feel Less Comfortable—and That's Why They Perform Better," *Harvard Business Review*, September 22, 2016, <https://hbr.org/2016/09/diverse-teams-feel-less-comfortable-and-thats-why-they-perform-better>; and D. Rock and H. Grant, "Why Diverse Teams Are Smarter," *Harvard Business Review*, November 4, 2016, <https://hbr.org/2016/11/why-diverse-teams-are-smarter>.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 9-1** What are the different types of groups?
- 9-2** What are the key components of the punctuated-equilibrium model?
- 9-3** How do role requirements change in different situations?
- 9-4** How do group norms influence an individual's behavior?
- 9-5** How do status and size differences affect group performance?
- 9-6** How can cohesiveness and diversity support group effectiveness?
- 9-7** What are the strengths and weaknesses of group (versus individual) decision making?

Application and Employability

Groups have a powerful influence on individuals, leading to both positive and negative consequences. Peer pressure and norms may be beneficial when they help individuals perform better and engage in prosocial behaviors. Yet groups may also exert influences that harm other groups, encourage conformity, and lead to poor decision making. By gaining an understanding of group behaviors, you can better understand how to encourage positive outcomes and avoid negative outcomes in the workplace among your coworkers, supervisors, and subordinates. In this chapter, you learned valuable lessons about communication,

collaboration, and social responsibility when facing peer pressure from coworkers, listening to gossip about a peer, and deciding whether peer pressure is an ethically sound strategy for motivating employees. You also utilized your critical thinking skills while exploring the advantages and pitfalls of diverse work groups. In the next section, you will continue to develop these skills, as well as apply your knowledge and analytical skills to surviving the wild alone and in a group, assess whether to violate a psychological contract, explore the downfalls of hoping for a consensus in American politics, and explore how a group divided affected a military campaign.

Experiential Exercise Surviving the Wild: Join a Group or Go It Alone?

You are a member of a hiking party. After reaching base camp on the first day, you decide to take a quick sunset hike by yourself. After a few exhilarating miles, you turn around for the return to camp. On your way back, you realize you are lost. You shout for help, to no avail. It is now dark—and getting cold.

Your Task

Without communicating with anyone else in your group, read the following scenarios and choose the best answer. Keep track of your answers on a sheet of paper. You have 10 minutes to answer the 10 questions.

Questions

- 9-8.** The first thing you decide to do is to build a fire. However, you have no matches, so you use the bow-and-drill method. What is the bow-and-drill method?
- a. A dry, soft stick is rubbed between the hands against a board of supple green wood.
 - b. A soft green stick is rubbed between the hands against a hardwood board.
 - c. A straight stick of wood is quickly rubbed back and forth against a dead tree.
 - d. Two sticks (one being the bow, the other the drill) are struck to create a spark.
- 9-9.** It occurs to you that you can also use the fire as a distress signal. How do you form the international distress signal with fire?
- a. Fires in random order
 - b. Fires in a square
 - c. Fires in a cross
 - d. Fires in a line
- 9-10.** You are very thirsty. You go to a nearby stream and collect some water in the small metal cup you have in your backpack. How long should you boil the water?
- a. 15 minutes
 - b. A few seconds
 - c. 1 minute

d. It depends on the altitude.

9-11. You are very hungry, so you decide to eat what appear to be edible berries. When performing the universal edibility test, what should you do?

- a. Do not eat for 2 hours before the test.
- b. If the plant stings your lip, confirm the sting by holding it under your tongue for 15 minutes.
- c. If nothing bad has happened 2 hours after digestion, eat half a cup of the plant and wait again.
- d. Separate the plant into its basic components and eat each component, one at a time.

9-12. Next, you decide to build a shelter for the evening. In selecting a site, what do you *not* have to consider?

- a. It must contain material to make the type of shelter you need.
- b. It must be free of insects, reptiles, and poisonous plants.
- c. It must be large enough and level enough for you to lie down comfortably.
- d. It must be on a hill so you can signal rescuers and keep an eye on your surroundings.

9-13. In the shelter, you notice a spider. You heard from a fellow hiker that black widow spiders populate the area. How do you identify a black widow spider?

- a. Its head and abdomen are black; its thorax is red.
- b. It is attracted to light.
- c. It runs away from light.
- d. It is dark with a red or orange marking on the female's abdomen.

9-14. After getting some sleep, you notice that the night sky has cleared, so you decide to try to find your way back to base camp. You believe you can use the North Star for navigation. How do you locate the North Star?

- a. Hold your right hand up as far as you can and look between your index and middle fingers.
- b. Find Sirius and look 60 degrees above it and to the right.
- c. Look for the Big Dipper and follow the line created by its cup end.
- d. Follow the line of Orion's belt.

- 9-15.** You come across a fast-moving stream. What is the best way to cross it?
- a. Find a spot downstream from a sandbar, where the water will be calmer.
 - b. Build a bridge.
 - c. Find a rocky area, because the water will be shallow and you will have hand- and footholds.
 - d. Find a level stretch where it breaks into a few channels.
- 9-16.** After walking for about an hour, you feel several spiders in your clothes. You don't feel any pain, but you know some spider bites are painless. Which of these spider bites is painless?
- a. Black widow
 - b. Brown recluse
 - c. Wolf spider
 - d. Harvestman (daddy longlegs)
- 9-17.** You decide to eat some insects. Which insects should you avoid?
- a. Adults that sting or bite
 - b. Caterpillars and insects that have a pungent odor
 - c. Hairy or brightly colored ones
 - d. All the above

Group Task

Next, break into groups of five or six people. Once the group comes to an agreement for what to do in each situation, write your decision on the same sheet of paper you used for your individual answers.

Scoring Your Answers

Your instructor will provide you with the correct answers, which are based on expert judgments in these situations. Once you have received the answers, calculate (A) your individual score, (B) your group's score, (C) the average individual score in the group, and (D) the best individual score in the group. Write these down and consult with your group to ensure that they are accurate.

A. Your individual score _____

- B. Your group's score _____
- C. Average individual score in group _____
- D. Best individual score in group _____

Discussion Questions

- 9-18.** How did your group (B) perform relative to yourself (A)?
- 9-19.** How did your group (B) perform relative to the average individual score in the group (C)?
- 9-20.** How did your group (B) perform relative to the best individual score in the group (D)?
- 9-21.** Compare your results with those of other groups. Did some groups do a better job of outperforming individuals than others?
- 9-22.** What do these results tell you about the effectiveness of group decision making?
- 9-23.** What can groups do to make group decision making more effective?
- 9-24.** What circumstances might cause a group to perform worse than its best individual?

Ethical Dilemma It's Obvious, They're Chinese.

The antithesis of social loafing was brought into sharp focus back in 2009 when Shanghai became the first Chinese region to enter the Programme for International Student Assessment (PISA). In its first entry year, Shanghai came top in mathematics, science, and reading by a considerable margin. PISA looks at the attainments of 15-year-olds, and by 2012, Shanghai had cemented their position as the top performing student groups.

The latest set of figures (2015) has seen Singapore replace Shanghai at the top of the ranks. This is due to the fact that Shanghai is no longer a separate entry; they are now part of the combined figures for the country based on four provinces. China is still ranked sixth with Macao (appearing as a separate entry). Three of the top five and seven of the top 10 countries are in the Far East.

A typical Chinese 15-year-old has eight 40-minute classes each day. Despite this heavy workload, the teacher-led sessions, according to observers, are performed with total pupil concentration even though classes can be up to 60 in strength. Age-old Chinese folktales recount the successes of those who show diligence and hard work. Concepts such as being gifted or talented have far less currency than simply working hard. For generations, Chinese students have worked hard to achieve good grades in their gaokao examinations. These are the key to university entrance.

The combination of hard work and high-stakes examinations mean that an average Chinese 15-year-old does 3 hours of homework every night. There is no time for social loafing; individual and cultural motivators drive the students forward.

Questions

- 9-25.** Why does social loafing cause ethical dilemmas? What is it about social loafing that makes it difficult to cope with on a one-to-one basis if one of your colleagues does it?
 - 9-26.** Social loafing is exposed in performance appraisals and other methods of assessing productivity and output. How should it be handled when it is exposed?
 - 9-27.** Most Chinese 15-year-olds spurn television, social media, and console gaming. On the other hand, many of the students do not excel in creative thinking or problem-solving. To what extent might this be an issue compared to other societies that might focus on these aspects?
-

Sources: National Center for Education Statistics, Program for International Student Assessment,
<http://nces.ed.gov/surveys/pisa/index.asp>, accessed January 23, 2014; “Shanghai Population 2015,” WPR,
<http://worldpopulationreview.com/world-cities/shanghai-population/>.

Case Incident 1 You Are All Fired, but You Are Hired!

John Lewis, a leading retailer in the United Kingdom, launched the John Lewis Partnership scheme with the stated intent of promoting both action-taking (e.g., executive posts) and fact-finding (e.g., administrative and middle-management posts) on a partner level. It actively seeks to promote middle managers to executive positions due to their ability to identify issues and bring them to the surface. This approach goes against the argument which claims that conflicts are generated between action-taking and fact-finding responsibilities, risking team performance and company effectiveness. In reality, effectiveness depends on a combination of fact-finding and action-taking tasks that need to be well managed, well delegated, and well assigned. In a group setting, these tasks can be assigned to middle managers and executives accordingly, but not always. In addition, we need to factor in efficiency and consider the trade-off between effectiveness and efficiency in the light of group performance.

John Lewis has recognized the importance and the strengths of diversified group input on effectiveness and are thus promoting heterogeneity in organizational decision making. People differ not only by gender, culture, race, and social traits but also in their perspectives, prejudices, skills, and abilities. Thus, by promoting middle managers to executive positions—and thus utilizing their creativity and research skills—they are also increasing motivation, enthusiasm, and encouragement at work. At the same time, through its partnership scheme, John Lewis opens up diversified opportunities by engaging individual partners in fact-finding and act-taking initiatives and then sharing the profits. The vision is to lead to more widespread acceptance of solutions and an increased performance that promotes wellbeing and social impact. Firing and hiring should not be decisions solely driven by the final outcome but also based on the distribution, delegation, and the combination of fact-finding and action-taking skills and responsibilities within teams.

Questions ★

- 9-28. Can fact-finding and action-taking duties polarize the individual and thus the group's dynamics? If so, why?
 - 9-29. What are the weaknesses in group decision-making in the case of John Lewis?
 - 9-30. How could diversity assist with group performance based on fact-finding and action-taking duties?
-

Sources: John Lewis Partnership (2017), <https://www.johnlewispartnership.co.uk/>; Katie Shonk, "Conflict Management at the Office: How to Resolve Disputes," Harvard Law School, October 31, 2017, <https://www.pon.harvard.edu/uncategorized/conflict-management-at-the-office/>; Jermaine Haughton, "The Missing Link: How Middle Managers Are the Key to Business Success," CMI, October 28, 2016, <http://www.managers.org.uk/insights/news/2016/october/the-missing-link-how-middle-managers-are-the-key-to-business-success>.

Case Incident 2 Intragroup Trust and Survival

When 10 British Army soldiers on a 10-day training exercise descended into Low's Gully, a narrow chasm that cuts through Mt. Kinabalu in Borneo, each knew "the golden rule for such expeditions—never split up." Yet the fittest three struggled out of the jungle with concussions, malaria, and infected wounds 19 days later, two more terribly ill soldiers found a village the next day, and the remaining five emaciated and injured men were rescued from a cave by a helicopter on day 33. What happened?

On a surface level, the near-tragic fracturing of the group began with a logical division of labor, according to the training's initiators, Lieutenant Colonel Neill and Major Foster:

Because the group would be one of mixed abilities, and the young British and NCOs [non-commissioned officers] were likely to be fitter and more experienced than the Hong Kong soldiers, the team would work in two halves on the harder phases of the descent. The British, taking advantage of Mayfield's expertise (in rock climbing), would set up ropes on the difficult sections, while he [Neill] and Foster would concentrate on bringing the Hong Kong soldiers down. Every now and then the recce (reconnaissance) party would report back, and the expedition would go on down in one unit until another reconnaissance party became necessary.

The men reported that from then on, perilous climbing conditions, debilitating sickness, and monsoon rains permanently divided the group. A review board found differently, blaming Neill's and Foster's leadership and their decision to take some less-experienced soldiers on the exercise.

No rulings were made about the near-catastrophic decision to divide the group, but closer inquiries show that this temporary work group of diverse members who were not previously acquainted started out with a high level of intragroup trust that dissolved over time. The resulting faultlines, based on members' similarities and differences and the establishment of ad hoc leaders, may have been inevitable.

Initially, all group members shared the common ground of soldier training, clear roles, and volunteer commitment to the mission. When the leaders ignored the soldiers' concerns about the severity of conditions, lack of preparation, and low level of communication, however, trust issues divided the group into subgroups. The initial reconnaissance party established common ground and trust that allowed them to complete the mission and reach safety, even though they divided yet again. Meanwhile, the main group that stayed with the leaders in the

cave under conditions of active distrust fractured further.

We will never know whether it would have been better to keep the group together. However, we do know that this small group of soldiers trained to stay together for survival fractured into at least four subgroups because they didn't trust their leaders or their group, thus endangering all their lives.

Questions

- 9-31.** How was the common ground established by the reconnaissance subgroups different from the common ground established by the cave subgroups?
- 9-32.** Do you think the group should have fractured as it did? Why or why not?
- 9-33.** When the exercise was designed, Neill created a buddy system based on similarity of soldiers' backgrounds (rank, unit, age, fitness, skills level). The first group out of the jungle was assigned buddies and one other: two lance corporals and one corporal from the same unit (regular army), ages 24–26 with good fitness levels, all top roping and abseiling (TR&A) instructors. The second group out was assigned buddies: a sergeant and a lance corporal from the same unit (elite regular army), ages 25 and 37, good fitness levels, both with Commando Brigade skills. The group left in the cave split into: a lieutenant colonel and a major (buddies), one from the regular army and one from the part time territorial army, ages 46 and 54, fair fitness level, one TR&A and one ski instructor. The second faction was the three from the Hong Kong unit—a lance corporal and two privates, ages 24–32, fair to good fitness levels, one with jungle training and two novices. Would you have set up the buddy system Neill did? Why or why not, and if not, what would you have changed?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management

for the following assisted-graded writing assignments:

9-34. After reading Case Incident 1, what would you say are the managerial implications of fact finding and action taking for small and large groups?

9-35. After reading Case Incident 2, do you feel subgroups are good or bad? Why or why not? What might be the alternative?

9-36. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 Julia, Bree, and David work in different departments but often eat lunch together. They are an example of a(n) _____ group.

- ☐ formal
- ☐ informal
- ☐ command
- ☐ task

Check answer

Reset

2 Shehenna, Puja, and Miguel were all recently hired by Blair Industries as account representatives. During their orientation, these three discovered that they would not be receiving any paid vacation time for their first year of employment. Social identity theory tells us which of the following is likely to occur?

- ☐ The trio will quit.
- ☐ The trio will bond together closely.
- ☐ The trio will bond with others in the organization.
- ☐ The trio will turn on each other.

Check answer

Reset

3 Which of the following is not a reason why people join groups?

- ☐ to consume fewer hours in decision making
- ☐ to fulfill social needs for affiliation
- ☐ to feel stronger and have fewer self-doubts
- ☐ to achieve something that cannot be individually achieved

Check answer

Reset

4 When a group stands still or becomes locked into a fixed course of action, it is referred to as being in the period of _____.

- ☐ stagnancy
- ☐ inertia
- ☐ dormancy
- ☐ transition

Check answer

Reset

5 Zach is devout and very active in his church. He is also a very dedicated employee. His manager offers him a promotion but the new role will require him to work Sundays. Zach would like the promotion, but realizes that it would force him to miss some church activities. In such a situation, Zach is most likely to experience _____.

- ☐ role conflict
- ☐ emotional contagion
- ☐ cognitive dissonance
- ☐ emotional labor

Check answer

Reset

6 Rhoda is an executive assistant at a major medical center. Because she works directly with the head doctor, Rhoda feels that it is appropriate to counsel patients on their upcoming procedures. Marge, a recent graduate with a degree in Healthcare Administration, also works at the medical center and is responsible for new patients. Marge typically becomes irritated when Rhoda attempts to counsel new patients. Rhoda is struggling with her _____.

- ☐ role perception
- ☐ role expectation
- ☐ role norms
- ☐ social norms

Check answer

Reset

7 Which of the following terms refers to the process by which an individual's desire for acceptance by the group and the pressure by the group on individual members to match its standards results in a change in individual attitudes and behaviors?

- ☐ conformity
- ☐ coercion
- ☐ commitment
- ☐ convergence

Check answer

Reset

8 Which of the following statements is true regarding behavior in a group?

- Group norms do not press us toward conformity.
- A recent study suggests those working in a group were less likely to lie, cheat, and steal than individuals working alone.
- Conformity to social norms is higher in individualistic cultures as compared to that in collectivist cultures.
- Deviant workplace behavior is likely to flourish where it's supported by group norms.

Check answer

Reset

9 According to status characteristics theory, which of the following factors does not determine status?

- ☐ control over the resources needed by the group
- ☐ contribution to goals
- ☐ ability to conform to group norms
- ☐ personality

Check answer

Reset

10 Since group results cannot be attributed to any single person, the relationship between an individual's input and the group's output is clouded and this increases the possibility of _____.

- ☐ self-concordance
- ☐ emotional contagion
- ☐ negative offset
- ☐ social loafing

Check answer

Reset

11 Which of the following terms indicates the degree to which group members are attracted to one another and are motivated to stay in the group?

- cohesiveness
- integration

☐ sociability

☐ reliability

Check answer

Reset

12 Which of the following factors corresponds to deep-level diversity in groups?

- ☐ national origin, race, and gender
- ☐ roles, status, and power
- ☐ ability, intelligence, and personality
- ☐ underlying attitudes, values, and opinions

Check answer

Reset

13 In discussing a given set of alternatives and arriving at a solution, group members tend to exaggerate the initial positions they hold. This phenomenon is called _____.

- ☐ self-concordance
- ☐ groupshift
- ☐ satisficing
- ☐ emotional labor

Check answer

Reset

14 If you ever felt like speaking up in a meeting, a classroom, or an informal group but decided against it then the reason behind it could be _____.

- ☐ self-efficacy
- ☐ positivity offset
- ☐ groupthink
- ☐ self-concordance

Check answer

Reset

15 You are likely to select nominal group technique over brainstorming because

_____.

- nominal group technique involves a great deal of face-to-face interaction

- ☐ brainstorming encourages severe criticism to all ideas
- ☐ research generally shows nominal groups outperform brainstorming groups
- ☐ brainstorming decreases group cohesiveness

Check answer

Reset



Source: Radio Immaginaria

Learning Objectives

After studying this chapter, you should be able to:

- 10-1** Analyze the continued popularity of teams in organizations.
- 10-2** Contrast groups and teams.
- 10-3** Contrast the five types of team arrangements.
- 10-4** Identify the characteristics of effective teams.
- 10-5** Explain how organizations can create team players.

10-6 Decide when to use individuals instead of teams.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethic Dilemma
Critical Thinking	✓			✓	✓	✓
Communication			✓		✓	
Collaboration		✓	✓	✓	✓	✓
Knowledge Application and Analysis	✓			✓	✓	✓
Social Responsibility		✓	✓			✓

Radioimmaginaria: A Radio for Teenagers Managed by Teenagers

The Internet has opened up interesting opportunities in the media industry. With inexpensive equipment, anyone can create their own radio station or video channel on YouTube. In 2012, a group of seven teenagers did just that. In Castel Guelfo, a little city located 30 miles away from Bologna, Italy, they decided to create their own Internet radio station. Named RadioImmaginaria, it is the first and only teen radio in Italy and all of Europe.

The idea was simple: create a radio for teenagers that is completely managed by teenagers,

with no adults around. Self-managed teams are not a novelty in Emilia Romagna; many centuries ago, in 1088, the University of Bologna, the oldest university in the world in continuous operation, was created with the same formula—a university for students that is created and managed by the same students.

RadioImmaginaria is following in the university's footsteps, with more than 13,020 teenagers between 11 and 17 years old who contribute to the broadcasting program in five languages (Italian, English, French, Albanian, and Spanish) from 40 European cities. The founders are guided by Michele Ferrari, the artistic director of RadioImmaginaria (adults help with administrative tasks and with artistic direction), who guided the teens as they approached the basic functioning of a radio station and encouraged them to bring their passions and interests to the broadcasts. His goal was to encourage teens with a passion for music but also to help them pursue many significant goals; promote integration between European teenagers; increase the social, artistic, and managerial competence of teenagers; and foster an intergenerational dialogue. Regarding this last point, the “spikki” (the radio's host) frequently interviews adults on social, economic, and political issues to make their voices heard and enhance teenagers' understanding of these important issues. For example, in a broadcast on November 1, 2017, a spikki interviewed the Italian Ministry of Education, who commented on the problem of fake news on the web and offered recommendations to teenagers on how to unravel the complexity of the web and protect themselves from fake information.

The radio is organized as follows: teenagers from different educational and social backgrounds meet each week for a newsroom meeting that lasts 2 hours on average. Meetings start with a lively conversation for 10–15 minutes about what happened during the week. The team then begins to work on the planning of the broadcasting and the sequence of talks and songs to play and topics to discuss, none of which are never pre-established or imposed on them by others. All decisions are made before the broadcasts based on their preferences, life experiences, and interests during that particular week. Then, based on their skills or passions, each team member is assigned a specific role: those who work on the technical tasks necessary to go on air, those who select the songs to be played, and those who work on the revision and enhancement of the text and schedule of speeches and scripts. The talk is then recorded or broadcasted live.

The experience of participating in a self-managed team is invaluable as teenagers accelerate their transition from youth to early adulthood. They learn how to be active

members of their team, the benefits of division of labor, the value of collaboration, and responsibility for their tasks. Self-managed teams have been a major success for RadioImmaginaria as well; at the moment of writing, the radio includes 34 newsrooms in Italy and 6 in Europe with different broadcasting formats, including weekly episodes of about 30 minutes and short daily talks of three-and-a-half minutes.

One of the secrets to the success of the radio station is its capacity to be inclusive of all its members, valuing each teen's diverse experience, passions, and talents. The underlying goal of this project is to make teenagers more aware of their talents and to prepare them to work as positive team members and conscious citizens capable of working closely and effectively with people from different cultures and backgrounds.

Sources: Radioimmaginaria, www.radioimmaginaria.it/en/radio/; M. Bergami, "Una radio di ragazzi per comprendere i post-Millennial," *IlSole24Ore*, August 5, 2017, <http://www.ilsole24ore.com/art/impresa-e-territori/2017-08-05/ascoltare-radioimmaginaria-capire-post-millennials-152443.shtml?uuid=AE219O9B>; University of Bologna, "Our History," <http://www.unibo.it/en/university/who-we-are/our-history>. The author would like to thank Michele Ferrari, Artistic Director, and Alan Borsari, Director of Production, RadioImmaginaria, for their help in writing this case.

Are cross-functional teams the best, as this story suggests? There are many different ways to build a successful team. In this chapter, we will consider different types of teams and how a team's composition, context, and team processes lead to success or failure.

MyLab Management Chapter Warm Up

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

Why Have Teams Become So Popular?

10-1 Analyze the continued popularity of teams in organizations.

Why are teams popular? In short, because we believe they are effective. “A team of people happily committed to the project and to one another will outperform a brilliant individual every time,” writes *Forbes* publisher Rich Karlgaard.¹ In some ways, he’s right. Teams can sometimes achieve feats an individual could never accomplish.² Teams are more flexible and responsive to changing events than traditional departments or other forms of permanent groupings. They can quickly assemble, deploy, refocus, and disband. They are an effective means to democratize organizations and increase employee involvement. And research indicates that our involvement in teams positively shapes the way we think as individuals, introducing a collaborative mindset about even our personal decision making.³

The fact that organizations have embraced teamwork doesn’t necessarily mean teams are always effective. Team members, as humans, can be swayed by fads and herd mentality that can lead them astray from the best decisions. What conditions affect their potential? How do members work together? Do we even like teams? Maybe not, according to the OB Poll. To answer these questions, let’s first distinguish between groups and teams.

Differences Between Groups and Teams

10-2 Contrast groups and teams.

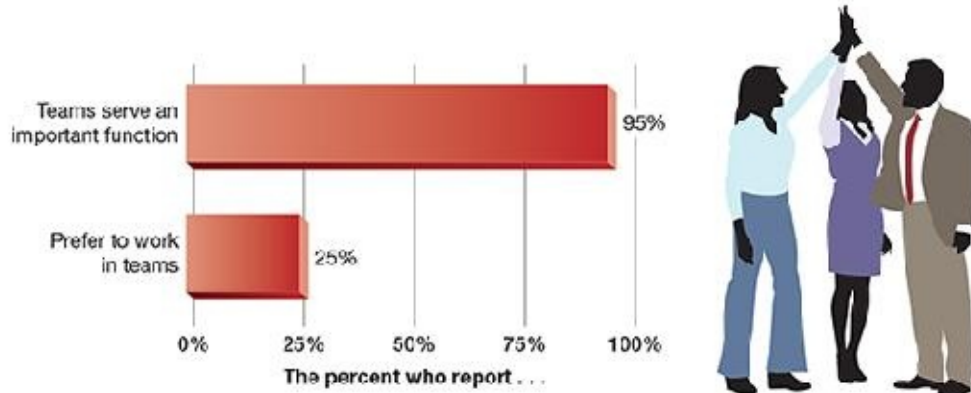
Groups and teams are not the same thing. In Chapter 9, we defined a *group* as two or more individuals, interacting and interdependent, who work together to achieve particular objectives. A **work group** ⓘ is a group that interacts primarily to share information, make decisions, and help each group member perform within his or her area of responsibility.

Work groups have no need or opportunity to engage in collective work with joint effort, so the group's performance is merely the summation of each member's individual contribution. There is no positive synergy that would create an overall level of performance greater than the sum of the inputs. A work group is a collection of individuals doing their work, albeit with interaction and/or dependency.

A **work team** ⓘ, on the other hand, generates positive synergy through coordination. The individual efforts result in a level of performance greater than the sum of the individual inputs.

In both work groups and work teams, there are often behavioral expectations of members, collective normalization efforts, active group dynamics, and some level of decision making (even if just informally about the scope of membership). Both may generate ideas, pool resources, or coordinate logistics such as work schedules; for the work group, however, this effort is limited to information gathering for decision makers outside the group.

Whereas we can think of a work team as a subset of a work group, the team is constructed to be purposeful (symbiotic) in its member interaction. The distinction between a work group and a work team should be kept even when the terms are mentioned interchangeably in different contexts. Exhibit 10-1 highlights the differences between them.

OB POLL**Is Teamwork a Good Thing?**

Source: Based on “University of Phoenix Survey Reveals Nearly Seven in Ten Workers Have Been Part of Dysfunctional Teams,” downloaded on June 9, 2013, from www.prnewswire.com.

The definitions help clarify why organizations structure work processes by teams. Management is looking for positive synergy that will create increased performance. The extensive use of teams creates the *potential* for an organization to generate greater outputs with no increase in employee head count. Notice, however, that we said *potential*. There is nothing magical that ensures the achievement of positive synergy in the creation of teams. Merely calling a *group* a *team* doesn’t automatically improve its performance. As we show later, effective teams have certain common characteristics. If management hopes to gain increases in organizational performance through the use of teams, their teams must possess these characteristics.

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Exhibit 10-1 Comparing Work Groups and Work Teams

Work Groups



Share information

Neutral (sometimes negative)

Individual

Random and varied

Work Teams



Collective performance

Positive

Individual and mutual

Complementary

Goal

Synergy

Accountability

Skills

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

10.2.1 Which of the following statements is true regarding a work team?

- ☐ Today, work teams are rarely used in organizations.
- ☐ Work teams are less flexible than traditional departments.
- ☐ Work teams generate positive synergy through coordinated effort.
- ☐ Work teams are less responsive to changing events than are traditional departments.

Check answer

Reset

10.2.2 Teams differ from groups because _____.

- teams have no limits on the number of members, while groups have a restricted membership
- members of teams work independently of each other, while those in groups show greater dependence on each other
- members of teams work toward individual goals that may or may not be

related, while groups have a common goal

- ☐ members of teams have a specific task-related purpose, while groups do not

Check answer

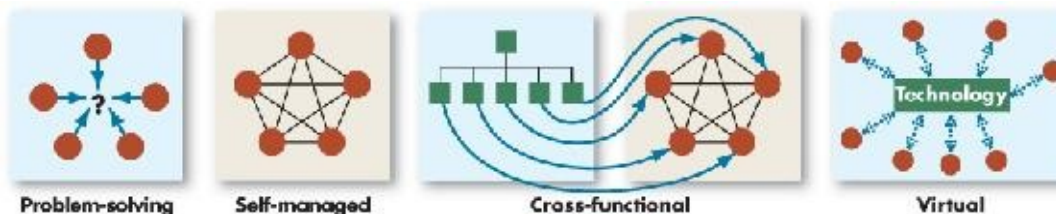
Reset

Types of Teams

10-3 Contrast the five types of team arrangements.

Teams can make products, provide services, negotiate deals, coordinate projects, offer advice, and make decisions.⁴ In this section, we first describe four common types of teams in organizations: *problem-solving teams*, *self-managed work teams*, *cross-functional teams*, and *virtual teams* (see Exhibit 10-2). Then we will discuss *multiteam systems*, which utilize a “team of teams” and are becoming increasingly widespread as work increases in complexity.

Exhibit 10-2 Four Types of Teams



Problem-Solving Teams

Quality-control teams have been in use for many years. Originally seen most often in manufacturing plants, these were permanent teams that generally met at a regular time, sometimes weekly or daily, to address quality standards and any problems with the products made. Also, the medical field in particular has recently implemented quality teams to improve their services in patient care. **Problem-solving teams** ⓘ like these rarely have the authority to implement their suggestions unilaterally, but if their recommendations are paired with implementation processes, some significant improvements can be realized.

Self-Managed Work Teams

As we discussed, problem-solving teams only make recommendations. Some organizations have gone further and created teams that also implement solutions and take responsibility for outcomes.

Self-managed work teams ⓘ are groups of employees (typically 10 to 15 in number) who perform highly related or interdependent jobs; these teams take on some supervisory responsibilities.⁵ The responsibilities usually include planning and scheduling work, assigning tasks to members, making operating decisions, taking action on problems, and working with suppliers and customers. Fully self-managed work teams even select their own members who evaluate each other's performance. When these teams are established, former supervisory positions take on decreased importance and are sometimes eliminated.

Research results on the effectiveness of self-managed work teams have not been uniformly positive. Some research indicates that self-managed teams may be more or less effective based on the degree to which team-promoting behaviors are rewarded. For example, one study of 45 self-managing teams found that when team members perceived that economic rewards such as pay depended on input from their teammates, performance improved for both individuals and the team as a whole.⁶

A second area of research focus has been the impact of conflict on self-managed work team effectiveness. Some research indicates that self-managed teams are not effective when there is conflict. When disputes arise, members often stop cooperating and power struggles ensue, which lead to lower group performance and learning, though this may depend on the structure of roles within the team.⁷ However, other research indicates that when members feel confident that they can speak up without being embarrassed, rejected, or punished by other team members—in other words, when they feel psychologically safe—conflict can be beneficial and boost team performance.⁸



Research has also explored the effect of self-managed work teams on member behavior. Here again the findings are mixed. Although individuals on teams report higher levels of job satisfaction than other individuals, studies indicate they sometimes have higher absenteeism and turnover rates. One large-scale study of labor productivity in British establishments found that, although using teams improved individual (and overall) labor productivity, no evidence supported the claim that self-managed teams performed better than traditional teams with less decision-making authority.⁹ On the whole, it appears that, for self-managing teams to be advantageous, a number of facilitating factors must be in place.

Cross-Functional Teams

Starbucks created a team of individuals from production, global public relations (PR), global

communications, and U.S. marketing to develop the Via brand of instant coffee. The team's suggestions resulted in a product that would be cost-effective to produce and distribute and that was marketed with a tightly integrated, multifaceted strategy.¹⁰ This example illustrates the use of **cross-functional teams** ⓘ, made up of employees from about the same hierarchical level but different work areas who come together to accomplish a task.

Cross-functional teams are an effective means of allowing people from diverse areas within or even between organizations to exchange information, develop new ideas, solve problems, and coordinate complex projects. Due to the high need for coordination, however, cross-functional teams are not simple to manage. First, it makes sense for power shifts to occur when different expertise is needed because the members are at roughly the same level in the organization, which creates leadership ambiguity. A climate of trust thus needs to be developed before shifts can happen without undue conflict.¹¹ Second, the early stages of development are often long because members need to learn to work with higher levels of diversity and complexity. Third, it takes time to build trust and teamwork, especially among people with different experiences and perspectives.

Organizations have used horizontal, boundary-spanning teams for decades, and we would be hard-pressed to find a large organization or product launch that did not use them. Major automobile manufacturers—Toyota, Honda, Nissan, BMW, GM, Ford, and Chrysler—currently use this form of team to coordinate complex projects, as do other industries. For example, Cisco relies on specific cross-functional teams to identify and capitalize on new trends in several areas of the software market. Its teams are the equivalent of social-networking groups that collaborate in real time to identify new business opportunities in the field and then implement them from the bottom up.¹²

In sum, the strength of traditional cross-functional teams is the collaborative effort of individuals with diverse skills from a variety of disciplines. When the unique perspectives of these members are considered, these teams can be very effective.

Virtual Teams

The teams described in the preceding section do their work face-to-face, whereas **virtual teams** ⓘ use computer technology to unite physically dispersed members and achieve a common goal.¹³ They collaborate online—using communication links such as wide-area networks, corporate social media, videoconferencing, and e-mail—whether members are

nearby or continents apart. Nearly all teams do at least some of their work remotely.



Harley-Davidson Motor Company uses cross-functional teams at all levels of its organization in creating new products, such as its first electric motorcycle, shown here. From product conception to launch, cross-functional teams include Harley employees from product planning, engineering, design, marketing, manufacturing, and purchasing.

Source: Lucas Jackson/Reuters/Alamy Stock Photo

Virtual teams should be managed differently than face-to-face teams in an office, partially because virtual team members may not interact along traditional hierarchical patterns. Because of the complexity of interactions, research indicates that shared leadership of virtual teams may significantly enhance team performance, although the concept is still in development.¹⁴ For virtual teams to be effective, management should ensure that (1) trust is established among members (one inflammatory remark in an e-mail can severely undermine team trust), (2) progress is monitored closely (so the team doesn't lose sight of its goals and no team member "disappears"), and (3) the efforts and products of the team are publicized throughout the organization (so the team does not become invisible).¹⁵ Managers should also carefully select who will be a member of a virtual team because working on a virtual team may require different competencies.¹⁶

It would be a mistake to think virtual teams are an easy substitute for face-to-face teams. While the geographical reach and immediacy of online communication make virtual teams a

natural development, managers must make certain this type of team is the optimal choice for the desired outcome and then maintain an oversight role throughout the collaboration.

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Multiteam Systems

The types of teams we've described so far are typically smaller, stand-alone teams, although their activities relate to the broader objectives of the organization. As tasks become more complex, teams often grow in size. Increases in team size are accompanied by higher coordination demands, creating a tipping point at which the addition of another member does more harm than good. To solve this problem, organizations use **multiteam systems** ⓘ, collections of two or more interdependent teams that share a superordinate goal. In other words, multiteam systems are a “team of teams.”¹⁷

To picture a multiteam system, imagine the coordination of response needed after a major car accident. There is the emergency medical services team, which responds first and transports the injured to the hospital. An emergency room team then takes over, providing medical care, followed by a recovery team. Although the emergency services team, emergency room team, and recovery team are technically independent, their activities are interdependent, and the success of one depends on the success of the others. Why? Because they all share the higher goal of saving lives.

An Ethical Choice

The Size of Your Meeting's Carbon Footprint

Despite being in different countries or even on different continents, many teams in geographically dispersed locations communicate without regularly meeting face-to-face, and their members may never meet each other in person. Although the merits of

face-to-face versus electronic communication have been debated, there may be a strong *ethical* argument for virtual teams.

Keeping team members where they are, as opposed to having them travel every time they need to meet, may be in line with corporate social responsibility (CSR) initiatives. A very large proportion of airline, rail, and car transport is for business purposes and contributes greatly to global carbon dioxide emissions. When teams are able to meet virtually rather than face-to-face, they dramatically reduce their carbon footprint.

In a globally connected world, how might you minimize your organization's environmental impact from business travel? Several tips might get you started thinking about ways that virtual teams can be harnessed for greater sustainability:

1. Encourage all team members to think about whether a face-to-face meeting is really necessary. Try to utilize alternative communication methods whenever possible.
2. Communicate as much as possible through virtual means. This includes e-mail, telephone calls, and videoconferencing.
3. When traveling to team meetings, choose the most environmentally responsible travel methods possible. Also, check the environmental profile of hotels before booking rooms.
4. If the environmental savings are not enough motivation to reduce travel, consider the financial savings. According to one survey, businesses spend about 8 to 12 percent of their entire budget on travel. Communicating electronically can therefore result in two benefits: (1) it's cheaper and (2) it's good for the environment.

Sources: Based on P. Tilstone, "Cut Carbon ... and Bills," *Director*, May 2009, 54; L. C. Latimer, "6 Strategies for Sustainable Business Travel," *Greenbiz*, February 11, 2011, www.greenbiz.com; and F. Gebhart, "Travel Takes a Big Bite out of Corporate Expenses," *Travel Market Report*, May 30, 2013, downloaded June 9, 2013, from www.travelmarketreport.com.

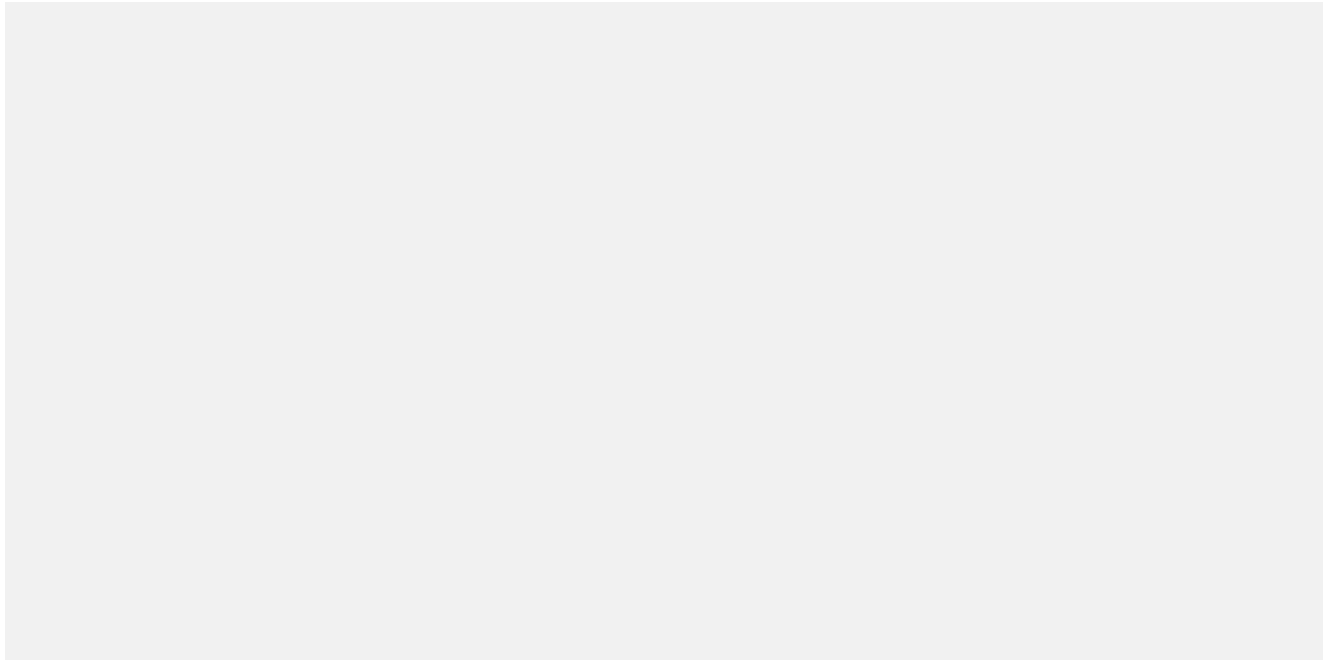
Some factors that make smaller, more traditional teams effective do not necessarily apply to multiteam systems and can even hinder their performance. One study showed that multiteam systems performed better when they had "boundary spanners" whose jobs were to coordinate with members of the other subteams. This reduced the need for some team member communication, which was helpful because it reduced coordination demands.¹⁸

Leadership of multiteam systems is also much different than for stand-alone teams. While leadership of all teams affects team performance, a multiteam leader must both facilitate coordination between teams and lead each team. Research indicated teams that received more attention and engagement from the organization's leaders felt more empowered, which made them more effective as they sought to solve their own problems.¹⁹ Multiteam systems may have higher performance when planning is decentralized, but they may also have more problems with coordination.²⁰

In general, a multiteam system is the best choice either when a team has become too large to be effective or when teams with distinct functions need to be highly coordinated.

Teams Role Play

Watch it video.



A **transcript** of this video is available [here](#).

Transcript

Teams Role Play

>> [Music]

>> Yeah. I'm pretty sure I'm not going

>> to give this e-mail my Social Security number

>> and bank account.

>> Well, Princess in peril or Ambassador to imaginary country?

>> Oh, better, Chief of Police of --

>> I don't know where, needs my help.

>> It says I'll make \$15 million in the deal.

>> Well, maybe we can use that money to buy some real shoes.

>> Very cute.

>> Hey.

>> You're a sweetheart.

>> I know it.

>> What are all these e-mails between you and the cameraman?

>> And why is he forwarding them to me?

>> We were just working it out.

>> I can't handle any drama right now.

>> No. We're cool.

>> Good. Now I'd like to run the segment

>> on the Urban Design Project that Green Life is working on.

>> I've heard the wheels are sort of falling off,

>> money flying out the window.

>> I'll call Craig and ask if he's got it ready.

>> I think that's the one where one

>> of the employees hid his pocket camera in the ceiling.

>> Right.

>> [Music]

>> All right, guys.

>> So first on the staff meeting, let's go through the list

>> of projects, and of course,

>> we'll start with the red ones first.

>> So the first one up is urban design,

>> our high-profile project.

>> Yes.

>> And unfortunately, at this moment, it is over budget.

>> Even though it's still in the planning stage,

>> we're going to try to get

>> that overcharge assessed back to them.

>> Okay.

>> Can I just ask you a question?

>> Yeah.

>> I just noticed this

>> on the last couple of e-mails on this --

>> Yeah.

>> -- particular project that Heather,

>> as in Senior VP Heather, --

>> Yeah.

>> -- is in the e-mail --

>> Yeah.

>> -- too.

>> So she had asked about the project, and as you guys know,

>> I've brainstormed with her in the past,

>> and I just thought she would be a really good resource

>> for something like this, and so I put her into the loop.

>> She -- because she was asking about it, and I thought

>> that she could help resolve some of the issues

>> because it was so complex.

>> Wait. So she asked you for the details of it?

>> I just, you know, we were just chatting about it.

>> So then she said, well,

>> just send me some stuff, whatever you've got.

>> So I put her into some of the e-mail.

>> Okay.

>> Yeah.

>> See, the thing that I worry about is

>> that she just has bits and pieces.

>> She's got the fragments of, you know, what you're --

>> Right.

>> -- sending her.

>> Right.

>> She's not seeing the big picture.

>> And I think it's great that you're brainstorming with her.

>> And she's certainly --

>> she's terrific, that's why she's a Senior VP.

>> But if she's going to weigh in on this,

>> I think she should weigh in on it with all the facts.

>> I think that would make the brainstorming

>> that much more effective.

>> So if she asks you for anything in the future,

>> just see if we can't talk together before --

>> Right.

>> -- we go back to her with, with stuff.

>> Yeah. Because I didn't know

>> that you were sharing this with her.

>> And I know that you and Heather have a mentoring relationship --

>> Yeah. Yeah.

>> -- which is good.

>> But it can look like the rest of the team is getting shut out.

>> Yeah. Well, I --

>> They're not [Speaking simultaneously].

>> I was reading that when he was saying --

>> You know, when I brainstormed with her in the past,

>> and you guys know about this, so I'm saying it's helped.

>> Oh, yeah.

>> [Speaking Simultaneously]

>> But you're saying that she's --

>> because she's getting little pieces of it

>> and perhaps it's alienating the rest of the team,

>> and I totally get that, I mean, I would --

>> I think it would actually be beneficial if we all did sit

>> down together, especially, because it's

>> where it's at, you know what I mean.

>> Right.

>> Yeah.

>> So maybe the thing to do would be --

>> when she asks you for information, just go ahead

>> and set up a quick debrief with the team.

>> Okay.

>> And tell her that you'd be glad to share that.

>> You want the rest of your team members there

>> so she gets the complete picture.

>> I mean, it's unusual in this case

>> because you guys have a relationship --

>> Yeah.

>> -- even if she knows the details of the project.

>> Yeah.

>> So I get it.

>> So that -- maybe the normal hierarchy wouldn't pertain.

>> So it's just -- let's just make sure that --

>> Everybody's in the --

>> -- everybody's in the loop --

>> Yeah.

>> -- and she's fully informed.

>> Okay.

>> So let's see.

>> So is there anything else on urban design?

>> We've got a problem with numbers too.

>> So what do you mean, Joe?

>> Numbers?

>> This overrun, the client induced overrun.

>> Exactly.

>> We talked to them about that.

>> Yeah. And it's something that we're going to have to fix.

>> It's going to cost some money.

>> It was, it's clearly their fault and they have admitted it.

>> Do we have a number yet?

>> Well, that's the problem.

>> You sort of gave them a number.

>> Well, okay, so that was when you were out of town.

>> They were going into a meeting and they needed a number.

>> And I said, well, I can, you know, I don't know.

>> And he goes, we can ballpark it.

>> I just had to keep it going.

>> I just didn't want them to get so freaked

>> out that we were pulled from the project.

>> And so I said, you know, I can ballpark this, you know,

>> don't quote me on this, and --

>> Okay. You said, don't quote me, but they'll quote you.

>> Okay. If you let a number out,

>> and you can put all the qualifiers

>> around it that you want.

>> Right.

>> It's ballpark.

>> Don't hold me to this.

>> Say anything you want.

>> You give them a number, they're going to lock into that number.

>> So what number do you give them?

>> 50,000.

>> You gave them 50?

>> I said, it's, you know, it could be more;

>> it could be less, 50,000.

>> Okay. Whenever you get under pressure like that --

>> Yeah.

>> -- alert me as soon as possible.

>> Okay. Yes.

>> I mean, you know --

>> Yeah.

>> You do the thing that's in the highest good of --

>> Yeah.

>> -- of the company at the time,

>> and I appreciate the position you were in.

>> Maybe you could qualify for -- this is a tentative ballpark.

>> [Laughter]

>> Joe, they know us.

>> We've worked with them so long.

>> Yeah.

>> So I think -- I think they --

>> Yeah. If you can just say I'll give you this number now

>> but I'm going to get back to you within, you know, 10 minutes,

>> 15 minutes, by the end of the day with --

>> Right.

>> -- with something more solid.

>> We need to go back to them with a firm figure.

>> Yeah.

>> Okay.

>> As quickly as possible.

>> All right.

>> So if you can work with Joe --

>> Yeah.

>> -- to get those numbers.

>> We can get that knocked out this afternoon.

>> Set up the conference call.

>> Make sure the whole team is on it.

>> All right, guys, we've got the Green Thumb call in five.

>> Okay.

>> Okay.

>> Thank you.

>> Andy, can you forward me the copy for tomorrow's lead story?

>> Oh. Yeah.

>> Sure. Sending now.

>> Oh, and Taylor, I'm sorry I overreacted about all

>> of the forwarded e-mails earlier.

>> Yeah. Whatever.

>> I'm over it.

>> At least we have that trust thing.

>> Yeah. Seriously.

>> What was up with Joe?

>> She was on Courtney for, like, every move she made.

>> I know.

>> Do you want to hear what Mary had to say about it?

>> Yeah. Yeah.

>> In general, with teams, you have different personalities.

>> You have different working styles.

>> And you have different skill levels.

>> It's really important to know when you have a team,

>> what each individual's different style is

>> and what their gifts are.

>> Because if you can help the others to see what is special

>> about each individual, it makes it easier to overlook some

>> of the personality quirks.

>> I think what makes teams work really well is a strong sense

>> of trust, a strong bias towards collaboration,

>> and just fundamental social skills.

>> Just because they're at work doesn't mean

>> that you would treat them with any less respect or kindness

>> than you would a friend.

>> Courtney grew up in an age where you share everything online;

>> what you had for dinner, where you're going.

>> So already there's a proclivity to being overly open.

>> And then she doesn't know the ways of the corporation.

>> And it's like visiting a strange land, you know,

>> you might think you're going to share information; you're going

>> to be open; you're going to be collegial and collaborative

>> and that works to a point; but there are political realities

>> in a corporation that you just have to be conscious of.

>> With respect to trust, this particular team is on the road.

>> They haven't worked on that many projects together.

>> And so what the experienced manager has been seeing has been

>> beginners mistakes.

>> And the fact that she's getting so much attention, then,

>> it makes him respond more forcefully because he's fearful.

>> It's like she's getting all this attention.

>> She's the rising star.

>> She doesn't even know what to tell people

>> and what not to tell people.

>> She has no clue.

>> So he's perceiving that she is completely lacking in skill,

>> you know, it's the all or nothing, when she just needs

>> to learn the ways of this corporation.

>> I think once they understand how they can help one another,

>> it will go a long ways towards building more trust on the team

>> and having a better team experience.

>> Well, readers, as you may have noticed,

>> our little online magazine has been getting better,

>> thanks to our excellent staff.

>> Our most recent episode

>> on teamwork was particularly enlightening,

>> considering the wide range

>> of personalities and skill sets here.

>> That variety is what makes us who we are.

>> Signing off.

>> [Pause]

>> Chris.

>> [Music]

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

10.3.1 A team consists of employees from the same department who meet for a few hours each week to discuss ways of improving the work environment but they do not have the authority to unilaterally implement any of their suggestions. This is most likely to be a _____ team.

- ☐ cross-functional
- ☐ virtual
- ☐ self-managed
- ☐ problem-solving

Check answer

Reset

10.3.2 Your company has recently landed a contract to design and manufacture a new state-of-the-art electronic device for the military. This will be a very complex project, requiring many different types of skills. Which of the following types of teams is most suited for the project?

- ☐ problem-solving
- ☐ self-managed
- ☐ cross-functional
- ☐ virtual

Check answer

Reset

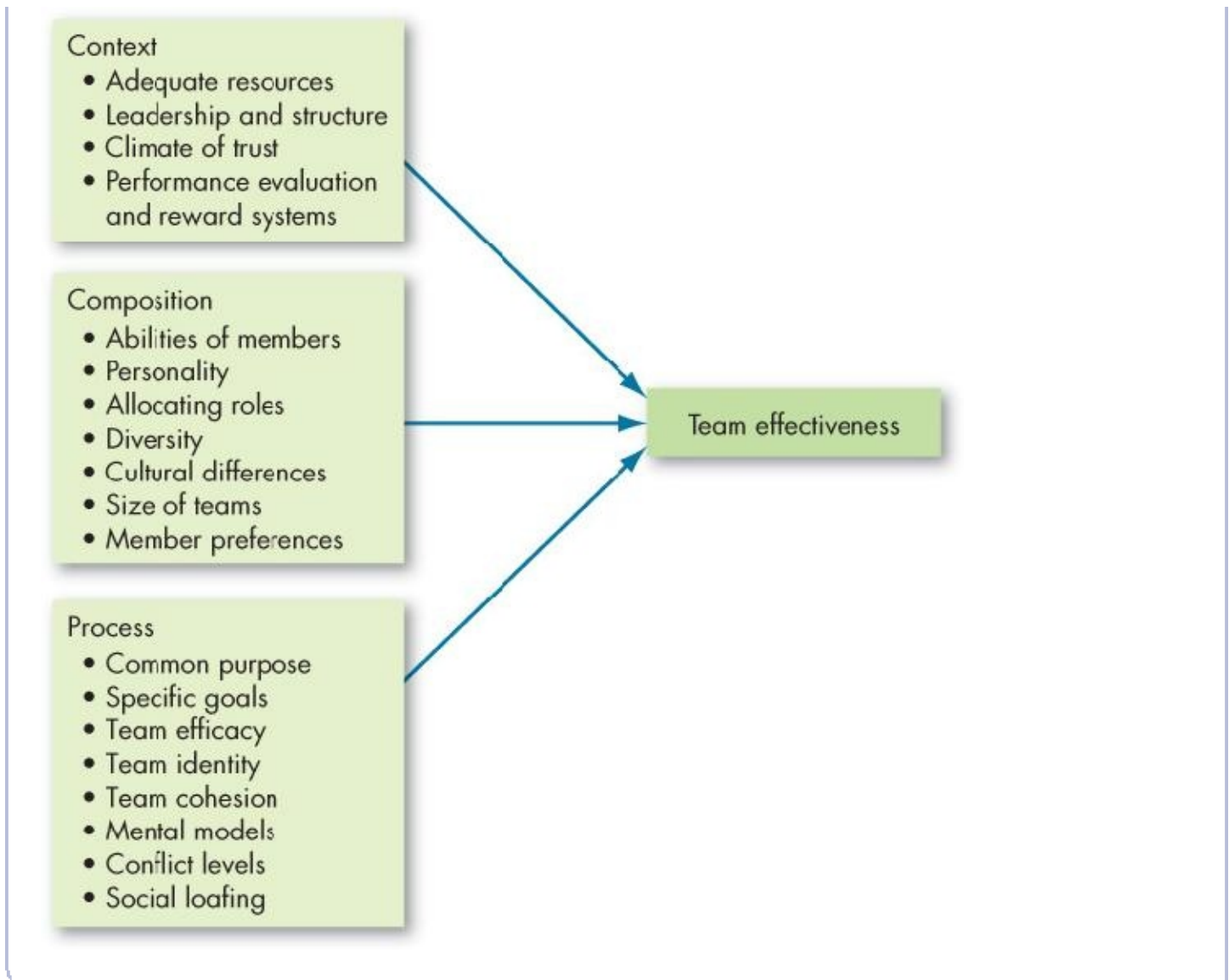
Creating Effective Teams

10-4 Identify the characteristics of effective teams.

Teams are often created deliberately but sometimes evolve organically. Take the rise of team “hives” over the past 5 years for an organic example. Freelancing is typically the solo work of people who are highly specialized in their fields and can provide expertise to organizations on a short-term basis. The difficulty is for the freelancers to market themselves effectively to organizations, and for organizations to find freelancers who fit their needs. To bridge this gap, freelancers form teams with other freelancers from complementary specialties to present a cohesive working unit—a hive—to clients. This team-based approach has proven very successful.²¹

Many people have tried to identify factors related to team effectiveness. To help, some studies have organized what was once a large list of characteristics into a relatively focused model.²² Exhibit 10-3 summarizes what we currently know about what makes teams effective. As you’ll see, it builds on many of the group concepts introduced in Chapter 9.

Exhibit 10-3 Team Effectiveness Model



In considering the team effectiveness model, keep in mind two points. First, teams differ in form and structure. The model attempts to generalize across all varieties of teams but avoids rigidly applying its predictions to all teams.²³ Use it as a guide. Second, the model assumes that teamwork is preferable to individual work. Creating “effective” teams when individuals can do the job better is like perfectly solving the wrong problem. Third, let’s consider what *team effectiveness* means in this model. Typically, team effectiveness includes objective measures of the team’s productivity, managers’ ratings of the team’s performance, and aggregate measures of member satisfaction.

We can organize the key components of effective teams into three general categories. First are the resources and other *contextual* influences that make teams effective. The second relates to the team’s *composition*. Finally, *process* variables are events within the team that influence effectiveness. We will explore each of these components next.

Team Context: What Factors Determine Whether Teams Are Successful?

The four contextual factors most significantly related to team performance are adequate resources, effective leadership, a climate of trust, and a performance evaluation and reward system that reflects team contributions.

Adequate Resources Teams are part of a larger organization system; every work team relies on resources outside the group to sustain it. A scarcity of resources directly reduces the ability of a team to perform its job effectively and achieve its goals. As one study concluded after looking at 13 factors related to group performance, “perhaps one of the most important characteristics of an effective work group is the support the group receives from the organization.”²⁴ This support includes timely information, proper equipment, adequate staffing, encouragement, and administrative assistance. Racially diverse teams are less likely to be provided with the resources necessary for team performance.²⁵

Leadership and Structure Teams can’t function if they can’t agree on who is to do what and ensure all members share the workload. Agreeing on the specifics of work and how they fit together to integrate individual skills requires leadership and structure, either from management or from team members themselves. In self-managed teams, members absorb many of the duties typically assumed by managers. A manager’s job then becomes managing *outside* (rather than inside) the team. Leader personality, engagement, and leadership style all have an impact on team effectiveness.²⁶

As we mentioned before, leadership is especially important in multiteam systems. Here, leaders need to delegate responsibility to teams and play the role of facilitator, making sure the teams work together rather than against one another.²⁷

Climate of Trust Trust is the foundation of leadership; it allows a team to accept and commit to the leader’s goals and decisions. Members of effective teams exhibit trust in their leaders.²⁸ They also trust each other. Interpersonal trust among team members facilitates cooperation, reduces the need to monitor each other’s behavior, and bonds individuals through the belief that members won’t take advantage of them. Members are more likely to take risks and expose vulnerabilities when they can trust others on their team. The overall level of trust in a team is important, but the way trust is dispersed among team members also

matters. Trust levels that are asymmetric and imbalanced between team members can mitigate the performance advantages of a high overall level of trust—in such cases, coalitions form that often undermine the team as a whole.²⁹



Trust is a perception that can be vulnerable to shifting conditions in a team environment. Also, trust is not unequivocally desirable. For instance, recent research in Singapore found that, in high-trust teams, individuals are less likely to claim and defend personal ownership of their ideas, but individuals who do still claim personal ownership are rated as lower contributors *by team members*.³⁰ This “punishment” by the team may reflect resentments that create negative relationships, increased conflicts, and reduced performance.

Performance Evaluation and Reward System Individual performance evaluations and incentives may interfere with the development of high-performance teams. Thus, in addition to evaluating and rewarding employees for their individual contributions, management should utilize hybrid performance systems that incorporate an individual member component to recognize individual contributions and a group reward to recognize positive team outcomes.³¹ Group-based appraisals, profit sharing, small-group incentives, and other system modifications can reinforce team effort and commitment.

Team Composition

Maria Contreras-Sweet, former head of the U.S. Small Business Administration, said, “When I’m building a team, I’m looking for people who are resourceful. I need people who are flexible, and I really need people who are discreet.... Discreetness also speaks to integrity.”³² These are good qualities, but they are not all that we should consider when staffing teams. The team composition category includes variables that relate to how teams should be staffed: the abilities and personalities of team members, allocation of roles, diversity, cultural differences, size of the team, and members’ preferences for teamwork. As you can expect, opinions vary widely about the type of members leaders want on their teams, and some evidence suggests that compositions may be more important at different stages of team development.

Abilities of Members It’s true we occasionally read about an athletic team of mediocre players who, because of excellent coaching, determination, and precision teamwork, beat a

far more talented group. But such cases make the news precisely because they are unusual. A team's performance depends in part on the knowledge, skills, and abilities of individual members.³³ Abilities set limits on what members can do and how effectively they will perform on a team.

Research reveals insights into team composition and performance. First, when solving a complex problem such as reengineering an assembly line, high-ability teams—composed of mostly intelligent members—do better than lower-ability teams. High-ability teams are also more adaptable to changing situations; they can apply existing knowledge more effectively to new problems.

Finally, the ability of the team's leader matters. Smart team leaders help less intelligent team members when they struggle with a task. A less intelligent leader can, conversely, neutralize the effect of a high-ability team.³⁴

Personality of Members We demonstrated in Chapter 5 that personality significantly influences individual behavior. Some dimensions identified in the Big Five personality model are particularly relevant to team effectiveness.³⁵ Conscientiousness is especially important to teams. Conscientious people are good at backing up other team members and sensing when their support is truly needed. Conscientious teams also have other advantages—one study found that behavioral tendencies such as organization, achievement orientation, and endurance were all related to higher levels of team performance.³⁶

Team composition can be based on individual personalities to good effect. Suppose an organization needs to create 20 teams of 4 people each and has 40 highly conscientious people and 40 who score low on conscientiousness. Would the organization be better off (1) forming 10 teams of highly conscientious people and 10 teams of members low on conscientiousness, or (2) “seeding” each team with 2 people who scored high and 2 who scored low on conscientiousness? Perhaps surprisingly, evidence suggests option 1 is the best choice; performance across the teams will be higher if the organization forms 10 highly conscientious teams and 10 teams low in conscientiousness. The reason is that a team with varying conscientiousness levels will not work to the peak performance of its highly conscientious members. Instead, a group normalization dynamic (or simple resentment) will complicate interactions and force the highly conscientious members to lower their expectations, thus reducing the group's performance.³⁷



Members of a research team at the innovation lab of Swiss bank UBS are testing digital, virtual reality, and other new technologies to attract a young generation of investors and to help current clients visualize complex investment portfolios. Team members have the technical expertise and skills needed to function as a high-ability team.

Source: Arnd Wiegmann/Reuters

Myth or Science?

Team Members Who Are “Hot” Should Make the Play

Before we tell you whether this statement is true or false, we need to take a step back and ask: “Can individuals go on ‘hot’ streaks?” In teams, and especially in sports, we often hear about players who are on a streak and have the “hot hand.” Basketball player LeBron James scores five baskets in a row, golfer Rory McIlroy makes three birdies in a row for the European Ryder Cup team, and tennis player Serena Williams hits four aces in a row during a doubles match with her sister Venus. Most people (around 90 percent) believe LeBron, Rory, and Serena score well because they are on a hot streak, performing above their average.

Although people believe in the hot hand, the scores tell the story. About half the relevant studies have shown that the hot hand is possible, while the remaining half show it is not. But perception can influence reality, so perhaps the more important question is

whether belief in the hot hand affects teams' strategies. One study of volleyball players showed that coaches and players allocate more balls to players who are believed to have the hot hand. Is this a good strategy? If the hot player's performance is actually lower than her teammates', then giving her more balls to hit will hurt the team because the better players aren't getting enough chances to hit, while she gets more chances to perform.

Considering the research to date, the opening statement appears to be false.

Sources: Based on M. Raab, B. Gula, and G. Gigerenzer, "The Hot Hand Exists in Volleyball and Is Used for Allocation Decisions," *Journal of Experimental Psychology: Applied* 18, no. 1 (2012): 81–94; T Gilovich, R. Vallone, and A. Tversky, "The Hot Hand in Basketball: On the Misperception of Random Sequences," *Cognitive Psychology* 17 (1985): 295–314; and M. Bar-Eli, S. Avugos, and M. Raab, "Twenty Years of 'Hot Hand' Research: The Hot Hand Phenomenon: Review and Critique," *Psychology, Sport, and Exercise* 7 (2006): 525–53.

What about the other traits? Teams with a high level of openness to experience tend to perform better, and research indicates that constructive task conflict *enhances* the effect. Open team members communicate better with one another and throw out more ideas, which makes teams composed of open people more creative and innovative.³⁸ Task conflict also enhances performance for teams with high levels of emotional stability.³⁹ It's not so much that the conflict itself improves performance for these teams, but that teams characterized by openness and emotional stability are able to handle conflict and leverage it to improve performance. The minimum level of team member agreeableness matters, too: Teams do worse when they have one or more highly disagreeable members, and a wide span in individual levels of agreeableness can lower productivity. Research is not clear on the outcomes of extraversion, but a recent study indicated that a high mean level of extraversion in a team can increase the level of helping behaviors, particularly in a climate of cooperation.⁴⁰ Thus the personality traits of individuals are as important to teams as the overall personality characteristics of the team.

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management

to complete the Mini Sim.

Allocation of Roles Teams have different needs, and members should be selected to ensure that all the various roles are filled. A study of 778 major league baseball teams over a 21-year period highlights the importance of assigning roles appropriately.⁴¹ As you might expect, teams with more experienced and skilled members performed better. However, the experience and skill of those in core roles who handled more of the workflow of the team, and were central to all work processes (in this case, pitchers and catchers), were especially vital. In other words, put your most able, experienced, and conscientious workers in the most central roles in a team.

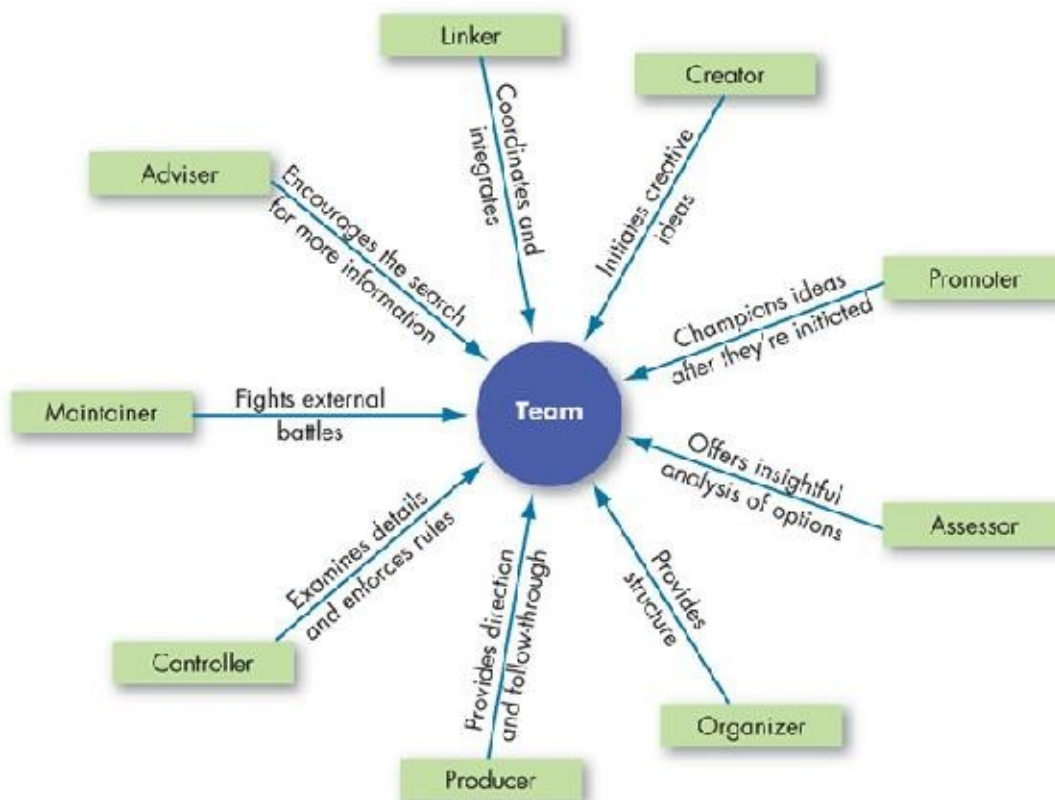
We can identify nine potential team roles (see Exhibit 10-4). Successful work teams have selected people to play all these roles based on their skills and preferences.⁴² (On many teams, individuals will play multiple roles.) To increase the likelihood that team members will work well together, managers need to understand the individual strengths each person can bring to a team, select members with their strengths in mind, and allocate work assignments that fit with members' preferred styles.

Diversity of Members In Chapter 9, we discussed the effect of diversity on groups. How does *team* diversity affect *team* performance? The degree to which members of a work unit (group, team, or department) share a common demographic attribute, such as age, sex, race, educational level, or length of service in the organization, is the subject of **organizational demography** ⓘ. Organizational demography suggests that attributes such as age or the date of joining should help predict turnover. The logic goes like this: Turnover will be greater among those with dissimilar experiences because communication is more difficult and conflict is more likely. Increased conflict makes membership less attractive, so employees are more likely to quit. Similarly, the losers of a conflict are more apt to leave voluntarily or be forced out.⁴³ The conclusion is that diversity negatively affects team performance.

Many of us hold the optimistic view that diversity is a good thing—diverse teams should benefit from differing perspectives. Two meta-analytic reviews show, however, that demographic diversity is essentially unrelated to team performance, while a third review suggests that race and gender diversity are actually negatively related to team performance.⁴⁴ Other research findings are mixed. One qualifier is that gender and ethnic diversity have

more negative effects in occupations dominated by white or male employees, but in more demographically balanced occupations or when attitudes toward diversity are more positive, diversity is less of a problem. Diversity in function, education, and expertise are positively related to team performance, but these effects are small and depend on the situation. Diversity may also have a negative effect when trust between members is already low.

Exhibit 10-4 Key Roles of Teams



Proper leadership can improve the performance of diverse teams.⁴⁵ For example, one study of 68 teams in China found that teams diverse in knowledge, skills, and ways of approaching problems were more creative but only when their leaders were transformational (see Chapter 12 for definition) and inspiring.⁴⁶



Cultural Differences We have discussed research on team diversity regarding a number of differences. But what about cultural differences? Evidence indicates that cultural

diversity interferes with team processes, at least in the short term,⁴⁷ but let's dig a little deeper: What about differences in cultural status? Though it's debatable, people with higher cultural status are usually in the majority or ruling race group of their nations. Researchers in the United Kingdom found that cultural status differences affected team performance whereby individuals in teams with more high cultural-status members than low cultural-status members realized improved performance ... for every member.⁴⁸ This suggests not that diverse teams should be filled with individuals who have high cultural status in their countries but that we should be aware of how people identify with their cultural status even in diverse group settings.

In general, cultural diversity seems to be an asset for tasks that call for a variety of viewpoints. But culturally heterogeneous teams have more difficulty learning to work with each other and solving problems. The good news is that these difficulties seem to dissipate with time.

Size of Teams Most experts agree that keeping teams small is key to improving group effectiveness.⁴⁹ Amazon CEO Jeff Bezos uses the “two-pizza” rule, saying, “If it takes more than two pizzas to feed the team, the team is too big.”⁵⁰ Psychologist George Miller claimed that “the magical number [is] seven, plus or minus two,” for the ideal team size.⁵¹ Author and *Forbes* publisher Rich Karlgaard writes, “Bigger teams almost never correlate with a greater chance of success” because the potential connections between people grow exponentially as team size increases, thus complicating communications.⁵²

Career Objectives

Is it wrong that I'd rather have guys on my team?

Please don't call me sexist; women are great colleagues and equally effective managers, but I'd rather have men on my team. It's more relaxing for me, and for the other guys I think, because we naturally understand each other and can talk freely. The teams with all men that I've been in have all been very productive.

— *Jorge*

Dear Jorge,

With all the talk currently focused on gender diversity in organizations, your viewpoint

is refreshingly honest. And your preferences are not uncommon. Researchers who studied 8 years of employee surveys from a large U.S. organization found that individuals were happier on teams mainly of their own gender, whereas those on diverse teams reported less happiness, trust, and cooperation. Researcher Sara Fisher Ellison noted, “People are more comfortable around other people who are like them.”

In some ways, the preference for our own gender in teams is an ugly truth. After all, if there hadn’t been gender diversity initiatives and protections, a majority of professional positions may still be closed to women in masculine cultures like Japan, Austria, and Venezuela (see Hofstede’s cultural values in Chapter 5). The value system in many countries has fortunately changed, with increased recognition of team diversity’s potential for higher morale, trust, and satisfaction. Notice that these are *values* as opposed to the reported *reality* from the paragraph above. Ellison concluded that there is a “mismatch between the kind of workplace people think they would like and the actual workplace that would make them happier.”

Don’t think this is your ticket to male-only teams, though. Happiness aside, this study found that diverse teams realized significantly greater revenues, productivity, and performance. Other research in Spain indicated that gender-diverse teams realize novel solutions and radical innovation at a greater rate. Still other research suggested that gender-diverse teams perform better than male-dominated ones in sales and profits. The contextual climate is key, however. One meta-analysis found that gender equality and collectivism were important conditions for task performance in diverse teams, a Danish study indicated that diverse top management teams realized higher financial performance only when the structure supported cross-functional team work, and a study in South Korea indicated that cooperative group norms can lower the negative effects of gender diversity.

What all this means for you is that, while you may naturally prefer to work with men, it’s not good for business. You would be better off putting your efforts into creating an egalitarian atmosphere and choosing your teammates based on what they can contribute to your team.

Sources: Based on C. Diaz-Garcia, A. Gonzalez-Moreno, and F. Jose Saez-Martinez, “Gender Diversity within R&D Teams: Its Impact on Radicalness of Innovation,” *Innovation-Management Policy & Practice* 15, no. 2 (2013): 149–60; S. Hoogendoorn, H. Oosterbeek, and M. van Praag, “The Impact of Gender Diversity on the Performance of

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A Japanese nurse (left) served on a seven-member medical team formed by the International Committee of the Red Cross and deployed to the Philippines after a typhoon hit Mindanao Island. The small team of health care workers had the capacity to respond quickly and effectively in providing patients with emergency medical care.

Source: KYDPL KYODO/AP Images

Generally speaking, the most effective teams have five to nine members. Experts suggest using the smallest number of people who can do the task. Unfortunately, managers often err by making teams too large. It may require only four or five members to develop an array of views and skills, and coordination problems can increase as team members are added. When teams have excess members, cohesiveness and mutual accountability decline, social loafing increases, and people communicate less. Members of large teams have trouble coordinating with one another, especially under time pressure. When a natural working unit is larger and you want a team effort, consider breaking the group into subteams.⁵³

Member Preferences Not every employee is a team player. Given the option, many employees will select themselves *out* of team participation. When people who prefer to work alone are required to team up, there is a direct threat to the team's morale and to individual member satisfaction.⁵⁴ This suggests that, when selecting team members, managers should consider individual preferences along with abilities, personalities, and skills. High-performing teams are likely to be composed of people who prefer working as part of a group.

Team Processes

The final category related to team effectiveness includes process variables such as member commitment to a common purpose, establishment of specific team goals, team efficacy, team identity, team cohesion, mental models, a managed level of conflict, and minimized social loafing. These variables are especially important in larger teams and in teams that are highly interdependent.⁵⁵

Why are processes important to team effectiveness? Teams should create outputs greater than the sum of their inputs. Exhibit 10-5 illustrates how group processes can have an impact on a group's actual effectiveness.⁵⁶ Teams are often used in research laboratories because they can draw on the diverse skills of various individuals to produce more meaningful research than researchers working independently—that is, they produce positive synergy, and their process gains exceed their process losses.

Exhibit 10-5 Effects of Group Processes

Potential group
effectiveness

+

Process
gains

-

Process
losses

=

Actual group
effectiveness

Common Plan and Purpose Effective teams begin by analyzing the team's mission, developing goals to achieve that mission, and creating strategies for achieving the goals. Teams that consistently perform better have a clear sense of what needs to be done and how.⁵⁷ This sounds obvious, but many teams ignore this fundamental process.

Members of successful teams put a tremendous amount of time and effort into discussing, shaping, and sharing a purpose that belongs to them collectively and individually. This common purpose, when accepted by the team, becomes what GPS is to a ship captain: It provides direction and guidance under any conditions. Like a ship following the wrong course, teams that don't have good planning skills are doomed, executing the wrong plan.⁵⁸ Teams should agree on whether their purpose is to learn about and master a task or simply to perform the task; evidence suggests that differing perspectives on learning versus performance lead to lower levels of team performance overall. Teams that emphasize learning are also more likely to agree on common goals, and identification with a team is also easier when members strongly identify with the team.⁵⁹

Effective teams show **reflexivity** ⓘ, meaning they reflect on and adjust their purpose when necessary. A team must have a good plan, but team members need to be willing and able to adapt when conditions call for it.⁶⁰ Reflexivity is especially important for teams that have had poor performance in the past.⁶¹ Some evidence suggests that teams high in reflexivity are better able to adapt to conflicting plans and goals among team members.⁶²

Specific Goals Successful teams translate their common purpose into specific, measurable, and realistic performance goals. Specific goals facilitate clear communication. They help teams maintain their focus on getting results.

Consistent with the research on individual goals, team goals should be challenging. Difficult but achievable goals raise team performance on those criteria for which they're set. For instance, goals for quantity tend to increase quantity, goals for accuracy increase accuracy, and so on.⁶³

Team Efficacy Effective teams have confidence in themselves; they believe they can succeed. We call this **team efficacy** ⓘ.⁶⁴ Teams that have been successful raise their beliefs

about future success, which in turn motivates them to work harder. In addition, teams that have a shared knowledge of individual capabilities can strengthen the link between team members' self-efficacy and their individual creativity because members can solicit informed opinions from their teammates more effectively.⁶⁵

What can management do to increase team efficacy? Two options are helping the team achieve small successes that build confidence and providing training to improve members' technical and interpersonal skills. The greater the abilities of team members, the more likely the team will develop confidence and the ability to deliver on that confidence.



Team Identity In Chapter 9, we discussed the important role of social identity in

people's lives. When people connect emotionally with the groups they're in, they are more likely to invest in their relationship with those groups. It's the same with teams. For example, research with soldiers in the Netherlands indicated that individuals who felt included and respected by team members became more willing to work hard for their teams, even though as soldiers they were already called upon to be dedicated to their units. Similarly, when team identity is strong, team members who are highly motivated by performance goals are more likely to direct their efforts toward team goals rather than individual goals. Therefore, by recognizing individuals' specific skills and abilities, as well as creating a climate of respect and inclusion, leaders and members can foster positive **team identity** ⓘ and improved team outcomes.⁶⁶ Managers should pay special attention to fostering team identity in virtual teams. Team identity may be lower in virtual teams, which can lead to lower effort on the part of virtual team members.⁶⁷

Organizational identity is important, too. Rarely do teams operate in a vacuum—more often teams interact with other teams, requiring interteam coordination. Individuals with a positive team identity but without a positive organizational identity can become fixed to their teams and unwilling to coordinate with other teams within the organization.⁶⁸



Team Cohesion Have you ever been a member of a team that really gelled, one in

which team members felt connected? The term **team cohesion** ⓘ describes a situation in which members are emotionally attached to one another and motivated toward the team because of their attachment. Team cohesion is a useful tool to predict team outcomes. For example, a large study in China recently indicated that if team cohesion is high and tasks are

complex, costly investments in promotions, rewards, training, and so forth, yield greater profitable team creativity. Teams with low cohesion and simple tasks, on the other hand, are not likely to respond to incentives with greater creativity.⁶⁹

Team cohesion is a strong predictor of team performance such that when cohesion is harmed, performance may be, too. Negative relationships are one driver of reduced cohesion. To mitigate this effect, teams can foster high levels of interdependence and high-quality interpersonal interactions. Team cohesion is higher in teams with female team leaders when teams are larger and more functionally diverse. Team cohesion is also higher in teams with shared leadership and when leaders are fair.⁷⁰

Mental Models The members of an effective team share accurate **mental models** ⓘ—organized mental representations of the key elements within a team’s environment that team members share.⁷¹ (Team mission and goals pertain to *what* a team needs to be effective; mental models pertain to *how* a team does its work.) If team members have the wrong mental models, which is particularly likely in teams under acute stress, their performance suffers.⁷² One review of 65 independent studies found that teams with shared mental models engaged in more frequent interactions with one another, were more motivated, had more positive attitudes toward their work, and had higher levels of objectively rated performance.⁷³ If team members have different ideas about how to do things, however, the team will fight over methods rather than focus on what needs to be done.⁷⁴



Individuals who normally function in *action teams*—teams with specialists engaged in intense, interdependent, and unpredictable tasks—are likely to share mental models. Even though they are often under acute stress, their performance levels can be high because the stress has been normalized through the expected context. These action teams have learned that the best way to share mental models is to voice them. An anesthetic team in a hospital is one example of an action team with shared mental models. For example, research in Switzerland found that anesthetic teams communicated two distinct types of messages while in an operation: vocally monitoring each others’ performance (not to criticize but to keep a vocal record of events), and “talking to the room” (announcements to everyone such as “Patient’s blood pressure is dropping”). The study found that high- and low-performing teams communicated in these ways equally often; what mattered to performance was the sequencing of the communication to maintain a shared mental model. High-

performing teams followed up monitoring dialogue with assistance and instructions, and talking-to-the-room dialogue with further team dialogue.⁷⁵ The message seems simple: To maintain shared mental models, share conversation about what is happening while the team is in operation!



Product Hunt founder Ryan Hoover (on computer) and his entrepreneurial team are highly cohesive. The company describes itself as a tight-knit team whose members share a love of new tech products, care about people, and are passionate about building communities that celebrate tech creations.

Source: David Paul Morris/Bloomberg/Getty Images



Conflict Levels Conflict has a complex relationship with team performance, and it's not necessarily bad. *Relationship conflicts*—those based on interpersonal incompatibility, tension, and animosity toward others—are almost always dysfunctional. However, when teams are performing nonroutine activities, disagreements about task content—called *task conflicts*—stimulate discussion, promote critical assessment of problems and options, and can lead to better team decisions, though it may not lead to more innovative products. The positive (and negative) effects of conflict on performance may be smaller or larger depending on many factors, such as the task type, setting, and how performance is measured.⁷⁶ Task conflict is beneficial when members are open to experience and emotionally stable.⁷⁷ Task conflict may also be beneficial when some team members perceive high task conflict while

other team members perceive low task conflict.⁷⁸ According to one study conducted in China, moderate levels of task conflict during the initial phases of team performance were positively related to team creativity, but both very low and very high levels of task conflict were negatively related to team performance.⁷⁹ In other words, both too much and too little disagreement about how a team should initially perform a creative task can inhibit performance.

The way conflicts are resolved can make the difference between effective and ineffective teams. A study of ongoing comments made by 37 autonomous work groups showed that effective teams resolved conflicts by explicitly discussing the issues, whereas ineffective teams had unresolved conflicts that were focused more on personalities and the way things were said.⁸⁰



Which teams are more likely to have conflicts than others? It's not a simple answer.

While we may presume that diversity increases conflicts, the answer is likely to be much more subtle than that. For example, recent research in Spain found that when individual team members varied greatly in their perceptions of organizational support, task conflict increased, communication decreased, and ultimately team performance suffered.⁸¹ If the researchers had instead compared only the average level of organizational support given to the team rather than how members perceived the support, they would have missed the correct causal links. A study of Chinese teams found that teams high in social capital experienced higher task conflict and lower relationship conflict, but this was only true after the group had been established for several years.⁸² Thus we need to be careful not to overgeneralize.

Social Loafing As we noted earlier, individuals can engage in social loafing and coast on the group's effort when their particular contributions (or lack thereof) can't be identified. Effective teams undermine this tendency by making members individually and jointly accountable for the team's purpose, goals, and approach.⁸³ Therefore, members should be clear on what they are individually and jointly responsible for on the team.

MyLab Management
Personal Inventory Assessments



Go to www.pearson.com/mylab/management to complete the Personal Inventory

Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

10.4.1 Which of the following is not one of the key components of effective teams?

- ☐ team efficacy
- ☐ large size
- ☐ adequate resources
- ☐ member flexibility

Check answer

Reset

10.4.2 Which of the following statements is true regarding a culturally diverse team?

- ☐ Elements of diversity do not interfere with team processes.
- ☐ Culturally homogeneous teams have more difficulty learning to work with each other than culturally heterogeneous teams do.
- ☐ Generally, newly formed culturally diverse teams underperform when compared to newly formed culturally homogeneous teams.
- ☐ Cultural diversity within a team is not advisable for those tasks that call for a variety of viewpoints.

Check answer

Reset

Turning Individuals into Team Players

10-5 Explain how organizations can create team players.

We've made a case for the value and growing popularity of teams. But many people are not inherently team players, and many organizations have historically nurtured individual accomplishments. Teams often fit well in countries that score high on collectivism, but what if an organization wants to introduce teams into a work population of individuals born and raised in an individualistic society?

Here are options for managers trying to turn individuals into team players.

Selecting: Hiring Team Players

Some people already possess the interpersonal skills to be effective team players. When hiring team members, be sure candidates can fulfill their team roles as well as technical requirements.⁸⁴

Creating teams often means resisting the urge to hire the best talent no matter what. For example, the New York Knicks professional basketball team pays Carmelo Anthony well because he scores a lot of points for his team, but statistics show he takes more shots than other highly paid players in the league, which means fewer shots for his teammates.⁸⁵

As a final consideration, personal traits appear to make some people better candidates for working in diverse teams. Teams made of members who like to work through difficult mental puzzles also seem more effective and able to capitalize on the multiple points of view that arise from diversity in age and education.⁸⁶

Training: Creating Team Players

Training specialists conduct exercises that allow employees to experience the satisfaction that teamwork can provide. Workshops help employees improve their problem-solving, communication, negotiation, conflict management, and coaching skills. L'Oréal, for example, found that successful sales teams required much more than a staff of high-ability salespeople. "What we didn't account for was that many members of our top team in sales had been promoted because they had excellent technical and executional skills," said L'Oréal's senior

vice president David Waldock. As a result of introducing purposeful team training, Waldock says, “We are no longer a team just on paper, working independently. We have a real group dynamic now, and it’s a good one.”⁸⁷ An effective team doesn’t develop overnight—it takes time, but good team training has positive tangible effects on performance regardless of employee and training characteristics, as evidenced by a recent review of 112 studies of medical team training programs.⁸⁸

Rewarding: Providing Incentives to Be a Good Team Player

A traditional organization’s reward system must be reworked to encourage cooperative efforts rather than competitive ones.⁸⁹ Hallmark Cards Inc. added to its basic individual incentive system an annual bonus based on the achievement of team goals. Whole Foods directs most of its performance-based rewards toward team performance. As a result, teams select new members carefully so they will contribute to team effectiveness (and thus team bonuses).⁹⁰ It is usually best to set a cooperative tone as soon as possible in the life of a team. As we already noted, teams that switch from competitive to cooperative do not immediately share information, and they still tend to make rushed, poor-quality decisions.⁹¹ Apparently, the low trust typical of the competitive group will not be readily replaced by high trust with a quick change in reward systems.



New engineering employees of India's Tata Consultancy Services (TCS) work in teams to construct paper boats during a team-building exercise at the firm's training center. Creating team players is essential to the success of TCS because employees must collaborate and work cohesively in providing information technology (IT) consulting services and business solutions for global clients.

Source: Namas Bhojani/Bloomberg/Getty Images

Promotions, pay raises, and other forms of recognition should be given to individuals who work effectively as team members by training new colleagues, sharing information, helping resolve team conflicts, and mastering needed new skills. This doesn't mean individual contributions should be ignored; rather, they should be balanced with selfless contributions to the team.

Finally, don't forget the intrinsic rewards, such as camaraderie, that employees can receive from teamwork. It's exciting to be part of a successful team. The opportunity for personal development of oneself and teammates can be a very satisfying and rewarding experience.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

10.5.1 Exercises that help individuals become team players include workshops on _____.

- ☐ negotiation
- ☐ individualism
- ☐ goal-setting
- ☐ event planning

Check answer

Reset

10.5.2 Which of the following statements is true regarding a reward system that attempts to create good team players?

- ☐ The reward system should encourage competitive efforts.
- ☐ Rewards given to individuals should be based on peer evaluation.
- ☐ The reward system should ignore individual contributions.
- ☐ Performance-based rewards could include a bonus based on achievement of team goals.

Check answer

Reset

Beware! Teams Aren't Always the Answer

10-6 Decide when to use individuals instead of teams.

Teamwork takes more time and often more resources than individual work. Teams have increased communication demands, conflicts to manage, and meetings to run. So the benefits of using teams have to exceed the costs, and that's not always possible.⁹²

How do you know whether the work of your group would be better done in teams? You can apply three tests.⁹³ First, can the work be done better by more than one person? Good indicators are the complexity of the work and the need for different perspectives. Simple tasks that don't require diverse input are probably better left to individuals. Second, does the work create a common purpose or set of goals for the people in the group that is more than the aggregate of individual goals? Many service departments of new-vehicle dealers have introduced teams that link customer service people, mechanics, parts specialists, and sales representatives. Such teams can better manage collective responsibility for ensuring that customer needs are properly met.

The final test is to determine whether the members of the group are interdependent. Using teams makes sense when there is interdependence among tasks—the success of the whole depends on the success of each one, *and* the success of each one depends on the success of the others. Soccer, for instance, is an obvious *team* sport. Success requires a great deal of coordination among interdependent players. Conversely, swim teams (except possibly for relays) are not really teams. They are groups of individuals performing individually and whose total performance is merely the aggregate summation of their individual performances.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

10.6.1 Work should be performed by an individual if _____.

- ☐ the work is complex and requires different perspectives
- ☐ the work creates a common purpose or set of goals for the people in the group that is more than the aggregate of individual goals
- ☐ the work is simple and does not require diverse input
- ☐ several tasks that are interdependent are to be performed for completing the work

Check answer

Reset

10.6.2 As compared to individual work, teamwork _____.

- ☐ involves fewer meetings
- ☐ takes more time
- ☐ needs fewer resources
- ☐ decreases communication demands

Check answer

Reset

Summary

Few trends have influenced jobs as much as the massive movement of teams into the workplace. Working on teams requires employees to cooperate with others, share information, confront differences, and sublimate personal interests for the greater good of the team. Understanding the distinctions between problem-solving, self-managed, cross-functional, and virtual teams as well as multiteam systems helps determine the appropriate applications for team-based work. Concepts such as reflexivity, team efficacy, team identity, team cohesion, and mental models bring to light important issues relating to team context, composition, and processes. For teams to function optimally, careful attention must be given to hiring, creating, and rewarding team players. Still, effective organizations recognize that teams are not always the best method for getting the work done efficiently. Careful discernment and an understanding of organizational behavior are needed.

Implications for Managers

- Effective teams have adequate resources, effective leadership, a climate of trust, and a performance evaluation and reward system that reflects team contributions. These teams have individuals with technical expertise and the right traits and skills.
 - Effective teams tend to be small. They have members who fill role demands and who prefer to be part of a group.
 - Effective teams have members who believe in the team's capabilities, are committed to a common plan and purpose, and have an accurate shared mental model of what is to be accomplished.
 - Select individuals who have the interpersonal skills to be effective team players, provide training to develop teamwork skills, and reward individuals for cooperative efforts.
 - Do not assume that teams are always needed. When tasks will not benefit from interdependency, individuals may be the better choice.
- 

To Get the Most Out of Teams, Empower Them

Point

If you want high-performing teams with members who like each other and their jobs, here's a simple solution: Remove the leash tied to them by management and let them make their own decisions. In other words, empower them. This trend started a long time ago, when organizations realized that creating layers of bureaucracy thwarts innovation, slows progress to a trickle, and merely provides hoops for people to jump through in order to get anything done.

You can empower teams in two ways. One way is structurally, by transferring decision making from managers to team members and giving teams the official power to develop their own strategies. The other way is psychologically, by enhancing team members' beliefs that they have more authority, even though legitimate authority still rests with the organization's leaders. Structural empowerment leads to heightened feelings of psychological empowerment, giving teams (and organizations) the best of both worlds.

Research suggests that empowered teams benefit in a number of ways. Members are more motivated. They exhibit higher levels of commitment to the team and the organization. And they perform much better. Empowerment sends a signal to the team that it is trusted and doesn't have to be constantly micromanaged by upper leadership. And when teams get the freedom to make their own choices, they accept more responsibility for and take ownership of both the good and the bad.

Granted, responsibility also means that empowered teams must take the initiative to foster their ongoing learning and development, but teams entrusted with the authority to guide their own destiny do just that. So do yourself (and your company) a favor and make sure that teams, rather than needless layers of middle managers, are the ones making the decisions that count.

Counterpoint

Empowerment can do some good in certain circumstances, but it's certainly not a cure-all.

Yes, organizations have become flatter over the past several decades, paving the way

for decision-making authority to seep into lower levels of the organization. But **E** consider that many teams are “empowered” simply because the management ranks have been so thinned that there is no one left to make the key calls. Empowerment is then just an excuse to ask teams to take on more responsibility without an accompanying increase in tangible benefits like pay.

In addition, the organization’s leadership already has a good idea of what it would like its teams (and individual employees) to accomplish. If managers leave teams to their own devices, how likely is it that those teams will always choose what the manager wanted? Even if the manager offers suggestions about how the team might proceed, empowered teams can easily ignore that advice. Instead, they need direction on what goals to pursue and how to pursue them. That’s what effective leadership is all about.

When decision-making authority is distributed among team members, each member’s role is less clear, and members lack a leader to whom they can go for advice. And finally, when teams are self-managed, they become like silos, disconnected from the rest of the organization and its mission. Simply handing people authority is no guarantee they will use it effectively. So leave the power to make decisions in the hands of those who were assigned leadership roles. After all, they became leaders for a reason, and they can best guide the team to stay focused and perform at top levels to maximize organizational outcomes.

Sources: Based on S. I. Tannenbaum, J. Mathieu, E. Salas, and D. Cohen, “Teams Are Changing: Are Research and Practice Evolving Fast Enough?” *Industrial and Organizational Psychology* 5 (2012): 2–24; and R. Ashkenas, “How to Empower Your Team for Non-Negotiable Results,” *Forbes*, April 24, 2013, downloaded June 10, 2013, from www.forbes.com.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 10-1** How do you explain the growing popularity of teams in organizations?
- 10-2** What is the difference between a group and a team?
- 10-3** What are the five types of team arrangements?
- 10-4** What conditions or context factors determine whether teams are effective?
- 10-5** How can organizations create team players?
- 10-6** When is work performed by individuals preferred over work performed by teams?

Application and Employability

Teamwork is a pivotal part of the modern workplace. Unlike work groups, teams are meant to create a level of performance greater than the sum of individual efforts. In this chapter, you learned some of the reasons a team may be successful or unsuccessful in meeting this goal, based on the team's context, composition, and various processes the team goes through. A strong understanding of how to build a strong team and be a strong team member can help you perform better in any team environment, from virtual to cross-functional teams and beyond. In this chapter, you improved your collaboration skills and social responsibility by learning to understanding the value of working with members of both genders and how to

communicate with team members in an eco-conscious way. You also applied your knowledge and utilized critical thinking skills by taking a second look at the hot hand phenomena as well as assessing the merits and drawbacks of empowerment. In the following chapter, you will further develop these skills, along with communication skills, as you decide whether or not to hire a “star” employee, figure out how to structure teams after a merger, try to build trust on virtual teams, and learn about what makes a team smart.

Experiential Exercise How to Resolve Social Loafing in Your Team?

Assume that you have been recently appointed as team leader in the research and development unit of an important pharmaceutical company. The team you are heading has been stuck for several months in the development of a new drug due to some delay in the clinical trial process. The deadline set by the managing director of the company is approaching. After a few weeks, you noticed social loafing in the team as some members systematically put less effort in the development of the new drug, blaming the delay in the trial process as solely responsible for this situation and never taking the initiative to resolve the impasse with creative solutions. The top performers of your team have privately complained to you about this situation, which is causing significant stress due to overload. They are even threatening to leave the company. You must decide how to manage this critical situation: should you report the cases of social loafing for possible disciplinary measures or seek to resolve the situation yourself?

- 10-7.** What could be the reasons behind such attitudes from some team members? How could this issue be resolved?
- 10-8.** What would you change, if at all, about the way the team functions to ensure more active participation of all team members? Why?
- 10-9.** As a recently appointed head of the team, what will be the most appropriate solution in this case, trying to resolve this situation yourself or reporting the case to general direction for possible disciplinary measures? Examine the pros and cons of each alternative individually and then discuss your analysis within your team to find a common solution.

Ethical Dilemma When Your Cycling Skills Matter!

Within the foodtech industry landscape, new ordering and delivering platforms, marketplaces, and channels have recently been introduced. Of particular interest are the case of Deliveroo and Uber Eats and the business model they follow. In the UK marketplace, food delivery is a big market that is growing rapidly. Most restaurants and takeaways have their in-house delivery service, but they will not always cater to all areas within a given city. Restaurants or takeaways that do not have an in-house delivery service may be at a severe disadvantage against the competition. Deliveroo and Uber Eats offer a solution by providing delivery services for all restaurants and takeaways that subscribe to their services, thanks to the delivery radius and wide coverage enabled by their cyclists. These cyclists are easy riders who can deliver food orders to most locations within a city. However, considering how new all of this is to the economy, how do teamwork and performance figure in the new model?

To begin with, the model is a rather self-managed set-up. Riders are classed as self-employed contractors who are not entitled to protections granted to employees and “workers.” They are not entitled to collective bargaining rights. Nevertheless, they are part of a team and of the broader company’s group. They are paid a flat rate per order they deliver without any time restriction, which means that they can work flexible hours (with the bonus of keeping their bodies physically fit!). Therefore, the ones who accomplish the most deliveries will get a good day’s earnings. There are issues, of course: one is if the deliveries are great distances from each other, and another is the weather, which can slow down deliveries and thus restrict the earnings of the day for individual cyclists.

Supervision over self-management and self-sustained contractors can be challenging with regard to overall group performance, but the way the reward system works could act as a further positive reinforcement for better performance individually and, therefore, as an entity of a particular group setting. But perhaps the most interesting aspect here is the matter of trust in the working relationships between the cyclists and their supervisor—how these are built and sustained is the big question. Complicating this setup further is the fact that there are no physical supervisors delegating tasks to the riders; a algorithm calculates variables such as distance, time, etc., possibly diluting team spirit.

In contrast to the model above, other companies, such as Marks & Spencer and Moneypenny (the United Kingdom’s leading telephone company), pride themselves on their

team-driven incentives and team-bonding activities. Yet all these companies perform very well in their individual industries despite their different reward system models and activities. Thus, the question of whether it is better to praise individual work or group work, for which performance and under which circumstances, still offers food for thought.

Questions

- 10-10.** Would you consider the Deliveroo and Uber Eats model a work-group or a work-team environment? Justify your answer based on the characteristics of groups and teams.
- 10-11.** What type of group or team are cyclists working for a supervisor for Deliveroo? Justify your answer.
- 10-12.** In the cases discussed above, where do you think you would perform better, and why? Justify your answer by taking into account efficiency factors, reward systems, the context, and your individual perceptions.

Sources: Anna Tims, "Gig Economy Ruling Has Deliveroo Riders without Rights and Buying Their Own Kit," *The Guardian*, November 21, 2017, <https://www.theguardian.com/business/2017/nov/19/gig-economy-ruling-deliveroo-riders-equipment-basic-employment-rights>; Tim Wallace, "Deliveroo Offers Workers Pay per Trip in Bid to Defuse Self Employment Row," *The Telegraph*, June 1, 2017, <http://www.telegraph.co.uk/business/2017/05/31/deliveroo-offers-workers-pay-per-trip-bid-defuse-self-employment/>; "M&S in £10m Team Building Dance Exercise," *The Telegraph*, December 20, 2017, <http://www.telegraph.co.uk/news/1499954/MandS-in-10m-team-building-dance-exercise.html>; The Business of Tech, "Deliveroo," May 8, 2016, <https://thebusinessoftech.wordpress.com/2016/05/08/deliveroo/>; RideSharingDriver, "Driving for UberEats: What It's Like Delivering Food for Uber," March 29, 2016, <https://www.ridesharingdriver.com/driving-for-ubereats-what-its-like-delivering-food-for-uber/>; MoneyPenny, "Moneypenny HQ Named Best Corporate Workplace at BCO Awards," April 11, 2017, <https://www.moneypenny.com/uk/news/moneypenny-hq-named-best-corporate-workplace/>.

★ Case Incident 1 Trusting Someone You Can't See

One of the greatest determinants of a successful team is trust. For a team to be successful, employees must trust that their team members are reliable and capable. They have to have faith that their teammates will work toward the goals of the team rather than their own goals. Trust can be built in teams by creating an environment where team members are not scared to admit that they have made a mistake and feel comfortable providing their input rather than agreeing with the team leader or assertive team members. Building trust among teammates is important, but what if you never see your teammates?

Trust is especially important but also more difficult to build in virtual teams. In a recent review of 52 independent studies, researchers found that the link between trust and team performance is stronger for virtual teams than face-to-face teams! According to the same review, managers can counteract some of the negative effects of low trust in virtual teams by carefully documenting team interactions. This practice shows that team members are held accountable for the work they do in virtual teams and makes sure that team members are recognized for their contributions.

Compensating for a lack of trust may only be a Band-Aid for a larger problem because trust is one of the most important factors in determining team effectiveness. Another review of 112 separate studies found that trust was one of the strongest predictors of team performance, regardless of the team members' past performance or trust in the team's manager. The same researchers found that trust may be especially important in teams with varied skill sets or interdependent roles. Trust is also just as important for short-term teams because team members do not have the same adjustment period to learn more about their teammates before having faith that they will contribute to team goals.

Questions

- 10-13.** Recall a time when you felt like you could not trust members on your team. Why did you feel that way? How did that affect the team's performance?
- 10-14.** Can you think of strategies that can help build trust among virtual team members?
- 10-15.** Imagine you are a manager at a national corporation. You have been asked to select employees for a virtual problem-solving team. What types of employees would you include and why?
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★ Case Incident 2 Smart Teams and Dumb Teams

In this chapter, we've identified how some of the characteristics we use to describe individuals can also describe teams. For example, individuals can be high in the trait of openness, as can a team. Along the same lines, have you noticed that some teams seem to be smart, while others seem, um, dumb? This characteristic has nothing to do with the average IQ of the team members but instead reflects the functionality of the whole team. Teams that are synergistic excel in logical analysis, brainstorming, coordination, planning, and moral reasoning. And teams that are dumb? Think of long unproductive meetings, social loafing, and interpersonal conflicts.

You might be remembering a few teams you've witnessed that are in the dumb category, but we hope you can think of a few that excelled. Smart teams tend to be smart in everything—for any task, they will find a workable solution. But what makes them smart? Researchers in a Massachusetts Institute of Technology (MIT) study grouped 697 subjects into teams of 2 to 5 members to solve tasks, looking for the characteristics of smart teams (they weren't all smart). Here are the findings:

1. **Smart teams did not allow individual members to dominate.** Instead, there were more equal contributions from members than in other teams.
2. **Smart teams had more members who were able to read minds.** Just kidding! But the members were able to read complicated emotions by looking into the eyes of others. There is a test for this ability called Reading the Mind in the Eyes.
3. **Smart teams had more women.** It's not that smart teams had more gender equality; these teams simply had more women. This result might be partly due to the fact that more women scored higher in the Reading the Mind in the Eyes test.

The researchers recently replicated the study using 68 teams and again found that some teams were smarter than others. This study added a new angle to the research: How would teams working in person differ from teams working online? Surprisingly, there was little difference: All smart teams had more equal member communication (and plenty of it) and were good at emotion reading. When the online collaborators could not see each other, they practiced theory of mind, remembering and reacting to the emotional cues they were able to detect through any mode of communication. Theory of mind is related to emotional

intelligence (EI), which we discussed in Chapter 4.

When we have the opportunity to hand-pick team members, we can look for those who listen as much as they speak, express empathy, and remember what others tell them about themselves. For teams to which we are assigned, we can seek these attributes in others and help guide the team toward its best self. As for IQ? Here's the good news: Recent research indicates that our membership in a team actually makes us smarter decision makers as individuals!

Questions

- 10-16.** From your experiences in teams, do you agree with the researchers' findings on the characteristics of smart teams? Why or why not?
- 10-17.** On the highly functioning teams in which you've been a member, what other characteristics might have contributed to success?
- 10-18.** The authors who suggested that membership in a team makes us smarter found that teams were more rational and quicker at finding solutions to difficult probability problems and reasoning tasks than were individuals. After participation in the study, team members were much better at decision making on their own, even up to 5 weeks later. Do you think this spillover effect would happen equally for people in smart teams and dumb teams? Why or why not?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 10-19.** Refer again to Case Incident 1. Do you think having a self-managed team is always beneficial to managers? Why or why not?
- 10-20.** Refer again to Case Incident 2. Do you think you can read emotions from

people's eyes enough to react well to them in teams? Why or why not? (There are Reading the Mind from the Eyes tests online if you want to test your skill.)

10-21. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 One of the dangers of teams is that _____.

- ☐ someone might be a slacker
- ☐ the same people end up doing all the work
- ☐ team members can be swayed by fads
- ☐ they are not truly effective

Check answer

Reset

2 _____ results in a level of performance that is greater than the sum of the individual inputs.

- ☐ Synergy
- ☐ Positive affect
- ☐ Emotional labor
- ☐ Cognitive dissonance

Check answer

Reset

3 Which of the following statements is true regarding a workgroup?

- Individuals in a workgroup work on different objectives and are not dependent on each other.
- Workgroups primarily engage in collective work that requires joint effort.
- Workgroups do not generate any positive synergy through coordinated effort.
- Information sharing is not the primary function of a workgroup.

Check answer

Reset

4 After a successful 20-year career as a rock band, and 10 years apart, Laski United has reunited for a tour. Their lead singer, Chuck Corcoran, has returned to the band after a fairly successful solo album. In this scenario, Laski United could be most likely classified as a _____.

- ☐ workgroup
- ☐ work team
- ☐ problem-solving team
- ☐ cross-functional team

Check answer

Reset

5 Which of the following teams are more likely to be made up of employees from about the same hierarchical level but different work areas?

- ☐ problem-solving
- ☐ self-managed
- ☐ cross-functional
- ☐ task

Check answer

Reset

6 Eva is not getting the results she needs from her database administration team. She believes that this problem is occurring because the administration team is a virtual team. Which of the following is one of the things that Eva should do to create an effective virtual team?

- ☐ Conduct training for improving interpersonal skills.
- ☐ Allow more independence among members.
- ☐ Monitor progress of the team closely.
- ☐ Include peer evaluation in the appraisal system.

Check answer

Reset

7 Jack, your director of manufacturing, has created a team of eleven employees from quality control. Jack gives the team members the responsibility of planning and scheduling their own work, and making operating decisions. Also, members of this team evaluate each other's performance. This is an example of a _____

team.

- problem-solving
- self-managed
- cross-functional

☐ virtual

Check answer

Reset

8 Cross-functional teams are not easy to manage because power is shifted due to the need for different expertise in different areas. What does this situation create?

- ☐ counterproductive work behaviors
- ☐ virtual teams
- ☐ leadership ambiguity
- ☐ lack of diversity

Check answer

Reset

9 According to the team effectiveness model, which of the following is a process variable that influences effectiveness of a team?

- ☐ leadership and structure
- ☐ team efficacy
- ☐ member flexibility
- ☐ performance evaluation and reward systems

Check answer

Reset

10 Araceli is a team member in a large corporation. She never speaks in team meetings because she has seen members talk behind each other's back after the meetings. Members are constantly monitoring the other members' work, looking for mistakes to point out in a meeting. According to the information provided, which contextual factor is most likely hindering the success of Araceli's team?

- ☐ adequate resources
- ☐ climate of trust
- ☐ team structure
- ☐ performance evaluations

Check answer

Reset

11 According to studies, when team members share an accurate mental model they _____.

- have an indifferent attitude toward their work
- have frequent interactions

- ☐ face acute stress
- ☐ work independently

Check answer

Reset

12 During an interview with one team member, you learn that several members of the team have had conflicts regarding the content of a task to which the team was recently assigned. Are these conflicts likely to be reducing the group's productivity?

- ☐ Yes, because interpersonal conflicts always hurt a team's performance.
- ☐ No, because conflicts based on personal animosity rarely affect team operations.
- ☐ Yes, because task-related conflicts lead to poor team decisions.
- ☐ No, because task-related conflicts usually benefit the performance of a team.

Check answer

Reset

13 Members of successful teams put a tremendous amount of time and effort into discussing, shaping, and agreeing on _____ which then provides direction and guidance under any and all conditions.

- ☐ the level of individual contribution
- ☐ allocation of resources
- ☐ a common purpose
- ☐ allocation of roles

Check answer

Reset

14 Myriam has been a standout team member at Amohalka Consulting for several years. She is always the first person to train new colleagues, share information, help resolve team conflicts, and master new and modern skills. Clearly, Myriam also does what in the organization?

- ☐ makes individual contributions
- ☐ seeks promotions and pay raises
- ☐ has a low level of trust in her teammates' abilities
- ☐ both A and C

Check answer

Reset

15 Which of the following techniques can be used for increasing effectiveness of teams?

- Implement a reward system that encourages competitive efforts.
- The appraisal system should take into consideration peer evaluation.
- Avoid giving promotions and pay raises for individual contributions.
- Training should be provided to those candidates who lack team skills.

Check answer

Reset



Source: Kim Hong-Ji/Reuters/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 11-1** Contrast leadership and power.
- 11-2** Explain the three bases of formal power and the two bases of personal power.
- 11-3** Explain the role of dependence in power relationships.
- 11-4** Identify power or influence tactics and their contingencies.
- 11-5** Identify the causes and consequences of abuse of power.

11-6 Describe how politics work in organizations.

11-7 Identify the causes, consequences, and ethics of political behavior.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking	✓	✓		✓	✓	✓
Communication			✓		✓	
Collaboration		✓			✓	
Knowledge Application and Analysis	✓		✓	✓	✓	✓
Social Responsibility		✓				

MyLab Management Chapter Warm Up

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

A Tale of Presidential Corruption

Answer quickly: If someone were given the ability to exert his or her will over others for his or

her self-interest, would this person do it?

A On Wednesday, December 19, 2012, Park Guen-hye became the first female president of South Korea. Park was considered a trailblazer in South Korean politics and the heir to a long political legacy. The 60-year-old politician was the daughter of former South Korean president Park Chung-hee. Guen-hye had begun her political career at a young age when, at the age of 22, she took on first lady duties after her mother's assassination by a North Korean gunman. When she became president of South Korea, she made many promises, making many citizens hopeful that she would revive the country's slowing economic growth. These promises included pushing for regulations of some of South Korea's largest companies, such as Samsung and Hyundai. Park ran and won based on pledges to support and build small and medium-sized businesses while encouraging more exports.

Within four years, Park Guen-hye was impeached and tried on charges of corruption. Park had always been close to Choi Soon-sil, the daughter of another public figure. Soon-sil's father was the head of the Church of Eternal Life and a close family friend of former president Park Chung-hee. It seems Choi used her long-time friendship with the president to force Samsung and many other large companies to donate to her charities. The scandal goes much deeper than bribes, however. Choi had an unusual amount of power over the leader of South Korea. Besides using her relationship with the president to gain \$70 million in donations to her nonprofit foundations, Choi also was given illegal access to confidential documents and edited presidential speeches.

Park Guen-hye won the election partly because she was seen as less corrupt than her predecessors. In the last 30 years of democracy in South Korea, two presidents have already been jailed. President Lee Myung-bak was also implicated in a bribery scandal before leaving office. Similar to Park, Lee's friend and brother Sang-deuk used his connection to the president to collect bribes from two Korean banks. Several of Lee's former aides were also charged with receiving bribes.

So what caused Park's transformation from South Korea's seemingly least corrupt politician to an impeached president charged with corruption? Some South Koreans believe that Choi's power as a religious leader and family friend is to blame. Did Choi have influence over the new president because she held the keys to her salvation? Or was Park corrupted by receiving tremendous power?

The tale of Park's downfall is not unique to South Korea. Political parties are considered the most corrupt public institutions, according to Transparency International's 2013 survey

on global corruption. The organization found that a quarter of survey respondents had paid a bribe to politicians in the past year. Around the globe, from India to southern Europe to the United States, there are stories of political leaders using their power for their own self-interest. This phenomenon occurs at all levels. In Florida, former Opa-locka commissioner Luis Santiago used his position to gain \$40,000 in bribes. In Maryland, state senator Nathaniel T. Oaks was caught pushing through legislation for a fake real estate project in exchange for \$15,000 in bribes.

In all these stories, officials were elected to serve the interests of the public, yet they used their power to serve their own interests instead. Many of these citizens were elected because they claimed they could clean up a corrupt system. Then, when they gained power themselves, they used their influence to further their own goals. As we can see from Park Guen-hye's story, however, there are other ways of gaining power besides obtaining a leadership position in politics. Cho Soon-sil obtained power through religious institutions and personal connections. Many of the bribery scandals described above were possible because someone controlled resources such as wealth or economic power.

Sources: Based on M. Park, P. Hancocks and K. J. Kwon, "Park Guen-hye Claims South Korea Presidential Victory," *CNN*, December 19, 2012, <http://www.cnn.com/2012/12/18/world/asia/south-korea-presidential-election/>; K. J. Kwon and M. Park, "South Korean President Apologizes for Bribery Scandals in His Inner Circle," *CNN*, July 24, 2012, <http://www.cnn.com/2012/07/24/world/asia/south-korean-president-apology/index.html>; Associated Press, "Impeached South Korean President Indicted, Faces Trial," *New York Post*, April 17, 2017, <http://nypost.com/2017/04/17/impeached-south-korean-president-indicted/>; BBC Profiles, "Profile: South Korean President Park Guen-hye," *BBC News*, March 10, 2017, <http://www.bbc.com/news/world-asia-20787271>; A. E. Marimow and O. Wiggins, "Code Word 'Lollipop': That Was Bribe Cue for Maryland State Senator, Investigators Charge," *The Washington Post*, April 7, 2017; J. Weaver, "Opa-locka Politician Pleads Guilty to Bribery, as FBI Continues Corruption Probe," *Miami Herald*, January 10, 2017, <http://www.miamiherald.com/news/local/article125617409.html>; R. Jennings, "Five Things to Know about South Korea's Presidential Scandal," *Forbes*, November 9, 2016, <https://www.forbes.com/sites/ralphjennings/2016/11/09/5-sad-and-creepy-things-you-should-know-about-south-koreas-presidential-scandal/#59a510541556>; and K. Rapoza, "Transparency International Spells It Out: Politicians Are the Most Corrupt," *Forbes*, July 9, 2013, <https://www.forbes.com/sites/kenrapoza/2013/07/09/transparency-international-should-know-about-south-koreas-presidential-scandal/#59a510541556>; and K. Rapoza, "Transparency International Spells It Out: Politicians Are the Most Corrupt," *Forbes*, July 9, 2013, <https://www.forbes.com/sites/kenrapoza/2013/07/09/transparency-international-spells-it-out-politicians-are-the-most-corrupt/#7497bca21c33>.

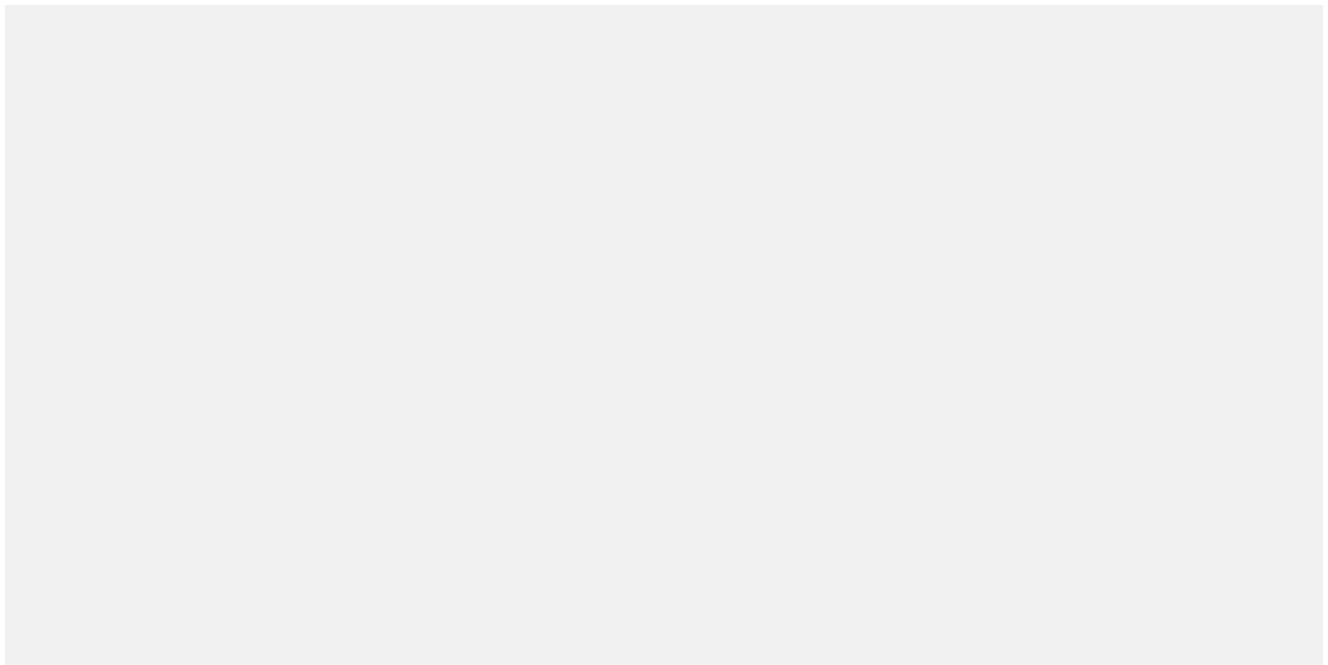
In this chapter, we will learn about power, including how a person obtains power and the tactics employees use to exert their will over others. We will also learn the role of political behavior in maintaining power within an organization. Power in organizations is a compelling force: People who have power deny it, people who want it try not to look like they're seeking it, and those who are good at getting it are secretive about how they do so.¹ We begin by exploring our natural association of power with leadership.

MyLab Management Watch It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Power and Political Behavior

Watch it video.



A **transcript** of this video is available [here](#).

Transcript

Power and Political Behavior

>> The pros and cons of applying political power

>> or pressure in the workplace, it's a daily occurrence.

>> Every single day you're applying politics in the workplace,

>> every single day you're in some kind of negotiation

>> with your colleagues.

>> My name is Phillip Gordon.

>> I'm the Managing Partner of Gordon Law Group.

>> Our law firm represents employees in all aspects

>> of their employment relationship, so from the start,

>> getting into employment,

>> as well as things that happen during your employment,

>> as well as the end of your employment.

>> Politics is really about shifting perceptions or about changing

>> people's expectations, and really ultimately

>> convincing them that it was their own idea.

>> One of the reasons I left the classroom after 28 years,

>> I enjoyed the kids, I wanted to change the leadership.

>> I didn't want to come here just to do the same things

>> that union presidents do.

>> My name is David Cicarella,

>> and I am the president of New Haven Federation of Teachers.

>> The union was apathetic, always at odds with the mayor's office,

>> with the superintendent's office, so I spent a full year

>> really working to try and build some trust from the members.

>> And some of it was actually taking a very oddly enough,

>> a very hard line.

>> Every single time they stepped out of line,

>> I had to do something about it, because

>> the members felt previous to that that it didn't matter.

>> You call the union, they didn't do anything.

>> Call down town, they didn't do anything.

>> So they kind a felt they were adrift by themselves.

>> Now once I got to the point where the members thought

>> they had some confidence in me, then I was able to say

>> when they'd bring up some of these relatively minor things,

>> do you really want to pursue that?

>> We'll talk about that, but we don't need to grieve that,

>> we don't need to have a full blown meeting on that,

>> that type of thing.

>> And they would say, "Yea, okay."

>> Because they realized that their needs

>> have been attended to in the past year and a half,

>> and maybe on some of these things

>> they can start being a little more reasonable.

>> The best politicians or the best managers

>> or the best work force colleagues are the ones

>> that make you leave the situation when you walk away

>> thinking I had this great idea!

>> Or wow, I contributed something really cool.

>> And really, the politician, himself or herself, generated,
>> seeded that idea in you and helped you
>> come to conclusion on your own, and you ended up
>> in the place where the politician wanted you exactly.
>> So what's the difference between leadership and power?
>> My name is Lisette Gaviña Lopez
>> and I'm a Marketing Director for the food service
>> and office coffee service divisions
>> of F. Gaviña and Sons.
>> Power is like about when you flex your muscles,
>> show your strength.
>> But leadership is about collaborating with people,
>> empowering people and helping the organization
>> or whatever it is, move forward.
>> And sometimes it means taking unpopular decisions
>> but you know that in the end you're staying true to yourself,
>> and making the best decision for the organization and its people.
>> I've been at i Robot 11 years now,
>> and when I started with the company
>> it was a very small engineering centered place,
>> and there was so much creativity going on,
>> robots in the hall ways,
>> people walking around, collaborating on things,
>> and it was a different space than I had seen

>> or been involved in before,

>> and I basically hunted them down for a job

>> and was relentless until they gave me one.

>> So, the difference between great leadership and power

>> is that great leaders gather people with them,

>> and are bringing consensus and bringing people aligned

>> behind a decision.

>> Power is something that people assume, ah,

>> that person's really powerful.

>> It's something that you see and associate with a person.

>> It's not something that you necessarily bought into

>> or want to be a part of.

>> The worst politicians are those who make you leave a situation

>> feeling like power was abused,

>> or not that power was abused,

>> in a situation where it may be colleague to colleague,

>> but just that you're a fraud or a fake.

>> You don't mean what you say at all.

>> And you're lying about something to get someone out of your way,

>> and politics are being used to step on somebody

>> or to advance yourself at the expense of someone else.

>> When politics is noticed is when politics become a con.

>> The perception was, in New Haven, that administrators

>> were hired based on political connections.

>> That they weren't necessarily the best and brightest.

>> I will say this; it is very much a mixed bag.

>> Are there problems with the unions?

>> Things that we need to do better?

>> Yea.

>> Some of my union colleagues don't like to hear that,

>> but we are at a point where we have to be honest.

>> That doesn't mean we're going to throw ourselves

>> under the bus and say we're the cause of everything wrong,

>> but we do have to at least acknowledge

>> that there are things that we can do better.

>> There's certainly people who play a political game very well.

>> And there are aspects of politics

>> that you have to be good at.

>> The aspects of politics that you have to be good at

>> are communication.

>> So, making sure that you're telling people the good stuff

>> that's going on, taking accountability

>> for the bad things that are happening

>> and being open about it,

>> not trying to cover up things and not trying,

>> I'm going to tell this person something

>> so it gets to that person.

>> If you do that stuff it often comes back to bite you.

>> We had a different set of issues as we approached

>> the 2009 negotiations with the teachers

>> than we typically would with a bargaining unit.

>> My name is John DeStefano.

>> I'm the Mayor of New Haven, Connecticut.

>> New Haven chose to approach this

>> in a collaborative environment.

>> I think it's probably fair to say we were able to do that

>> for two reasons.

>> One, because it was very clear that other cities were fighting,

>> and that was not necessarily affecting the outcome

>> we wanted to achieve which was organizing adults

>> for kids' academic achievement.

>> The other is because we knew each other.

>> We had worked together for many years.

>> There was a shared appreciation that this was an opportunity

>> for big change and we should take that opportunity,

>> and I think people were willing to take the risk to change

>> because we knew each other so well.

>> Politics is part of every single relationship

>> that we are involved in.

>> The pros and cons are how you use it.

>> I prefer to think of it as different ways of managing.

>> You have to manage up and you have to manage down.

>> And some people consider managing up politics,

>> but if you look at it as truly management,

>> you're managing your boss,

>> you're managing your relationship with them,

>> and the other people that are higher than you

>> in the organization, its not politicking, it's business.

>> So I look at it as a different way to manage.

>> My father told me very early, he was a very good businessman,

>> very early on when I told him that

>> I wanted to go in business, he said, at the end of the day,

>> you need to be responsible for yourself.

>> And you need to feel good about what you did that day,

>> and how you handled yourself,

>> and if anything you do is making you feel uncomfortable,

>> that you're not doing the right thing,

>> and you can't sleep with yourself at night,

>> it's the wrong thing to do.

>> And I've used that guidance, it may sound simple,

>> but it's helped me a lot when someone's come up

>> and said, let's talk about that person, and I say,

>> I'm not going to feel good about myself

>> if I engage in this, so I'm just not going to.

>> Being able to extricate yourself from those types of situations,

>> and not involve yourself and always ending the day

>> going, I'm proud of what I did today,

>> will help keep you above the fray of the politics that

>> you don't want to be involved in.

Power and Leadership

11-1 Contrast leadership and power.

In organizational behavior (OB), **power** ⓘ refers to the capacity that *A* has to influence the behavior of *B* so that *B* acts in accordance with *A*'s wishes.² Someone can thus have power but not use it; it is a capacity or potential. Probably the most important aspect of power is that it is a function of **dependence** ⓘ. The greater *B*'s dependence on *A*, the greater *A*'s power in the relationship. Dependence, in turn, is based on alternatives that *B* perceives and the importance *B* places on the alternative(s) that *A* controls. A person can have power over you only if he or she controls something you desire. If you want a college degree and have to pass a certain course to get it, and your current instructor is the only faculty member in the college who teaches that course, she has power over you because your alternatives are highly limited and you place a high degree of importance on the outcome. Similarly, if you're attending college on funds provided by your parents, you probably recognize the power they hold over you. But once you're out of school, have a job, and are making a good income, your parents' power is reduced significantly.

Money is a powerful variable for dependence. Who among us has not heard of a rich relative who controls family members merely through the implicit or explicit threat of "writing them out of the will"? Another example is found on Wall Street, where portfolio manager Ping Jiang allegedly was able to coerce his subordinate, analyst Andrew Tong, into taking female hormones and wearing lipstick and makeup. Why such power? Jiang controlled Tong's access to day trading and thus his livelihood.³

A careful comparison of our description of power with our description of leadership in Chapter 13 reveals the concepts are closely intertwined. *Leaders* use *power* as a means of attaining group goals. How are the two terms, *leadership* and *power*, different? Power does not require goal compatibility, just dependence. Leadership, on the other hand, requires some congruence between the goals of the leader and those being led. A second difference relates to the direction of influence. Leadership research focuses on the downward influence on followers. It minimizes the importance of lateral and upward influence patterns. Power research takes all factors into consideration. For a third difference, leadership research often emphasizes style. It seeks answers to questions such as: "How supportive should a leader

be?” and “How much decision making should be shared with followers?” In contrast, the research on power focuses on tactics for gaining compliance. Leadership concentrates on the individual leader’s influence, while the study of power acknowledges that groups as well as individuals can use power to control other individuals or groups.

You may have noted that, for a power situation to exist, one person or group needs to have control over resources that the other person or group values. This is usually the case in established leadership situations. However, power relationships are possible in all areas of life, and power can be obtained in many ways. Let’s explore the various sources of power next.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

11.1.1 Which one of the following is not implied in the definition of power?

- ☐ influence
- ☐ potential
- ☐ dependency
- ☐ actualization

Check answer

Reset

11.1.2 Leadership focuses on the _____.

- ☐ importance of lateral and upward influence patterns
- ☐ elimination of dependency in relationships
- ☐ downward influence of a leader on his or her followers
- ☐ ways to increase a leader's following

Check answer

Reset

Bases of Power

11-2 Explain the three bases of formal power and the two bases of personal power.

Where does power come from? What gives an individual or a group influence over others? We answer these questions by dividing the bases or sources of power into two general groupings—formal and personal—and breaking down each into more specific categories.⁴

Formal Power

Formal power is based on an individual's position in an organization. It can come from the ability to coerce or reward, or from formal authority.

Coercive Power The **coercive power** ⓘ base depends on the target's fear of negative results from failing to comply. On the physical level, coercive power rests on the application, or the threat of application, of bodily distress through the infliction of pain, the restriction of movement, or the withholding of basic physiological or safety needs.

At the organizational level, *A* has coercive power over *B* if *A* can dismiss, suspend, or demote *B*, assuming *B* values her job. If *A* can assign *B* work activities *B* finds unpleasant, or treat *B* in a manner *B* finds embarrassing, *A* possesses coercive power over *B*. Coercive power comes also from withholding key information. People in an organization who have data or knowledge that others need can make others dependent on them. When subordinates are being abused by supervisors, coercive power is the main force that keeps them from retaliating.⁵

Reward Power The opposite of coercive power is **reward power** ⓘ, which people comply with because it produces positive benefits; someone who can distribute rewards that others view as valuable has power over them. These rewards can be financial—such as controlling pay rates, raises, and bonuses—or nonfinancial, including recognition, promotions, interesting work assignments, friendly colleagues, and preferred work shifts or sales territories.⁶

Legitimate Power In formal groups and organizations, probably the most common access

to one or more of the power bases is through **legitimate power** ⓘ. It represents the formal authority to control and use organizational resources based on the person's structural position in the organization.

Legitimate power is broader than the power to coerce and reward. Specifically, it includes members' acceptance of the authority of a hierarchical position. We associate power so closely with the concept of hierarchy that just drawing longer lines in an organization chart leads people to infer the leaders are especially powerful.⁷ In general, when school principals, bank presidents, or army captains speak, teachers, tellers, and first lieutenants usually comply.

Personal Power

Many of the most competent and productive chip designers at Intel have power, but they aren't managers and they have no formal power. What they have is *personal power*, which comes from an individual's unique characteristics.⁸ There are two bases of personal power: expertise and the respect and admiration of others. Personal power is not mutually exclusive from formal power, but it can be independent.

Expert Power **Expert power** ⓘ is influence wielded as a result of expertise, special skills, or knowledge.⁹ As jobs become more specialized, we become dependent on experts to achieve goals. It is generally acknowledged that physicians have expertise and hence expert power: Most of us follow our doctor's advice. Computer specialists, tax accountants, economists, industrial psychologists, and other specialists wield power as a result of their expertise.



Internet entrepreneur Mark Zuckerberg, cofounder and CEO of Facebook, has expert power. Shown here talking with employees, Zuckerberg earned the title “software guy” during college because of his expertise in computer programming. Today, Facebook depends on his expertise to achieve company goals.

Source: Tony Avelar/FR155217/AP Images

Referent Power **Referent power** ⓘ is based on identification with a person who has desirable resources or personal traits.¹⁰ If I like, respect, and admire you, you can exercise power over me because I want to please you.

Referent power develops out of admiration of another and a desire to be like that person. It helps explain, for instance, why celebrities are paid millions of dollars to endorse products in commercials. Marketing research shows people such as LeBron James and Tom Brady have the power to influence your choice of athletic shoes and credit cards. With a little practice, you and I could probably deliver as smooth a sales pitch as these celebrities, but the buying public doesn’t identify with us. Some people who are not in formal leadership positions have referent power and exert influence over others because of their charismatic dynamism, likability, and emotional appeal.¹¹

Which Bases of Power Are Most Effective?

Of the three bases of formal power (coercive, reward, legitimate) and two bases of personal power (expert, referent), which are most important? Research suggests the personal sources

of power are most effective. Both expert and referent power are positively related to employees' satisfaction with supervision, their organizational commitment, and their performance, whereas reward and legitimate power seem to be unrelated to these outcomes. One source of formal power—coercive power—can be damaging.

Referent power can be a powerful motivator. Consider Steve Stoute's company, Translation, which matches pop-star spokespersons with corporations that want to promote their brands. Stoute has paired Justin Timberlake with McDonald's, Beyoncé with Tommy Hilfiger, and Jay-Z with Reebok. Stoute's business seems to be all about referent power. His firm aims to use the credibility of artists and performers to reach youth culture.¹² The success of these well-known companies attests to Stoute's expectation that the buying public identifies with and emulates his spokespersons and therefore thinks highly of the represented brands.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

11.2.1 You know that the vice-president has the authority to accept or reject your report. This is part of his _____ power.

- ☐ reward
- ☐ coercive
- ☐ expert
- ☐ legitimate

Check answer

Reset

11.2.2 The opposite of coercive power is _____ power.

- referent
- reward
- legitimate

☐ charismatic

Check answer

Reset

Dependence: The Key to Power

11-3 Explain the role of dependence in power relationships.

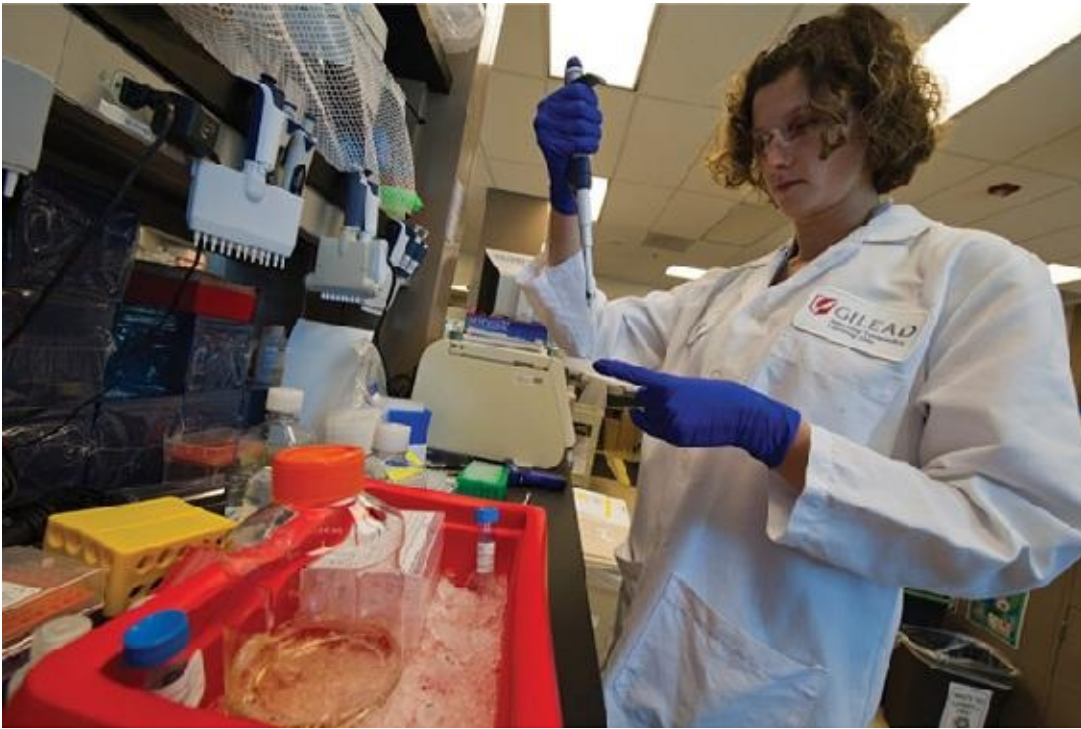
The most important aspect of power is that it is a function of dependence. In this section, we show how understanding dependence helps us understand the degrees of power.

The General Dependence Postulate

Let's begin with a general postulate: *The greater B's dependence on A, the more power A has over B.* When you possess anything others require that you alone control, you make them dependent on you and therefore you gain power over them.¹³ As the old saying goes, "In the land of the blind, the one-eyed man is king!" But if something is plentiful, possessing it will not increase your power. Therefore, the more you can expand your own options, the less power you place in the hands of others. This explains why most organizations develop multiple suppliers rather than give their business to only one. It also explains why so many people aspire to financial independence. Independence reduces the power others can wield to limit our access to opportunities and resources.

What Creates Dependence?

Dependence increases when the resource you control is important, scarce, and nonsubstitutable.¹⁴



Scientist Maria Kovalenko is in a position of power at Gilead Sciences, a research-based biopharmaceutical firm. Scientists are in a powerful occupational group at Gilead because they discover and develop medicines that improve the lives of patients and contribute to Gilead's growth and success.

Source: David Paul Morris/Bloomberg/Getty Images

Importance If nobody wants what you have, it's not going to create dependence. Note, however, that there are many degrees of importance, from needing the resource for survival to wanting a resource that is in fashion or adds to convenience.

Scarcity Ferruccio Lamborghini, who created the exotic supercars that still carry his name, understood the importance of scarcity and used it to his advantage during World War II. When Lamborghini was in Rhodes with the Italian army, his superiors were impressed with his mechanical skills because he demonstrated an almost uncanny ability to repair tanks and cars no one else could fix. After the war, he admitted his ability was largely due to his having been the first person on the island to receive the repair manuals, which he memorized and then destroyed to make himself indispensable.¹⁵

We see the scarcity–dependence relationship in the power situation of employment. Where the supply of labor is low relative to demand, workers can negotiate compensation and benefits packages far more attractive than those in occupations with an abundance of candidates. For example, today, college administrators have no problem finding English instructors because there is a high supply and low demand. In contrast, the market for

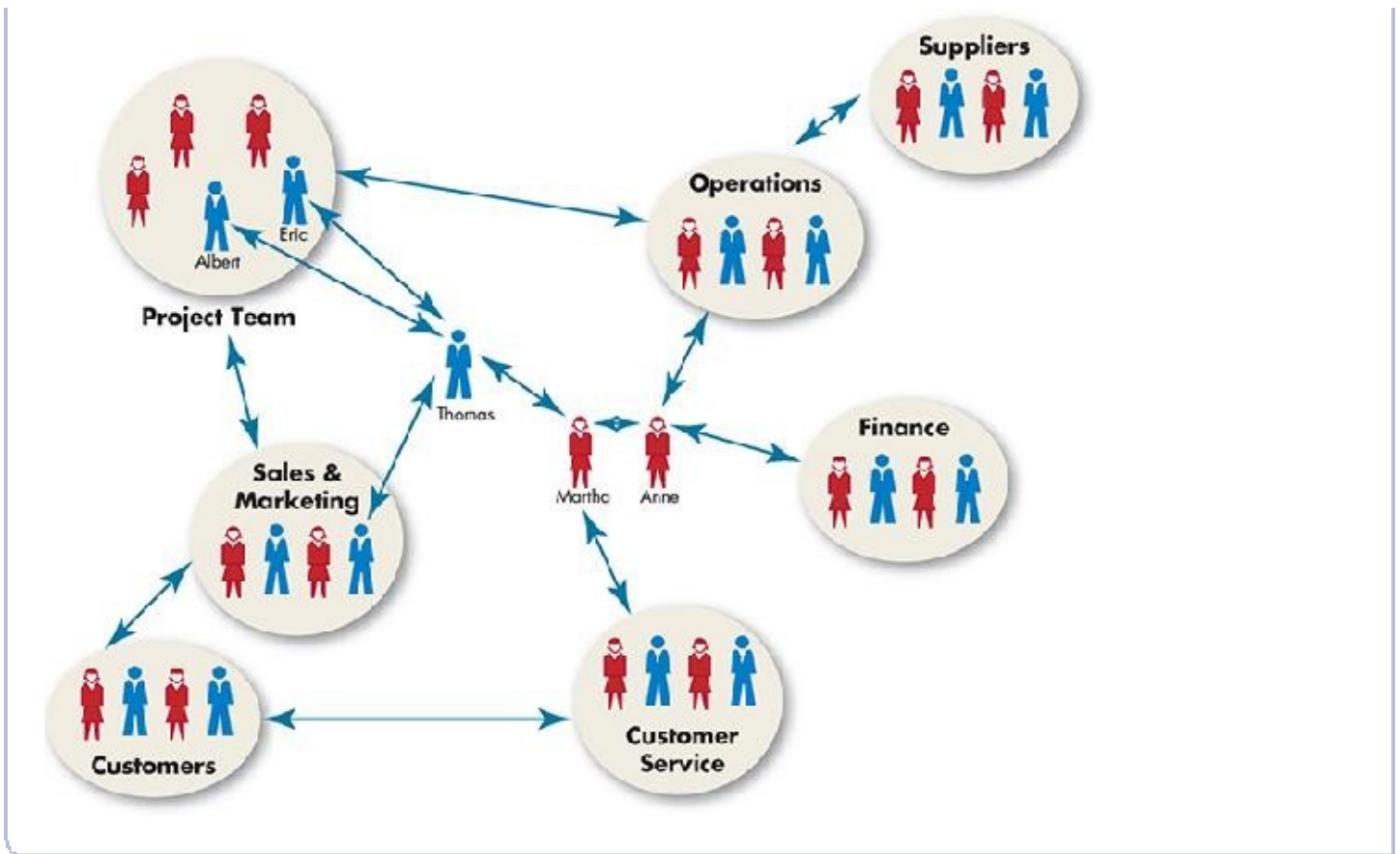
network systems analysts is comparatively tight, with demand high and supply limited. The resulting bargaining power of computer-engineering faculty members allows them to negotiate higher salaries, lighter teaching loads, and other benefits.

Nonsubstitutability The fewer viable substitutes for a resource, the more power a person controlling that resource has. At universities that value faculty publishing, for example, the more recognition the faculty member receives through publication, the more control that person has because other universities want faculty members who are highly published and visible.

Social Network Analysis: A Tool for Assessing Resources

One tool to assess the exchange of resources and dependencies within an organization is *social network analysis*.¹⁶ This method examines patterns of communication among organizational members to identify how information flows between them. Within a social network, or connections between people who share professional interests, each individual or group is called a node, and the links between nodes are called ties. When nodes communicate or exchange resources frequently, they are said to have very strong ties. Other nodes that are not engaged in direct communication with one another achieve resource flows through intermediary nodes. In other words, some nodes act as brokers between otherwise unconnected nodes. A graphical illustration of the associations among individuals in a social network is called a *sociogram* and functions like an informal version of an organization chart. The difference is that a formal organization chart shows how authority is supposed to flow, whereas a sociogram shows how resources *really* flow in an organization. An example of a sociogram is shown in Exhibit 11-1.

Exhibit 11-1 An Organizational Sociogram



Networks can create substantial power dynamics, such as enforcing norms (see Chapter 9) or creating change within an organization. Thus, employees who have many connections to an organizational social network are less likely to engage in corruption.¹⁷ Those in the position of brokers tend to have more power because they can leverage the unique resources they can acquire from different groups. In other words, many people depend on brokers, which gives the brokers more power. For example, organizational culture changes such as corporate social responsibility (CSR) awareness often begin in a single connected group of individuals, grow in strength, and then slowly move to other connected groups through brokers over time.¹⁸ Data from the United Kingdom's National Health Service show that change agents—people entrusted with helping an organization to make a significant change—have more success if they are information brokers.¹⁹ These functions are not without cost, however. One study found that people identified as central to advice networks were more likely to quit their jobs, possibly because they did a great deal of extra work without reward.²⁰

A social network analysis in an organization can be implemented in many ways.²¹ Some organizations keep track of the flow of e-mail communications or document sharing across

departments. These big-data tools are an easy way to gather objective information about how individuals exchange information. Other organizations look at data from human resources (HR) information systems, analyzing how supervisors and subordinates interact with one another. These data sources can produce sociograms showing how resources and power flow. Leaders can then identify powerful brokers who exert the strongest influence on many groups, and address these key individuals.

Power Tactics

11-4 Identify power or influence tactics and their contingencies.

What **power tactics** ⓘ do people use to translate power bases into specific action? What options do they have for influencing their bosses, coworkers, or employees? Research has identified nine distinct influence tactics:²²

- *Legitimacy*. Relying on your authority position or saying that a request is in accordance with organizational policies or rules.
- *Rational persuasion*. Presenting logical arguments and factual evidence to demonstrate that a request is reasonable.
- *Inspirational appeals*. Developing emotional commitment by appealing to a target's values, needs, hopes, and aspirations.
- *Consultation*. Increasing support by involving the target in deciding how to accomplish your plan.
- *Exchange*. Rewarding the target with benefits or favors in exchange for acceding to a request.
- *Personal appeals*. Asking for compliance based on friendship or loyalty.
- *Ingratiation*. Using flattery, praise, or friendly behavior prior to making a request.
- *Pressure*. Using warnings, repeated demands, and threats.
- *Coalitions*. Enlisting the aid or support of others to persuade the target to agree.

Using Power Tactics

Some tactics are more effective than others. Rational persuasion, inspirational appeals, and consultation tend to be the most effective, especially when the audience is highly interested in the outcomes of a decision process. The pressure tactic tends to backfire and is typically the least effective of the nine.²³ You can increase your chance of success by using two or more tactics together or sequentially, as long as your choices are compatible.²⁴ Using ingratiation and legitimacy together can lessen negative reactions, but only when the audience does not really care about the outcome of a decision process or the policy is

routine.²⁵

Let’s consider the most effective way of getting a raise. You can start with a rational approach—figure out how your pay compares to that of your organizational peers, land a competing job offer, gather data that testify to your performance, or use salary calculators like Salary.com to compare your pay with others in your occupation—then share your findings with your manager. The results can be impressive. Kitty Dunning, a vice president at Don Jagoda Associates, landed a 16 percent raise when she e-mailed her boss numbers showing she had increased sales.²⁶

Exhibit 11-2

Preferred Power Tactics by Influence Direction

Upward Influence	Downward Influence	Lateral Influence
Rational persuasion	Rational persuasion	Rational persuasion
	Inspirational appeals	Consultation
	Pressure	Ingratiation
	Consultation	Exchange
	Ingratiation	Legitimacy
	Exchange	Personal appeals
	Legitimacy	Coalitions

While rational persuasion may work in this situation, the effectiveness of some influence tactics depends on the direction of influence,²⁷ and of course on the audience. As Exhibit 11-2 shows, rational persuasion is the only tactic effective across organizational levels. Inspirational appeals work best as a downward-influencing tactic with subordinates. When pressure works, it’s generally downward only. Personal appeals and coalitions are most effective as lateral influence. Other factors relating to the effectiveness of influence include the sequencing of tactics, a person’s skill in using the tactic, and the organizational culture.

In general, you’re more likely to be effective if you begin with “softer” tactics that rely on personal power, such as personal and inspirational appeals, rational persuasion, and consultation. If these fail, you can move to “harder” tactics, such as exchange, coalitions, and pressure, which emphasize formal power and incur greater costs and risks.²⁸ A single soft

tactic is more effective than a single hard tactic, and combining two soft tactics or a soft tactic and rational persuasion is more effective than any single tactic or combination of hard tactics.²⁹

As we mentioned, the effectiveness of tactics depends on the audience.³⁰ People especially likely to comply with soft power tactics tend to be more reflective and intrinsically motivated; they have high self-esteem and a greater desire for control. Those likely to comply with hard power tactics are more action-oriented and extrinsically motivated, and more focused on getting along with others than on getting their own way.

Cultural Preferences for Power Tactics



Preference for power tactics varies across cultures.³¹ Those from individualist countries tend to see power in personalized terms and as a legitimate means of advancing their personal ends, whereas those in collectivist countries see power in social terms and as a legitimate means of helping others.³² A study comparing managers in the United States and China found U.S. managers preferred rational appeal, whereas Chinese managers preferred coalition tactics.³³ Reason-based tactics are consistent with the U.S. preference for direct confrontation and rational persuasion to influence others and resolve differences, while coalition tactics align with the Chinese preference for meeting difficult or controversial requests with indirect approaches.

Applying Power Tactics

People differ in their **political skill** ⓘ, or their ability to influence others to attain their own objectives. The politically skilled are more effective users of all influence tactics, leading to many positive outcomes in the workplace. People who are politically skilled have higher self-efficacy, job satisfaction, work productivity, and career success. They are less likely to be victims of workplace aggression. Political skill is also more effective when the stakes are high, such as when the individual is accountable for important organizational outcomes. Finally, the politically skilled are able to exert their influence without others detecting it, a key element in effectiveness (it's damaging to be labeled political).³⁴ These individuals are able to use their political skills in environments with low levels of procedural and distributive justice. Politically skilled individuals tend to receive higher performance ratings when they

ask strategically for feedback in a way that enhances their image in the organization.³⁵ However, when an organization has fairly applied rules, free of favoritism or biases, political skill is actually negatively related to job performance ratings.³⁶

We know cultures within organizations differ markedly—some are warm, relaxed, and supportive; others are formal and conservative. Some encourage participation and consultation, some encourage reason, and still others rely on pressure. People who fit the culture of the organization tend to obtain more influence.³⁷ Specifically, extraverts tend to be more influential in team-oriented organizations, and highly conscientious people are more influential in organizations that value working alone on technical tasks. People who fit the culture are influential because they can perform especially well in the domains deemed most important for success. Thus, the organization itself influences which subset of power tactics is viewed as acceptable for use.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

11.4.1 Power tactics are defined as _____.

- ☐ approaches for influencing goal-setting
- ☐ techniques for translating power bases into specific action
- ☐ strategies for gathering and maintaining support
- ☐ characteristics of organizational structure

Check answer

Reset

11.4.2 Reactive and protective behaviors designed to avoid action, blame, or change are termed _____.

- zero-sum approach
- defensive behaviors
- protectionism

☐ impression management

Check answer

Reset

How Power Affects People

11-5 Identify the causes and consequences of abuse of power.

Until this point, we've discussed what power is and how it is acquired. But we've not yet answered one important question: "Does power corrupt?"

There is certainly evidence that there are corrupting aspects of power. Power leads people to place their own interests ahead of others' needs or goals. Why does this happen? Power not only leads people to focus on their self-interests because they can, it liberates them to focus inward and thus come to place greater weight on their own aims and interests. Power also appears to lead individuals to "objectify" others (to see them as tools to obtain their instrumental goals) and to see relationships as more peripheral.³⁸

That's not all. Powerful people react—especially negatively—to any threats to their competence. People in positions of power hold on to power when they can, and individuals who face threats to their power are exceptionally willing to take actions to retain it whether their actions harm others or not. Those given power are more likely to make self-interested decisions when faced with a moral hazard, such as when hedge fund managers take more risks with other people's money because they're rewarded for gains but less often punished for losses. People in power are more willing to denigrate others. Power also leads to overconfident decision making.³⁹

Frank Lloyd Wright, perhaps the greatest U.S. architect, is a good example of power's corrupting effects. Early in his career, Wright worked for and was mentored by a renowned architect, Louis Sullivan (sometimes known as the father of the skyscraper). Before Wright achieved greatness, he was generous in his praise for Sullivan. Later in his career, that praise faded, and Wright even took credit for one of Sullivan's noted designs. Wright was never a benevolent man, but as his power accumulated, so did his potential to behave in a "monstrous" way toward others.⁴⁰

Power Variables

As we've discussed, power does appear to have some important disturbing effects on us. But that is hardly the whole story—power is more complicated than that. It doesn't affect

everyone in the same way, and there are even positive effects of power. Let's consider each of these in turn.

First, the toxic effects of power depend on the wielder's personality. Research suggests that if we have an anxious personality, power does not corrupt us because we are less likely to think that using power benefits us.⁴¹ Second, the corrosive effect of power can be contained by organizational systems. One study found, for example, that while power made people behave in a self-serving manner, when accountability for this behavior was initiated, the self-serving behavior stopped. Third, we have the means to blunt the negative effects of power. One study showed that simply expressing gratitude toward powerful others makes them less likely to act aggressively against us. Finally, remember the saying that those with little power abuse what little they have? There seems to be some truth to this in that the people most likely to abuse power are those who start low in status and gain power. Why? It appears having low status is threatening, and the fear this creates is used in negative ways if power is later given.⁴²

As you can see, some factors can moderate the negative effects of power. But there can be general positive effects. Power energizes and increases motivation to achieve goals. It can also enhance our motivation to help others. One study found, for example, that a desire to help others translated into actual work behavior when people felt a sense of power.⁴³

This study points to an important insight about power. It is not so much that power corrupts as it *reveals what we value*. Supporting this line of reasoning, another study found that power led to self-interested behavior only in those with a weak moral identity (the degree to which morals are core to someone's identity). In those with a strong moral identity, power enhanced their moral awareness and willingness to act.⁴⁴

Sexual Harassment: Unequal Power in the Workplace



Sexual harassment ⓘ is defined as any unwanted activity of a sexual nature that

affects an individual's employment or creates a hostile work environment. According to the U.S. Equal Employment Opportunity Commission (EEOC), sexual harassment happens when a person encounters "unwelcome sexual advances, requests for sexual favors, and other verbal or physical conduct of a sexual nature" on the job that disrupts work performance or that creates an "intimidating, hostile, or offensive" work environment.⁴⁵ Although the definition changes from country to country, most nations have at least some policies to

protect workers. Whether the policies or laws are followed is another question, however. Equal employment opportunity legislation is established in Pakistan, Bangladesh, and Oman, for example, but studies suggest it might not be well implemented.⁴⁶



Generally, sexual harassment is more prevalent in male-dominated societies. For example, a study in Pakistan found that up to 93 percent of female workers were sexually harassed.⁴⁷ In Singapore, up to 54 percent of workers (women and men) reported they were sexually harassed.⁴⁸ The percentages in the United States and some other countries are generally much lower but still troubling. Surveys indicate about one-quarter of U.S. women and 10 percent of men have been sexually harassed.⁴⁹ Data from the EEOC suggest that sexual harassment is decreasing: Sexual harassment claims now make up 10 percent of all discrimination claims, compared with 20 percent in the mid-1990s. Of this percentage, though, claims from men have increased from 11 percent of total claims in 1997 to 17.5 percent today.⁵⁰ Sexual harassment is disproportionately prevalent for women in certain types of jobs. In the restaurant industry, for instance, 80 percent of female wait staff reported having been sexually harassed by coworkers or customers, compared to 70 percent of male wait staff.⁵¹



A federal jury awarded this woman a \$95 million judgment in a sexual harassment lawsuit against her employer for harassment from her supervisor that included unwanted physical contact. The jury found the supervisor guilty of assault and

battery, and the company liable for negligent supervision and sexual harassment.

Source: Bill Greenblatt/UPI/Newscom



Most studies confirm that power is central to understanding sexual harassment.⁵²

This seems true whether the harassment comes from a supervisor, coworker, or employee. And sexual harassment is more likely to occur when there are large power differentials. The supervisor–employee dyad best characterizes an unequal power relationship, where formal power gives the supervisor the capacity to reward and coerce. Because employees want favorable performance reviews, salary increases, and the like, supervisors control resources most employees consider important and scarce. When there aren't effective controls to detect and prevent sexual harassment, abusers are more likely to act. For example, male respondents in one study in Switzerland who were high in hostile sexism reported higher intentions to engage in sexual harassment in organizations that had low levels of justice, suggesting that failure to have consistent policies and procedures for all employees might increase levels of sexual harassment.⁵³

Sexual harassment can have a detrimental impact on individuals and the organization, but it can be avoided. The manager's role is critical:

1. *Make sure an active policy defines what constitutes sexual harassment, informs employees they can be fired for inappropriate behavior, and establishes procedures for making complaints.*
2. *Reassure employees that they will not encounter retaliation if they file a complaint.*
3. *Investigate every complaint, and inform the legal and HR departments.*
4. *Make sure offenders are disciplined or terminated.*
5. *Set up in-house seminars to raise employee awareness of sexual harassment issues.*

The bottom line is that managers have a responsibility to protect their employees from a hostile work environment. They may easily be unaware that one of their employees is being sexually harassed, but being unaware does not protect them or their organization. If investigators believe a manager could have known about the harassment, both the manager and the company can be held liable.

Politics: Power in Action

11-6 Describe how politics work in organizations.

Whenever people get together in groups, power will be exerted. People in organizations want to carve out a niche to exert influence, earn rewards, and advance their careers. If they convert their power into action, we describe them as being engaged in *politics*. Those with good political skills have the ability to use their bases of power effectively.⁵⁴ Politics are not only inevitable; they might be essential, too (see OB Poll).

Definition of Organizational Politics

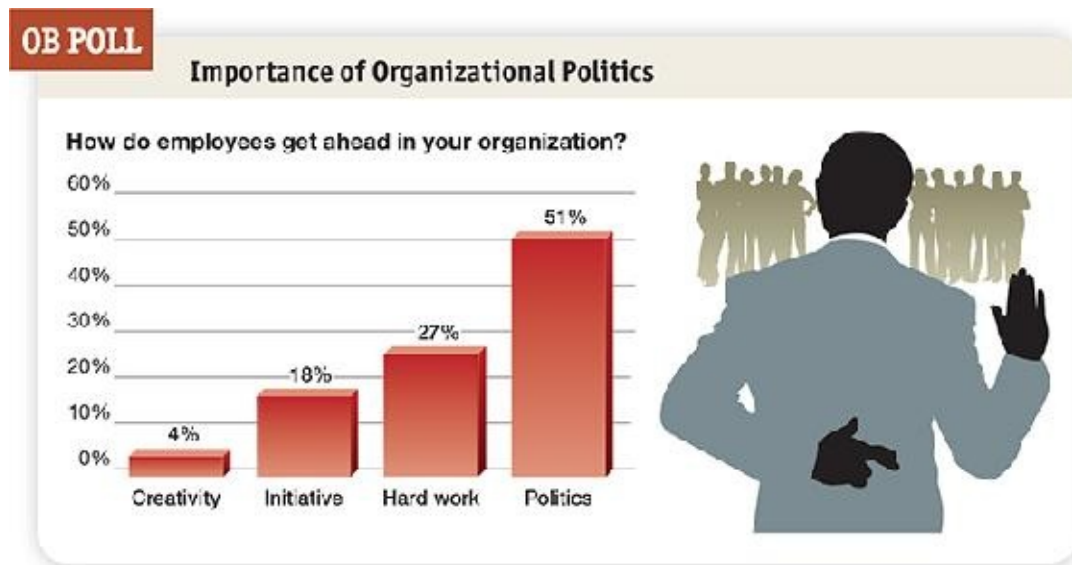
There is no shortage of definitions of *organizational politics*. Essentially, this type of politics focuses on the use of power to affect decision making in an organization, sometimes for self-serving and organizationally unsanctioned behaviors.⁵⁵ For our purposes, **political behavior** ⓘ in organizations consists of activities that are not required as part of an individual's formal role but that influence, or attempt to influence, the distribution of advantages and disadvantages within the organization.⁵⁶

This definition encompasses what most people mean when they talk about organizational politics. Political behavior is outside specified job requirements. It requires some attempt to use power bases. It includes efforts to influence the goals, criteria, or processes used for decision making. Our definition is broad enough to include varied political behaviors such as withholding key information from decision makers, joining a coalition, whistle-blowing, spreading rumors, leaking confidential information to the media, exchanging favors with others for mutual benefit, and lobbying on behalf of or against a particular individual or decision alternative. In this way, political behavior is often negative, but not always.

The Reality of Politics

Interviews with experienced managers show that most believe political behavior is a major part of organizational life.⁵⁷ Many managers report some use of political behavior is ethical, as long as it doesn't directly harm anyone else. They describe politics as necessary and believe someone who never uses political behavior will have a hard time getting things done.

Most also indicate that they have never been trained to use political behavior effectively. But why, you may wonder, must politics exist? Isn't it possible for an organization to be politics-free? It's *possible*—but unlikely.



Source: Based on D. Crampton, "Is How Americans Feel about Their Jobs Changing?" (September 28, 2012), <http://corevalues.com/employee-motivation/is-how-americans-feel-about-their-jobs-changing>.



Whistle-blower Michael Woodford was fired from his position as CEO of Japanese camera-maker Olympus after informing company officials about accounting irregularities. Although not part of his job, Woodford uncovered a 13-year accounting

fraud by some company executives.

Source: Luke McGregor/Reuters

Organizations have individuals and groups with different values, goals, and interests.⁵⁸ This sets up the potential for conflict over the allocation of limited resources, such as budgets, work space, and salary and bonus pools. If resources were abundant, all constituencies within an organization could satisfy their goals. But because they are limited, not everyone's interests can be satisfied. Furthermore, gains by one individual or group are often *perceived* as coming at the expense of others within the organization (whether they are or not). These forces create competition among members for the organization's limited resources.

Maybe the most important factor leading to politics within organizations is the realization that most of the "facts" used to allocate limited resources are open to interpretation. When allocating pay based on performance, for instance, what is *good* performance? What's an *adequate* improvement? What constitutes an *unsatisfactory* job? The manager of any major league baseball team knows a .400 hitter is a high performer and a .125 hitter is a poor performer. You don't need to be a baseball genius to know you should play your .400 hitter and send the .125 hitter back to the minors. But what if you have to choose between players who hit .280 and .290? Then less objective factors come into play: fielding expertise, attitude, potential, ability to perform in a clutch, loyalty to the team, and so on. More managerial decisions resemble the choice between a .280 and a .290 hitter than between a .125 hitter and a .400 hitter. It is in this large and ambiguous middle ground of organizational life—where the facts don't speak for themselves—that politics flourish.

Because most decisions have to be made in a climate of ambiguity—where facts are rarely objective and thus open to interpretation—people within organizations will use whatever influence they can to support their goals and interests. That, of course, creates the activities we call *politicking*. One person's "selfless effort to benefit the organization" is seen by another as a "blatant attempt to further his or her interest."⁵⁹

Therefore, to answer the question of whether it is possible for an organization to be politics-free, we can say yes—if all members of that organization hold the same goals and interests, if organizational resources are not scarce, and if performance outcomes are completely clear and objective. But that doesn't describe the organizational world in which most of us live.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

11.6.1 If an individual _____, then he is less likely to engage in illegitimate political behavior.

- ☐ has invested a lot in the organization in terms of time and efforts
- ☐ possesses a scarce skill or knowledge
- ☐ has influential contacts outside the organization
- ☐ does not expect any future benefits from the organization

Check answer

Reset

11.6.2 To avoid politicking during performance evaluations, an organization should _____.

- ☐ use subjective criteria
- ☐ use democratic decision making
- ☐ use a single outcome measure
- ☐ use objective criteria

Check answer

Reset

The Causes and Consequences of Political Behavior

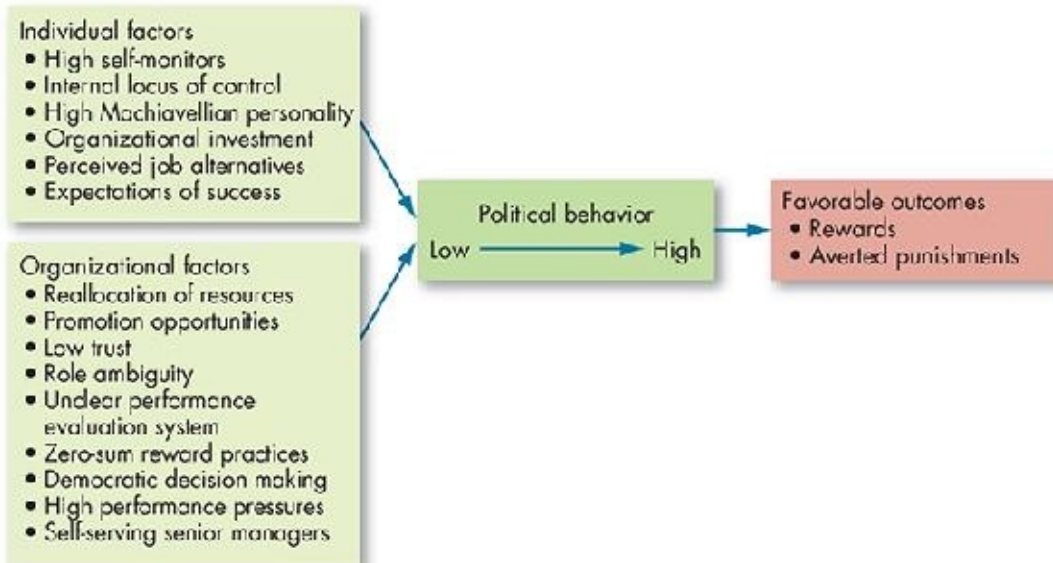
11-7 Identify the causes, consequences, and ethics of political behavior.

Now that we've discussed the constant presence of politicking in organizations, let's discuss the causes and consequences of these behaviors.

Factors Contributing to Political Behavior

Not all groups or organizations are equally political. In some organizations, politicking is overt and rampant, while in others politics plays a small role in influencing outcomes. Why this variation? Research and observation have identified a number of factors that appear to encourage political behavior. Some are individual characteristics, derived from the qualities of the people employed by the organization; others are a result of the organization's culture or internal environment. Exhibit 11-3 illustrates how both individual and organizational factors can increase political behavior and provide favorable outcomes (increased rewards and averted punishments) for individuals and groups in the organization.

Exhibit 11-3 Factors That Influence Political Behavior



Individual Factors At the individual level, researchers have identified certain personality traits, needs, and other factors likely to be related to political behavior. In terms of traits, we find that employees who are high self-monitors, possess an internal locus of control, and have a high need for power are more likely to engage in political behavior. The high self-monitor is more sensitive to social cues, exhibits higher levels of social conformity, and is more likely to be skilled in political behavior than the low self-monitor. Because they believe they can control their environment, individuals with an internal locus of control are more prone to take a proactive stance and attempt to manipulate situations in their favor. Not surprisingly, the Machiavellian personality trait—characterized by the will to manipulate and the desire for power—is consistent with using politics as a means to further personal interests.

An individual's investment in the organization and perceived alternatives influence the degree to which he or she will pursue illegitimate means of political action.⁶⁰ The more a person expects increased future benefits from the organization, and the more that person has to lose if forced out, the less likely he or she is to use illegitimate means. Conversely, the more alternate job opportunities an individual has—due to a favorable job market, possession of scarce skills or knowledge, prominent reputation, or influential contacts outside the organization—the more likely the person is to employ politics.

An individual with low expectations of success from political means is unlikely to use them. High expectations from such measures are most likely to be the province of both experienced and powerful individuals with polished political skills, and inexperienced and naïve employees who misjudge their chances.



Some individuals engage in more political behavior because they simply are better at it. Such individuals read interpersonal interactions well, fit their behavior to situational needs, and excel at networking.⁶¹ These people are often indirectly rewarded for their political efforts. For example, a study of a construction firm in southern China found that politically skilled subordinates were more likely to receive recommendations for rewards from their supervisors and that politically oriented supervisors were especially likely to respond positively to politically skilled subordinates.⁶² Other studies from countries around the world have also shown that higher levels of political skill are associated with higher levels of perceived job performance.⁶³

Organizational Factors Although we acknowledge the role that individual differences can play, the evidence more strongly suggests that certain situations and cultures promote politics. Specifically, when an organization's resources are declining, when the existing pattern of resources is changing, and when there is opportunity for promotions, politicking is more likely to surface.⁶⁴ When resources are reduced, people may engage in political actions to safeguard what they have. Also, *any* changes, especially those implying significant reallocation of resources within the organization, are likely to stimulate conflict and increase politicking.

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Cultures characterized by low trust, role ambiguity, unclear performance evaluation systems, zero-sum (win–lose) reward allocation practices, democratic decision making, high pressure for performance, and self-serving senior managers will also create breeding grounds for politicking.⁶⁵ Because political activities are not required as part of the employee's formal role, the greater the role ambiguity, the more employees can engage in unnoticed political activity. Role ambiguity means that the prescribed employee behaviors are not clear; therefore, there are fewer limits to the scope and functions of the employee's political actions.

Career OBjectives

Should I become political?

My office is so political! Everyone is just looking for ways to get ahead by plotting and scheming rather than doing the job. Should I just go along with it and develop my own political strategy?

— *Julia*

Dear Julia:

There's definitely a temptation to join in when other people are behaving politically. If you want to advance your career, you need to think about social relationships and how to work with other people in a smart and diplomatic way. But that doesn't mean you have to give in to pressure to engage in organizational politics.

Of course, in many workplaces, hard work and achievement aren't recognized, which heightens politicking and lowers performance. But politics aren't just potentially bad for the company. People who are seen as political can be gradually excluded from social networks and informal communication. Coworkers can sabotage a person with a reputation for dishonesty or manipulation so they don't have to deal with him or her. It's also likely that a political person will be the direct target of revenge from those who feel they've been wronged.

If you want to provide a positive alternative to political behavior in your workplace, there are a few steps you can take:

- *Document your work efforts, and find data to back up your accomplishments.* Political behavior thrives in an ambiguous environment where standards for success are subjective and open to manipulation. The best way to shortcut politics is to move the focus toward clear, objective markers of work performance.
- *Call out political behavior when you see it.* Political behavior is, by its very nature, secretive and underhanded. By bringing politics to light, you limit this capacity to manipulate people against one another.
- *Try to develop a network with only those individuals who are interested in performing well together.* This makes it hard for a very political person to get a lot done. On the other hand, trustworthy and cooperative people will be able to find many allies who are genuinely supportive. These support networks will result in performance levels that a lone political person simply cannot match.

Remember, in the long run a good reputation can be your greatest asset!

Sources: Based on A. Lavoie "How to Get Rid of Toxic Office Politics," *Fast Company*, April 10, 2014, <http://www.fastcompany.com/3028856/work-smart/how-to-make-office-politicking-a-lame-duck>; C. Conner, "Office Politics: Must You Play?," *Forbes*, April 14, 2013, <http://www.forbes.com/sites/cherylsnappconner/2013/04/14/office-politics-must-you-play-a-handbook-for-survivalsuccess/>; and J. A. Colquitt and J. B. Rodell, "Justice, Trust, and Trustworthiness: A Longitudinal Analysis

Integrating Three Theoretical Perspectives,” *Academy of Management Journal* 54 (2011): 1183–206.

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The more an organizational culture emphasizes the zero-sum or win–lose approach to reward allocations, the more employees will be motivated to engage in politicking. The **zero-sum approach** ⓘ treats the reward “pie” as fixed, so any gain one person or group achieves comes at the expense of another person or group. For example, if \$15,000 is distributed among five employees for raises, any employee who gets more than \$3,000 takes money away from one or more of the others. Such a practice encourages making others look bad and increasing the visibility of what you do.

There are also political forces at work in the relationships *between* organizations, where politics work differently depending on the organizational cultures.⁶⁶ One study showed that when two organizations with very political environments interacted with one another, the political interactions between them hurt performance in collaborative projects. On the other hand, when companies with less internal political behavior interacted with one another, even political disputes between them did not lead to lower performance in collaborative projects. This study shows companies should be wary of forming alliances with companies that have high levels of internal political behavior.



Organizations foster politicking when they reduce resources. By announcing plans to downsize its global workforce of 100,000 employees in an effort to increase its competitiveness, French pharmaceutical firm Sanofi stimulated political activity among employees who organized protests against the job cuts.

Source: Robert Pratta/Reuters

Myth or Science?

Powerful Leaders Keep Their (Fr)Enemies Close

This statement appears to be true.

We all have heard the term *frenemies* to describe friends who are also rivals or people who act like friends but secretly dislike each other. Some observers have argued that frenemies are increasing at work due to the “abundance of very close, intertwined relationships that bridge people’s professional and personal lives.”

Keeping enemies close may be one reason Barack Obama appointed Hillary Clinton secretary of state after their bitter battle for the U.S. presidency, or in the business world, why one entrepreneur decided not to sue a former college classmate who, after working for her startup as a consultant, took that knowledge and started his own,

competing company.

Is it really wise to keep your enemies close? And, if so, why?

New research suggests answers to these questions. Three experimental studies found individuals chose to work in the same room as their rival even when informed they would probably perform better apart, sit closer to rivals when working together, and express an explicit preference to be closer to the rival. The researchers further found the primary reason for the “being closer” effect was the desire to monitor the rival’s behavior and performance.

The researchers also found the “keeping enemies closer” effect was strong under certain conditions—when the individual was socially dominant, when the individual felt more competition from the team member, and when rewards and the ability to serve as leader were dependent on performance.

These results suggest the concept of frenemies is very real and that we choose to keep our rivals close so we can keep an eye on the competition they bring.

Sources: Based on M. Thompson, “How to Work with Your Startup Frenemies,” *VentureBeat*, December 22, 2012, <http://venturebeat.com/2012/12/22/frenemies/>; and N. L. Mead and J. K. Maner, “On Keeping Your Enemies Close: Powerful Leaders Seek Proximity to Ingroup Power Threats,” *Journal of Personality and Social Psychology* 102 (2012): 576–91.

How Do People Respond to Organizational Politics?

Trish loves her job as a writer on a weekly U.S. television comedy series but hates the internal politics. “A couple of the writers here spend more time kissing up to the executive producer than doing any work. And our head writer clearly has his favorites. While they pay me a lot and I get to really use my creativity, I’m sick of having to be on alert for backstabbers and constantly having to self-promote my contributions. I’m tired of doing most of the work and getting little of the credit.” We all know friends or relatives like Trish who regularly complain about the politics at their jobs. But how do people in general react to organizational politics? Let’s look at the evidence.



For most people who have modest political skills or are unwilling to play the politics game, outcomes tend to be predominantly negative. See Exhibit 11-4 for a diagram of

this situation. However, very strong evidence indicates perceptions of organizational politics are negatively related to job satisfaction.⁶⁷ Politics may lead to self-reported declines in employee performance, perhaps because employees perceive political environments to be unfair, which demotivates them.⁶⁸ Not surprisingly, when politicking becomes too much to handle, it can lead employees to quit.⁶⁹ When employees of two agencies in a study in Nigeria viewed their work environments as political, they reported higher levels of job distress and were less likely to help their coworkers. Thus, although developing countries such as Nigeria present perhaps more ambiguous and therefore more political environments in which to work, the negative consequences of politics appear to be the same as in the United States.⁷⁰

Exhibit 11-4 Employee Responses to Organizational Politics



There are some qualifiers. First, the politics–performance relationship appears to be moderated by an individual’s understanding of the hows and whys of organizational politics. Researchers noted, “An individual who has a clear understanding of who is responsible for

making decisions and why they were selected to be the decision makers would have a better understanding of how and why things happen the way they do than someone who does not understand the decision-making process in the organization.”⁷¹ When both politics and understanding are high, performance is likely to increase because these individuals see political activity as an opportunity. This is consistent with what you might expect for individuals with well-honed political skills. But when understanding is low, individuals are more likely to see politics as a threat, which can have a negative effect on job performance.⁷²

Second, political behavior at work moderates the effects of ethical leadership.⁷³ One study found that male employees were more responsive to ethical leadership and showed the most citizenship behavior when levels of both politics and ethical leadership were high. Women, on the other hand, appeared most likely to engage in citizenship behavior when the environment was consistently ethical and *apolitical*.

Third, when employees see politics as a threat, they often respond with **defensive behaviors** ⓘ—reactive and protective behaviors to avoid action, blame, or change.⁷⁴ (Exhibit 11-5 provides some examples.) In the short run, employees may find that defensiveness protects their self-interest, but in the long run it wears them down. People who consistently rely on defensiveness find that eventually it is the only way they know how to behave. At that point, they lose the trust and support of their peers, bosses, employees, and clients.

Exhibit 11-5 Defensive Behaviors

Avoiding Action

Overconforming. Strictly interpreting your responsibility by saying things like “The rules clearly state...” or “This is the way we’ve always done it.”

Buck passing. Transferring responsibility for the execution of a task or decision to someone else.

Playing dumb. Avoiding an unwanted task by falsely pleading ignorance or inability.

Stretching. Prolonging a task so that one person appears to be occupied—for example, turning a two-week task into a 4-month job.

Stalling. Appearing to be more or less supportive publicly while doing little or nothing privately.

Avoiding Blame

Bluffing. Rigorously documenting activity to project an image of competence and thoroughness, known as “covering your rear.”

Playing safe. Evading situations that may reflect unfavorably. It includes taking on only projects with a high probability of success, having risky decisions approved by superiors, qualifying expressions of judgment, and taking neutral positions in conflicts.

Justifying. Developing explanations that lessen one’s responsibility for a negative outcome and/or apologizing to demonstrate remorse, or both.

Scapegoating. Placing the blame for a negative outcome on external factors that are not entirely blameworthy.

Misrepresenting. Manipulation of information by distortion, embellishment, deception, selective presentation, or obfuscation.

Avoiding Change

Prevention. Trying to prevent a threatening change from occurring.

Self-protection. Acting in ways to protect one’s self-interest during change by guarding information or other resources.

Impression Management

We know people have an ongoing interest in how others perceive and evaluate them. For example, North Americans spend billions of dollars on diets, health club memberships, cosmetics, and plastic surgery—all intended to make them more attractive to others. Being perceived positively by others has benefits in an organizational setting. It might, for instance, help us initially to get the jobs we want in an organization and, once hired, to get favorable evaluations, superior salary increases, and more rapid promotions. The process by which individuals attempt to control the impressions that others form of them is called **impression management (IM)** ⓘ.⁷⁵

Who might we predict will engage in IM? No surprise here. It’s our old friend, the high self-monitor.⁷⁶ Low self-monitors tend to present images of themselves that are consistent with their personalities, regardless of the beneficial or detrimental effects for them. In contrast, high self-monitors are good at reading situations and molding their appearances and behavior to fit each situation. If you want to control the impressions others form of you, what

IM techniques can you use? Exhibit 11-6 summarizes some of the most popular with examples.



Keep in mind that when people engage in IM, they are sending a false message that might be true under other circumstances.⁷⁷ Excuses, for instance, may be offered with sincerity. Referring to the example in Exhibit 11-6, you can *actually* believe that ads contribute little to sales in your region. But misrepresentation can have a high cost. If you cry wolf once too often, no one is likely to believe you when the wolf really comes. So the impression manager must be cautious not to be perceived as insincere or manipulative.⁷⁸

One study found that when managers attributed an employee's citizenship behaviors to impression management, they actually felt angry (probably because they felt manipulated) and gave subordinates lower performance ratings. When managers attributed the same behaviors to prosocial values and concern about the organization, they felt happy and gave higher performance ratings.⁷⁹ In sum, people don't like to feel others are manipulating them through impression management, so such tactics should be employed with caution. Not all impression management consists of talking yourself up, either. Recent research suggests modesty, in the form of generously providing credit to others and understating your own contributions to success, may create a more positive impression on others.⁸⁰

Most of the studies to test the effectiveness of IM techniques have related IM to two criteria: interview success and performance evaluations. Let's consider each of these.

Interviews and IM The evidence indicates that most job applicants use IM techniques in interviews and that it works.⁸¹ Interviewers are rarely able to detect when an individual is engaging in impression management, especially when applicants are using deception to engage in impression management.⁸² To develop a sense of how effective different IM techniques are in interviews, one study grouped data from thousands of recruiting and selection interviews into appearance-oriented efforts (like looking professional), explicit tactics (like flattering the interviewer or talking up your own accomplishments), and verbal cues (like using positive terms and showing general enthusiasm).⁸³ Across all the dimensions, it was quite clear that IM was a powerful predictor of how well people did. However, there was a twist. When interviews were highly structured, meaning the interviewer's questions were written out in advance and focused on applicant qualifications, the effects of IM were substantially weaker. Manipulative behaviors like IM are more likely

to have an effect in ambiguous and unstructured interviews. In addition, the effectiveness of impression management depends on the applicants' ability to correctly identify what traits or skills the interviewer is looking for.⁸⁴

Exhibit 11-6 Impression Management (IM) Techniques

Conformity

Agreeing with someone else's opinion to gain his or her approval is a *form of ingratiation*.

Example: A manager tells his boss, "You're absolutely right on your reorganization plan for the western regional office. I couldn't agree with you more."

Favors

Doing something nice for someone to gain that person's approval is a *form of ingratiation*.

Example: A salesperson says to a prospective client, "I've got two tickets to the theater tonight that I can't use. Take them. Consider it a thank-you for taking the time to talk with me."

Excuses

Explaining a predicament-creating event aimed at minimizing the apparent severity of the predicament is a *defensive IM technique*.

Example: A sales manager says to her boss, "We failed to get the ad in the paper on time, but no one responds to those ads anyway."

Apologies

Admitting responsibility for an undesirable event and simultaneously seeking to get a pardon for the action is a *defensive IM technique*.

Example: An employee says to his boss, "I'm sorry I made a mistake on the report. Please forgive me."

Self-Promotion

Highlighting your best qualities, downplaying your deficits, and calling attention to your achievements is a *self-focused IM technique*.

Example: A salesperson tells his boss, “Matt worked unsuccessfully for three years to try to get that account. I sewed it up in six weeks. I’m the best closer this company has.”

Enhancement

Claiming that something you did is more valuable than most other members of the organizations would think is a *self-focused IM technique*.

Example: A journalist tells his editor, “My work on this celebrity divorce story was really a major boost to our sales” (even though the story only made it to page 3 in the entertainment section).

Flattery

Complimenting others about their virtues in an effort to make yourself appear perceptive and likeable is an *assertive IM technique*.

Example: A new sales trainee says to her peer, “You handled that client’s complaint so tactfully! I could never have handled that as well as you did.”

Exemplification

Doing more than you need to in an effort to show how dedicated and hard working you are is an *assertive IM technique*.

Example: An employee sends e-mails from his work computer when he works late so that his supervisor will know how long he’s been working.

Source: Based on M. C. Bolino, K. M. Kacmar, W. H. Turnley, and J. B. Gilstrap, “A Multi-Level Review of Impression Management Motives and Behaviors,” *Journal of Management* 34, no. 6 (2008): 1080–109.

Performance Evaluations and IM In terms of performance evaluations, the picture is quite different. Ingratiation is positively related to performance ratings, meaning those who ingratiate themselves with their supervisors get higher performance evaluations. However, self-promotion appears to backfire: Those who self-promote actually may receive *lower* performance ratings.⁸⁵ There is an important qualifier to these general findings. It appears that individuals high in political skill are able to translate IM into higher performance appraisals, whereas those lower in political skill are more likely to be hurt by their IM attempts.⁸⁶ Another study of 760 boards of directors found that individuals who ingratiated

themselves with current board members (e.g., expressed agreement with the director, pointed out shared attitudes and opinions, complimented the director) increased their chances of landing on a board.⁸⁷ Interns who attempted to use ingratiation with their supervisors in one study were usually disliked—unless they had high levels of political skill. For those who had this ability, ingratiation led to higher levels of liking from supervisors and higher performance ratings.⁸⁸

An Ethical Choice

How Much Should You Manage Interviewer Impressions?

Almost everyone agrees that dressing professionally, highlighting previous accomplishments, and expressing interest in the job are reasonable impression management tactics to improve your presentation in an interview. Strategies like flattering the interviewer and using positive nonverbal cues like smiling and nodding are also often advised.

Is there an upside to such impression management? Research generally shows there is. The more effort applicants put into highlighting their skills, motivation, and admiration for the organization, the more likely they are to be hired. A recent study in Taiwan examined this relationship, finding that interviewers saw applicants who talked confidently about their qualifications as a better fit for the job, and applicants who said positive things about the organization as a better fit for the organization. Positive nonverbal cues improved interviewer moods, which also improved the applicant's ratings.

Despite evidence that making an effort to impress an interviewer can pay off, you can go too far. Evidence that a person misrepresented qualifications in the hiring process is usually grounds for immediate termination. Even so-called white lies are a problem if they create unfounded expectations. For example, if you noted that you managed budgets in the past when all you were doing was tracking expenditures, you lack skills your boss will expect you to have. When you fail to deliver, it will look very bad for you. However, if you describe your experience more accurately but note your desire to learn, the company will know you need additional training and that you'll need

a bit of extra time.

So what does an ethical, effective interview strategy entail? The key is to find a positive but truthful way to manage impressions. Don't be afraid to let an employer know about your skills and accomplishments, and be sure to show your enthusiasm for the job. At the same time, keep your statements as accurate as possible, and be careful not to overstate your abilities. In the long run, you're much more likely to be happy and successful in a job where both you and the interviewer can assess fit honestly.

Sources: Based on C. Chen and M. Lin, "The Effect of Applicant Impression Management Tactics on Hiring Recommendations: Cognitive and Affective Processes," *Applied Psychology: An International Review* 63, no. 4, (2014): 698–724; J. Levashina, C. J. Hartwell, F. P. Morgeson, and M. A. Campion "The Structured Employment Interview: Narrative and Quantitative Review of the Research Literature," *Personnel Psychology* (Spring 2014): 241–93; and M. Nemko, "The Effective, Ethical, and Less Stressful Job Interview," *Psychology Today*, March 25, 2014, <https://www.psychologytoday.com/blog/how-do-life/201503/the-effective-ethical-and-less-stressful-job-interview>.

What explains these consistent results across multiple studies and contexts? If you think about them, they make sense. Ingratiation always works because everyone—both interviewers and supervisors—likes to be treated nicely. However, self-promotion may work only in interviews and backfire on the job: The interviewer has little idea whether you're blowing smoke about your accomplishments, but the supervisor knows because it's his or her job to observe you.



Are our conclusions about responses to politics valid around the world? Should we expect employees in Israel, for instance, to respond the same way to workplace politics that employees in the United States do? Almost all our conclusions on employee reactions to organizational politics are based on studies conducted in North America. The few studies that have included other countries suggest some minor modifications.⁸⁹ One study of managers in U.S. culture and three Chinese cultures (People's Republic of China, Hong Kong, and Taiwan) found U.S. managers evaluated "gentle persuasion" tactics such as consultation and inspirational appeal as more effective than did their Chinese counterparts.⁹⁰ Other research suggests effective U.S. leaders achieve influence by focusing on the personal goals of group members and the tasks at hand (an analytical approach), whereas influential East Asian

leaders focus on relationships among group members and meeting the demands of people around them (a holistic approach).⁹¹ Another study of Chinese supervisors and subordinates found that subordinates were seen as more agreeable and conscientious when they engaged in self-effacing behaviors, but only if these behaviors made them appear modest rather than supplicating.⁹²

The Ethics of Behaving Politically

Although there are no clear-cut ways to differentiate ethical from unethical politicking, there are some questions you should consider. For example, what is the utility of engaging in politicking? Sometimes we do it for little good reason. Major league baseball player Al Martin claimed he played football at the University of Southern California (USC) when in fact he never did. As a baseball player, he had little to gain by pretending to have played football! Outright lies like this may be a rather rare and extreme example of impression management, but many of us have at least distorted information to make a favorable impression. One thing to keep in mind is whether it's worth the risk. Another issue to consider is whether the utility of engaging in the political behavior will balance out harm (or potential harm) to others. Complimenting a supervisor on her appearance in order to curry favor is probably much less harmful than grabbing credit for a project that others deserve.

Finally, does the political activity conform to standards of equity and justice? Sometimes it is difficult to weigh the costs and benefits of a political action, but its ethicality is clear. The department head who inflates the performance evaluation of a favored employee and deflates the evaluation of a disfavored employee—and then uses these evaluations to justify giving the former a big raise and the latter nothing—has treated the disfavored employee unfairly.

Unfortunately, powerful people can become very good at explaining self-serving behaviors in terms of the organization's best interests. They can persuasively argue that unfair actions are really fair and just. Those who are powerful, articulate, and persuasive are most vulnerable to ethical lapses because they are more likely to get away with them. When faced with an ethical dilemma regarding organizational politics, try to consider whether playing politics is worth the risk and whether others might be harmed in the process. If you have a strong power base, recognize the ability of power to corrupt. Remember it's a lot easier for the powerless to act ethically, if for no other reason than they typically have very

little political discretion to exploit.



MyLab Management **Personal Inventory Assessments**

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Mapping Your Political Career

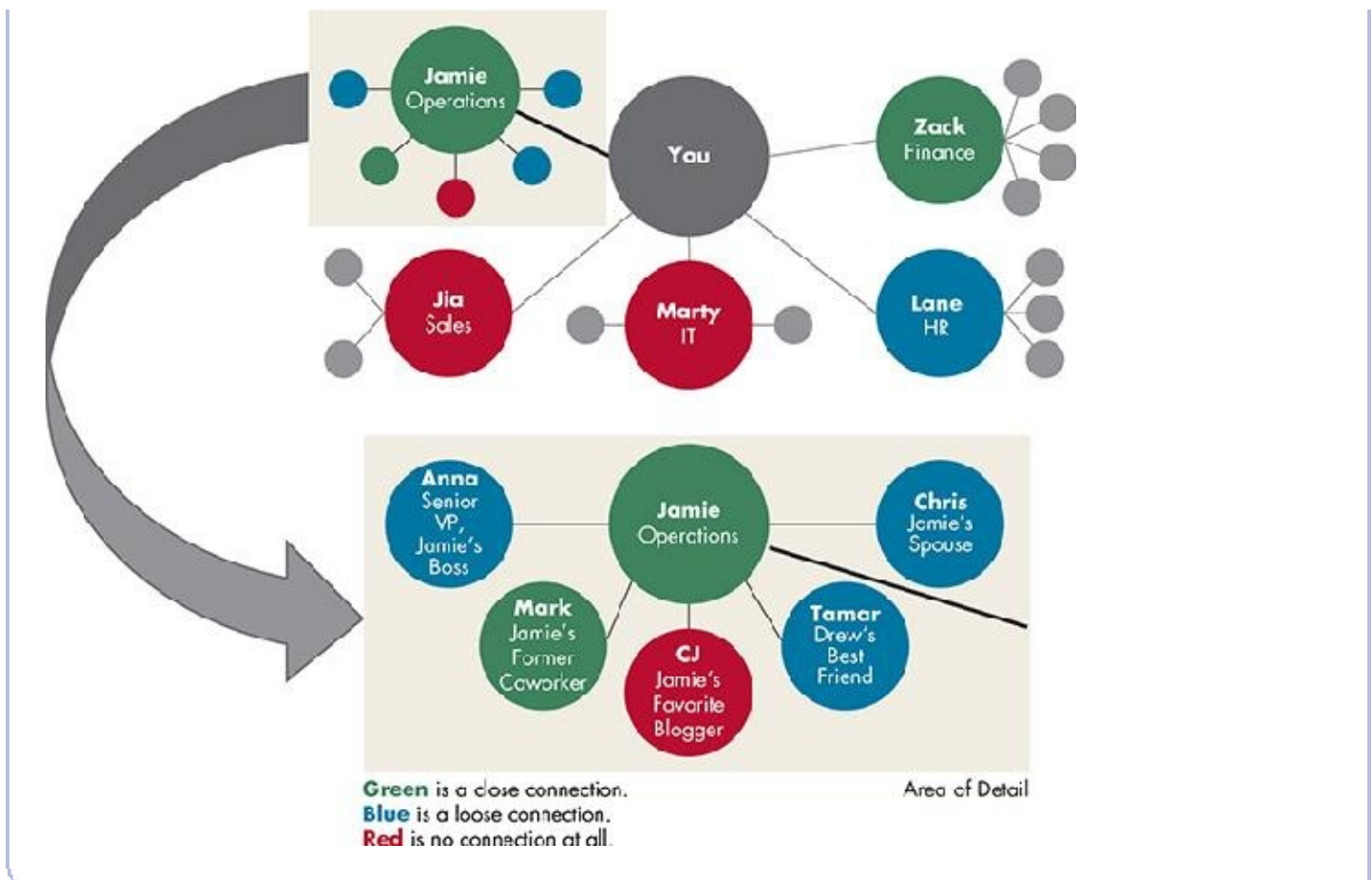
As we have seen, politics is not just for politicians. You can use the concepts presented in this chapter in some very tangible ways in your organization. However, they also have another application: you.

One of the most useful ways to think about power and politics is in terms of your own career. What are your ambitions? Who has the power to help you achieve them? What is your relationship to these people? The best way to answer these questions is with a political map, which can help you sketch out your relationships with the people on whom your career depends. Exhibit 11-7 contains such a political map.⁹³ Let's walk through it.

Assume your future promotion depends on five people, including Jamie, your immediate supervisor. As you can see in the exhibit, you have a close relationship with Jamie (you would be in real trouble otherwise). You also have a close relationship with Zack in finance. However, with the others, you have either a loose relationship (Lane) or none at all (Jia, Marty). One obvious implication of this map is the need to formulate a plan to gain more influence over, and a closer relationship with, these people. How might you do that?

The map also provides for a useful way to think about the power network. Assume the five individuals all have their own networks. In this case, though, assume these aren't so much power networks like yours as they are influence networks of the people who influence the individuals in power positions.

Exhibit 11-7 **Drawing Your Political Map**



Source: Based on D. Clark, "A Campaign Strategy for Your Career," *Harvard Business Review* (November 2012): 131–4.

One of the best ways to influence people is indirectly. What if you played in a tennis league with Mark, Jamie's former coworker who you know remains friends with Jamie? To influence Mark, in many cases, may also be to influence Marty. In addition, why not post an entry on CJ's blog? You can complete a similar analysis for the other four decision makers and their networks.

Of course, this map doesn't show you everything you need to know—no map does. For example, rarely would all five people have the same amount of power. Maps are also harder to construct in the era of large social networks. Try to keep such a map limited to the people who *really* matter to your career.

All of this may seem a bit Machiavellian to you. Remember, however, only one person gets the promotion, and your competition may have a map of his or her own. As we noted in the early part of the chapter, power and politics are part of organizational life. To decide not to play is deciding not to be effective. Better to be explicit with a political map than to proceed as if power and politics didn't matter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

11.7.1 Which of the following is a self-focused impression-management technique?

- ☐ flattery
- ☐ enhancement
- ☐ apology
- ☐ excuses

Check answer

Reset

11.7.2 What is the relationship between unethical politicking and impression management?

- ☐ Unethical politicking is always the result of impression management.
- ☐ Impression management may be the motive for unethical politicking.
- ☐ Impression management usually causes someone to unethically politick.
- ☐ Unethical politicking and impression management go hand in hand.

Check answer

Reset

Summary

Few employees relish being powerless in their jobs and organizations. People respond differently to the various power bases. Expert and referent power are derived from an individual's personal qualities. In contrast, coercion, reward, and legitimate power are essentially organizationally granted. Competence especially appears to offer wide appeal, and its use as a power base results in high performance by group members.

An effective manager accepts the political nature of organizations. Some people are more politically astute than others, meaning they are aware of the underlying politics and can manage impressions. Those who are good at playing politics can be expected to get higher performance evaluations and hence larger salary increases and more promotions than the politically naïve or inept. The politically astute are also likely to exhibit higher job satisfaction and be better able to neutralize job stressors.

Implications for Managers

- To maximize your power, increase others' dependence on you. For instance, increase your power in relation to your boss by developing a needed knowledge or skill for which there is no ready substitute.
- You will not be alone in attempting to build your power bases. Others, particularly employees and peers, will be seeking to increase your dependence on them while you are trying to minimize it and increase their dependence on you.
- Try to avoid putting others in a position where they feel they have no power.
- By assessing behavior in a political framework, you can better predict the actions of others and use that information to formulate political strategies that will gain advantages for you and your work unit.
- Consider that employees who have poor political skills or are unwilling to play the politics game generally relate perceived organizational politics to lower job satisfaction and self-reported performance, increased anxiety, and higher turnover. Therefore, if you are adept at organizational politics, help others understand the importance of becoming politically savvy.

Everyone Wants Power

Point

We don't admit to everything we want. For instance, one psychologist found people would seldom admit to wanting money, but they thought everyone else wanted it. They were half right—everyone wants money. And everyone wants power.

Harvard psychologist David McClelland was justifiably famous for his study of underlying motives. McClelland measured people's motivation for power based on how they described pictures (this method is called the Thematic Apperception Test [TAT]). Why didn't he simply ask people how much they wanted power? Because he believed that many more people really wanted power than would admit it or even consciously realize. And that's exactly what he found.

Why do we want power? Because it is good for us. It gives us more control over our own lives. It gives us more freedom to do as we wish. There are few things worse in life than feeling helpless and few better than feeling in charge of your destiny. Research shows people with power and status command more respect from others, have higher self-esteem (no surprise there), and enjoy better health than those of less stature.

Take Steve Cohen, founder of SAC Capital Advisors and one of the most powerful men on Wall Street. Worth \$11.1 billion, Cohen buys Picassos, lives in a mansion, has white-gloved butlers, and travels the world first class. People will do almost anything to please him—or even to get near him. One writer notes, “Inside his offices, vast fortunes are won and lost. Careers are made and unmade. Type-A egos are inflated and crushed, sometimes in the space of hours.” All this is bad for Steve Cohen how?

Usually, people who tell you power doesn't matter are those who have no hope of getting it. Wanting power, like being jealous, can be one of those secrets people just won't admit to.

Counterpoint

Of course it's true that some people desire power—and often behave ruthlessly to get it.

O For most of us, however, power is not high in priority, and for some, it's actually undesirable.

Research shows that most individuals feel uncomfortable when placed in powerful positions. One study asked individuals, before they began work in a four-person team, to “rank, from 1 [highest] to 4 [lowest], in terms of status and influence within the group, what rank you would like to achieve.” Only about one-third (34 percent) of participants chose the highest rank. In a second study, researchers focused on employees participating in Amazon’s Mechanical Turk online service. They found that the main reason people wanted power was to earn respect. If they could get respect without gaining power, that was preferred. In a third study, researchers found that individuals desired power only when they had high ability—in other words, when their influence helped their groups.

These studies suggest that we often confuse the desire for power with other things—like the desire to be respected and to help our groups and organizations succeed. In these cases, power is something most of us seek for more benevolent ends—and only when we think it does good.

Another study confirmed that most people want respect from their peers, not power. Cameron Anderson, the author of this research, sums it up nicely: “You don’t have to be rich to be happy, but instead be a valuable contributing member to your groups. What makes a person high in status in a group is being engaged, generous with others, and making self-sacrifices for the greater good.”

Oh, and about Steve Cohen ... you realize he pleaded guilty and paid a \$1.2 billion fine for failing to prevent insider trading and then had to shut down SAC, right?

Sources: Based on B. Burrough and B. McLean, “The Hunt for Steve Cohen,” *Vanity Fair*, June 2013, <http://www.vanityfair.com/news/business/2013/06/steve-cohen-insider-trading-case>; C. Anderson, R. Willer, G. J. Kilduff, and C. E. Brown, “The Origins of Deference: When Do People Prefer Lower Status?,” *Journal of Personality and Social Psychology* 102 (2012): 1077–88; C. Anderson, M. W Kraus, A. D. Galinsky, and D. Keltner, “The Local-Ladder Effect: Social Status and Subjective Well-Being,” *Psychological Science* 23(7) (2012): 764–71; S. Kennelly, “Happiness Is about Respect, Not Riches,” *Greater Good*, July 13, 2012, http://greatergood.berkeley.edu/article/item/happiness_is_about_respect_not_riches; and P. Lattman and B. Protess, “\$1.2 Billion Fine for Hedge Fund SAC Capital in Insider Case,” *The New York Times Dealbook*, November 4, 2013, http://dealbook.nytimes.com/2013/11/04/sac-capital-agrees-to-plead-guilty-to-insider-trading/?_r=0.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 11-1** How is leadership different from power?
- 11-2** What are the similarities and differences among the five bases of power?
- 11-3** What is the role of dependence in power relationships?
- 11-4** What power or influence tactics and their contingencies are identified most often?
- 11-5** What are the causes and consequences of abuse of power?
- 11-6** How do politics work in organizations?
- 11-7** What are the causes, consequences, and ethics of political behavior?

Application and Employability

Power is an important part of organizational behavior. Who has power (and who doesn't) shapes which employees make decisions and advance in their careers. There are many tactics that people can use to gain power and to influence those in power. Individuals can also influence others through political behaviors. In this chapter, you used many different skills that are important to your employability while learning about power and politics. You learned critical thinking skills while reading about the debate over whether most people want power,

studying research on keeping enemies closer, and learning how to avoid politics. You also applied your knowledge to using impression management techniques in job interviews. In the next section, you will further apply your knowledge and critical thinking skills to addressing office romances, promoting gender diversity on executive boards, and learning the drawbacks to ingratiating oneself to a boss.

Experiential Exercise The Dark Side of Power

Form groups of three or four and reflect on the following study from 1998 by psychologist Dacher Keltner and his team at UC Berkeley in California. Keltner wanted to examine the consequences of power on people's behavior. He invited participants to a lab study and divided them into groups of three each. In each team, one person was randomly assigned the role of the leader and the team then was asked to work on some boring tasks. During the execution of such tasks, the researchers brought out a plate with four chocolate cookies, and each team member took one. Thus, each team had a cookie remaining on the plate. Researchers observed that the person appointed as a leader claimed the last cookie without even asking others. They also displayed other impolite behaviors, such as eating with their mouths open or in a manner that many crumbs fell on their sweater. This experiment, also known as the Cookie Monster study, demonstrates that people with power tend to lose touch with other people and take on disrespectful behaviors. Consider the following questions as a team.

Questions

- 11-8.** Discuss the possible reasons that leaders may be led to abuse their position and ignore others' needs. What lessons about power does this study teach?
- 11-9.** Discuss whether any of you has ever behaved like the participants in the experiment under any circumstances. Each team member is also invited to share relevant stories. Did they ever realize that the people they know had started to behave differently when they had power? Did all people react to the influence of power in the same way? Which individuals are less prone to corruptive power?
- 11-10.** As a team, propose three or four possible interventions that could help mitigate such adverse consequences of power in the workplace.

Ethical Dilemma Sexual Harassment and Office Romances

In this chapter, we talked about sexual harassment and how uneven power dynamics can contribute to sexual harassment. Sexual harassment often occurs because one employee, such as a supervisor, can use his or her control of resources to reward or coerce another employee into sexual behaviors. For example, when a manager asks a female subordinate to go on a date with him, the female subordinate is more likely to say yes because he has control over resources in the organization. If she declines his request, he could retaliate and withhold privileges from her.

Many companies try to prevent sexual harassment by forbidding coworkers from dating. Some have slightly softer rules. They forbid employees from dating their direct supervisors or coworkers in the same department, presumably so that employees cannot use their power to perpetrate sexual harassment. These less stringent policies do not account for informal power that may exist in organizations. An employee can be in a junior position and still be able to withhold access to resources, or this employee can have enough political skill to harm another employee's career.

On the other hand, it may be impractical to try to enforce a policy against office romances. Modern Americans spend one-third of their lives working, so it's likely that an employee will meet a mate at the office. According to a 2015 survey by Careerbuilder.com, over one-third of employees have dated a coworker. Many of these romances involved a power difference as well: 15 percent admitted that they'd dated a supervisor.

Is it worth discouraging office romances? The same survey revealed that almost one-third of office relationships resulted in marriage. And what should you do if Cupid's arrow strikes you in the breakroom? National workplace expert Lynn Taylor has this advice, "Policy or no policy, love happens. So in the absence of written rules ... there's one common barometer: your common sense."

Questions

11-11. Do you think offices should include rules about office romances in their sexual harassment policies? Why or why not?

11-12. Is it ever okay for a supervisor to date a subordinate? What if someone becomes their romantic partner's supervisor after the relationship was already initiated?

11-13. Why might 36 percent of the survey respondents say that they hid their romantic relationships from coworkers? How does this relate to what we learned about office gossip in Chapter 9?

Sources: Based on J. Smith, “Eight Questions to Ask Yourself before You Start Dating a Coworker,” *Business Insider*, May 29, 2016, <http://www.businessinsider.com/questions-to-ask-before-you-start-dating-a-coworker-2016-5/#-1>; J. Grasz, “Workers Name Their Top Office Romance Deal Breakers in New CareerBuilder Survey,” *CareerBuilder*, February 11, 2015, <http://www.careerbuilder.com/share/aboutus/pressreleasesdetail.aspx?sd=2%2F11%2F2015&id=pr868&ed=12%2F31%2F2015>.

Case Incident 1 Should Women Have More Power?

We mentioned in this chapter that women tend to have less power in organizations than men. To demonstrate gender differences in power, just look at the gender composition of executive boards for top-performing companies. As of 2015, only 18.8 percent of Fortune 1000 company board seats were occupied by women, and only 20.6 percent of board seats were occupied by women at Fortune 500 companies. This disparity not only highlights the discrimination and the glass ceiling that many women face, it may also be bad for business.

In Chapter 9, we learned that diverse groups may be more creative and innovative, and decision making is more accurate when a group has a variety of perspectives. This principle appears to be true when it comes to diverse executive boards. A recent review of 140 studies found that having women on an executive board boosted returns, especially in countries with stronger shareholder protections. The same review found that having female board members helped companies' marketplace performance in countries with higher gender equality. In addition, boards with greater gender diversity are better at monitoring company performance and engage in more strategic involvement. Other research suggests that diverse executive boards are not always beneficial. In most circumstances, having women with greater power on a board led to more strategic change in the organization. However, this is only true when the company is not threatened by low performance.

Many countries are trying to improve their economies by creating quotas that promote more gender-diverse boards. As of 2008, Norway requires women to hold 36 percent of board seats. France passed legislation in 2011 to promote gender-diverse boards. As a result of the law, 48 percent of new directorships were held by women in 2013.

Questions ★

- 11-14.** Why do you think having women with greater power on a board changes firm performance?
- 11-15.** Do you think using a quota system to promote gender diversity is a good idea? Why or why not?
- 11-16.** Why do you think some countries have more gender-diverse boards than others?

Sources: Based on M. Farber, "Justin Trudeau Perfectly Sums up Why We Need More Women in Power," *Fortune*, April 7, 2017, <http://fortune.com/2017/04/07/justin-trudeau-women-in-the-world-summit-2017/>; S. H. Jeong and D. Harrison, "Glass

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Case Incident 2 Where Flattery Will Get You

One of the various impression management techniques that people use in the workplace is flattering or complimenting a person. Many people believe that flattery has a positive impact on career prospects. Vicky Oliver, author of *301 Smart Answers to Tough Interview Questions*, suggests using flattery to ask for a raise. Oliver advises employees to use other impression management techniques, such as self-promotion (e.g., highlighting your accomplishments) and enhancement (e.g., showing how your work is superior to your peers), but she also suggests complimenting or strategically “flattering” the boss before sitting down to talk about a salary raise.

Does flattery always work? The answer is yes and no. Flattery may influence someone in power but only if they see the flattery as sincere. Seeming sincere may be especially difficult, however, because people who have the most power are often the hardest to fool. After all, they have more experience with people flattering them. Recent research suggests that there may be a way to make flattery more effective: Try to convince yourself that you actually like the person you are flattering. In the study, employees who spent more time considering what they had in common with their boss were more likely to obtain their goal through flattery.

Even if an employee is successful using flattery, it has one major drawback. Another recent study found that executives who flatter their CEOs are more likely to resent their CEO later on. Though CEOs do not require their employees to compliment them, many employees feel demeaned when they go to great lengths to strategically flatter the boss. Employees who complimented their CEOs were also more likely to complain to third parties about their boss. Some even complained to journalists.

Questions ★

- 11-17.** What are some other consequences of using flattery at work? Why do these consequences occur?
- 11-18.** The study described in this case also found that executives resented directing flattery toward female and minority CEOs more than white males. Why do you think this finding is true?
- 11-19.** Are there impression management techniques that are more effective than flattery?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

11-20. In Case Incident 1, how would you encourage companies to appoint more female board members in the short term? In the long term?

11-21. Based on the chapter discussion and Case Incident 2, what are some ways employees can make sure that they use impression management techniques effectively?

11-22. MyLab Management only—additional assisted-graded writing assignment.

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End of Chapter Quiz

Test Your Understanding

1 Which of the following statements is true regarding power?

- ☐ A is said to have power over B if B controls something that A desires.
- ☐ The greater A's dependence on B, the greater A's power in the relationship.
- ☐ If A has the capacity to influence the behavior of B, then A is said to have power over B.
- ☐ A can have power over B only if A is B's leader.

Check answer

Reset

2 Unlike leadership research, research on power tends to focus on _____.

- ☐ individual styles in using power
- ☐ strategies for goal attainment
- ☐ tactics for gaining compliance
- ☐ the administration of rewards

Check answer

Reset

3 The two general groupings of power are _____.

- informational and personal
- formal and informal
- informal and legitimate
- personal and formal

Check answer

Reset

4 _____ power is based on the fear of the negative results from failing to comply.

- ☐ Legitimate
- ☐ Coercive
- ☐ Punitive
- ☐ Referent

Check answer

Reset

5 Most of us follow our doctor's advice because our doctor has _____ power.

- ☐ legitimate
- ☐ reward
- ☐ referent
- ☐ expert

Check answer

Reset

6 Which of the following is a tool to assess the exchange of resources and dependencies within an organization?

- ☐ Theory X
- ☐ Social Network Analysis
- ☐ Resource interdependence
- ☐ Stoute's Expectation Theory

Check answer

Reset

7 Which of the following is not considered to be a power tactic?

- consultation
- substitution
- rational persuasion

☐ ingratiation

Check answer

Reset

8 Evidence indicates people in different countries tend to prefer different power tactics. Chinese managers prefer _____.

- ☐ rational persuasion
- ☐ exchange
- ☐ ingratiation
- ☐ coalition

Check answer

Reset

9 When the power tactic of _____ works, it's generally downward only.

- ☐ exchange
- ☐ coalition
- ☐ ingratiation
- ☐ pressure

Check answer

Reset

10 From the mid-1990s through to the early 2010s, sexual harassment claims filed by men have _____ .

- ☐ decreased by roughly 10 per cent
- ☐ decreased by roughly 5 per cent
- ☐ men cannot make claims of sexual harassment
- ☐ increased by roughly 5 per cent

Check answer

Reset

11 Which of the following factors encourages politicking?

- clear performance evaluation systems
- role clarity

- ☐ zero-sum reward allocation practices
- ☐ increase in organizational resources

Check answer

Reset

12 Which of the following organizational factors encourages political behavior?

- ☐ use of objective criteria in the appraisal
- ☐ using multiple outcomes to measure performance
- ☐ allowing significant time to pass between the time of an action and its appraisal
- ☐ avoiding the zero-sum approach for resource allocation

Check answer

Reset

13 Which of the following statements is true regarding impression management (IM) techniques?

- During interviews, applicants appear to use ingratiation more than self-promotion.
- Ingratiation is negatively related to performance ratings.
- Those who self-promote receive higher performance evaluations.
- Ingratiation works well in interviews.

Check answer

Reset

14 Marilyn is the department head for a large call center and is responsible for conducting quarterly performance evaluations on her employees. While a good portion of the evaluation is based on areas such as friendliness, punctuality, and customer ratings, roughly half of the appraisal is based on call volume and the conversion of callers to customers. An employee's evaluations are used to determine quarterly raises. Algemar and Nick both work for Marilyn. Marilyn feels that she is a mentor for Nick while she feels that she simply inherited Algemar from another department, thus, Marilyn sometimes strikes from Nick's call records

customers who are extremely difficult or perhaps too set against buying the product. For the last quarter, Marilyn awarded Nick a raise while she did not award one to Algemar. Marilyn's awarding Nick a raise based on his evaluations could best be called _____.

- ☐ politicking
- ☐ unethical politicking
- ☐ identity management
- ☐ self-serving

Check answer

Reset

15 In which type of interview setting would impression management techniques prove to be most effective?

- ☐ a highly structured interview just between the interviewer and the candidate
- ☐ a highly structured interview which featured several interviewers and the candidate
- ☐ a highly structured group interview which featured several interviewers and candidates
- ☐ an unstructured interview just between the interviewer and the candidate

Check answer

Reset



Source: Randy Duchaine/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 12-1** Describe the functions and process of communication.
- 12-2** Contrast downward, upward, and lateral communication through small-group networks and the grapevine.
- 12-3** Contrast oral, written, and nonverbal communication.
- 12-4** Describe how channel richness underlies the choice of communication method.

12-5 Differentiate between automatic and controlled processing of persuasive messages.

12-6 Identify common barriers to effective communication.

12-7 Discuss how to overcome the potential problems of cross-cultural communication.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethic Dilemma
Critical Thinking			✓	✓	✓	✓
Communication	✓	✓	✓		✓	
Collaboration		✓			✓	
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility		✓	✓	✓		✓

MyLab Management Chapter Warm Up

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

The Oakhurst Comma

Anyone who's played Scrabble (or its modern equivalent, Words with Friends) knows that certain letters are worth more than others. But did you ever wonder what a comma was worth? Up to \$10 million, according to a ruling by Judge David Barron of the U.S. Court of Appeals for the First Circuit.

The year was 2017, and three former dairy truck drivers were still fighting their former employer in court after three years. From 2009 to 2013, the drivers worked twelve hours of overtime on average, but they were not paid overtime in accordance with state and federal law. In 2014, the drivers filed a class action lawsuit against their employer, Oakhurst Dairy of Maine, to collect the overtime pay they had been denied for four years. The plaintiffs had already lost their case in a lower court but had been granted an appeal. Whether the dairy farmers were entitled to overtime pay hinged on a comma.

Oakhurst Dairy had argued that they did not owe employees overtime because Maine listed a number of occupations that were exempt from qualifying for overtime pay. Read the following list of occupations aloud: "The canning, processing, preserving, freezing, drying, marketing, storing, packing for shipping or distribution of perishable foods." When you read the sentence, did you add a pause after shipping? If so, when you read that sentence, you probably assumed that the occupations listed included employees who pack perishable foods for shipping as well as employees who worked in the distribution of perishable foods. On the other hand, some of you may have read that sentence and thought that the list included employees who packed perishable foods for shipping or distribution. Much to the chagrin of Oakhurst Dairy, the court was in the latter group. The law was meant to exclude employees who packed perishable foods for shipping or distribution, not employees who actually distributed or shipped food on trucks.

What was the pause many of you added while reading the list? The Oxford comma, or serial comma, is one of the most hotly debated rules in English. Meant to separate the last two items in a list, many style guides omit them. If it seems silly that a single comma determined a ruling in a multimillion dollar case, you may be surprised that Oakhurst Dairy is not even the first company to lose at least a million dollars over a comma. In 2006, two Canadian companies ran into a similar dispute. Rogers Communication of Toronto had negotiated the use of telephone poles owned by Bell Aliant. Bell Aliant wanted to end their partnership, but Rogers insisted that their contract limited when they could end the

agreement, based on the following sentence: “This agreement shall be effective from the date it is made, and shall continue in force for a period of five (5) year terms, unless and until terminated by one year prior notice in writing by either party.”

Can you guess how the judges interpreted the sentence above? Rogers believed that Bell Aliant would have to cancel the agreement within a year of automatic renewal. The judges argued that the comma after the word *terms* modified the wording of the contract, and Bell Aliant could cancel the agreement at any time after one year. Kenneth G. Engelhart, vice president for regulatory affairs at Rogers, did not agree with the court’s interpretation. “Why they feel that a comma should somehow overrule the plain meaning of the words is beyond me.”

These two cases demonstrate many issues with communication. First, they show us that communication is complicated, and the meaning of words is not always clear cut. Conventions for writing and other forms of communication can vary wildly across audiences. For example, the disputed Oxford comma is not used by many news outlets, but it is required by the *Chicago Manual of Style* and the *University of Oxford Style Guide*. To be effective communicators, we should be mindful of these differences and check for understanding when possible. Second, the cases above highlight that an idea may be clearer depending on the communication mode. If Maine’s law were spoken rather than written, interpretation of the law may have been clearer.

Sources: Based on D. Victor, “Lack of Oxford Comma Could Cost Maine Millions in Overtime Dispute,” *The New York Times*, March 16, 2017, https://www.nytimes.com/2017/03/16/us/oxford-comma-lawsuit.html?_r=0, accessed April 13, 2017; and I. Austen, “The Comma That Costs 1 Million Dollars (Canadian),” *The New York Times*, October 25, 2006, <http://www.nytimes.com/2006/10/25/business/worldbusiness/25comma.html>, accessed April 16, 2017.

As Rogers Communications and Oakhurst Dairy found, unclear communication can cost an organization millions. In this chapter, we will explore communication in the modern workplace. We will learn more about the communication process and how this process can go awry. We will also learn about types of communication and how these types are shaped by recent technologies.

Communication ⓘ must include both the *transfer* and the *understanding* of meaning. Communicating is more than merely imparting meaning; that meaning must also be understood. It is only thus that we can convey information and ideas. In perfect communication, if it existed, a thought would be transmitted so the receiver understood the

same mental picture the sender intended. Though it sounds elementary, perfect communication is never achieved in practice for reasons we shall see.

Functions of Communication

12-1 Describe the functions and process of communication.

Communication serves five major functions within a group or organization: management, feedback, emotional sharing, persuasion, and information exchange.¹

Communication acts to *manage* member behavior in several ways. Organizations have authority hierarchies and formal guidelines that employees are required to follow. When employees follow their job descriptions or comply with company policies, communication performs a management function. Informal communication controls behavior too. When work groups tease or harass a member who produces too much (and makes the rest of the members look bad), they are informally communicating, and managing, the member's behavior.

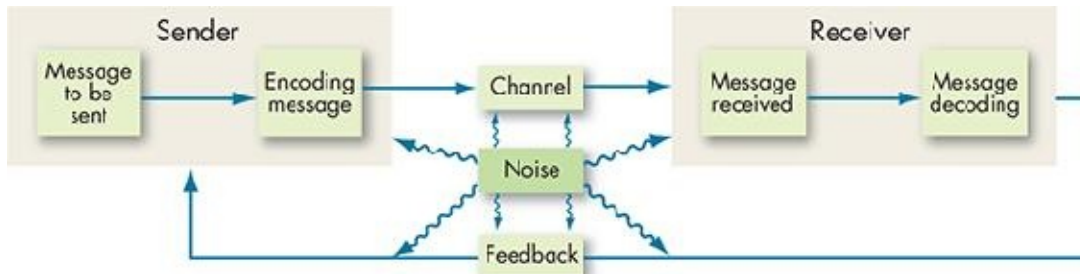
Communication creates *feedback* by clarifying to employees what they must do, how well they are doing it, and how they can improve their performance. We saw this operating in goal-setting theory in Chapter 7. Formation of goals, feedback on progress, and reward for desired behavior all require communication and stimulate motivation.

The work group is a primary source of social interaction for many employees. Communication within the group is a fundamental mechanism by which members show satisfaction and frustration. Therefore, communication provides for the *emotional sharing* of feelings and fulfillment of social needs. For example, after a white police officer shot an unarmed black man in Ferguson, Missouri, in 2015, software engineer Carl Jones wanted to process his feelings through talking with his coworkers at his corporation. As a second example, Starbucks had baristas write “Race Together” on coffee cups to start conversations about race relations. In both cases, the initial communications were awkward—so awkward that Starbucks pulled the campaign—but Jones and others have forged solid relationships from their emotional sharing.²

Like emotional sharing, *persuasion* can be good or bad depending on if, say, a leader is trying to persuade a work group to believe in the organization's commitment to corporate social responsibility (CSR) or, conversely, to persuade the work group to break the law to meet an organizational goal. These may be extreme examples, but it's important to remember that persuasion can benefit or harm an organization.

The final function of communication is *information exchange* to facilitate decision making. Communication provides the information that individuals and groups need to make decisions by transmitting the data needed to identify and evaluate choices.

Exhibit 12-1 The Communication Process



Almost every communication interaction that takes place in a group or organization performs one or more of these functions, and none of the five is more important than the others. To perform effectively, groups need to maintain some control over members, provide feedback to stimulate members to perform, allow emotional expression, monitor the persuasive efforts of individuals, and encourage information exchange.

Before communication can take place it needs a purpose, a message to be conveyed between a sender and a receiver. The sender encodes the message (converts it to a symbolic form) and passes it through a medium (channel) to the receiver, who decodes it. The result is a transfer of meaning from one person to another.³

Exhibit 12-1 depicts this **communication process** ⓘ. The key parts of this model are (1) the sender, (2) encoding, (3) the message, (4) the channel, (5) decoding, (6) the receiver, (7) noise, and (8) feedback.

The *sender* initiates a message by encoding a thought. The *message* is the actual physical product of the sender's *encoding*. When we speak, the speech is the message. When we write, the writing is the message. When we gesture, the movements of our arms and the expressions on our faces are the message. The *channel* is the medium through which the message travels. The sender selects it, determining whether to use a formal or informal channel. **Formal channels** ⓘ are established by the organization and transmit messages related to the professional activities of members. They traditionally follow the authority chain within the organization. Other forms of messages, such as personal or social, follow **informal**

channels ⓘ, which are spontaneous and subject to individual choice.⁴ The *receiver* is the person(s) to whom the message is directed, who must first translate the symbols into understandable form. This step is the *decoding* of the message. *Noise* represents communication barriers that distort the clarity of the message, such as perceptual problems, information overload, semantic difficulties, or cultural differences. The final link in the communication process is a feedback loop. *Feedback* is the check on how successful we have been in transferring our messages as originally intended. It determines whether understanding has been achieved.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.1.1 In a communication process, the _____ initiates a message by encoding a thought.

- ☐ receiver
- ☐ decoder
- ☐ channel
- ☐ sender

Check answer

Reset

12.1.2 Helena and Laura were talking on the phone. Laura's two-year-old son fell and started crying loudly. Laura could no longer hear what Helena said. This is an example of _____.

- ☐ feedback
- ☐ decoding
- ☐ noise
- ☐ encoding

Check answer

Reset

Direction of Communication

12-2 Contrast downward, upward, and lateral communication through small-group networks and the grapevine.

Communication can flow vertically or laterally, through formal small-group networks or the informal grapevine. We subdivide the vertical dimension into downward and upward directions.⁵

Downward Communication

Communication that flows from one level of a group or organization to a lower level is *downward communication*. Group leaders and managers use it to assign goals, provide job instructions, explain policies and procedures, point out problems that need attention, and offer feedback.

In downward communication, managers must explain the reasons *why* a decision was made. Although this may seem like common sense, many managers feel they are too busy to explain things or that explanations will raise too many questions. Evidence clearly indicates, though, that explanations increase employee commitment and the support of decisions.⁶ Managers might think that sending a message once is enough to get through to lower-level employees, but research suggests managerial communications must be repeated several times and through a variety of different media to be truly effective.⁷

Another problem in downward communication is its one-way nature; generally, managers inform employees but rarely solicit their advice or opinions. Research revealed that nearly two-thirds of employees said their boss rarely or never asks their advice. The study noted, “Organizations are always striving for higher employee engagement, but evidence indicates they unnecessarily create fundamental mistakes. People need to be respected and listened to.” The way advice is solicited also matters. Employees will not provide input, even when conditions are favorable, if doing so seems against their best interests.⁸

In downward communication, the delivery mode and the context of the information exchange are of high importance. We will talk more about communication methods later, but consider the ultimate downward communication: the performance review. Alan Buckelew,

CEO of Carnival Cruise Lines, says, “A review is probably the one time when you want to be physically present.” Samsonite’s CEO agrees: “A conference call cannot substitute for face-to-face interactions.” Automated performance reviews have allowed managers to review their subordinates without discussions, which is efficient but misses critical opportunities for growth, motivation, and relationship building.⁹ In general, employees subjected to less than direct, personalized communication are less likely to understand the intentions of the message correctly.

The best communicators explain the reasons behind their downward communications but also solicit communication from the employees they supervise. That leads us to the next direction: upward communication.

Upward Communication

Upward communication flows to a higher level in the group or organization. It’s used to provide feedback to higher-ups, inform them of progress toward goals, and relay current problems. Upward communication keeps managers aware of how employees feel about their jobs, coworkers, and the organization in general. Managers also rely on upward communication for ideas on how conditions can be improved. It is also important for subordinates to give honest, authentic feedback, because if managers are not given reasonable negative feedback about allocating resources, they are more likely to make self-interested decisions at the expense of their subordinates.¹⁰

Given that most managers’ job responsibilities have expanded, upward communication is increasingly difficult because managers can be overwhelmed and easily distracted. To engage in effective upward communication, try to communicate in short summaries rather than long explanations, support your summaries with actionable items, and prepare an agenda to make sure you use your boss’s attention well.¹¹ And watch what you say, especially if you are communicating something to your manager that will be unwelcome. If you’re turning down an assignment, for example, be sure to project a can-do attitude while asking advice about your workload dilemma or inexperience with the assignment.¹² Your delivery can be as important as the content of your communication.



Burger King improved lateral communication among its executives by eliminating their closed-door offices and organizing their desks in an open-space setting. Shown here, from left, are executives Jonathan Fitzpatrick, Jose Tomas, and Daniel Schwartz communicating in their new work area at company headquarters in Miami.

Source: C.W. Griffin/Miami Herald/MCT/Newscom

Lateral Communication

When communication occurs between members of the same work group, members at the same level in separate work groups, or any other horizontally equivalent workers, we describe it as *lateral communication*.¹³

Lateral communication saves time and facilitates coordination. Some lateral relationships are formally sanctioned. More often, they are informally created to short-circuit the vertical hierarchy and expedite action. So, from management's viewpoint, lateral communications can be good or bad. Because strictly adhering to the formal vertical structure for all communications can be inefficient, lateral communication occurring with management's knowledge and support can be beneficial. But dysfunctional conflict can result when formal vertical channels are breached, when members go above or around their superiors, or when bosses find actions have been taken or decisions made without their knowledge.

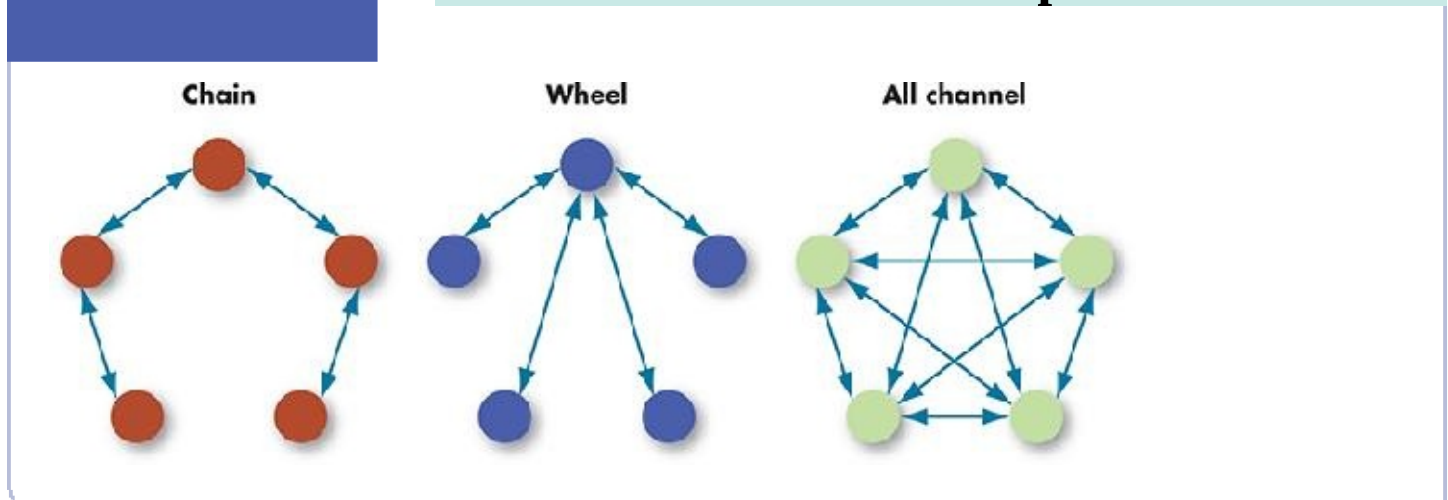
Formal Small-Group Networks

Formal organizational networks can be complicated, including hundreds of people and a half-

dozen or more hierarchical levels. We've condensed these networks into three common small groups of five people each (see Exhibit 12-2): chain, wheel, and all-channel.

The *chain* rigidly follows the formal chain of command; this network approximates the communication channels you might find in a rigid three-level organization. The *wheel* relies on a central figure to act as the conduit for all group communication; it simulates the communication network you might find on a team with a strong leader. The *all-channel* network permits group members to actively communicate with each other; it's most often characterized by self-managed teams, in which group members are free to contribute and no single person takes on a leadership role. Many organizations today like to consider themselves all-channel, meaning that anyone can communicate with anyone (but sometimes they shouldn't).

Exhibit 12-2 Three Common Small-Group Networks



As Exhibit 12-3 demonstrates, the effectiveness of each network is determined by the dependent variable that concerns you. The structure of the wheel facilitates the emergence of a leader, the all-channel network is best if you desire high member satisfaction, and the chain is best if accuracy is most important. Exhibit 12-3 leads us to the conclusion that no single network will be best for all occasions.

The Grapevine

The informal communication network in a group or organization is called the **grapevine** ⓘ.¹⁴ Although rumors and gossip transmitted through the grapevine may be informal, it's still an important source of information for employees and job applicants. Grapevine or word-of-

mouth information from peers about a company has important effects on whether job applicants join an organization,¹⁵ even over and above informal ratings on websites like Glassdoor.

Exhibit 12-3 Small-Group Networks and Effective Criteria

Criteria	Networks		
	<i>Chain</i>	<i>Wheel</i>	<i>All-Channel</i>
Speed	Moderate	Fast	Fast
Accuracy	High	High	Moderate
Emergence of a leader	Moderate	High	None
Member satisfaction	Moderate	Low	High

The grapevine is an important part of any group or organization communication network. It serves employees' needs: Small talk creates a sense of closeness and friendship among those who share information, although research suggests it often does so at the expense of those in the outgroup.¹⁶ It also gives managers a feel for the morale of their organization, identifies issues employees consider important, and helps them tap into employee anxieties. Evidence indicates that managers can study the gossip driven largely by employee social networks to learn more about how positive and negative information is flowing through the organization.¹⁷ Managers can also identify influencers (highly networked people trusted by their coworkers¹⁸) by noting which individuals are small talkers (those who regularly communicate about insignificant, unrelated issues). Small talkers tend to be influencers. One study found that social talkers are so influential that they were significantly more likely to retain their jobs during layoffs.¹⁹ Other research has found that individuals who are connected through the office grapevine tend to be more creative. This effect is due in part to the number of unique ideas a person is exposed to through his or her informal network.²⁰ Thus, while the grapevine may not be sanctioned or controlled by the organization, it can be understood and leveraged a bit.

Exhibit 12-4 Dealing with Gossip and Rumors

1. **Share** the information you have, and the information you don't—where there is good formal communication with much information, there is no need for rumors. When you don't know information that others are seeking, discuss when you will know and follow up.
2. **Explain**, explain, explain. As a manager, discuss what decisions are made and why they were made, as well as the plan going forward.
3. **Respond** to rumors noncommittally, and then verify for yourself the truths you can. Make certain to gather all sides of the story.
4. **Invite** employees to discuss their concerns, ideas, suggestions, thoughts, and feelings about organizational matters. Help them frame their thoughts into more objective viewpoints.

Can managers entirely eliminate the gossip and rumors common to the grapevine if they so choose? No. Should they want to? Maybe not; in addition to the opportunities for managers to learn from the grapevine, some forms of gossip provide prosocial motivation for employees to help each other achieve organizational goals. And while some consider gossiping to be deviant behavior, not all gossip is malicious.²¹ What managers should do is minimize the negative consequences of rumors by limiting their range and impact. Exhibit 12-4 offers a few practical suggestions.

MyLab Management Watch It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Communication Role Play

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Communication Role Play

>> [Music]

>> Okay. Happy Monday.

>> Mm.

>> Still jazzed?

>> Mm hmm.

>> All right.

>> We need some fresh ideas.

>> Companies?

>> Anyone?

>> Nike.

>> Ah. I'm thinking something a little more less huge.

>> How about Eco Threads?

>> Oh. Of course.

>> Duh. Yeah.

>> No, I know Dean.

>> He's one of their reps.

>> He's in my Saturday, Yoga in Park meet-up.

>> [Laughter]

>> Laugh all you want.

>> Just try it.

>> It will kick your macho you-know-what.

>> Eco Threads.

>> I like it.

>> Medium size company.

>> Local.

>> Local. Green.

>> Perfect.

>> Gee, darling.

>> You read my mind.

>> What's the angle?

>> I say the angle is that we -

>> I know it.

>> Got it. The idea is that we give all the employees pocket cams,

>> and our camera crew isn't supposed to stage anything.

>> Let's hook in with that producer Taylor's working with...

>> Mm hmm.

>> ...and see what's going down at Eco-Threads.

>> Yeah. I'm guessing communication might be a big

>> thing there.

>> You know, they've grown a lot so they're probably learning how

>> to deal with all these changes.

>> Very well.

>> Yeah.

>> Make it so.

>> [Music]

>> Dean, good morning.

>> Dean: Good morning.

>> I'm here with Susan, and I'm glad you were able

>> to take some time on your road trip to check in with us.

>> How are things going?

>> Dean: Uh, things are going good.

>> Hey Susan.

>> Susan: Hey.

>> How ya doing?

>> Dean: Good.

>> Glad to hear things are going well.

>> It's really important for you

>> to establish face-to-face relationships

>> with our customers.

>> It's a really important thing for our business.

>> Dean: Mm hmm.

>> Um, I understand you are going to see the folks

>> over at Vermont Green Boutique later on in the week.

>> Dean: Yes, I am.

>> Susan: I heard from Mr. Green...

>> Dean: Mm hmm.

>> Susan: ...And there was an email that you sent to Billy

>> about going into production and you wrote, "Not a good idea."

>> Dean: Uh huh.

>> Susan: And there wasn't a lot of detail on there

>> about what exactly wasn't a good idea,

>> and that kind of freaked him out.

>> Dean: Really?

>> Susan: Yeah, it made him really nervous.

>> He felt like - in not so many words,

>> but he felt like we weren't really on top of things...

>> Dean: Wow.

>> Susan: ...And it just wasn't a professional way

>> to communicate.

>> Dean: Okay.

>> I don't -- wow - I'm really surprised --

>> I really don't deal with Mr. Green.

>> I deal with Billy, his son, and that's kind of the way

>> that we interact with each other.

>> So I'm surprised I'm hearing something from his dad.

>> I have a great relationship with Billy...

>> Susan: I know.

>> Dean: ...And the guys over there at Vermont Green.

>> Susan: And Billy's really happy with you,

>> and I know you guys have established

>> that kind of relationship...

>> Dean: Exactly.

>> Susan: ...But with his dad you need to establish

>> that relationship with him as well, and I think the way

>> to do it is -- just take a minute to proofread things.

>> Make sure the punctuation is right.

>> He wants details.

>> He wants deadlines.

>> He wants everything -- he needs things more spelled out.

>> Dean: Sometimes I don't have to write really long emails --

>> I have to be honest -- your emails are really, really long.

>> And who has time to write all that,

>> and who has time to read all that?

>> You know what I mean?

>> We are all really busy with our work and stuff, and so I try

>> to be as precise and clear as I can be, given the client.

>> Susan: I know I overwrite things.

>> [Laughs] I know, because I want to make sure I recap things

>> and I -- that's why I do the bullet points and I -- but...

>> Dean: It's just that sometimes you understand that's

>> like over-communicating.

>> Susan: But not for someone...

>> Dean: After you read the first two sentences,

>> you're pretty much done with it.

>> Susan: Not for someone like Mr. Green.

>> I mean, to him an email is a business letter on a screen.

>> Dean: I don't have time hand hold here.

>> They want quick turnaround.

>> They want everything fast.

>> And I'm doing that.

>> Susan: Let's face it.

>> There is a certain amount of hand holding in our job.

>> I mean, that's how we make people comfortable enough

>> to move forward.

>> I know you've got a big workload, and I know you want

>> to go fast, and you want to be efficient and effective...

>> Dean: Which I am.

>> ...I'm not doubting that...

>> Mm hmm.

>> ...And I'm not debating that.

>> My point is part of your job is interacting with

>> and building good relationships with our customers.

>> You are Eco Threads to them, and so,

>> we need to be absolutely certain that you're communicating

>> to them in a way that's effective for both of them

>> because both of them are partners in that business,

>> and we need to satisfy both of them.

>> There's some differences in communication.

>> In this case, I think it's generational.

>> His use of technology is very likely different

>> than his son's...

>> Dean: Yes.

>> ...And I think your use

>> of it is probably a whole lot more like Billy's...

>> Dean: Correct.

>> ...But one thing you might think of suggesting, Dean, is --

>> when you talk to Mr. Green --

>> is that maybe you should schedule a phone call

>> with him once a week.

>> Dean: You know, I'll see what I can do.

>> It's kind of a tough thing with my workload and everything,

>> but of course, I'll make an effort, and I'll do my best

>> to bring him up to speed with how folks communicate now 'cause

>> like you said I think it's a lot different

>> than what he remembers, and I want to make sure

>> that he understands that it is respectful.

>> If you can give him that message in person...

>> Dean: Mm hmm.

>> ...Kind of build the relationship...

>> Dean: Mm hmm.

>> ...And help him understand that you're trying

>> to be effective and do for him what you need to to gain

>> and keep his business.

>> I think you can probably get there.

>> Dean: Oh, I have no doubt.

>> I have full confidence that I'm going to go in there and I'll --

>> I'll speak to Billy about it and have him talk to his dad

>> and stuff like that...

>> Right.

>> Dean: ...Before I meet, and then we'll all sit down and talk

>> about it and I'll take care of it.

>> Don't even worry about it.

>> I think it would be a good thing for you and I

>> to talk when you get back.

>> I'd love to hear how the conversation goes...

>> Dean: Okay.

>> ...And then let's see --

>> let's see where we take it from there.

>> Dean: All right.

>> Thanks guys.

>> Have a good day.

>> Susan: You too.

>> All right.

>> Take care.

>> Dean: All right.

>> Bye bye.

>> Bye.

>> Hey, they sent over that Eco Threads meeting a while ago.

>> Good stuff.

>> Yeah.

>> It's a funny web cam shot.

>> How'd the rest of the shoot go?

>> It was awesome.

>> I was only there for the interviews,

>> but I can see why Susan looked frustrated

>> when they left James' office.

>> And check this out.

>> They want me -- well us -- to help with the editing --

>> and I've already put some sound clips

>> of James' post meeting interview together.

>> Cool.

>> Yeah.

>> For someone who grew up in the business world

>> without electronic mail,

>> an email message is a business letter that they see

>> on their computer screen, and I think that has a certain amount

>> of gravitas and a certain amount of substance

>> that maybe younger people don't really see in their email.

>> They see the email as being a lot more --

>> kind of a quick dashed-off communication,

>> and they don't put that level of importance,

>> and therefore, care into it.

>> In formal messaging or in formal communication is more

>> appropriate, once you've got that level of trust built -

>> if you've got the with the benefit

>> of having face-to-face communication with the person,

>> it takes a few times of doing that.

>> If you don't have that, then you have a steeper slope to climb

>> to establish that level of trust.

>> In those cases when you don't have the luxury

>> of face-to-face communication, I think you need to use the phone

>> and as much interaction as you can to establish that level

>> of respect and trust that will then enable you to use email.

>> I think the difference with email is that it's one-sided.

>> You don't get to react and interact with the person

>> with whom you're communicating,

>> and I think that's a key difference.

>> Face-to-face communication

>> in business really is the ultimate

>> communication mechanism.

>> You get all the cues.

>> You get people's expressions, tone, body language.

>> The challenge is that in today's business world,

>> we don't get face-to-face.

>> People don't travel the way they used to.

>> The economy just doesn't support it,

>> and it's really becoming a global economy.

>> We're interacting with people in different states

>> and in different hemispheres, and so doing what you can

>> to establish that trust

>> and those relationships is critically important even

>> if you don't have the face-to-face.

>> I think you and I have a little too much face-to-face

>> communication -- or should I say in your face.

>> Ha ha ha.

>> [Laughs] Seriously though.

>> Can you imagine Chris working in a job

>> where he had not say crazy things all the time?

>> Well he sings a different song when he's talking

>> to our official partners.

>> Plus he writes one heck of a business letter.

>> Context is everything I guess.

>> Very true.

>> [Music]

>> [Silence]

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.2.1 Group leaders and managers communicating with employees to assign goals and to provide job instructions is an example of a(n) _____ communication.

- ☐ downward
- ☐ lateral
- ☐ upward
- ☐ grapevine

Check answer

Reset

12.2.2 When engaging in upward communication an employee should not

_____.

- ☐ meet his manager alone in a conference room
- ☐ communicate in headlines
- ☐ support ideas with action
- ☐ engage in a meandering discussion

Check answer

Reset

Modes of Communication

12-3 Contrast oral, written, and nonverbal communication.

How do group members transfer meaning among themselves? They rely on oral, written, and nonverbal communication. This much is obvious, but as we will discuss, the choice between modes can greatly enhance or detract from the way the perceiver reacts to the message.

Certain modes are highly preferred for specific types of communication. We will cover the latest thinking and practical application.

Oral Communication

A primary means of conveying messages is oral communication. Speeches, formal one-on-one and group discussions, and the informal rumor mill or grapevine are popular forms of oral communication.

The advantages of oral communication are speed, feedback, and exchange. We can convey a verbal message and receive a response in minimal time. As one professional put it, “Face-to-face communication on a consistent basis is still the best way to get information to and from employees.”²² If the receiver is unsure of the message, rapid feedback allows the sender to detect and correct it quickly. The feedback we receive includes information and emotional content; however, we should acknowledge that we are usually bad listeners. Researchers indicate that we are prone to “listener burnout,” in which we tune the other person out and rush to offer advice. “Good listeners overcome their natural inclination to fix the other’s problems and to keep the conversation brief,” said Professor Graham Bodie. Active listening—in which we remove distractions, lean in, make eye contact, paraphrase, and encourage the talker to continue²³—helps us learn more and build trust if we are genuine and not judgmental.²⁴ The exchange given through oral communication has social, cultural, and emotional components. Cultural social exchange, in which we purposefully share social exchanges that transcend cultural boundaries, can build trust, cooperation, and agreement between individuals and teams.²⁵

One major disadvantage of oral communication surfaces whenever a message has to pass through a number of people: the more people, the greater the potential distortion. If you’ve

ever played the game Telephone, you know the problem. Each person interprets the message in his or her own way. The message's content, when it reaches its destination, is often very different from the original, even when we think the message is simple and straightforward. Therefore, oral communication "chains" are generally more of a liability than an effective tool in organizations. Let's discuss some popular oral communication applications in more detail.

Meetings Meetings can be formal or informal, include two or more people, and take place in almost any venue. Although 11 million meetings take place in the United States daily, some people hate them. So we try to make them more effective: Amazon CEO Jeff Bezos begins meetings with 30 minutes of attendees silently reading his report to themselves, Twitter and Apple have meetings only on Mondays, BuzzFeed has 2 no-meeting days per week, and some organizations limit the duration of meetings.²⁶

Framing even our casual business interactions as meetings helps us stay focused on progress. Every meeting is an opportunity to "get stuff done," as BetterWorks CEO Kris Duggan said, and to "sparkle." He noted, "You may be an expert in your field, but if you don't communicate well, or if you don't get people excited, or you're not passionate or enthusiastic, that's going to be a hindrance."²⁷ Other stumbling blocks to effective meetings are overuse of jargon²⁸ and qualifiers that undermine your words (for example, phrases like "to be perfectly honest" or "to tell the truth" imply that you aren't truthful the other 99 percent of the time!).²⁹

Good interpersonal communication is key to making meetings effective. Some experts recommend using humor as an ice breaker; public relations firm Peppercomm even offers stand-up comedy workshops to help businesses teach people how to use humor. Using humor in meetings even predicts team performance two years later.³⁰ But what if you don't have a voice in meetings? We don't mean someone who is speaking or hearing disabled, as we discuss in Career OBjectives. *Voice* refers to the ability to contribute words of value to the meeting or other forum in the workplace.³¹ By definition, voice challenges the status quo, supports others' viewpoints, adds constructively, or is defensive/destructive.³² As you can see, voice refers to the input and reactions of a person within the meeting, and the lack of voice creates a barrier to input (when no one is speaking, few people want to be the first to break the silence). A person without voice may have nothing to say, but research indicates that women in particular don't speak up in meetings even when they are in leadership

positions, suggesting that certain group dynamics inhibit equal participation.³³ In addition, voice may also be affected by employees' self-evaluation, personal initiative, sense of responsibility, and engagement, as well as workplace climate and the emotions and behavior of their supervisor.³⁴ Without equitable participation, the benefits of meetings are questionable.



John T. Chambers, former CEO of Cisco System, had the habit of organizing early breakfast meetings with different groups of employees. Such meetings gave employees a chance to ask John important questions about the strategy and overall functioning of the company and John occasion to express gratitude to employees for their daily effort.

Source: MTP/Alamy Stock Photo

Videoconferencing and Conference Calling *Videoconferencing* permits employees and clients to conduct real-time meetings with people at different locations. Live audio and video images let us see, hear, and talk with each other without being physically in the same location. *Conference calling* is generally limited to telephone exchanges where some people may gather around one speaker phone, and others call in through a secure line. There may be some shared files or videos everyone can see on their computers. Both modes are used selectively, according to the application.

Peter Quirk, an information technology director with EMC Corporation, uses videoconferencing to hold monthly meetings of employees at various locations while saving

travel expenses and time. He notes it's important to stimulate questions and involve all participants in this forum deliberately to avoid having someone who is on the call but disengaged (a common problem). Other leaders wish they had that problem; instead, they have to mediate between callers who talk over one another, and address those who make too much noise. Erica Pearce, a sales executive, told one conference caller, "If you're vacuuming, I appreciate that, and you're welcome to come to my house afterward. But you need to be on mute."³⁵

You might assume people prefer videoconferencing to conference calling because video offers a more "live" experience, but 65 percent of all remote meetings are done via audio only. For reasons not clearly understood (besides some people's reluctance to be on camera), the time people spend on audio-only calls may be growing almost 10 percent per year.³⁶ To address the pitfalls of videoconferencing and conference calls, experts offer the following suggestions:

- 1. Set more explicit agendas and firmer rules than for face-to-face meetings.**
- 2. Have callers begin by introducing themselves, their roles in the project, and what they are looking for in the meeting.** They should also state their names each time they speak.
- 3. Leaders should talk 40 percent of the time and listen 60 percent of the time.**
- 4. Distribute discussion questions before the meeting, and note the responses of each participant during the meeting.**
- 5. Assign a moderator for the meeting (not the leader) and a secretary (again, not the leader).**
- 6. Understand people's preferences for videoconferencing versus conference calling before the meeting and make sure everyone understands the technology.** "I cannot tell you how many times I've heard people say, 'I don't know what's wrong with my webcam, so I'm just going to be here in voice'" when they might just prefer conference calling, said Laura Stack, author of *Execution Is the Strategy*.³⁷

Career OBjectives

Isn't this disability too much to accommodate?

I thought it was a good, responsible move when my manager hired a guy who is hearing-impaired ... but now I'm not so sure. We do okay in communicating with him, mostly thanks to e-mail and texting. None of us knows sign language but sometimes we spell out words with our hands. The problem is that the guy makes a LOT of inappropriate noises—farts, burps, coughs, moans, you name it. Isn't this too much to put up with?

— Jackie

Dear Jackie:

In short: No. Workplace accommodation means more than simply tolerating a disabled worker's presence. Perhaps you might consider this from your deaf coworker's point of view (by the way, *deaf* is the preferred term, according to the National Association of the Deaf):

- *How are the communication conditions in which he has to work?* Are you being sure to include him in discussions by, say, assigning one of you to write down the important points for him and ask his opinions in meetings? Search for “10 Annoying Habits of Hearing People” online to get a glimpse of his perspective.
- *Do you know what he thinks about your “hand spelling”?* You may not know that American Sign Language (ASL) is not simply English. Your coworker probably doesn't appreciate your “pigeon” sign language and may be offended by your attempts, but he would likely appreciate an effort for the group to learn some ASL and/or use a translator. There are apps and online translators where you can type in a phrase and see someone sign your words on the screen, for instance. Similarly, new technology from MotionSavvy translates signs into written speech.
- *It seems you might be attributing emotions to your coworker when he makes noises, emotions he may not feel.* Do you think he is uncaring about his listening coworkers? It's much more likely that he simply doesn't realize he is making noises or thinks they are quieter than they are. Consider what it's like when you are in a loud room; you're probably less aware of your sounds than when you're in a quiet room where everyone can react.

If you can get past the barrier of thinking about how he should accommodate himself to your environment and instead show him how your group is willing to work to communicate with him, you may begin to develop an understanding of one another.

Then, and only then, it would make sense to approach the noise problem respectfully and kindly, with a nonoffensive one-on-one. But before you do, search the Internet for tips on communicating with the deaf, and show him some respect.

Sources: Based on C. Swinbourne, “The 10 Annoying Habits of Hearing People,” *The Huffington Post*, September 17, 2013, http://www.huffingtonpost.com/charlie-swinbourne/the-10-annoying-habits-of_b_3618327.html; National Association of the Deaf website, www.nad.org, accessed June 30, 2015; and R. Walker, “An Office Distraction,” *The New York Times*, March 22, 2015, 8.

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Telephone The telephone has been around so long that we can overlook its efficiency as a mode of communication. Communication by telephone is fast, effective, and less ambiguous than e-mail. However, telephone messages can be easily overlooked, and a lack of functions has made the phone difficult to use without electronic follow-up. Recently, however, a number of software options have come to the rescue to make phoning more versatile. Switch uses the computer to dial phone numbers, and users can change telephones during calls and view document exchanges. Voice allows people to use a single phone number that’s linked to multiple phones. Talko’s app provides a forum for voice memos, texts, and photos. And Twilio offers businesses cheaper calling and automatic text messages. Supporters say these methods increase business communication capabilities beyond e-mail. “How many times have you been on a giant e-mail thread that’s not making any progress?,” asked the founder of Switch. With these tools, he said, “You’ve distilled all the waste out of the phone conversation, and what’s left are these really important times when you need to talk to someone in real time, and get some emotion and back-and-forth.”³⁸

Written Communication

Written communication includes letters, e-mail, instant messaging, organizational periodicals, and any other method that conveys written words or symbols. Written business

communication today is usually conducted via letters, PowerPoint, e-mail, instant messaging, text messaging, social media, apps, and blogs. We are all familiar with these methods, but let's consider the unique current business communication applications of them.

Letters With all the technology available, why would anyone write and send a letter? Of all the forms of written communication, letter writing is the oldest—and the most enduring. Letter writing can be used to great effect in business, adding a personal touch to a communication or, alternately, creating a lasting document to signal an official communication. Research indicates that when we write by hand, the content is much more memorable to us than when we type.³⁹

PowerPoint PowerPoint and other slide formats like Prezi can be an excellent mode of communication because slide-generating software combines words with visual elements to engage the reader and help explain complex ideas. PowerPoint is often used in conjunction with oral presentations, but its appeal is so intuitive that it can serve as a primary mode of communication. It is not without its detractors, however, who argue that it is too impersonal, disengaging, and frequently hard to follow.

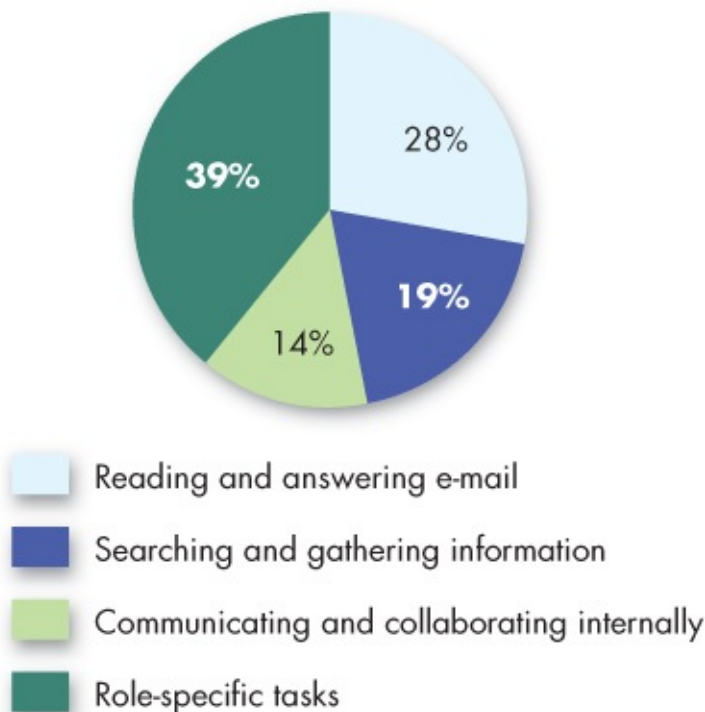
E-Mail The growth of e-mail since its inception nearly 50 years ago has been spectacular, and its use is so pervasive it's hard to imagine life without it. There are more than 3.1 billion active e-mail accounts worldwide, and corporate employees average 105 e-mails each day.⁴⁰ Exhibit 12-5 shows the time that managers and professionals spend daily on various tasks. Many managers report they spend too much time on e-mail. Do you?

The business benefits of e-mail messages are obvious: they can be written, edited, sent, and stored quickly and cheaply. E-mail is not without cost, however. In fact, according to e-mail software company Messagemind, corporations lose \$650 billion each year from time spent processing unnecessary e-mails.⁴¹ One study also indicated that people focus longer on tasks and are less stressed when they are cut off from checking e-mail, although other research suggests that e-mail is only stressful for employees when their workload is already heavy.⁴²

Despite the costs, e-mail is likely here to stay, and is “often the first impression that others get of you,” according to executive coach and etiquette expert Jaqueline Whitmore.⁴³ Still, even seasoned e-mail aficionados struggle with striking the proper tone in their communications.

Exhibit 12-5

Allocation of Time at Work for Managers and Professionals



Source: Based on M. Chui et al., “The Social Economy: Unlocking Value and Productivity through Social Technologies,” McKinsey & Company, July 2012, http://www.mckinsey.com/insights/high_tech_telecoms_internet/the_social_economy.

Whitmore offers the following advice:

1. **Don’t skip the subject line, but make it short and topic-related.**
2. **Give a greeting/salutation.** “Dear” and “hello” are good starting points. In later exchanges, “hi” may be appropriate. Use the person’s name. “Err on the side of being more formal” in your greeting and the body of the e-mail, Whitmore advises. Same for your closing; “Best regards” is more formal.
3. **Keep sentences, paragraphs, and thoughts short.** Use bullet points when possible.
4. **However, don’t be curt.** “No one can see your facial expressions or hear your tone of voice, so the only way they’re gauging your emotions is the tone that you use in that e-mail,” she said.
5. **Don’t use text language.** “Even if you’ve just graduated from college and you’re now out

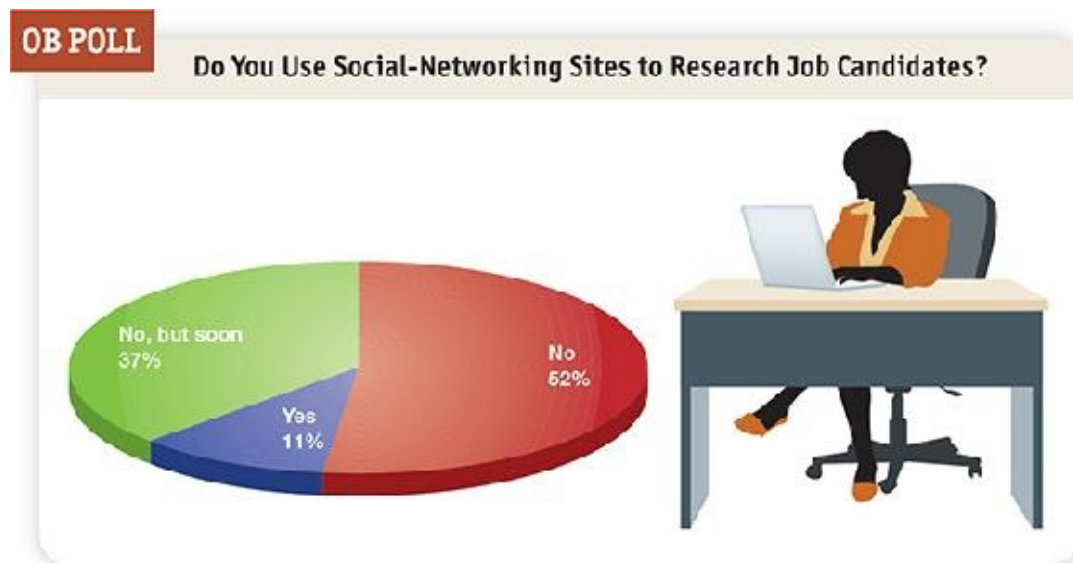
in the workforce,” Whitmore observed, “remember that a lot of your clients may be baby boomers. It’s important for you to stay professional.”

6. Check your spelling. Check it again.

7. When people write back, reply within 24 hours. “Even if you don’t have an answer for someone, reply anyway,” she said.⁴⁴

Instant Messaging Like e-mail, instant messaging (IM) is usually done via computer. There are distinct pros and cons to IM, but there are mostly negatives for business interactions. If you are present when the IM comes in, you can respond in real time to engage in online typed dialogue, but the conversation will not be saved for later reference. If you miss the incoming IM, you may be alerted when you next log on that a person tried to reach you, which may be long after a response was needed.

Text Messaging Text messaging may be a little bit better than IM but has many of the same pitfalls in business usage. The guidelines for the business use of texting are still evolving, but experts continually caution that business text language should be as formal as any other business communication. The level of informality and abbreviations we use in personal text messages is usually not advisable at work.⁴⁵



Note: CareerBuilder survey of over 2,000 hiring professionals.

Source: Based on CareerBuilder at <http://www.careerbuilder.com/JobPoster/Resources/page.aspx?pagever=2012SocialMedia&template=none>.

Social Media Websites Nowhere has online communication been more transformed than in the rise of social networks like Facebook and LinkedIn, and business is taking advantage of the opportunities these social media present. Many organizations have developed their own in-house social-networking applications, known as *enterprise social software*, and most have their own Facebook pages and Twitter feeds.⁴⁶ Social networking has become a tool for prospective employees, hiring managers, employees, and human resources divisions (see OB Poll).

Facebook has more than 1.44 billion active users per month,⁴⁷ and it's important to remember in business that users can send messages to other users either by posting on their walls (public), sending messages, or setting up chats (private). They can also communicate with multiple other users ("friends") by posting status updates, videos, and photos. Some of the modes of communication may be appropriate for business application (such as an organization's Facebook page), but many are not. Research has found that none of the world's 50 most profitable companies' CEOs are using Facebook.⁴⁸ This represents a dramatic shift from 2010, when these CEOs were using Facebook, LinkedIn, and Twitter quite equally. Leslie Gaines-Ross, who represents the study, observed, "I think that CEOs are identifying which platform really works for them."⁴⁹ Privacy remains a high concern for many Facebook users, and some regions of the world do not have access to it.⁵⁰

Unlike many social media venues, LinkedIn was created as an online business network and now has 187 million active users per month.⁵¹ User profiles on the site are like virtual résumés. Communication is sometimes limited to endorsements of others' skills and establishment of business connections, though direct private communication is available and users can form and belong to groups. LinkedIn is used increasingly by top CEOs and is the top popular network for them (22 percent of the top 50 companies' CEOs use LinkedIn).⁵²

Twitter is a hybrid social-networking service for users to post microblog entries of 140 characters to their subscribers about any topic, including work. Twitter has 236 million active users monthly on average⁵³ and is growing as a business venue. While only 10 percent of the top companies' CEOs are on Twitter,⁵⁴ some have many followers, such as President Donald Trump, who has 29.7 million, and Richard Branson of Virgin Group, who has 5.99 million. As former Medtronic CEO Bill George noted, "Can you think of a more cost-effective way of getting to your customers and employees?"⁵⁵ Having many followers can be an advantage to a firm or a manager, but a huge liability when posts (tweets) are badly written or negative.



Apps LinkedIn and Twitter are two of the most widely used social media platforms

for businesses, but they are not the only ones. Apps—easily accessed mobile-friendly platforms—are increasingly the forum of choice for the public. Some websites have apps, while other apps exist without corresponding websites. One of the biggest apps is WhatsApp, at 450 million active monthly users. Apps are most popular in regions where mobile phone usage is primary.⁵⁶ Asia has the world’s largest number of social media users, and apps play a large role in that part of the world through Line (Japan), WeChat (China), and Kakao (South Korea).⁵⁷

Blogs A *blog* (short for “web log”) is a website about a single person or company. Experts see blogging as a business necessity for organizations, so it should not be overlooked as a vital form of communication to employees and customers, who can post feedback if they choose.⁵⁸ However, outdated blogs look bad to employees, customers, and the public, so new ones must be added continually to maintain relevancy.

Myth or Science?

Today, Writing Skills Are More Important Than Speaking Skills

Never before have the writing skills of managers and employees been more on display. Whether we are tapping on a keyboard or a screen, this communication with others is often unedited. (Thank goodness for spell-check.) With all the written communication methods we currently employ, it would be easy to think upper management values writing skills over speaking skills. However, evidence suggests that this is not the case.

As we discussed in Chapter 1, soft skills matter most to employers, regardless of industry. According to Nick Schultz of the American Enterprise Institute, “Considerable evidence suggests that many employers would be happy just to find applicants who have the sort of ‘soft’ skills that used to be almost taken for granted.” Though soft skills refer to all interpersonal skills evident through speaking and writing, they are most on

display in one-on-one discussions, interviews, meetings, and presentations. The ability to speak well, particularly in English, has become a job prerequisite for many multinational corporations.

The good news is that speaking ability—knowledge of when to speak, how to speak, how to sound, what to say—can be improved through training. According to leadership coach and author Kristi Hedges, most people can train on their own and do not need formal presentation classes. You can make significant improvements by researching speaking techniques, watching videos of practice sessions, and practicing new techniques in meetings. If learning to speak a foreign language fluently is a problem, full immersion courses and overseas assignments can be helpful if they are options, as are listening to and mimicking television and radio broadcasts in the language. Speaking well hinges on clarity and sincerity of expression.

While it is a mistake to believe writing skills have become more important than speaking skills, we can all make significant improvements in our verbal communications relatively quickly.

Sources: Based on R. J. Aldrick and J. Kasuku, “Escaping from American Intelligence: Culture, Ethnocentrism and the Anglosphere,” *International Affairs*, September 2012, 1009–28; K. Hedges, “Confessions of a Former Public Speaking Trainer: Don’t Waste Your Money,” *Forbes*, April 19, 2012, www.forbes.com/sites/work-in-progress/2012/04/19/public-speaking-trainer-confesses-dont-waste-your-money-on-this/; and N. Schultz, “Hard Unemployment Truths about ‘Soft’ Skills,” *The Wall Street Journal*, September 20, 2012, A15.

Others Flickr, Pinterest, Google+, YouTube, Wikis, Jive, Socialtext, and Social Cast are just a few of the many public and industry-specific platforms, with new ones launching daily. Some are designed for only one type of posting: YouTube accepts only videos, for instance, and Flickr only videos and images. Other sites have a particular culture, such as Pinterest’s informal posts sharing recipes or decorating tips. The business applications have not been fully realized yet, but soon there will probably be at least one social media site tailored to every type of business communication.

Nonverbal Communication Every time we deliver a verbal message, we also impart an unspoken message.⁵⁹ Sometimes the nonverbal component may stand alone as a powerful

message of our business communication. No discussion of communication would thus be complete without consideration of *nonverbal communication*—which includes body movements, the intonations or emphasis we give to words, facial expressions, and the physical distance between the sender and receiver.

We could argue that every *body movement* has meaning, and no movement is accidental (though some are unconscious). We act out our state of being with nonverbal body language. For example, we smile to project trustworthiness, uncross our arms to appear approachable, and stand to signal authority.⁶⁰

Body language can convey status, level of engagement, and emotional state.⁶¹ Body language adds to, and often complicates, verbal communication. In fact, studies indicate that people read much more about another's attitude and emotions from their nonverbal cues than their words! If nonverbal cues conflict with the speaker's verbal message, the cues are sometimes more likely to be believed by the listener.⁶²

If you read the minutes of a meeting, you wouldn't grasp the impact of what was said the same way as if you had been there or could see the meeting on video. Why is this so? There is no record of nonverbal communication, and the emphasis given to words or phrases is missing. Both make the meaning clearer. Exhibit 12-6 illustrates how *intonations* can change the meaning of a message. *Facial expressions* also convey meaning. Facial expressions, along with intonations, can show arrogance, aggressiveness, fear, shyness, and other characteristics.

Exhibit 12-6 Intonations: It's the Way You Say It!

Change your tone and you change your meaning:

Placement of the Emphasis	What It Means
Why don't I take you to dinner tonight?	I was going to take someone else.
Why don't I take you to dinner tonight?	Instead of the guy you were going with.
Why don't I take you to dinner tonight?	I'm trying to find a reason why I shouldn't take you.
Why don't I take you to dinner	Do you have a problem with me?

tonight?

Why don't I **take** you to dinner

Instead of going on your own.

tonight?

Why don't I take you to **dinner**

Instead of lunch tomorrow.

tonight?

Why don't I take you to dinner

Not tomorrow night.

tonight?

Source: Reproduced in A. Huczynski and D. Buchanan, *Organizational Behavior*, 4th ed. (Essex, UK: Pearson Education, 2001), 194.

Physical distance also has meaning. What is considered proper spacing between people largely depends on cultural norms. For example, a businesslike distance in some European countries feels intimate in many parts of North America. If someone stands closer to you than is considered appropriate, it may indicate aggressiveness or sexual interest; if the person stands farther away, it may signal disinterest or displeasure with what is being said.

MyLab Management Personal Inventory Assessments



Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.3.1 Which of the following statements is true regarding oral communication?

- It is often tangible and verifiable.

- It can be stored for an indefinite period.
- The sender can quickly obtain feedback from the receiver.
- As compared to written communication, it is more likely to be well thought out, logical, and clear.

Check answer

Reset

12.3.2 All of the following are examples of nonverbal communication except _____.

- ☐ intonations or emphasis
- ☐ instant messaging
- ☐ physical distance between the sender and the receiver
- ☐ facial expressions

Check answer

Reset

Choice of Communication

12-4 Describe how channel richness underlies the choice of communication method.

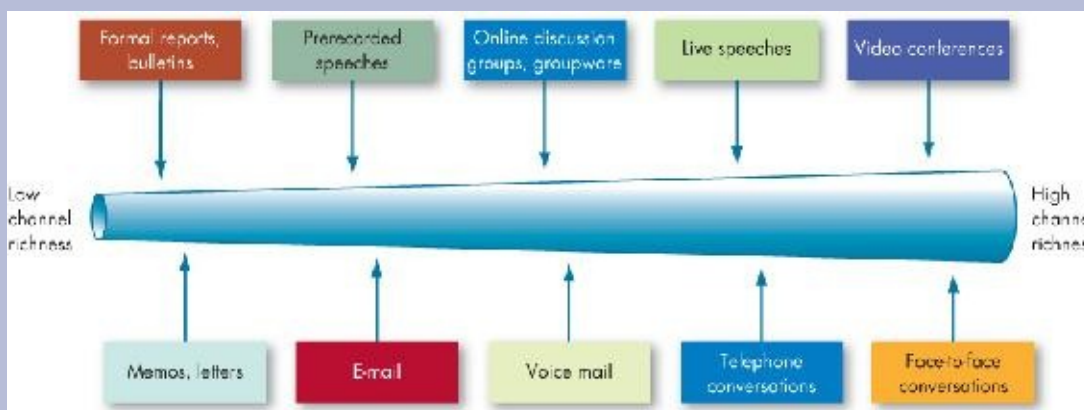
Now that we've discussed various modes of business communication, why do people choose one channel of communication over another? A model of media richness helps explain channel selection among managers.⁶³

Channel Richness

Channels differ in their capacity to convey information. Some are *rich* in that they can (1) handle multiple cues simultaneously, (2) facilitate rapid feedback, and (3) be very personal. Others are *lean* in that they score low on these factors. As Exhibit 12-7 illustrates, face-to-face conversation scores highest in **channel richness** ⓘ because it transmits the most information per communication episode—multiple information cues (words, postures, facial expressions, gestures, intonations), immediate feedback (both verbal and nonverbal), and the personal touch of being present. Impersonal written media such as formal reports and bulletins rate lowest in richness.

In sum, rich channels give us the chance to observe. The unconscious aspects of communication help us understand the full meaning of a message. When these aspects are missing, we must look for other clues to deduce the sender's emotions and attitudes.

Exhibit 12-7 Information Richness and Communication Channels



Source: Reproduced from R. L. Daft and R. A. Noe, *Organizational Behavior* (Fort Worth, TX: Harcourt, 2001), 311.

Choosing Communication Methods

The choice of channel depends on whether the message is routine. Routine messages tend to be straightforward and have minimal ambiguity; channels low in richness can carry them efficiently. Nonroutine communications are likely to be complicated and have the potential for misunderstanding. Managers can communicate them effectively only by selecting rich channels.

Channel richness is a helpful framework for choosing your mode of communication. It is not always easy to know when to choose oral rather than written communication, for instance. Experts say oral communication or “face-to-face” communication with coworkers, clients, and upper management is the key to success. However, if you seek out the CEO just to say hello, you may be remembered as an annoyance rather than a star, and signing up for every meeting on the calendar to increase your face-to-face interactions is counterproductive to getting the work of the organization done. Your communication choice is worth a moment’s thought: Is the message you need to communicate better suited to a discussion? A diagram? Let’s explore some decision points.

Whenever you need to gauge the receiver’s receptivity, *oral communication* is usually the better choice. The marketing plan for a new product, for instance, may need to be worked out with clients in person, so you can see their reactions to each idea you propose. Also consider the receiver’s preferred mode of communication; some individuals focus on content better in written form and others prefer discussion. For example, if your manager requests a meeting with you, you may not want to ask for an e-mail exchange instead. The pace of your work environment matters, too. A fast-paced workplace may thrive on pop-by meetings, while a deadline-heavy team project may progress faster with scheduled Skype videoconferences.

Much of what we communicate face-to-face is in the delivery, so also consider your speaking skills when choosing your communication method. Research indicates the sound of your voice is twice as important as what you are saying. A good speaking voice—clear, moderated—can be a help to your career, while loud, questioning, irritating, immature, falsetto, breathy, or monotone voice tones can hinder you. If your voice is problematic, your work teams can help you raise your awareness so you can make changes, or you may benefit

from the help of a voice coach.⁶⁴

Written communication is generally the most reliable mode for complex and lengthy communications, and it can be the most efficient method for short messages when, for instance, a two-sentence text can take the place of a 10-minute phone call. But keep in mind that written communication can be limited in its emotional expression.

Choose written communication when you want the information to be tangible, verifiable, and “on the record.” People are usually forced to think more thoroughly about what they want to convey in a written message than in a spoken one, so your written communications can be well thought out, logical, and clear. But be aware that, as with oral communication, your delivery is just as important as the content. We discussed the level of formality, but note that managers report grammar mistakes and lack of business formality are unprofessional—and unacceptable. “People get passionate about grammar,” corporate writing instructor and author Jack Appleman noted, and one study found that 45 percent of employers were adding training programs to teach grammar and communication skills.⁶⁵ On the other hand, some experts argue that the use of social media jargon and abbreviations is good for business. Overall, for your professional success, know your audience when possible, and use good grammar.

Letters are used in business primarily for networking purposes and when signatures need to be authentic. A handwritten thank-you note is never a wrong choice for an applicant to send after an employment interview, for instance, and handwritten envelopes often are put right on the receiver’s desk unopened by administrative staff. Although electronic written communication provides authentication by indicating the sender and date/time sent, a handwritten signature is still preferred and sometimes required for letters and contracts.



To enhance her personal office visits with patients, pediatric physician Dr. Natasha Burgert communicates with them through e-mail, texting, and her blog. Written communication enables her to share reliable and timely medical information with patients' families so they can provide better care for their children.

Source: Orlin Wagner/AP Images

In general, you should respond to *instant messages* only when they are professional and initiate them only when you know they will be welcome. Remember that your conversation will not be stored for later reference.

There are significant gains and challenges from *text messaging* in business settings. Texts are cheap to send and receive, and the willingness to be available for quick communications from clients and managers is conducive to good business. However, some users—and managers—view text messaging as intrusive and distracting. The rules of business etiquette are not yet established, resulting in offenses ranging from texts sent at unreasonable hours to serial texting in bursts of short messages that keep receivers' phones buzzing annoyingly. Such a continual presence can also make it hard for employees to concentrate and stay focused. Consider these recent research findings from a survey of professionals:

- *Eighty-four percent think it's inappropriate to write texts or e-mails during formal meetings.*
- *Seventy-five percent think it's inappropriate to read texts or e-mails during formal*

meetings.

- *Sixty-six percent think it's inappropriate to write texts or e-mails during any meetings.*
- *At least 22 percent think it's inappropriate to use phones during any meetings.*⁶⁶

As you can see, it is best to strictly limit personal text messages during office hours and be cautious in using texting for business purposes. You should discuss using texting for business with people before you text them for the first time, set up general availability ground rules, and take your cues about when to text from the other person. For longer messages, it is better to use e-mail; even though the receiver still might scroll through the message on a smartphone, the option of viewing—and saving—your message on a computer is preferable.

On the corporate level, the returns on using *social media* are mixed. Some of the most spectacular gains are in the sales arena, both business-to-public and business-to-business. For instance, one sales representative for virtual-meetings company PGI landed his fastest sale ever by instantly connecting with a potential client after TweetDeck alerted him that a CEO was tweeting his frustration about web conferencing.⁶⁷ Companies are also developing their own internal social-networking platforms to encourage employees to collaborate and to improve training, reporting a 300 percent annual increase in corporate network activity.

Some organizations have policies governing the use of social media, but many don't. It is difficult for management to control the content that employees post; even well-intentioned employees post comments that could be construed as harmful to their organization's reputation or that reveal confidential or sensitive information. Software that mines social media sites can check on a job applicant, and the growing field of digital forensics helps investigate potential problems with current employees; however, cybersleuthing can be time-consuming and expensive.⁶⁸ And acting on violations of an organization's social media policy is tricky. Thus, if you want to use social media for business purposes, make certain you are connected with all levels of management engaged in the effort. And if you would like to mention your business in your personal social media, communicate with your organization about what you would like to do, and what you think the potential return for the company may be. Use discretion about which personal social media platforms and *apps* are acceptable for business communication. And know your company's social media policies about corporate confidentiality and your company's view on your privacy.⁶⁹

As an individual, you may choose to post a *blog* on your own blog page, or you may choose to comment on another person's blog. Both options are more public than you may

think, and your words are easily reachable by your name via search engines like Google. If others in the company happen to read a critical or negative blog entry or post, there is nothing to keep them from sharing that information with management. You could be dismissed as a result.

It's important to be alert to *nonverbal* aspects of communication and look for these cues as well as the literal meaning of a sender's words. You should be particularly aware of contradictions between the messages. Someone who frequently glances at her wristwatch is giving the message that she would prefer to terminate the conversation no matter what she actually says, for instance. We misinform others when we express one message verbally, such as trust, but nonverbally communicate a contradictory message that reads, "I don't have confidence in you."

Information Security

Security is a huge concern for nearly all organizations with private or proprietary information about clients, customers, and employees. Organizations worry about the security of electronic information they seek to protect such as hospital patient data, physical information they still keep in file cabinets, and information they entrust their employees with knowing. Most companies actively monitor employee Internet use and e-mail records, and some even use video surveillance and record phone conversations. Necessary though they may be, such practices can seem invasive to employees. An organization can relieve employee concerns by engaging them in the creation of information-security policies and giving them some control over how their personal information is used.⁷⁰

An Ethical Choice

Using Employees in Organizational Social Media Strategy

Social media are good for business communication, but their use is an ethical minefield for employers and employees. In a study of 24 industries in 115 countries, 63 percent of managers believed social media will be important to their businesses in 3 years. Research suggests that social media use may be an indicator of an organization's profitability. Companies at the forefront include McDonald's, IBM,

Salesforce, SAP, and Yammer. Social media can turn customers into fans through increased and personalized communication, and quick and appropriate responses to customers' communication can turn those fans—and employees—into spokespeople for the brand. The key is forming emotional bonds or capitalizing on current relationships to spread the good word about the company to potential clients.

Social media sites pose a host of business ethical concerns. Employees with a huge online presence who use social media for both personal and company promotion (known as co-branded employees) become a liability if they leak corporate information, present a bad image, or leave the company. There are also ethical concerns about employees' privacy and right to free speech: Let's say that an employee who monitors the company Twitter feed wins a customer over; she later tweets from her personal account, "Score for us: another happy customer." That may present no concern, but she would hurt the company if she lost the customer and tweeted, "Epic fail: We blew it again."

Other employer tasks with few tested ethical guidelines include ensuring employees make proper use of company time, compensating them for time they spend promoting the company through their personal social media connections, clarifying who should own personal devices used for company promotion, setting limits on company expectations of employees' promotion efforts, dealing with permissions/attributions, and clearing any legal hurdles.

Experts advise organizations to draft social media policies that reflect their company ethics rather than seek to "cover all the bases" of potential liabilities. While an organization could require job applicants to share their online passwords, for instance, this may violate trust and personal privacy rules. Policies that define ethical expectations for employee online behavior, discuss monitoring, define consequences for nonconformance, and explain the logic of the guidelines will be the most effective. Even still, the National Labor Relations Board (NLRB) finds many corporate policies aimed at the ethics of social media usage violate the National Labor Relations Act. A good social media policy can affirm the ethical expectations of the corporation and improve its organizational culture.

Sources: Based on S. F. Gale, "Policies Must Score a Mutual Like," *Workforce Management* (August 2012): 18; B. Giamanco and K. Gregoire, "Tweet Me, Friend Me, Make Me Buy," *Harvard Business Review* (July–August 2012):

88–93; D. Kiron, D. Palmer, A. N Phillips, and N. Kruschwitz, “What Managers Really Think about Social Business,” *MIT Sloan Management Review* (Summer 2012): 51–60; X. Luo, J. Zhang, and W. Duan, “Social Media and Firm Equity Value,” *Information Systems Research* (March 2013): 146–63; C. M. Sashi, “Customer Engagement, Buyer-Seller Relationships, and Social Media,” *Management Decision* 50 (2012): 253–72; and A. Smith, “NLRB Finds Social Media Policies Unlawful,” *HR Magazine* (August 2012): 18.

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.4.1 Which of the following is not a drawback of written messages?

- ☐ They're time consuming.
- ☐ They are unlikely to be well thought-out.
- ☐ They lack built-in feedback mechanisms.
- ☐ It is difficult for senders to confirm whether they have been received.

Check answer

Reset

12.4.2 All of the following are high in channel richness except _____.

- words
- postures
- writing

☐ gestures

Check answer

Reset

Persuasive Communication

12-5 Differentiate between automatic and controlled processing of persuasive messages.

We've discussed a number of methods for communication up to this point. Now we turn our attention to one of the functions of communication—persuasion—and the features that might make messages more or less persuasive to an audience.

Automatic and Controlled Processing

To understand the process of persuasion, it is useful to consider two different ways we process information.⁷¹ Think about the last time you bought a can of soda. Did you carefully research brands, or did you reach for the can that had the most appealing advertising? If we're honest, we'll admit glitzy ads and catchy slogans have an influence on our choices as consumers. We often rely on **automatic processing** ⓘ, a relatively superficial consideration of evidence and information making use of heuristics like those we discussed in Chapter 6. Automatic processing takes little time and low effort, so it makes sense to use it for processing persuasive messages related to topics you don't care much about. The disadvantage is that it lets us be fooled easily by a variety of tricks, like a cute jingle or glamorous photo.

Now consider the last time you chose a place to live. You probably sourced experts who knew something about the area, gathered information about prices, and considered the costs and benefits of renting versus buying. You were engaging in more effortful **controlled processing** ⓘ, a detailed consideration of evidence and information relying on facts, figures, and logic. Controlled processing requires effort and energy, but it's harder to fool someone who has taken the time and effort to engage in it. So what makes someone engage in either shallow or deep processing? Let's explore how we might determine what types of processing an audience will use.

Interest Level One of the best predictors of whether people will use an automatic or controlled process for reacting to a persuasive message is their level of interest in it.⁷² Interest levels reflect the impact a decision will have on your life. When people are very

interested in the outcome of a decision, they're more likely to process information carefully. That's probably why people look for so much more information when deciding about something important (like where to live) than something relatively unimportant (like what color t-shirt to wear).

Prior Knowledge People who are well informed about a subject area are more likely to use controlled processing strategies. They have already thought through various arguments for or against a specific course of action and therefore won't readily change their position unless very good, thoughtful reasons are provided. On the other hand, people who are poorly informed about a topic can change their minds more readily, even in the face of fairly superficial arguments presented without a great deal of evidence. A better-informed audience is likely to be much harder to persuade.

Personality Do you read at least five reviews of a movie before deciding whether to see it? Perhaps you even research films by the same stars and director. If so, you are probably high in **need for cognition** ⓘ, a personality trait of individuals who are most likely to be persuaded by evidence and facts.⁷³ Those who are lower in their need for cognition are more likely to use automatic processing strategies, relying on intuition and emotion to guide their evaluation of persuasive messages.

Message Characteristics Another factor that influences whether people use an automatic or controlled processing strategy is the characteristics of the message itself. Messages provided through relatively lean communication channels, with little opportunity for users to interact with the content of the message, encourage automatic processing. Conversely, messages provided through richer communication channels encourage more deliberative processing.



Managers of Germany's construction firm Hochtief relied on controlled processing during a meeting when they presented rational arguments about a takeover bid by another firm. Fearing that a takeover would put their jobs at risk, Hochtief employees had a high level of interest in learning about managers' plans to prevent it.

Source: Bernd Thissen/dpa/picture-alliance/Newscom

Choosing the Message The most important implication is to match your persuasive message to the type of processing your audience is likely to use. When audience members are not interested in a persuasive message topic, when they are poorly informed, when they are low in need for cognition, and when information is transmitted through relatively lean channels, they'll be more likely to use automatic processing. In these cases, use messages that are more emotionally laden and associate positive images with your preferred outcome. On the other hand, when audience members are interested in a topic, when they are high in need for cognition, or when the information is transmitted through rich channels, then it is a better idea to focus on rational arguments and evidence to make your case.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.5.1 Which of the following is not one of the controlled processing one might use when processing information?

- ☐ message characteristics
- ☐ prior knowledge
- ☐ tailoring the message
- ☐ interest level

Check answer

Reset

12.5.2 Miranda is a mid-level supervisor at a home improvement store. Over the last few weeks, Miranda has noticed that Lauren has not been doing well at her job and the sales in her area have been slipping. Which method of communication would be best for Miranda to use to address this matter with Lauren?

- ☐ email
- ☐ memo
- ☐ phone call
- ☐ informal meeting

Check answer

Reset

Barriers to Effective Communication

12-6 Identify common barriers to effective communication.

Several barriers can slow or distort effective communication, barriers that we need to recognize and reduce. In this section, we highlight the most important.

Filtering

Filtering ⓘ refers to a sender's purposely manipulating information so the receiver will see it more favorably. A manager who tells his boss what he feels the boss wants to hear is filtering information.

The more vertical levels in the organization's hierarchy, the more opportunities there are for filtering. But some filtering will occur wherever there are status differences. Factors such as fear of conveying bad news and the desire to please the boss often lead employees to tell their superiors what they think they want to hear, thus distorting upward communications.

Selective Perception

Selective perception is important because the receivers in the communication process selectively see and hear based on their needs, motivations, experience, backgrounds, and other personal characteristics. Receivers also project their interests and expectations into communications as they decode them. For example, an employment interviewer who expects a female job applicant to put her family ahead of her career is likely to see that characteristic in all female applicants, regardless of whether any of the women actually feel that way. As we said in Chapter 6, we don't see reality; we interpret what we see and call it reality.

Information Overload

Individuals have a finite capacity for processing data. When the information we have to work with exceeds our processing capacity, the result is **information overload** ⓘ. We've seen in this text that dealing with it has become a huge challenge for individuals and for organizations. It's a challenge you can manage—to some degree—by following the steps

outlined earlier in this chapter.

What happens when individuals have more information than they can sort and use? They tend to select, ignore, pass over, or forget it. Or they may put off further processing until the overload situation ends. In any case, lost information and less effective communication results, making it all the more important to deal well with overload.

More generally, as an Intel study shows, it may make sense to connect to technology less frequently, to, in the words of one article, “avoid letting the drumbeat of digital missives constantly shake up and reorder to-do lists.” One radical way is to limit the number of devices you access. For example, Coors Brewing executive Frits van Paasschen jettisoned his desktop computer in favor of mobile devices only, and Eli Lilly & Co. moved its sales teams from laptops plus other devices to just iPads. Both these moves have resulted in increased productivity.⁷⁴

As information technology and immediate communication have become a more prevalent component of modern organizational life, more employees find they are never able to get offline. For example, some business travelers were disappointed when airlines began offering wireless Internet connections in flight because they could no longer use their travel time as a rare opportunity to relax without a constant barrage of organizational communications. The negative impacts of these communication devices can spill over into employees’ personal lives as well. Both workers and their spouses relate the use of electronic communication technologies outside work to higher levels of work–life conflict, though some research suggests that the level of conflict may depend on the characteristics of the employee.⁷⁵ Employees must balance the need for constant communication with their personal need for breaks from work, or they risk burnout from being on call 24 hours a day.

Emotions

You may interpret the same message differently when you’re angry or distraught than when you’re happy. For example, individuals in positive moods are more confident about their opinions after reading a persuasive message, so well-designed arguments have a stronger impact on their opinions.⁷⁶ People in negative moods are more likely to scrutinize messages in greater detail, whereas those in positive moods tend to accept communications at face value.⁷⁷ Extreme emotions such as jubilation or depression are most likely to hinder effective communication. In such instances, we are most prone to disregard our rational and objective

thinking processes and substitute emotional judgments.

Language

Even when we're communicating in the same language, words mean different things to different people. Age and context are two of the biggest factors that influence such differences. For example, when business consultant Michael Schiller asked his 15-year-old daughter where she was going with friends, he said, "You need to recognize your ARAs [ARA stands for "accountability, responsibility, and authority"] and measure against them." Schiller said that in response, his daughter "looked at him like he was from outer space." Those new to corporate lingo may find acronyms such as ARA, words such as *deliverables* (verifiable outcomes of a project), and phrases such as *get the low-hanging fruit* (deal with the easiest parts first) bewildering, in the same way parents may be mystified by teen slang.⁷⁸ The persuasiveness of language also depends on the person's initial agreement with a message. For example, concrete language is more persuasive when the audience has dissimilar political views to the message, while abstract language is more persuasive when political views are similar.⁷⁹



Communication barriers exist between these call center employees in Manila, the Philippines, and their U.S. and Canadian customers even though they all communicate in English. Training in pronunciation, intonation, vocabulary, and grammar

helps employees convey messages effectively to their customers.

Source: Dondi Tawatao/Getty Images

Our use of language is far from uniform. If we knew how each of us modifies the language, we could minimize communication difficulties, but we usually don't know. Senders tend to assume—incorrectly—that the words and terms they use mean the same to the receivers as they do to them.

Silence

It's easy to ignore silence or lack of communication because it is defined by the absence of information. This is often a mistake, however—silence itself can be the message to communicate noninterest or the inability to deal with a topic. Employees are more likely to be silent if they are being mistreated by managers, are experiencing frequent negative emotions and rumination, or feel like they have less power in the organization.⁸⁰ Silence can also be a simple outcome of information overload or a delaying period for considering a response. For whatever reasons, research suggests using silence and withholding communication are common and problematic.⁸¹ One survey found that more than 85 percent of managers reported remaining silent about at least one issue of significant concern.⁸² The impact of silence can be organizationally detrimental. Employee silence can mean managers lack information about ongoing operational problems; management silence can leave employees bewildered. Silence regarding discrimination, harassment, corruption, and misconduct means top management cannot take action to eliminate problematic behavior.

Communication Apprehension

An estimated 20 percent of college students suffer from debilitating **communication apprehension** ⓘ, or social anxiety.⁸³ These people experience undue tension and anxiety in oral communication, written communication, or both.⁸⁴ They may find it extremely difficult to talk with others face-to-face or become extremely anxious when they have to use the phone, relying on memos or e-mails when a phone call would be faster and more appropriate.

Oral-communication apprehensives avoid situations, such as teaching, for which oral communication is a dominant requirement.⁸⁵ But almost all jobs require *some* oral communication. Of greater concern is evidence that some oral-communication apprehensives

distort the communication demands of their jobs in order to minimize the need for communication. Be aware that some people severely limit their oral communication and rationalize their actions by telling themselves communicating isn't necessary for them to do their jobs effectively.

Lying

The final barrier to effective communication is outright misrepresentation of information, or lying. People differ in their definition of a lie. For example, is deliberately withholding information about a mistake a lie, or do you actively have to deny your role in the mistake to pass the threshold? While the definition of a lie befuddles ethicists and social scientists, there is no denying the prevalence of lying. People may tell one to two lies per day, with some individuals telling considerably more.⁸⁶ Compounded across a large organization, this is an enormous amount of deception happening every day. Evidence shows people are more comfortable lying over the phone than face-to-face, and they are more comfortable lying in e-mails than when they have to write with pen and paper.⁸⁷

Can you detect liars? Research suggests most people are not very good at detecting deception in others.⁸⁸ The problem is there are no nonverbal or verbal cues unique to lying—averting your gaze, pausing, and shifting your posture can also be signals of nervousness, shyness, or doubt. Most people who lie take steps to guard against being detected, so they might look a person in the eye when lying because they know that direct eye contact is (incorrectly) assumed to be a sign of truthfulness. Finally, many lies are embedded in truths; liars usually give a somewhat true account with just enough details changed to avoid detection.

In sum, the frequency of lying and the difficulty in detecting liars makes this an especially strong barrier to effective communication.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.6.1 Jake tells his boss only what he believes the boss wants to hear. Jake is engaging in _____.

- ☐ filtering information
- ☐ selective perception of information
- ☐ communication apprehension
- ☐ emotional blockage

Check answer

Reset

12.6.2 Even when we're communicating in the same language, words mean different things to different people, with _____ and context being two of the biggest factors that influence such differences.

- ☐ educational qualification
- ☐ gender
- ☐ age
- ☐ religion

Check answer

Reset

Cultural Factors

12-7 Discuss how to overcome the potential problems of cross-cultural communication.

Effective communication is difficult under the best of conditions. Cross-cultural factors clearly create the potential for increased communication problems. A gesture that is well understood and acceptable in one culture can be meaningless or lewd in another. Unfortunately, only 18 percent of companies have documented strategies for communicating with employees across cultures, and only 31 percent require that corporate messages be customized for consumption in other cultures.

Cultural Barriers



Several problems are related to language difficulties in cross-cultural communications.

First are *barriers caused by semantics*. Words mean different things to different people, particularly people from different national cultures. Some words don't translate between cultures. For instance, the Finnish word *sisu* means something akin to “guts” or “dogged persistence” but is essentially untranslatable into English. Similarly, capitalists in Russia may have difficulty communicating with British or Canadian counterparts because English terms such as *efficiency*, *free market*, and *regulation* have no direct Russian equivalents.



Second are *barriers caused by word connotations*. Understanding a word's suggestive meaning is important. The word *quality* is associated in America with “it works”; in Korea, it suggests “it's brand new”; in Japan, “it's perfect—zero defects”; and in China, “it gives status.”⁸⁹

Third are *barriers caused by tone differences*. In some cultures, language is formal; in others, it's informal. In some cultures, the tone changes depending on the context: People speak differently at home, in social situations, and at work. Using a personal, informal style when a more formal style is expected can be inappropriate.



Fourth are *differences in tolerance for conflict and methods for resolving conflicts*.

People from individualist cultures tend to be more comfortable with direct conflict and will make the source of their disagreements overt. Collectivists are more likely to acknowledge conflict only implicitly and avoid emotionally charged disputes. They may attribute conflicts to the situation more than to the individuals and therefore may not require explicit apologies to repair relationships, whereas individualists prefer explicit statements accepting responsibility for conflicts and public apologies to restore relationships.



In addition, while all cultures identify certain behaviors as overly aggressive, there are certain types of behaviors that are more likely to be identified as negative depending on the culture. In Israel, Pakistan, and Japan, there is a greater distinction between verbal and physical aggression. In the United States and Israel, behaviors that infringe on personal resources are considered aggressive, while Pakistan differentiates between different degrees of threats. Different standards for aggression reflect the ways that a certain country may interpret or respond to a conflict.⁹⁰

Cultural Context



Cultures tend to differ in the degree to which context influences the meaning individuals take from communication.⁹¹ In **high-context cultures** ⓘ such as China, Korea, Japan, and Vietnam, people rely heavily on nonverbal and subtle situational cues in communicating with others, and a person's official status, place in society, and reputation carry considerable weight. What is *not* said may be more significant than what *is* said. In contrast, people from Europe and North America reflect their **low-context cultures** ⓘ. They rely essentially on spoken and written words to convey meaning; body language and formal titles are secondary (see Exhibit 12-8).

Exhibit 12-8 High- versus Low-Context Cultures



Contextual differences mean quite a lot in terms of communication. Communication in high-context cultures implies considerably more trust by both parties. What may appear to be casual and insignificant conversation in fact reflects the desire to build a relationship and create trust. Oral agreements imply strong commitments in high-context cultures. And who you are—your age, seniority, rank in the organization—is highly valued and heavily influences your credibility. Managers can therefore “make suggestions” rather than give orders. But in low-context cultures, enforceable contracts tend to be in writing, precisely worded, and highly legalistic. Similarly, low-context cultures value directness. Managers are expected to be explicit and precise in conveying intended meaning.

A Cultural Guide

There is much to be gained from business intercultural communications. It is safe to assume that every one of us has a different viewpoint that is culturally shaped. Because we do have differences, we have an opportunity to reach the most creative solutions possible with the help of others if we communicate effectively.

According to Fred Casmir, a leading expert in intercultural communication research, we often do not communicate well with people outside our culture because we tend to generalize from only their cultural origin. This can be insensitive and potentially disastrous, especially when we make assumptions based on observable characteristics. Many of us have a richly varied ethnic background and would be offended if someone addressed us according to what culture our physical features might favor, for instance. Also, attempts to be culturally

sensitive to another person are often based on stereotypes propagated by media. These stereotypes usually do not have a correct or current relevance.

Casmir noted that, because there are far too many cultures for anyone to understand completely, and individuals interpret their own cultures differently, intercultural communication should be based on sensitivity and pursuit of common goals. He found the ideal condition is an ad hoc “third culture” that a group can form when its members seek to incorporate aspects of each member’s cultural communication preferences. The norms that this subculture establishes through appreciating individual differences create a common ground for effective communication. Intercultural groups that communicate effectively can be highly productive and innovative.

When communicating with people from a different culture, what can you do to reduce misinterpretations? Casmir and other experts offer the following suggestions:

1. **Know yourself.** Recognizing your own cultural identity and biases is critical to understanding the unique viewpoints of other people.
2. **Foster a climate of mutual respect, fairness, and democracy.** Clearly establish an environment of equality and mutual concern. This will be your “third culture” context for effective intercultural communication that transcends each person’s cultural norms.
3. **State facts, not your interpretation.** Interpreting or evaluating what someone has said or done draws more on your own culture and background than on the observed situation. If you state only facts, you will have the opportunity to benefit from the other person’s interpretation. Delay judgment until you’ve had sufficient time to observe and interpret the situation from the differing perspectives of all concerned.
4. **Consider the other person’s viewpoint.** Before sending a message, put yourself in the recipient’s shoes. What are his or her values, experiences, and frames of reference? What do you know about his or her education, upbringing, and background that can give you added insight? Try to see the people in the group as they really are first, and take a collaborative problem-solving approach whenever potential conflicts arise.
5. **Proactively maintain the identity of the group.** Like any culture, the establishment of a common-ground “third culture” for effective intercultural communication takes time and nurturing. Remind members of the group of your common goals, mutual respect, and need to adapt to individual communication preferences.⁹²

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

12.7.1 In _____, people rely heavily on nonverbal and subtle situational cues in communicating with others, and a person's official status, place in society, and reputation carry considerable weight.

- ☐ individualistic cultures
- ☐ low power distance cultures
- ☐ cultures that score low on uncertainty avoidance
- ☐ high-context cultures

Check answer

Reset

12.7.2 Which of the following is not something a manager should do to communicate better across cultures?

- ☐ assume similarity until difference is proven
- ☐ emphasize description rather than interpretation
- ☐ practice empathy
- ☐ interpret the situation from the differing perspectives of all concerned

Check answer

Reset

Summary

You've probably discovered the link between communication and employee satisfaction in this chapter: the less uncertainty, the greater the satisfaction. Distortions, ambiguities, and incongruities between verbal and nonverbal messages all increase uncertainty and reduce satisfaction. Careful attention to the methods and modes for each communication ensures that the message is interpreted properly by the receiver.

Implications for Managers

- Remember that your communication mode will partly determine your communication effectiveness.
- Obtain feedback to make certain your messages—however they are communicated—are understood.
- Remember that written communication creates more misunderstandings than oral communication; communicate with employees through in-person meetings when possible.
- Make sure you use communication strategies appropriate to your audience and the type of message you're sending.
- Keep in mind communication barriers such as gender and culture.

We Should Use Employees' Social Media Presence

Point

Everyone uses social media. Well, almost everyone: A Pew Research Center study found that the highest percentage of adults who use social-networking sites was in Israel, at 53 percent, followed by 50 percent in the United States, 43 percent in Russia

and Great Britain, and 42 percent in Spain.

Business is social, and using employees' social contacts to increase business has always been a facet of marketing. Organizations that don't follow their employees' social media presence are missing an opportunity to expand their business and strengthen their workforce. For example, the Honda employee who once told 30 friends that Honda is best can now tell 300 Facebook friends and 500 Twitter followers about the latest model. Employees' savvy about social media can have a substantial positive effect on the bottom line.

Monitoring employees' social media presence can also strengthen the workforce by identifying the best talent. Managers can look for potential online celebrities—frequent bloggers and Twitter users with many followers—to approach for co-branding partnerships. Scrutiny can also help employers spot problems. For example, consider the employee who is fired one day and turns violent. A manager who had been monitoring the employee's social media posts may be able to detect warning signs. A human resources department monitoring employees' social media activity may be able to identify a substance abuse problem and provide help for the employee through the company's intervention policies.

A job candidate's social media presence provides one more input to hiring and retention decisions that many organizations already take advantage of. In reality, there is no difference between the employee and the person—they are one and the same, on or off working hours.

Employers that monitor social media can also identify employees who use their platforms to send out bad press or who leak proprietary information. For this reason, managers may someday be *required* to monitor employees' social media postings and to act on infringements of company policies. Many do so already.

Managers should therefore develop enforceable social media policies and create a corporate infrastructure to research and monitor social media activity regularly. The potential increase in business and limit on liability is ample return for dedicating staff and work hours to building a successful social media program.

Counterpoint

here is little to be gained and much to be lost when organizations follow candidates' and

Employees' presence on social media. Managers may be able to learn more about individuals through their online activity, and organizations may be able to catch some good press from employee postings, but the risk of liability for this intrusion on privacy is inescapable. Managers are ill-equipped to monitor, interpret, and act on employees' social media postings, and few have any experience with relating the medium to business use.

Managers may also easily misinterpret the information they find. Few companies have training programs for the proper use of social media; only 40 percent have social media policies of any kind. Those that do are skating on thin ice because monitoring policies can conflict with privacy regulations.

An employee's online image doesn't reveal much that is relevant to the job, certainly not enough to warrant the time and money that a business would spend on monitoring. Most users view social media as a private, recreational venue, and their membership on Facebook and other sites should be regarded with the same respect as would membership in a club. In this light, monitoring employees' social media accounts is an unethical violation of their right to privacy.

Equal employment opportunity laws require companies to hire without respect to race, age, religion, national origin, or disability. But managers who check into candidates' social media postings often find out more than the candidate wanted to share, and then there is no way to keep that information from affecting the hiring decision. Searching through social media can therefore expose a company to a costly discrimination claim.

Using employees' personal social media presence as a marketing tool through company-supportive postings is unethical from many standpoints. First, it is unethical to expect employees to expand the company's client base through their personal contacts. Second, it is unreasonable to expect them to endorse the company after working hours. And the practice of asking employees for their social media passwords is an obvious intrusion into their personal lives.

In sum, people have a right to a professional and a private image. Unless the employee is offering to "friend" the company in a social media partnership, there is no question that employers should stay out of their personal business.

February 8, 2012, 1A; A. L. Kavanaugh et al., "Social Media Use by Government: From the Routine to the Critical," *Government Information Quarterly* (October 2012): 480–91; and S. Johnson, "Those Facebook Posts Could Cost You a Job," *San Jose Mercury News*, January 16, 2012, www.mercurynews.com/business/ci_19754451.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 12-1** What are the functions and process of communication?
- 12-2** What are the communication differences between downward, upward, and lateral communication sent through small-group networks and the grapevine?
- 12-3** What are the methods of oral communication, written communication, and nonverbal communication?
- 12-4** How does channel richness underlie the choice of communication method?
- 12-5** What is the difference between automatic and controlled processing of persuasive messages?
- 12-6** What are some common barriers to effective communication?
- 12-7** How do you overcome the potential problems of cross-cultural communication?

Application and Employability

The ability to communicate messages to others effectively is vital to succeeding in the workplace. Communication allows us to manage group members, provide and receive feedback, share our emotions, persuade others, and exchange information. A strong

understanding of how to communicate effectively with others can help you be a better coworker by allowing you to set goals, coordinate with a team, and continuously improve through feedback. In this chapter, you learned better communication and analysis skills by assessing whether organizations still value oral communication, understanding how to communicate with someone who is deaf, and studying the pros and cons of employees using social media. In the next part of the chapter, you will learn about the difficulties of emotional sharing through e-mail, examine the use of personal devices in workplaces, learn about gender differences in communication style, and learn some techniques for managing gossip.

Experiential Exercise Choosing the Right Modes of Communication

Pair up with someone you never worked with before. In this exercise, you will pretend to be Gerard, the head of the accounting department in the company. During an intense week, you receive the following email from the human resources director.

Subject: A difficult situation with an employee

Dear Gerard,

I am writing to inform you about a difficult situation we are handling among the personnel. An employee from the marketing department is experiencing interpersonal tensions with the boss and two colleagues, due to which he is frequently absent from work. As he is a valued employee with good performance records in the past, we've realized that changing offices could be beneficial for him and the company.

We believe that your department would be a good environment for this employee to feel more engaged on the job. Two colleagues from HR will assist you and the employee in the transition process, which we hope to begin next month. All the people involved so far have demonstrated great collaboration with us, and we are sure you will do the same. Sorry for the short notice, but we are facing strict deadlines this month.

Do not hesitate to contact me if you have further questions. We will be monitoring the situation with monthly check-ins. I would like to thank you in advance for the welcome you will be giving the employee.

Thanks,

Michel L. Dalton

HR Director

You are both surprised by and disappointed by this email for several reasons, including the decision to communicate such an important information via email, the short notice period, and above all, the fact that you were not consulted in the decision. However, you also know that helping the organization to retain its talents is the right thing to do. Take 5 minutes and write draft replies to Michel individually telling him whether you will accept the employee. Then try to come to an agreement about the definitive reply to send the HR director and

discuss the following questions.

Questions

- 12-8.** Were you two in agreement about the reply to send the HR director?
- 12-9.** What alternative modes of communication would you have used in similar circumstances? Why?
- 12-10.** Discuss with your partner the possible impact on Gerard's reputation and career if he accepts or denies the HR director's request. What changes in HR practices could avoid this situation in the future?

Ethical Dilemma BYOD

“What’s your cell phone number? Good, I’ll call you about the meeting.” If you’re like many people in the world who have used a smartphone for years, or one of the 1.3 billion people who bought one recently, chances are you’ve used it for work. In fact, your employer may have even invited—or asked—you to use your smartphone, tablet, or laptop in your job. Such is the bring-your-own-device (BYOD) trend, which started out of friendly convenience but now carries major ethical issues. For instance:

- *Did you know your employer can wipe your personal devices clean?* Remotely? With no warning? It happens, and not just at the 21 percent of organizations that erase devices when employees are terminated. Any time an organization has a privacy concern, it may wipe all devices clean to prevent a further breach of its cyberdefenses. Health care consultant Michael Irvin lost his personal e-mail accounts, apps, music, contacts, and photos suddenly one day, leaving his multiuse iPhone “like it came straight from the factory.” Another individual lost pictures of a relative who had died.
- *Is your device part of your employment contract, either explicitly or by understanding?* If so, who pays for the device? Well, you did, and you continue to pay for the service. If the device breaks, who pays for the replacement device? Can you lose your job if you can’t afford the device and service?
- *Can you use your device for all work-related communications?* The cloud has brought opportunities for people to send classified work information anywhere, anytime. Organizations are concerned about what social media, collaboration, and file-sharing applications are in use, which is fair, but some policies can limit how you use your own device.
- *Once you use your personal device for work, where are the boundaries between work and home life?* Research indicates that intensive smartphone users, for instance, need to disengage in their off-hours to prevent work–home stress and burnout. Yet not everyone can do this, even if they are allowed to; research indicates that a significant proportion of smartphone users felt pressured to access their devices around the clock, whether or not that pressure was warranted.

The clear dilemma for employees is whether to acknowledge you own a smart device, and

whether to offer its use for your employer's convenience. Put that way, it seems obvious to say no: Why would you risk possibly losing everything to a corporate swipe? But the convenience of carrying one phone is real. Some people think it's better to carry two phones—one for work, another for personal use. Attorney Luke Cocalis tried it and concluded, "It frankly keeps me saner."

Questions

- 12-11.** Do you use your smartphone or other personal devices for work? If so, do you think this adds to your stress level or helps you by providing convenience?
- 12-12.** Cocalis likes the two-phone lifestyle and says that his boss has his personal phone number only for emergencies. But assistant talent manager Chloe Ifshin reports that it doesn't work so well in practice. "I have friends who are clients and clients who are friends," she says, so work contacts end up on her personal phone and friends call her work phone. How does this consideration affect your thinking about using your own device for both work and leisure?
- 12-13.** Organizations are taking steps to protect themselves from what employees might be doing on their personal devices through allowing only approved computer programs and stricter policies, but no federal regulations protect employees from these restrictions. What ethical initiatives might organizations adopt to make this situation fair for everyone?

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★ Case Incident 1 Do Men and Women Speak the Same Language?

We have talked a lot about how culture affects communication style. Did you know that within cultures, men and women may be socialized to have different communication styles? Just as there are cultural communication barriers, there may also be gender-based communication barriers.

When Boston Consulting Group tried to discover why their female employees were less satisfied with their male employees, the answer seemed to be different communication styles. Many women felt that, in order to fit into the predominantly male culture, they had to adopt a more masculine communication style. Carol Kinsey Goman, author of *The Nonverbal Advantage: Body Language at Work* and founder of Kinsey Consulting, has found many ways men's and women's communication style tends to vary. Goman believes that there are advantages and disadvantages to stereotypically male and female communication. Female communication styles typically involve reading body language and interpreted nonverbal cues, good listening skills, and displaying empathy. On the other hand, female communication styles may be too roundabout and submissive. Males are encouraged to be authoritative by taking up space, being quick and concise, and emphasizing power. Yet the stereotypical male communication style also has many weaknesses. Sometimes, by emphasizing conciseness, masculine communication may seem too blunt, insensitive, and overly confident.

Is one communication style more effective? Not according to Goman. The key is to use the full spectrum of communication and not adopt an extremely masculine or feminine style. The male communication style is better in situations that require decisiveness, while the female style is more effective in collaborative environments. By tailoring communication styles to the situation, employees can be more effective. And by finding a happy medium between the two styles, an employee, male or female, can appear assertive as well as compassionate to their intended audience.

Following this advice, Boston Consulting Group launched a training program to teach upper management how to use both communication styles. While going through the training program, many senior partners realized that they had been encouraging their younger female staff members to adopt a more male communication style without recognizing the advantages

of female communication styles. One senior consultant recalled telling a female employee that she would seem more charismatic if she “took up more space.” He also realized that, by being domineering in interactions, he was making it harder for women to speak up during their interactions.

Questions

12-14. What are some other situations where having a stereotypically male communication style may be advantageous? What about situations where having a stereotypically female communication style may be more advantageous?

12-15. How might male and female communication styles differ across cultures?

12-16. Do you feel like your communication style corresponds with your gender? Why or why not?

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★ Case Incident 2 An Underwater Meeting

On Saturday October 17, 2009, democratically elected President Mohammad Nasheed of the Maldives invited his 13 officials to a cabinet meeting—the world’s first underwater governmental meeting. The meeting “room” was in a lagoon off Girifushi, in the North Male atoll, and the ministers dove 20 feet (6 meters) to meet around a horseshoe-shaped table on the sea floor.

The Maldives, located southwest of Sri Lanka, is an Indian Ocean archipelago whose 1,192 islands stretch for 850 kilometers (530 miles). The Maldivian islands are on average only 2 meters (7 feet) above sea level, and they comprise the lowest-lying nation on the planet.

The meeting agenda highlighted how global warming was threatening the disappearance of the Maldives within a century. In 2007, data about this threat were confirmed by the United Nations Intergovernmental Panel on Climate Change, warning that a rise in sea levels of 18 to 59 centimeters (7 to 23 inches) by 2100 would be enough to make the Maldives virtually uninhabitable. The decision made at the meeting was to sign off on an agreement for carbon emission cuts: “We must unite in a global effort to halt further temperature rises.” The meeting took place prior to the United Nations climate change conference in December in anticipation of the renegotiation of the Kyoto Protocol.

The safety of the ministers was well considered. They held a dress rehearsal the day before; coral on the reef was checked for harmful creatures, and participants communicated via hand signals to indicate they were okay. Instead of dressing in business suits, though, the 14 government ministers donned scuba diving gear and also wore name tags. Just as in every meeting, discussion took place, but here it was through writing on a special white board. The meeting was broadcast live on television. Inhabitants on Kuda Huvadhoo island built a sealed box, put their television in it, and, following their governments’ lead, dove to the depths to view the underwater meeting—underwater.

Back on dry land, the cabinet ministers were to sign their wet suits for auctioning on the www.protectthemaldives.com website in a bid to raise money for protecting coral reefs. President Nasheed used the meeting venue as a publicity exercise to push for action so that his people can continue to live in the Maldives well into the future.

Questions

12-17. Identify the main function of the meeting.

12-18. Describe the communication process and distinguish between its formality and informality.

12-19. What is your opinion on the view that audiences prefer “live” presentations?

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MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

12-20. Based on Case Incident 1 and your reading of this chapter, how do you think gender differences in communication styles affect diversity in the workplace? What are some of the consequences of these differences?

12-21. Based on the Experiential Exercise and your reading of this chapter, what is your view of the tone of the email? Of its effectiveness? Is there another way this matter might have been handled and communicated?

12-22. MyLab Management only—additional assisted-graded writing assignment.

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End of Chapter Quiz

Test Your Understanding

1 Mary telephones her employee, Joe, to let him know that today's meeting has been moved to one o'clock. In the communication process, Mary is _____.

- ☐ the sender
- ☐ the receiver
- ☐ the decoder
- ☐ the channel

Check answer

Reset

2 In a communication process, the _____ is the actual physical product of the sender's encoding.

- ☐ channel
- ☐ message
- ☐ feedback
- ☐ transmitter

Check answer

Reset

3 Which of the following statements is definitely true regarding an informal communication channel?

- ☐ It traditionally follows the authority chain within the organization.
- ☐ It generally transmits messages related to the professional activities of members.
- ☐ It is established by the organization.
- ☐ It is generally used for communicating personal or social messages.

Check answer

Reset

4 Which of the following is an example of upward communication?

- ☐ A team leader sends an email to one of her team members giving him feedback about his performance.
- ☐ A team leader sends an email to his team members pointing out problems that need attention.
- ☐ A team member sends an email to his team leader informing her about the problems faced by him on the current project.
- ☐ A manager sends an email to all members in the organization informing them about new policies and procedures.

Check answer

Reset

5 Communication that takes place among members of workgroups at the same level is known as _____ communication.

- ☐ diagonal
- ☐ grapevine
- ☐ upward
- ☐ lateral

Check answer

Reset

6 Which of the following is considered the ultimate example of downward communication?

- ☐ performance review
- ☐ conference call
- ☐ job interview
- ☐ email

Check answer

Reset

7 Which of the following types of small-group communication networks should be used if high member satisfaction is desired?

- star network
- wheel network

- ☐ mesh network
- ☐ all-channel network

Check answer

Reset

8 Communication messages that are passed through a great many people will most likely suffer from which of the following?

- ☐ selective perception
- ☐ distortion
- ☐ lack of nonverbal cues
- ☐ information overload

Check answer

Reset

9 Genepa Corporation manufactures home appliances and other electronic products. Genepa is planning to introduce a new refrigerator model. The marketing manager at Genepa has developed a marketing plan for this new product and wants to communicate this plan to all the employees in the marketing department. Which of the following is most likely to be the best form of communication for communicating this plan?

- ☐ nonverbal communication
- ☐ oral communication
- ☐ written communication
- ☐ grapevine communication

Check answer

Reset

10 One of the major disadvantages of oral communication is that _____.

- ☐ people unintentionally change the message and meaning
- ☐ people intentionally change the message and meaning
- ☐ people can ask for immediate feedback
- ☐ both A and B

Check answer

Reset

11 Which is the best manner in which to introduce information security to an

organization's employees?

○ memo

- ☐ letter
- ☐ meeting
- ☐ discussion forum

Check answer

Reset

12 Receivers in communication see and hear based on their needs, motivations, experience, background, and other personal characteristics. This is called _____.

- ☐ communication apprehension
- ☐ filtering
- ☐ selective perception
- ☐ emotional blockage

Check answer

Reset

13 The mistakes committed by the sales staff suggest that sales personnel are probably experiencing which of the following as a result of their intensive training?

- ☐ filtering
- ☐ emotional labor
- ☐ information overload
- ☐ communication apprehension

Check answer

Reset

14 Which of the following values is most likely to be important to low-context cultures?

- ☐ status
- ☐ directness
- ☐ titles
- ☐ trust

Check answer

Reset

15 A manager should practice _____, which means in dealing with cross-cultural communication, a manager should put herself in the place of the employee to understand the employee's values, experiences, and frames of reference.

- ☐ evaluation
- ☐ empathy
- ☐ complicity
- ☐ commiseration

Check answer

Reset



Source: Mike Hutchings/Reuters/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 13-1** Summarize the conclusions of trait theories of leadership.
- 13-2** Identify the central tenets and main limitations of behavioral theories.
- 13-3** Contrast contingency theories of leadership.
- 13-4** Describe the contemporary theories of leadership and their relationship to foundational theories.

13-5 Discuss the roles of leaders in creating ethical organizations.

13-6 Describe how leaders can have a positive impact on their organizations through building trust and mentoring.

13-7 Identify the challenges to our understanding of leadership.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking	✓		✓	✓	✓	✓
Communication		✓			✓	✓
Collaboration		✓			✓	✓
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility			✓		✓	✓

MyLab Management Chapter Warm Up

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

From Wacky Vision to Total Hotel Industry Disruption

In 2008, Brian Chesky and Joe Gebbia, design school graduates in Silicon Valley, had a wacky idea. Gebbia's roommates suddenly moved out, and he needed people to fill the remaining rooms. The idea to host a home-sharing platform came to him and Chesky after Gebbia asked Chesky to take the remaining room. The result was Air Bed & Breakfast (Airbnb). From these humble (and sometimes rocky) beginnings, Airbnb bourgeoned to a \$31 billion organization, nearly the same valuation as Marriott International, without owning a single room. To date, the company has housed over 150 million guests in over 65,000 cities in over 191 countries. It also has more than 3 million listings worldwide (including over 1,400 castles).

Part of the reason for the major success of Airbnb is its executive leadership and top management team. Chesky, as CEO (shown here meeting with an Airbnb host in South Africa), has guided the organization through remarkably turbulent times throughout its development, with no prior business experience. In 2017, Chesky has been listed as one of the World's Greatest Leaders by *Fortune*. The caring leadership style of Chesky offers a counterpoint to that exhibited by leadership in other sharing-economy brands, such as Uber, who have come under fire for an apparent aggressive and sexist culture and whose CEO, Travis Kalanick, was caught on video verbally berating an Uber driver.

Perhaps what drives the success of Chesky is the charisma, authenticity, and ethicality with which he meets leadership challenges. His mentor, Warren Buffett (CEO of Berkshire Hathaway), notes that Brian "feels it all the way through. I think he would be doing what he's doing if he didn't get paid a dime for it." A trait that Chesky believes is important for handling leadership challenges is humility. Chesky realizes that it is easy for leaders to become defensive when they are challenged, but sometimes leaders must take a step back and approach their challenges with humility and acceptance.

Leaders need guidance and help, too. Chesky recognizes that, as leaders, "we need to have mentors. I think I've always been pretty shameless about seeking out people much smarter and much more experienced than me from the very beginning ... and the more successful I got, the more leaders I started seeking out, whether it was investors, or Sheryl Sandberg at Facebook, or ... Warren Buffett." Perhaps the ethicality with which Chesky approaches Airbnb is reflected in the company's new vision statement: "Belong Anywhere." New leaders within the organization, such as Beth Axelrod, the new vice president of employee

experience, are modeling this mission and enacting it “to create belonging everywhere” through recruitment, selection, employee engagement, and motivation at Airbnb.

Sources: Based on Airbnb, *About Us*, <https://www.airbnb.com/about/about-us>, accessed April 12, 2017; L. Gallagher, “Airbnb’s IPO Runway,” *Fortune*, March 17, 2017, <http://fortune.com/2017/03/17/airbnbs-ipo-runway/>; L. Gallagher, “Q&A with Brian Chesky: Disruption, Leadership, and Airbnb’s Future,” *Fortune*, March 27, 2017, <http://fortune.com/2017/03/27/chesky-airbnb-leadership-uber/>; L. Gallagher, *The Airbnb Story: How Three Ordinary Guys Disrupted an Industry, Made Billions ... and Created Plenty of Controversy* (New York, NY: Houghton Mifflin Harcourt, 2017); L. Gallagher, “Why Airbnb CEO Brian Chesky Is Among the World’s Greatest Leaders,” *Fortune*, March 24, 2017, <http://fortune.com/2017/03/24/airbnb-brian-chesky-worlds-greatest-leaders/>; and V. Zarya, “Exclusive: Meet the Woman Joining Airbnb’s Executive Team,” *Fortune*, January 13, 2017, <http://fortune.com/2017/01/13/airbnb-executive-beth-axelrod/>.

Leaders like Brian Chesky possess a special something that sets them apart. However, theirs is not the only type of effective leadership. In this chapter, we’ll look at all types of leaders and what differentiates leaders from nonleaders. First, we’ll present trait theories of leadership. Then, we’ll discuss challenges to the meaning and importance of leadership. But before we begin, let’s clarify what we mean by the term *leadership*.

We define **leadership** ⓘ as the ability to influence a group toward the achievement of a vision or set of goals. But not all leaders are managers, nor are all managers leaders. Just because an organization provides its managers with certain formal rights does not mean that they will lead effectively. Leaders can emerge from within a group as well as by formal appointment. Nonsanctioned leadership—the ability to influence that arises outside the formal structure of the organization—is often as important, or more important, than formal influence.

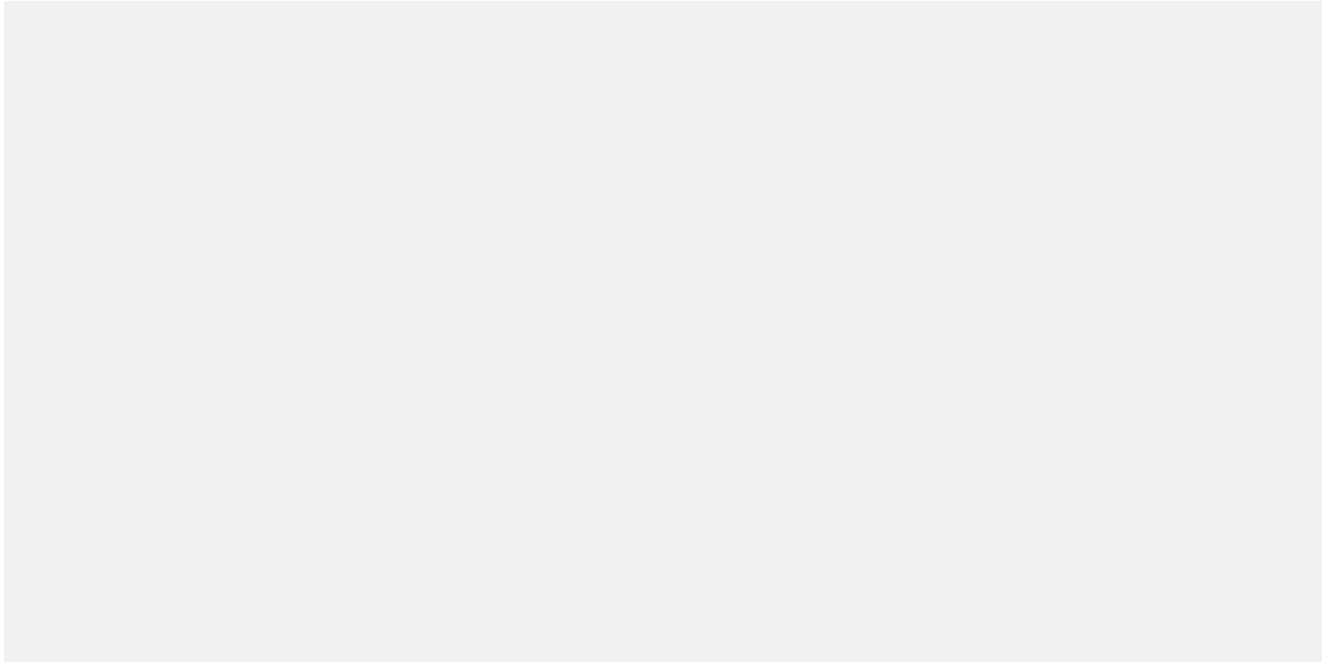
Organizations need strong leadership *and* strong management for optimal effectiveness. We need leaders to challenge the status quo, create visions of the future, and inspire organizational members to achieve the visions. We need managers to formulate detailed plans, create efficient organizational structures, and oversee day-to-day operations.

MyLab Management Watch It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

Leadership Role Play

Watch it video.



Watch it video.

A **transcript** of this video is available [here](#).

Transcript

Leadership Role Play

>> [Music]

>> Why is like everything late this week?

>> Okay, this is stupid.

>> I want progress meetings today with each assignment team.

>> Taylor, Andy, you're up first.

>> Well, what do you got?

>> Andy: Well, I've been busting it

>> to get these modern element stories completed, but Spielberg

>> over here seems to think that she knows everything.

>> Taylor: I was on set, I know how the thing should look.

>> Could you at least tell me what happened during

>> Monday's shoot?

>> Taylor: The story was supposed to be a rebranding

>> for Quantum Electronics that Modern Element is bidding on,

>> okay, so we were supposed to focus on marketing.

>> Andy: But David and Eric are at each other's throats,

>> which is a way more interesting.

>> Taylor: And, B, you used the pocket-cam footage

>> after I told you not to.

>> Enough.

>> Andy, do your thing.

>> Taylor, let it go.

>> Andy: I just finished the cut.

>> Check it out when you two have a chance.

>> Okay.

>> [Music]

>> Hey, David and Eric, thanks for meeting

>> with me this afternoon.

>> The reason why I asked you both to come in is because I feel

>> like we're a little delayed

>> with getting this Quantum Electronics proposal out.

>> I'd like to find out what's going

>> on because our deadline is next week and I want an opportunity

>> to at least review what you have and make some decisions

>> so we can move forward.

>> Eric: I thought we were almost done with the proposal

>> and then I got it back from Dave with a ton of rewrites so.

>> Dave: Because it had to be done, you know.

>> If I'm taking lead on the project,

>> I just felt like there were some things that needed to be changed

>> because I know that Quantum wouldn't buy it.

>> Okay. And are these changes pretty extensive?

>> Dave: I don't think they're extensive.

>> I think it's more, you know, tying up the loose ends.

>> I think Eric has done a great job

>> on having a very creative proposal,

>> but I want to make sure that it's in the format and the way

>> that they expect things, you know, I've been working

>> with them for five years now I kind of know what they need,

>> and I just felt like what came across my desk it needed

>> to be tightened up a little bit otherwise they would have shot

>> it down.

>> Eric: He feels like he needs to change everything I do even

>> after you've approved it.

>> Well, it sounds like you're saying he's micromanaging you.

>> Eric: A little bit.

>> I mean I feel a little stifled because he's constantly looking

>> over my shoulder and micromanaging, yes.

>> Dave: I don't, you know, it's not micromanaging.

>> It's more, you know, maybe I have a higher standard,

>> maybe I just, you know,

>> I just mean in terms of catching things.

>> I think you miss some of the details sometimes.

>> That's going to affect whether we as company are going

>> to be able to sell this project we're doing.

>> Eric: I just feel like I work better with a lot of autonomy

>> and freedom, and I'm not getting that.

>> I mean let's be honest I've talked to other people

>> and they've mentioned the micromanaging.

>> I'm not the only one.

>> I'm not trying to be rude I'm just saying I'm not the

>> only one.

>> Okay. I mean, Dave, this isn't something

>> that we haven't heard before,

>> but let's be quite frank about this.

>> Dave is, you know, one of our senior people.

>> He understands what it takes for us to be successful

>> in delivering our solutions to our customers.

>> I don't think it's that he's trying to micromanage you,

>> I think he's very passionate about the work.

>> Eric: Right, I'm just not used to it.

>> Usually they just say, go.

>> Dave: Not that I'm trying to show you the ropes or whatever,

>> but it's more I'm trying to structure it so that then

>> when you see the changes I'm making you start

>> to get how it needs to be so that it can be presented

>> and accepted by Quantum.

>> Otherwise I'd just do the project myself, right?

>> Right.

>> Dave: But I'm not trying to do that.

>> Right.

>> So have you shared with Eric those things

>> that will make it a successful proposal?

>> I mean are we kind of asking him to work in the dark

>> so that he's not aware of those things that maybe

>> if we told him upfront we could get directly to what we need to?

>> Dave: I can try to do it more upfront,

>> but that was my fear doing that is us saying like, hey,

>> be creative, but here's all the bridles that go on you

>> that you can't be creative.

>> So I felt like let you go do your thing

>> and then I will tighten it up or tweak it

>> so that it's what it needs to be.

>> So, do you feel that what's

>> in the proposal now has lost your creativity?

>> Eric: I think it's lost its edge.

>> So where at?

>> I mean I think that's where you and Dave need to come to terms

>> because it may be that some

>> of what you're proposing isn't doable and so, therefore,

>> we need to make some adjustments,

>> but I would expect you to have that conversation with him

>> so he understands the why of it.

>> All right?

>> I mean because I think

>> if you don't understand the why it's going to be very difficult

>> for you to achieve that.

>> Dave: But certainly I wasn't trying to take the edge away

>> because I think that is something we are trying

>> to be more edgy for them.

>> Eric: I respect that you work with them,

>> you know what they like, but I'm saying let's give them something

>> they've never seen because maybe they don't know they like it

>> until they've seen it.

>> You know what I'm saying?

>> Okay, but we still have guidelines

>> that we have to adhere to.

>> Can we bring the two of those worlds together?

>> I mean this is a long-standing customer.

>> They've asked us to do some creative things.

>> Have we lost that as a result of just trying

>> to get to getting it right?

>> Dave: Right.

>> Well, I guess what I can do is, you know,

>> kind of what you're saying is maybe take you through some

>> of the changes that I'm suggesting

>> and why I was suggesting it that way.

>> Eric: All right.

>> Dave: If there are things that you feel like

>> or that's completely changing your idea, you know,

>> I guess we can always surface it to you

>> about how do you want to play it.

>> Eric: Yeah, that would be great because I see the changes

>> but I'm not seeing the why, you know,

>> and where it's coming from, you know.

>> Dave: Sure.

>> Eric: All I see is rewrites, rewrites, rewrites.

>> So, yeah, I think that would be good dialogue, you know.

>> Dave: If we do loosen up those reins a little bit,

>> I'd at least want you to see it and feel comfortable with it.

>> Eric: Absolutely.

>> Dave: And let me point out where I think this is an area

>> where we're running a little risky.

>> Eric: Sure.

>> Because if it comes back and doesn't work at least I want

>> to learn from that process.

>> Absolutely.

>> We want to learn, but we want the two of you to be able

>> to come to terms with where is it risky and where can we go

>> for that risk and where shouldn't we go

>> for that risk, right?

>> Because we do want to take a little bit of risk.

>> That's why we're making some of the changes that we're making,

>> but we don't want to be so risky that we end

>> up shooting ourselves in the foot, right?

>> Okay.

>> All right.

>> Taylor: Hey, Andy.

>> Andy: Hmm?

>> Taylor: I saw the Modern Element piece.

>> Nicely done.

>> David and Eric are such polar opposites it makes our work

>> relationship like butter.

>> Andy: No kidding.

>> Taylor: [laughter]

>> Andy: All right, Taylor, do you have a minute?

>> I could really use a fresh set of eyes on that interview

>> with Linda after the Quantum showdown.

>> Taylor: Only if you say please.

>> Andy: No.

>> Taylor: Sorry then.

>> Andy: Okay, please.

>> Taylor: [laughter]

>> I do think that this is a very common situation with,

>> you know, those who have been maybe more in a traditional role

>> and new people coming in that have had maybe more

>> of a free reign in terms of how they're creative

>> and what they can implement.

>> It's like coming together of the old world and the new world.

>> How do you find the common ground between the two

>> because you're not going to change the dynamics; they exist,

>> but how do you find some common ground

>> in order to achieve the goals?

>> I think David could critique Eric's work while still

>> motivating him by helping him

>> to understand what the boundaries are in terms

>> of what is needed for the proposal

>> and letting him understand where he can be more creative.

>> I think David is a strong leader,

>> but I think that David tends to micromanage, and I think one

>> of the things that we can do

>> to help him is perhaps give him some more leadership training

>> that would help him to be able to step back

>> and trust the people that are doing the work for him.

>> So he's very capable, but it's a challenge

>> when you're a new leader to be able to understand how do I,

>> you know, balance my success and then the success of my team

>> and oftentimes they want to get in there and do it.

>> And you can't do that because you really undermine the

>> capability of your people if you do that.

>> For my role as a leader, how do I not stifle each

>> of their contributions to the work?

>> It's really very challenging, but what I have

>> to do is teach David to be able to lead by example

>> and not necessarily lead by dictatorship, right?

>> And it's very hard to do

>> that because oftentimes you know what needs to be done,

>> you've been successful, so just do it my way and what you have

>> to do is find a common goal, right?

>> We established the common goal was successfully delivering this

>> proposal, and I think if you can start there you can start

>> to build on what is it going to take for us to do that.

>> Does it meet the goals of the customer?

>> Good thing I don't micromanage.

>> Yeah.

>> Yeah. Totally.

>> Now I want every single one of you to go out

>> and find different types

>> of leadership struggles and success stories.

>> We'll start a blog to encourage everybody to figure

>> out just how far they can color outside the lines,

>> encourage creativity.

>> What a beautiful thought if I do say so myself.

>> [Music]

Trait Theories

13-1 Summarize the conclusions of trait theories of leadership.

Throughout history, strong leaders have been described by their traits. Therefore, leadership research has long sought to identify the personality, social, physical, or intellectual attributes that differentiate leaders from nonleaders. **Trait theories of leadership**  focus on personal qualities and characteristics.¹

For personality, comprehensive reviews of the leadership literature organized around the Big Five framework have found extraversion to be the most predictive trait of effective leadership.² However, extraversion is perhaps more related to the way leaders emerge than it is related to their effectiveness. Sociable and dominant people are more likely to assert themselves in group situations, which can help extraverts be identified as leaders. However, effective leaders do not tend to be domineering. One study found that leaders who scored very high in assertiveness, a facet of extraversion, were less effective than those who were moderately high.³ Extraverted leaders may be more effective when leading groups of passive employees rather than proactive employees.⁴ Although extraversion can predict effective leadership, the relationship may be due to unique facets of the trait and the situation.

Unlike agreeableness and emotional stability, which do not seem to predict leadership, conscientiousness and openness to experience may predict leadership, especially leader effectiveness. For example, multi-source data (i.e., from employees, coworkers, and supervisors) from a Fortune 500 organization suggest that conscientiousness facets, such as achievement striving and dutifulness, are related to leader emergence.⁵ Also, achievement striving and dependability were found to be related to effectiveness as a manager.⁶ In sum, leaders who like being around people, who can assert themselves (extraverted), and who are disciplined and able to keep commitments they make (conscientious) have an apparent advantage when it comes to leadership.



What about the Dark Side personality traits of Machiavellianism, narcissism, and psychopathy (see Chapter 4)? Research indicates they're not all bad for leadership. A study in Europe and the United States found that normative (midrange) scores on the Dark Side personality traits were optimal, while low (and high) scores were associated with ineffective

leadership. The study suggested that high emotional stability may accentuate the ineffective behaviors.⁷ However, higher scores on Dark Side traits and emotional stability can contribute to leadership emergence. Thankfully, both this study and other international research indicate that building self-awareness and self-regulation skills may be helpful for leaders to control the effects of their Dark Side traits.⁸

Another trait that may indicate effective leadership is emotional intelligence (EI), discussed in Chapter 6. A core component of EI is empathy. Empathetic leaders can sense others' needs, listen to what followers say (and don't say), and read the reactions of others. A leader who displays and manages emotions effectively will find it easier to influence the feelings of followers by expressing genuine sympathy and enthusiasm for good performance, and by showing irritation when employees fail to perform.⁹ Although the association between leaders' self-reported EI and transformational leadership (to be discussed later in this chapter) was moderate, it is much weaker when followers rate their leaders' leadership behaviors.¹⁰ However, research has demonstrated that people high in EI are more likely to emerge as leaders, even after taking cognitive ability and personality into account.¹¹



As the CEO of Women's Bean Project, Tamra Ryan leads a team of professionals in managing the social enterprise that helps women earn a living while teaching them work and life skills. Her traits of extraversion, conscientiousness, confidence, and emotional stability contribute to her success.

Source: David Zalubowski/AP Images

Based on the latest findings, we offer two conclusions. First, we can say that traits can predict leadership. Second, traits do a better job predicting the emergence of leaders than distinguishing between effective and ineffective leaders.¹² The fact that an individual exhibits the right traits and others consider that person a leader does not necessarily mean he or she will be an effective one.

Trait theories help us *predict* leadership, but they don't fully *explain* leadership. What do successful leaders do that makes them effective? Are different types of leader behaviors equally effective? Behavioral theories, discussed next, help us define the parameters of leadership.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.1.1 Leadership is best defined as _____.

- ☐ the ability to influence a group toward the achievement of a vision or set of goals
- ☐ the process of drawing up formal plans and monitoring their implementation
- ☐ the process of carrying out the vision and strategy provided by management
- ☐ the process of coordinating and staffing the organization and handling day-to-day problems

Check answer

Reset

13.1.2 According to research, which of the Big Five personality traits is the most important in effective leaders?

- conscientiousness
- openness

☐ extroversion

☐ agreeableness

Check answer

Reset

Behavioral Theories

13-2 Identify the central tenets and main limitations of behavioral theories.

Trait research provides a basis for *selecting* the right people for leadership. **Behavioral theories of leadership** ⓘ, in contrast, imply we can *train* people to be leaders.

The most comprehensive behavioral theories of leadership resulted from the Ohio State Studies,¹³ which sought to identify independent dimensions of leader behavior. Beginning with more than a thousand dimensions, the studies narrowed the list to two that substantially accounted for most of the leadership behavior described by employees: *initiating structure* and *consideration*.

Initiating structure ⓘ is the extent to which a leader defines and structures his or her role and those of the subordinates to facilitate goal attainment. It includes behavior that attempts to organize work, work relationships, and goals. A leader high in initiating structure is someone who assigns followers particular tasks, sets definite standards of performance, and emphasizes deadlines.

Career OBjectives

How can I get my boss to be a better leader?

My boss is the CEO, and she's a gossipy, in-your-business oversharer. She's always asking our top management team personal questions and sharing information with anyone. The other day, I caught her e-mailing my colleague about my salary and career prospects! What should I do about her poor leadership?

— *Phil*

Dear Phil,

Nobody likes an oversharer! Perhaps your boss isn't aware of the impact of her behavior and thinks she is just being friendly. Assuming this is the case, you might be able to make her think first before sharing. If you're comfortable addressing her, you may suggest a private meeting to discuss your concerns. You should bring a list of the

types of information she solicits and shares—with an example or two—and, if she's open to discussion, problem-solve with her about her habit. She may see that her open-book approach is undermining her leadership effectiveness.

Another tactic might be starting with researching the best privacy practices, laws, and business guidelines. Be sure to source your organization's human resources handbook for any mentions of privacy expectations. Then, in your meeting, you could present your research findings.

With both direct approaches, you run the risk of offending your boss, which may very well happen if she becomes embarrassed. And she may defend her behavior and not see the problem if her oversharing is actually strategic gossip, which could have ramifications for what she then thinks and says about you!

These approaches still might be worth trying, but from what you've said about her, it's highly unlikely she will change her general behavior. Research indicates that her personal tendencies will prevail over time. It sounds like she is extraverted, for instance, and you're not going to change that. She may be clever and manipulative, purposefully leveraging her information for personal gain without a concern for others (high-Machiavellian or narcissistic). In that case self-awareness can help, but her behavior won't change unless she is willing to practice self-regulation.

Perhaps most important, it doesn't seem that you like your boss. This may be a real problem that you cannot surmount. How are you going to build a relationship of trust with her, trust that will be needed for you to continue to feel motivated and work hard? Unfortunately, if you cannot thrive in this environment, it may be best to move on.

Good luck for your best possible outcome!

Sources: Based on A. E. Colbert, M. R. Barrick, and B. H. Bradley, "Personality and Leadership Composition in Top Management Teams: Implications for Organizational Effectiveness," *Personnel Psychology* 67 (2014): 351–87; R. B. Kaiser, J. M. LeBreton, and J. Hogan, "The Dark Side of Personality and Extreme Leader Behavior," *Applied Psychology: An International Review* 64, no. 1 (2015): 55–92; and R. Walker, "A Boss Who Shares Too Much," *The New York Times*, December 28, 2014, 7.

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Consideration ⓘ is the extent to which a leader has job relationships that are characterized by mutual trust, respect for employees' ideas, and regard for their feelings. A leader high in consideration helps employees with personal problems, is friendly and approachable, treats all employees as equals, and expresses appreciation and support (people-oriented). Most of us want to work for considerate leaders—when asked to indicate what most motivated them at work, 66 percent of U.S. employees surveyed mentioned appreciation.¹⁴



The results of behavioral theory studies have been fairly positive. For example, one review found the followers of leaders high in consideration (and, to a lesser degree, initiating structure) were more satisfied with their jobs, were more motivated, and had more respect for their leaders. Both consideration and initiating structure were found to be moderately related to leader and group performance along with ratings of leader effectiveness.¹⁵ However, results of behavioral theory tests may vary across cultures. Research from the GLOBE program—a study of 18,000 leaders from 825 organizations in 62 countries that was discussed in Chapter 4—suggested there are international differences in the preference for initiating structure and consideration.¹⁶ The study found that leaders high in consideration succeeded best in countries where cultural values did not favor unilateral decision making, such as Brazil. In contrast, the French have a more bureaucratic view of leaders and are less likely to expect them to be humane and considerate. A leader high in initiating structure (relatively task-oriented) will do best there and can make decisions in a relatively autocratic manner. In other cultures, both dimensions may be important—Chinese culture emphasizes being polite, considerate, and unselfish, but it has a high-performance orientation. Thus, consideration and initiating structure may both be important for a manager to be effective in China.

Summary of Trait Theories and Behavioral Theories

In general, research indicates there is validity for both the trait and behavioral theories. Parts of each theory can help explain facets of leadership emergence and effectiveness. However, identifying the exact relationships is not a simple task. The first difficulty is in correctly

identifying whether a trait or a behavior predicts a certain outcome. The second is in exploring which combinations of traits and behaviors yield certain outcomes. The third challenge is to determine the causality of traits to behaviors so that predictions toward desirable leadership outcomes can be made.

As important as traits and behaviors are in identifying effective or ineffective leaders, they do not guarantee success. Some leaders may have the right traits or display the right behaviors and still fail. Context matters too, which has given rise to the contingency theories we discuss next.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.2.1 The Ohio State Studies narrowed the independent dimensions of leader behavior to two dimensions that substantially accounted for most of the leadership behavior described by employees: consideration and _____.

- ☐ employee-orientation
- ☐ empathy
- ☐ constructing vision
- ☐ initiating structure

Check answer

Reset

13.2.2 In the context of behavioral dimensions of leadership identified in the Ohio State Studies, _____ is the extent to which a person's job relationships are characterized by mutual trust, respect for employees' ideas, and regard for their feelings.

- ☐ consideration
- ☐ initiating structure
- ☐ production orientation
- ☐ task orientation

Check answer

Reset

Contingency Theories

13-3 Contrast contingency theories of leadership.

Some leaders seem to gain a lot of admirers when they take over struggling companies and lead them out of crises. However, predicting leadership success is more complex than finding a few “heroes” to help lift the organization out of the mire. Also, the leadership style that works in tough times doesn’t necessarily translate to long-term success. According to Fred Fiedler, it appears that under condition *a*, leadership style *x* would be appropriate, whereas style *y* would be more suitable for condition *b*, and style *z* for condition *c*. But what *were* conditions *a*, *b*, and *c*? We next consider the Fiedler model, one approach to isolating situational variables.

The Fiedler Model

Fred Fiedler developed the first comprehensive contingency model for leadership.¹⁷ The **Fiedler contingency model** ⓘ proposes that group performance depends on the proper match between the leader’s style and the degree to which the situation gives the leader control. According to this model, the individual’s leadership style is assumed to be stable or permanent. The **least preferred coworker (LPC) questionnaire** ⓘ identifies whether a person is *task-oriented* or *relationship-oriented* by asking respondents to think of all the coworkers they have ever had and describe the one they *least enjoyed* working with.¹⁸ If you describe this person in favorable terms (a high LPC score), you are relationship-oriented. If you see your least-preferred coworker in unfavorable terms (a low LPC score), you are primarily interested in productivity and are task-oriented.

After finding a score, a fit must be found between the organizational situation and the leader’s style for there to be leadership effectiveness. We can assess the situation in terms of three contingency or situational dimensions:

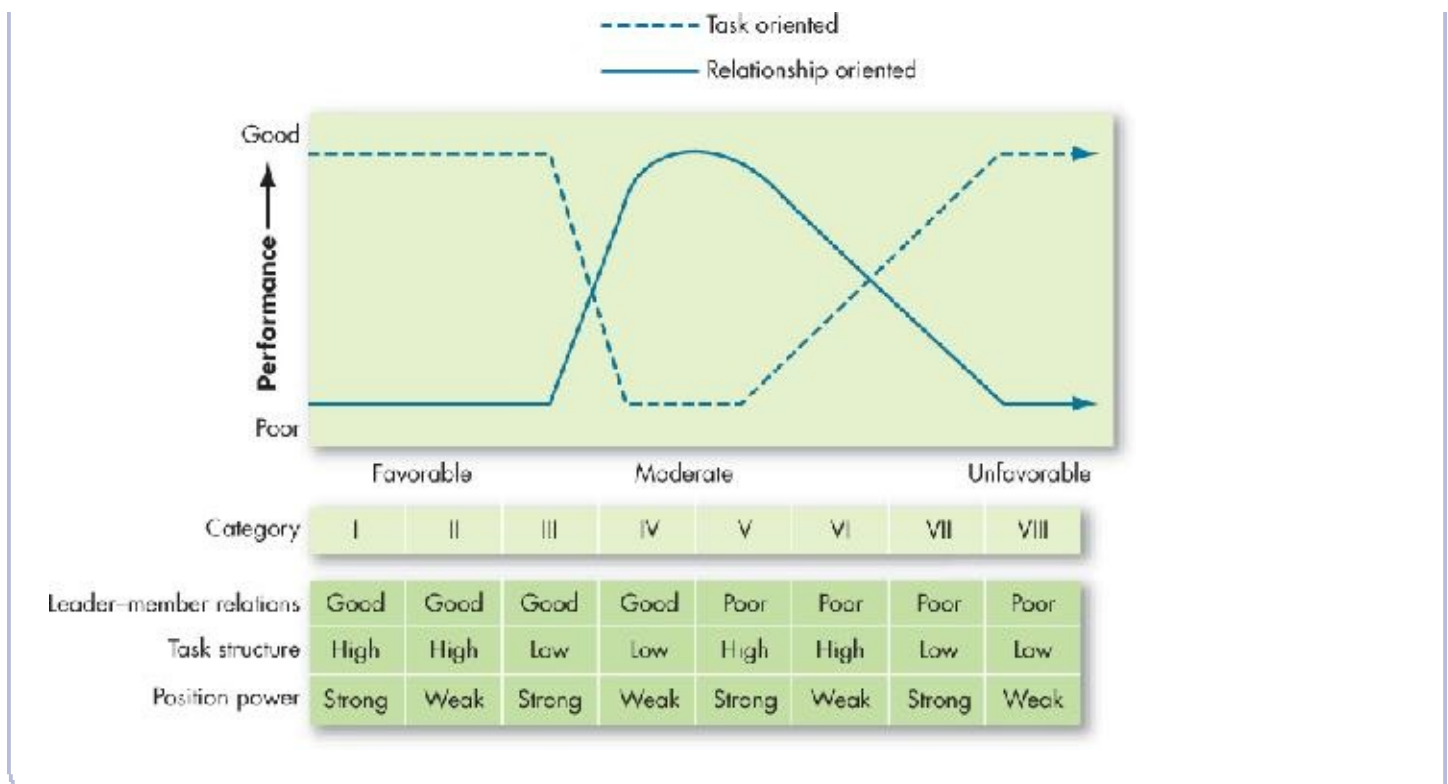
1. **Leader–member relations** ⓘ is the degree of confidence, trust, and respect that members have in their leader.
2. **Task structure** ⓘ is the degree to which the job assignments are regimented (that is, structured or unstructured).

3. **Position power** ⓘ is the degree of influence a leader has over power variables such as hiring, firing, discipline, promotions, and salary increases.

According to the model, the higher the task structure, the more procedures are added, and the stronger the position power, the more control the leader has. A very favorable situation (in which the leader has a great deal of control) might include a payroll manager who has the respect and confidence of his or her employees (good leader–member relations); activities that are clear and specific—such as wage computation, check writing, and report filing (high task structure); and considerable freedom to reward and punish employees (strong position power). The favorable situations are on the left side of the model in Exhibit 13-1. An unfavorable situation, to the right in the exhibit, might be that of the disliked chairperson of a volunteer United Way fundraising team (low leader–member relations, low task structure, low position power). In this job, the leader has very little control. When faced with a category I, II, III, VII, or VIII situation, task-oriented leaders perform better. Relationship-oriented leaders (represented by the solid line), however, perform better in moderately favorable situations—categories IV, V, and VI.

Studies testing the overall validity of the Fiedler model were initially supportive, but the model hasn't been studied much in recent years.¹⁹ While it provides some insights that we should consider, its strict practical application is problematic.

Exhibit 13-1 Findings from the Fiedler Model



Situational Leadership Theory

Situational leadership theory (SLT) ⓘ focuses on the followers. It says that successful leadership depends on selecting the right leadership style contingent on the followers' *readiness*, the extent to which followers are willing and able to accomplish a specific task. A leader should choose one of four behaviors depending on follower readiness.²⁰

If followers are *unable* and *unwilling* to do a task, the leader needs to give clear and specific directions; if they are *unable* but *willing*, the leader needs to display a high task orientation to compensate for followers' lack of ability, and high relationship orientation to get them to accept the leader's desires. If followers are *able* but *unwilling*, the leader needs to use a supportive and participative style; if they are both *able* and *willing*, the leader doesn't need to do much.

SLT has intuitive appeal. It acknowledges the importance of followers and builds on the logic that leaders can compensate for followers' limited ability and motivation. Yet research efforts to test and support the theory have generally been disappointing.²¹ Why? Possible explanations include internal ambiguities and inconsistencies in the model itself, as well as problems with research methodology. Despite its intuitive appeal and wide popularity, any endorsement must be cautious for now.

Path–Goal Theory

Developed by Robert House, **path–goal theory** ⓘ extracts elements from the research on initiating structure and consideration, and on the expectancy theory of motivation.²² Path–goal theory suggests that it’s the leader’s job to provide followers with information, support, or other resources necessary to achieve goals. (The term *path–goal* implies effective leaders clarify followers’ paths to their work goals and make the journey easier by reducing roadblocks.) The theory predicts the following:

- *Directive leadership yields greater employee satisfaction when tasks are ambiguous or stressful than when they are highly structured and well laid out.*
- *Supportive leadership results in high employee performance and satisfaction when employees are performing structured tasks.*
- *Directive leadership is likely to be perceived as redundant among employees with high ability or considerable experience.*

Like SLT, path–goal theory has intuitive appeal, especially from a goal attainment perspective. Also like SLT, the theory can be adopted only cautiously for application, but it is a useful framework in examining the vital role of leadership.²³

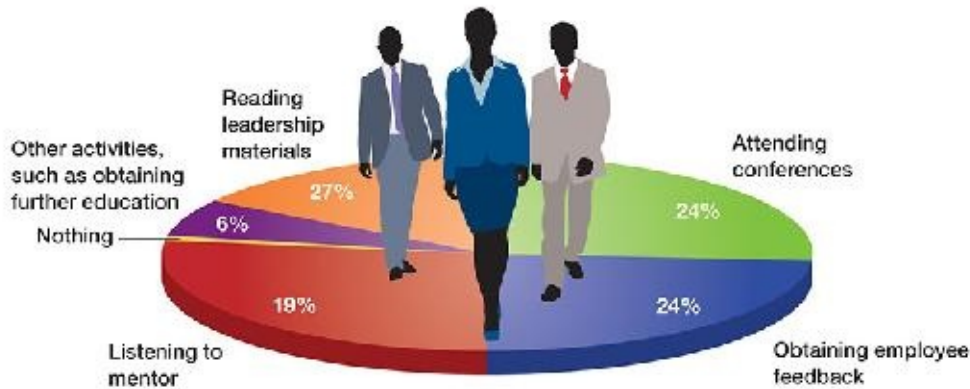
Leader–Participation Model

The final contingency theory we cover argues that *the way* the leader makes decisions is as important as *what* he or she decides. The **leader–participation model** ⓘ relates leadership behavior to subordinate participation in decision making.²⁴ Like path–goal theory, it says that leader behavior must adjust to reflect the task structure (such as routine, nonroutine, or in between), but it does not cover all leadership behaviors and is limited to recommending what types of decisions might be best made with subordinate participation. It lays the groundwork for the situations and leadership behaviors most likely to elicit acceptance from subordinates.

As one leadership scholar noted, “Leaders do not exist in a vacuum”; leadership is a symbiotic relationship between leaders and followers.²⁵ But the theories we’ve covered to this point assume that leaders use a homogeneous style with everyone in their work unit. Think about your experiences in groups. Did leaders often act very differently toward different people? Before we dig into differences between leaders, consider the OB Poll—and your own quest for leadership skills.

OB POLL

How Are You Developing Your Leadership Skills?



Note: Survey of 700 respondents.

Source: Based on J. Brox, “The Results Are In: How Do You Ensure You’re Constantly Developing as a Leader?” May 14, 2013, <http://www.refreshleadership.com/index.php/2013/05/results-ensure-youre-constantly-developing-leader/#more-4732>.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.3.1 Contingency theories focus on the _____ that impact leadership success.

- ☐ leader's personal characteristics and qualities
- ☐ leader's abilities to inspire and transform followers
- ☐ situational variables
- ☐ values and ethics

Check answer

Reset

13.3.2 Fran has just completed and scored the Least Preferred Coworker (LPC) questionnaire given to her during an evaluation exercise. She is surprised when she finds out that she described her least preferred coworker in relatively positive terms

because she recalls being particularly annoyed by this difficult coworker several times in the past. Based on your understanding of Fiedler's model, you explain to Fran that her LPC score makes sense within the model because _____.

- Fran tends to become very dominating when given ambiguous tasks
- Fran is usually much more focused on productivity than on developing relationships

- ☐ Fran tends in general to focus on building good relationships with the other employees
- ☐ Fran has a spotty work history and has tended to switch jobs every couple of years

Check answer

Reset

Contemporary Theories of Leadership

13-4 Describe the contemporary theories of leadership and their relationship to foundational theories.

Leaders are important—to organizations, and to employees. The understanding of leadership is a constantly evolving science. Contemporary theories have been built on the foundation we've just established to discover unique ways leaders emerge, influence, and guide their employees and organizations. Let's explore some of the current leading concepts, and look for aspects of the theories we've discussed already throughout.

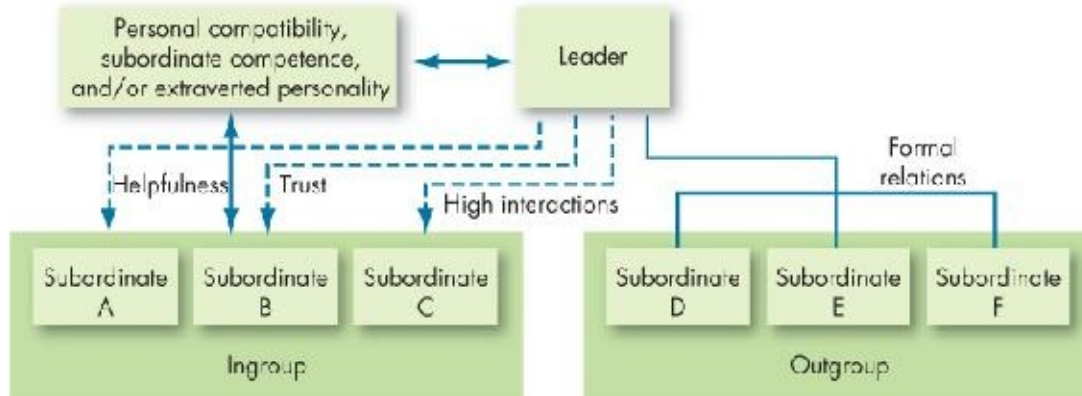
Leader–Member Exchange (LMX) Theory

Think of a leader you know. Does this leader have favorites who make up an ingroup? If you answered yes, you're acknowledging leader–member exchange theory.²⁶ **Leader–member exchange (LMX) theory** ⓘ argues that, because of time pressures, leaders establish a special relationship with a small group of their followers. These individuals make up the ingroup—they are trusted, get a disproportionate amount of the leader's attention, and are more likely to receive special privileges. Other followers fall into the outgroup.

LMX theory proposes that early in the history of the interaction between a leader and a given follower, the leader implicitly categorizes the follower as an “in” or an “out”; that relationship becomes relatively stable over time. Leaders induce LMX by rewarding employees with whom they want a closer linkage and punishing those with whom they do not.²⁷ For the LMX relationship to remain intact, the leader and the follower must invest in the relationship.

Just how the leader chooses who falls into each category is unclear, but there is evidence that ingroup members have demographic, attitude, and personality characteristics that are similar to those of their leader or a higher level of competence than outgroup members²⁸ (see Exhibit 13-2). Leaders and followers of the same gender tend to have closer (higher LMX) relationships than those of different genders.²⁹ Even though the leader does the choosing, the follower's characteristics drive the categorizing decision.

Exhibit 13-2 Leader–Member Exchange Theory



Research to test LMX theory has been generally supportive, with substantive evidence that leaders do differentiate among followers. These disparities are far from random. Followers with ingroup status receive higher performance ratings, engage in more helping or citizenship behaviors at work, engage in less deviant or counterproductive behaviors at work, and report greater satisfaction with their superior.³⁰ LMX influences these work outcomes by improving employee trust, motivation, empowerment, and job satisfaction (although trust in the leader has the largest effect).³¹ One study conducted in an entrepreneurial firm in southeast China found LMX is related to creative and innovative behavior.³²



Recent research has also clarified how LMX changes over time, what happens when there is more than one leader supervising an employee, and whether the effects of LMX spreads outside the workplace. For one, it seems as if newer employees experience the development of LMX differently than employees who have been there longer—justice tends to matter more to the newer employees.³³ When employees have two leaders, the degree of LMX with both matters—and if an employee has high LMX with one leader and low LMX with the other, it matters more if the “primary” leader LMX is low.³⁴ Finally, recent research in India suggests that when employees who leave their organizations have good LMX with their old boss, they tend to have higher salaries, better responsibilities, and more goodwill toward their old company.³⁵



When the treatment of the ingroup is starkly different from the treatment of the outgroup (e.g., when the leader plays favorites), research indicates that both the ingroup and

the outgroup realize negative effects from LMX. For example, a study in Turkey demonstrated that when leaders differentiated strongly among their followers in terms of their relationships (some followers had very positive leader–member exchange, others very poor), employees from both groups responded with more negative work attitudes and higher levels of withdrawal behavior.³⁶ One study in China and the United States indicated that differential leadership treatment hurts team trust and perceptions of procedural justice, especially when the team members work closely together.³⁷ Other research indicated that, although ingroup team members showed increased performance, the team as a whole became uncoordinated in the LMX environment and overall performance suffered.³⁸ Close-knit teams may be able to help outgroup members to retain their confidence and self-efficacy by offering a supportive environment³⁹ at the cost of the relationship between employees and leaders.



Nick Woodman, founder and CEO of digital camcorder company GoPro, is a charismatic leader: energetic, enthusiastic, optimistic, confident, and extraverted. Woodman’s charisma inspires his employees to work toward GoPro’s vision of enabling people to share their lives through photos and videos.

Source: Victor J. Blue/Bloomberg/Getty Images

Charismatic Leadership

Do you think leaders are born and not made, or made and not born? True, an individual may be literally born into a leadership position (think family heirs with surnames like Ford and Hilton), be endowed with a leadership position due to past accomplishments (like CEOs who worked their way up the organizational ranks), or be informally acknowledged as a leader (like a Twitter employee who knows everything because he was “there at the start”). But here, we are talking not about how leaders attain their roles; rather, we are focused on what makes great leaders extraordinary. Two contemporary leadership theories—charismatic leadership and transformational leadership—share a common theme in the great leader debate: They view leaders as individuals who inspire followers through words, ideas, and behaviors.

What Is Charismatic Leadership? Sociologist Max Weber defined *charisma* (from the Greek for “gift”) as “a certain quality of an individual personality, by virtue of which he or she is set apart from ordinary people and treated as endowed with supernatural, superhuman, or at least specifically exceptional powers or qualities. These are not accessible to the ordinary person and are regarded as of divine origin or as exemplary, and on the basis of them the individual concerned is treated as a leader.”⁴⁰

The first researcher to consider charismatic leadership in terms of Organizational Behavior (OB) was Robert House. According to **charismatic leadership theory** ⓘ, followers attribute heroic or extraordinary leadership abilities when they observe certain behaviors, and tend to give these leaders power.⁴¹ A number of studies have attempted to identify the characteristics of charismatic leaders: They have a vision, have a sense of mission, are willing to take personal risks, are sensitive to their followers’ needs, have confidence that their vision could be achieved, and engage in unconventional behaviors (i.e., they “go against the flow”)⁴² (see Exhibit 13-3).

Exhibit 13-3 Key Characteristics of a Charismatic Leader

1. *Vision and articulation.* Has a vision—expressed as an idealized goal—that proposes a future better than the status quo; able to clarify the importance of the vision in terms that are understandable to others.
2. *Personal risk.* Willing to take on high personal risk, incur high costs, and engage in

self-sacrifice to achieve the vision.

3. *Sensitivity to follower needs.* Perceptive of others' abilities and responsive to their needs and feelings.
4. *Unconventional behavior.* Engages in behaviors that are perceived as novel and counter to norms.

Source: Based on J. A. Conger and R. N. Kanungo, *Charismatic Leadership in Organizations* (Thousand Oaks, CA: Sage, 1998), 94.

Are Charismatic Leaders Born or Made? Are charismatic leaders born with their qualities? Or can people learn to be charismatic leaders? Yes, and yes.

Individuals *are* born with personality traits that make them more charismatic, on average. Personality is also related to charismatic leadership; charismatic leaders are likely to be emotionally stable and extraverted, although these traits are most likely to influence charismatic leader behaviors in stressful, fast-changing environments.⁴³ Consider the legendary qualities of U.S. presidents Barack Obama, Bill Clinton, and Ronald Reagan and U.K. prime minister Margaret Thatcher when they were in office: Whether you liked them or not, they are often compared because they all exhibited the qualities of charismatic leaders.

Research indicates that charismatic leadership is not only the province of world leaders—all of us can develop, within our own limitations, a more charismatic leadership style. One study of German managers suggests that training managers to be inspirational in their communications with followers was successful at increasing related charismatic behaviors.⁴⁴ To develop an aura of charisma, use your passion as a catalyst for generating enthusiasm. Speak in an animated voice, reinforce your message with eye contact and facial expressions, and gesture for emphasis. Bring out the potential in followers by tapping into their emotions, and create a bond that inspires them. Remember, enthusiasm is contagious!

How Charismatic Leaders Influence Followers How do charismatic leaders influence followers? By articulating an appealing **vision** , a long-term strategy for attaining a goal by linking the present with a better future for the organization.⁴⁵ Desirable visions fit the organization's circumstances and reflect the uniqueness of the organization. Thus, followers are inspired not only by how passionately the leader communicates—there must be an

underlying vision that appeals to followers as well.

A vision needs an accompanying **vision statement** , a formal articulation of an organization's vision or mission.⁴⁶ Charismatic leaders may use vision statements to imprint on followers an overarching goal and purpose. Through words and actions, the leader conveys a new set of values and sets an example for followers to imitate.

Research indicates that charismatic leadership works as followers “catch” the emotions that their leader is conveying, which leads them to identify affectively with the organization.⁴⁷ Another study examining archival data on U.S. presidential elections found that followers tend to attribute charismatic leadership qualities to the candidate when she or he has a history of charismatic leader behaviors; when the leadership history is unclear, followers compare the candidate with a mental prototype, or model, of a charismatic leader.⁴⁸ Notably, charismatic managers may seem to have an air of mystique and magnetism around them: These perceptions are aroused when they seem to be successful for mysterious reasons and when the effects of their charisma spread across followers.⁴⁹

Some personalities are especially susceptible to charismatic leadership.⁵⁰ For instance, an individual who lacks self-esteem and questions his or her self-worth is more likely to absorb a leader's direction rather than establish an individual way of leading or thinking. For these people, the situation may matter much less than the charismatic qualities of the leader.

Does Effective Charismatic Leadership Depend on the Situation? Charismatic leadership has positive effects across many contexts. However, there are characteristics of followers, and of the situation, that enhance or somewhat limit its effects.

One factor that enhances charismatic leadership is stress. People are especially receptive to charismatic leadership when they sense a crisis or when they are under stress, perhaps because we think bold leadership is needed. Some of it, however, may be more primal. When people are psychologically aroused, even in laboratory studies, they are more likely to respond to charismatic leaders.⁵¹ This may explain why, when charismatic leaders surface, it's likely to be in politics or religion, during wartime, or when a business is in its infancy or facing a threatening crisis. For example, U.S. president Donald J. Trump offered a charismatic vision “to make America great again” by alleviating job insecurity and strengthening border security and public safety.⁵² Sleep deprivation can have a big impact on both leaders and followers: Sleep deprivation can reduce charismatic leadership by reducing deep acting (see Chapter 6).⁵³

You may wonder whether a situational factor limiting charisma is the person's level in the organization. Top executives create vision. You might assume that it is more difficult to utilize a person's charismatic leadership qualities in lower-level management jobs or to align his or her vision with specific top-management goals. While charismatic leadership may be more important in the upper echelons of organizations, it can be effective from a distance, or from close range.

The Dark Side of Charismatic Leadership Unfortunately, charismatic leaders who are larger than life don't necessarily act in the best interests of their organizations.⁵⁴ Research has shown that individuals who are narcissistic are also higher in some behaviors associated with charismatic leadership.⁵⁵ Many charismatic—but corrupt—leaders have allowed their personal goals to override the goals of their organizations. Leaders at Enron, Tyco, WorldCom, and HealthSouth recklessly used organizational resources for their personal benefit and unethically violated laws to inflate stock prices, and then cashed in millions of dollars in personal stock options. Some charismatic leaders—Hitler, for example—are all too successful at convincing their followers to pursue a disastrous vision. If charisma is power, then that power can be used for good and for ill.

It's not that charismatic leadership isn't effective; overall, it is. But a charismatic leader isn't always the answer. Success depends, to some extent, on the situation and on the leader's vision, and on the organizational checks and balances in place to monitor the outcomes.

Transactional and Transformational Leadership

Charismatic leadership theory relies on leaders' ability to inspire followers to believe in them. In contrast, Fiedler's model, situational leadership theory, and path-goal theory describe **transactional leaders** ⓘ, who guide their followers toward established goals by clarifying role and task requirements. A stream of research has focused on differentiating transactional from **transformational leaders** ⓘ,⁵⁶ who inspire followers to transcend their self-interests for the good of the organization. Transformational leaders and their teams and organizations perform well and can have an extraordinary effect on their followers, who respond with increased performance, organizational citizenship behavior (OCB), creativity, job satisfaction, mental health, and motivation.⁵⁷ Richard Branson of the Virgin Group is a good example of a transformational leader. He pays attention to the concerns and needs of individual followers, changes followers' awareness of issues by helping them look at old

problems in innovative ways, and excites and inspires followers to put forth extra effort to achieve group goals. Research suggests that transformational leaders are most effective when their followers can see the positive impact of their work through direct interaction with customers or other beneficiaries.⁵⁸ Exhibit 13-4 briefly identifies and defines characteristics that differentiate transactional from transformational leaders.

Transactional and transformational leadership complement each other; they aren't opposing approaches to getting things done.⁵⁹ The best leaders are transactional *and* transformational. Transformational leadership *builds on* transactional leadership and produces levels of follower effort and performance beyond what transactional leadership alone can do. One review suggests that transformational and transactional leadership may be more or less important depending on the outcome. Although both tend to be important, it appears that transformational leadership is more important for group performance and satisfaction with the leader, whereas transactional leadership (primarily contingent reward) is more important for leader effectiveness and follower job satisfaction.⁶⁰

Exhibit 13-4 Characteristics of Transactional and Transformational Leaders

Transactional Leader

Contingent Reward: Contracts exchange of rewards for effort, promises rewards for good performance, recognizes accomplishments.

Management by Exception (active): Watches and searches for deviations from rules and standards, takes corrective action.

Management by Exception (passive): Intervenes only if standards are not met.

Laissez-Faire: Abdicates responsibilities, avoids making decisions.

Transformational Leader

Idealized Influence: Provides vision and sense of mission, instills pride, gains respect and trust.

Inspirational Motivation: Communicates high expectations, uses symbols to focus efforts, expresses important purposes in simple ways.

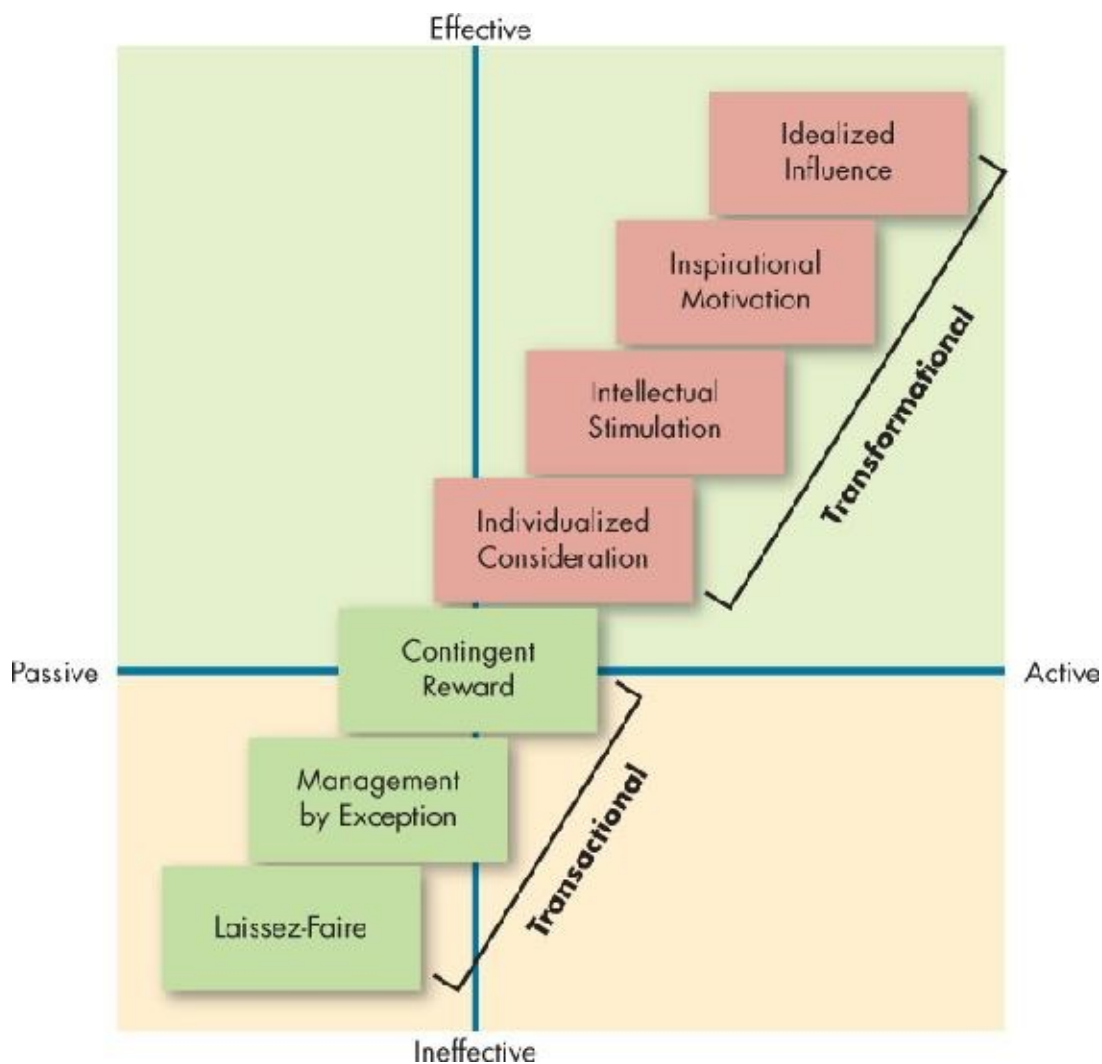
Intellectual Stimulation: Promotes intelligence, rationality, and careful problem solving.

Individualized Consideration: Gives personal attention, treats each employee

individually, coaches, advises.

Sources: Based on B. M. Bass, *Leadership and Performance Beyond Expectations* (New York, NY: Free Press, 1990); and T. A. Judge and R. F. Piccolo, "Transformational and Transactional Leadership: A Meta-Analytic Test of Their Relative Validity," *Journal of Applied Psychology* 89, no. 5 (2004): 755–68.

Exhibit 13-5 Full Range of Leadership Model



Full Range of Leadership Model Exhibit 13-5 shows the **full range of leadership model**. Laissez-faire, which literally means “let it be” (do nothing), is the most passive and therefore least effective of leader behaviors.⁶¹ Management by exception (active or passive), in which leaders primarily “put out fires” when there are crisis exceptions to normal

operating procedures, means they are often too late to be effective. Contingent reward leadership, which gives predetermined rewards for employee efforts, can be an effective style of leadership but will not get employees to go above and beyond the call of duty.

With the four remaining styles—all aspects of transformational leadership—leaders are best able to motivate followers to perform above expectations and transcend their self-interest for the sake of the organization. Individualized consideration, intellectual stimulation, inspirational motivation, and idealized influence (known as the “four I’s”) all result in excellent organizational outcomes.



How Transformational Leadership Works

Overall, most research suggests that the reason transformational leadership works is that it inspires and motivates followers. For example, research in Germany and Switzerland found that transformational leadership improves employee job satisfaction, self-efficacy, and commitment to the leader by fulfilling follower autonomy, competence, and relatedness needs (see the discussion of self-determination theory in Chapter 7).⁶² One study found that transformational leadership leads to increased job performance and OCB by empowering employees (see Chapter 3), especially in more organic organizations (i.e., organizations that are adaptive and that have fluid roles, shared values, and reciprocal communication).⁶³ Other research in China found that transformational leadership positively influenced workers’ helping behaviors through improving employee trust in their leaders along with prosocial motivation.⁶⁴ Multiple studies in Israel and the United Kingdom suggest that transformational leadership can improve workplace safety by increasing intrinsic motivation and prevention focus (see Chapter 7).⁶⁵

Myth or Science?

Top Leaders Feel the Most Stress

Leaders of corporations fight pressures from their boards, customers, managers, and employees. Wouldn’t it stand to reason they are the most stressed people in their organizations? Apparently not. According to studies from Harvard University, the University of California–San Diego, and Stanford University, leadership brings a

blissful relief from the stress felt by individuals who are not in managerial roles. Not only did leaders report less anxiety than nonleaders, their cortisol (stress hormone) levels were also lower, indicating they were biologically less likely to register stress. Another study found that individuals in higher-status occupational groups registered less perceived stress and lower blood pressure readings than those in lower status occupations.

If you're thinking this is one more reason that it's better at the top, you may be right, if only partially. It is true that leaders appear to show fewer signs of stress by being leaders, regardless of higher income or longer job tenure. However, researchers found no "magic level" in an organization at which employees felt a reduction in stress levels.

One study indicated that stress reduction correlates with feelings of control. Leaders with more subordinates and greater power felt less stress than other individuals who knew they had less control over outcomes. Top leaders who control the resources of their corporations and have plenty of employees to carry out their directives therefore can fight stressors before they affect them.

Sources: Based on M. Korn, "Top-Level Leaders Have Less Stress Than Others," *The Wall Street Journal*, October 3, 2012, B6; G. D. Sherman, J. J. Lee, A. J. C. Cuddy, J. Renshon, C. Oveis, J. J. Gross, and J. S. Lerner, "Leadership Is Associated with Lower Levels of Stress," *Proceedings of the National Academy of Sciences of the United States of America* 109, no. 44 (2012): 17903–7; and E. Wiernik, B. Pannier, S. Czernichow, H. Nabi, O. Hanon, T. Simon, ... and C. Lemogne, "Occupational Status Moderates the Association between Current Perceived Stress and High Blood Pressure: Evidence from the IPC Cohort Study," *Hypertension* 61 (2013): 571–77.



Companies with transformational leaders often show greater agreement among top managers about the organization's goals, which yields superior organizational performance.⁶⁶ The Israeli military has seen comparable results, showing that transformational leaders improve performance by building consensus among group members.⁶⁷ Research in high-tech organizations in northwestern China suggests that companies with a dual-focused transformational leadership, which is directed toward leading each employee as well as the entire team, can help improve employee outcomes such as creativity by developing employees' skills and facilitating knowledge sharing throughout the team.⁶⁸ Individual-focused transformational leadership is behavior that empowers individual followers to

develop ideas, enhance their abilities, and increase self-efficacy. Team-focused transformational leadership emphasizes group goals, shared values and beliefs, and unified efforts. However, research in China suggested that, in team situations, the members' identification with the group could override the effects of transformational leadership.⁶⁹

Evaluation of Transformational Leadership Transformational leadership has been supported at diverse job levels and occupations (school principals, teachers, marine commanders, ministers, presidents of MBA associations, military cadets, union shop stewards, sales representatives). In general, organizations perform better when they have transformational leaders.



The transformational leadership of Netflix CEO Reed Hastings has helped the company grow from a small DVD rental service to an Internet streaming service with 93 million customers in more than 190 countries. Hastings encourages employees to take risks, empowers them to make decisions, and gives them the freedom and responsibility to create innovative ideas and products.

Source: Bernd Van Jutrczenka/DPA Picture Alliance/Alamy Stock Photo



The effect of transformational leadership on performance can vary by the situation.

In general, transformational leadership has a greater impact on the bottom line in smaller, privately held firms than in more complex organizations.⁷⁰ A great deal of research suggests

that the stress and demands surrounding the context affects whether or not transformational leadership improves health outcomes and work engagement (see Chapter 3). In particular, a study of Dutch elementary school teachers found that their principals' transformational behaviors were most effective at improving the teachers' engagement when the situations were cognitively demanding and when they had a high workload.⁷¹ Transformational leaders helped reduce emotional exhaustion and improve perceptions of work-life balance in German information technology (IT) professionals when the time pressures were high.⁷²

Transformational leadership may also be more effective when leaders can interact directly with the workforce to make decisions (when they have high task autonomy) than when they report to an external board of directors or deal with a complex bureaucratic structure. One study showed transformational leaders were more effective in improving group potency in teams higher in power distance and collectivism.⁷³

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The characteristics of the leader and the followers may also play roles in the effectiveness of transformational leadership. For example, transformational leadership can inspire employees to learn and thrive on the job, especially if they are high on openness to experience.⁷⁴ Another study suggests that IQ is important for transformational leadership perceptions—leaders who are “too intelligent” may be less transformational because their solutions may be too “sophisticated” to understand, they may use complex forms of communication that undermine their influence, and they may be seen as too “cerebral.”⁷⁵ This doesn't mean that intelligence is not important for transformational leadership; it means that there is a “sweet spot” for intelligence in terms of leadership behaviors.



Another study on Dutch employees from a variety of occupations found that both the situation and individual can be important. For employees in positions with high job autonomy, transformational leadership was related to employee proactive behavior—but only when they were high in self-efficacy.⁷⁶

Transformational versus Transactional Leadership When comparing transformational leadership with transactional leadership, research indicates transformational leadership is more strongly correlated than transactional leadership with a variety of workplace outcomes.⁷⁷ However, transformational leadership theory is not perfect. The full range of the leadership model shows a clear division between transactional and transformational leadership that may not fully exist in effective leadership, especially given that research suggests that transformational leadership is highly related to contingent reward leadership, to the point of being redundant.⁷⁸ Contrary to the full range of the leadership model, the four I's of transformational leadership are not always superior in effectiveness to transactional leadership; contingent reward leadership, in which leaders dole out rewards as certain goals are reached by employees, sometimes works as well as transformational leadership.⁷⁹ More research is needed, but the general supportable conclusion is that transformational leadership is desirable and effective, given the right application.

Transformational versus Charismatic Leadership In considering transformational and charismatic leadership, you surely noticed some commonalities. There are differences, too. Charismatic leadership places somewhat more emphasis on the way leaders communicate (are they passionate and dynamic?), while transformational leadership focuses more on what they are communicating (is it a compelling vision?). Still, the theories are more alike than different. At their heart, both focus on the leader's ability to inspire followers, and sometimes they do so in the same way. Because of this, some researchers believe the concepts are somewhat interchangeable.⁸⁰



MyLab Management **Personal Inventory Assessments**

Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.4.1 Which of the following is not a key characteristic of a charismatic leader?

- ☐ sensitivity to follower needs
- ☐ unconventional behavior
- ☐ vision and articulation
- ☐ focus on maintaining status quo

Check answer

Reset

13.4.2 Leaders who clarify role and task requirements to accomplish established goals exhibit a(n) _____ style of leadership.

- ☐ transformational
- ☐ transactional
- ☐ charismatic
- ☐ authentic

Check answer

Reset

Responsible Leadership

13-5 Discuss the roles of leaders in creating ethical organizations.

Although the theories we've discussed so far have increased our understanding of effective leadership, they do not deal explicitly with the roles of ethics and trust, which are perhaps essential to complete the picture. These and the theories we discussed earlier are not mutually exclusive ideas (a transformational leader may also be a responsible one), but here, we consider contemporary concepts that explicitly address the role of leaders in creating ethical organizations.



Brad Smith is an authentic leader. As the CEO of Intuit (one of the globe's biggest and most lucrative financial software companies), he is one of the most influential business leaders today, according to *Forbes* contributor and CEO of Fishbowl David K. Williams, and is known for his ethical entrepreneurial practices. Smith has forged a culture where risk taking and learning from failures are not only tolerated but encouraged.

Source: Christopher Victorio/The Photo Access/Alamy Stock Photo

Authentic Leadership

SAP's CEO Bill McDermott's motto is "Stay Hungry, Stay Humble," and he appears to practice what he preaches. Mark Zuckerberg, founder and CEO of Facebook, has resolved to halt the proliferation of fake news by adding fact checking and flagging to Facebook posts because it was the right thing to do. McDermott and Zuckerberg appear to be good exemplars of authentic leadership.⁸¹

Authentic leadership focuses on the moral aspects of being a leader. **Authentic leaders**  know who they are and what they believe in, and they act on those values and beliefs openly and candidly.⁸² Their followers consider them ethical people and trust them as a result. Authentic leaders share information, encourage open communication, and stick to their ideals. Authentic leaders are also humble—research indicates that leaders who model humility help followers to understand the growth process for their own development.⁸³



Authentic leadership, especially when shared among top management team members, creates a positive energizing effect that heightens teamwork, team productivity, and firm performance.⁸⁴ When leaders practice what they preach, or act on their values openly and candidly, followers tend to develop a strong affective commitment and trust in their leader and, to a lesser degree, to improve their performance and OCBs.⁸⁵ Not only is authenticity important for leaders, it is important for followers, too. In a study of Belgian service companies, the joint authenticity of both leaders and followers led to the satisfaction of basic needs (see the discussion of self-determination theory in Chapter 7), which in turn led to improvements in performance.⁸⁶ Much like the group- and individual-focused transformational leadership findings from the previous section, both group and individual perceptions of authenticity have an impact on follower outcomes.⁸⁷

Ethical Leadership

Leadership is not value-free. In assessing its effectiveness, we need to address the *means* that a leader uses to achieve goals as well as the content of those goals. The role of the leader in creating the ethical expectations for all members is crucial.⁸⁸ Ethical top leadership influences not only direct followers but spreads all the way down the command structure as well because top leaders set expectations and expect lower-level leaders to behave along ethical guidelines.⁸⁹



Leaders rated as highly ethical tend to be evaluated very positively by their

subordinates, who are also more satisfied and committed to their jobs, and experience less strain and turnover intentions.⁹⁰ Followers of such leaders are also more motivated, perform better, and engage in more OCBs and less counterproductive work behaviors (CWBs).⁹¹ Ethical leaders can change norms: One reason why employees engage in more OCBs and less CWBs is because their perceptions on whether each is equitable (see the discussion of equity theory in Chapter 7) become altered so that OCBs are perceived as more equitable.⁹² Ethical leaders also increase group awareness of moral issues, increase the extent to which the group is willing to speak up about ethical issues, and raise their empathic concern for others.⁹³ Research also found that ethical leadership reduced interpersonal conflicts.⁹⁴ Ethical leadership can matter for customer service outcomes, too—one study of bank tellers in Hong Kong found that when bank tellers display ethical leadership behaviors, and their coworkers see and recognize this, their coworkers adhere more to the customer service guidelines because their beliefs in what are appropriate and inappropriate change.⁹⁵

Ethical and charismatic leadership intersect at a number of junctures. To integrate ethical and charismatic leadership, scholars have advanced the idea of **socialized charismatic leadership** ⓘ—conveying other-centered (not self-centered) values through leaders who model ethical conduct.⁹⁶ These leaders are able to bring employee values in line with their own values through their words and actions.⁹⁷



Although every member of an organization is responsible for ethical behavior, many initiatives aimed at increasing organizational ethical behavior are focused on the leaders. Because top executives set the moral tone for an organization, they need to set high ethical standards, demonstrate them through their own behavior, and encourage and reward integrity in others while avoiding abuses of power.⁹⁸ Leadership training programs that incorporate cultural values should be especially mandated for leaders who take foreign assignments or manage multicultural work teams.⁹⁹ Despite the continued focus on the leader in ethical leadership, followers matter, too: One study on ethical leaders in Germany found that the effect of ethical leadership on follower OCBs was stronger for followers that were more mindful (see Chapter 6), suggesting that ethical leaders may be more effective if employees develop mindfulness through training or meditation techniques.¹⁰⁰

For ethical leadership to be effective, it is not enough for the leader simply to possess high moral character. After all, there is no universal standard for ethical behavior, and ethical norms vary by culture, by industry, and even sometimes within an organization. Leaders must

be willing to express their ethical beliefs and persuade others to follow their standards. To convey their beliefs, leaders should learn to express their moral convictions in statements that reflect values shared with their organization's members. Leaders can build on this foundation of trust to show their character, enhance a sense of unity, and create buy-in from followers. The leader's message should announce ambitious goals and express confidence that they can be reached.

Ethical leaders' statements are often positive messages, such as Winston Churchill's opening for his World War II victory speech: "This is your hour. This is not a victory of a party or of any class. It's a victory of the great British nation as a whole." An example of an ethical leader's negative message is this speech by Gandhi: "Even if all the United Nations opposes me, even if the whole of India forsakes me, I will say, 'You are wrong. India will wrench with nonviolence her liberty from unwilling hands.'" Positive and negative ethical leader statements can be equally effective when they deliver clear, moral, inclusive, goal-setting statements with persuasiveness. In fact, they can set trends in motion to make the seemingly far-fetched become real.¹⁰¹

An Ethical Choice

Holding Leaders Ethically Accountable

Most people think that leaders should be held accountable for their actions. Leaders must balance many and conflicting stakeholder demands. The first demand is for strong financial performance; leaders are probably terminated more often for missing this goal than for all other factors combined. Leaders balance the extreme pressure for financial performance with the desire that most leaders should act ethically, even when there is no formal accountability. Given those competing aims, ethical leadership may be underrewarded and depend solely on the leader's innate decency.

Ethical leadership is a relatively new area of research attention. Demonstrating fairness and social responsibility even run counter to many old-school models of leadership. Consider, for example, legendary management guru Peter Drucker's advice from 1967: "It is the duty of the executive to remove ruthlessly anyone—and especially any manager—who consistently fails to perform with high distinction. To let such a

man stay on corrupts the others.” Modern ethical leadership guidelines say this cut-throat mindset fails to consider the moral implications of treating people as objects at an organization’s disposal.

While few organizations still require “performance at all costs,” financiers, shareholders, and boards have the reward power to teach leaders which outcomes to value. Ethical leadership resounds positively throughout all organizational levels, resulting in responsible and potentially highly profitable outcomes, but the ultimate ethical movement comes when shareholders—and leaders—show signs of balancing these accountabilities themselves.

Sources: Based on T. E. Ricks, “What Ever Happened to Accountability?,” *Harvard Business Review*, October 2012, 93–100; J. M. Schaubroeck et al., “Embedding Ethical Leadership within and across Organizational Levels,” *Academy of Management Journal* 55 (2012): 1053–78; and J. Stouten, M. van Dijke, and D. De Cremer, “Ethical Leadership,” *Journal of Personnel Psychology* 11 (2012): 1–6.

Although ethical leadership has many positive outcomes, it can turn sour. For example, in a recent study, ethical leadership was found to lead to abusive supervision (discussed in the next section) on the following day. Sometimes behaving ethically can deplete our resources—we can even feel like, because we “behaved well” on the previous day, it gives us a license to behave poorly the next day.¹⁰²

Abusive Supervision

It can happen to anyone—we’re all capable of being abusive as managers.¹⁰³ Some research suggests that when it does occur, it can be costly. Current estimates suggest that it costs organizations in the United States about \$23.8 billion per year.¹⁰⁴ The United States also has relatively low reported levels of abusive supervision in recent research—the highest ratings of abusive supervision are actually in the eastern hemisphere, including China, the Philippines, and Taiwan, with lower ratings in the United States, Canada, and India.¹⁰⁵ Although not a form of leadership in all cases, **abusive supervision** ⓘ refers to the perception that a supervisor is hostile in his or her verbal and nonverbal behavior.¹⁰⁶



A recent review suggests that several factors are related to abusive supervision.¹⁰⁷

For one, nearly all forms of justice are negatively related to abusive supervision, suggesting that a sense of injustice is at the core of abusive supervision (especially for interpersonal justice). Although some personality traits such as agreeableness and conscientiousness appear to be negatively (but weakly) associated with perceptions of abusive supervision, negative affect is strongly linked with it. A family history of aggression has been shown to be related to engaging in abusive supervision across a variety of contexts in the Philippines.¹⁰⁸



This same review also suggests that abusive supervision comes with dire consequences.¹⁰⁹ First and foremost, abusive supervision negatively affects health: It leads to increased depression, emotional exhaustion, and job tension perceptions. Second, it also leads to decreases in organizational commitment, job satisfaction, and perceived organizational support, along with increased work-family conflict. It can adversely affect employee performance and other employee behaviors. Victims of abusive supervision are more prone to engage in CWBs and other deviant behaviors (especially retaliatory ones directed toward their supervisors) and are less prone to engage in OCBs.

Abusive supervision often occurs in cycles. When employees are the victims of abusive supervision, they tend to lash out at the organization and the supervisor by engaging in CWB and deviant behaviors, and the supervisor then continues to be abusive to the employees in retaliation.¹¹⁰ You may be wondering why the employee would lash out at the organization as well when it was the supervisor who was the one being abusive. Additional research suggests that employees often blame the organization when they are abused and see the supervisor as a representative of the organization as a whole.¹¹¹ When it comes to the experience of being a victim of abusive supervision, your personality and coping strategies matter. Conscientious employees tend to be able to cope with the abuse better, as are employees who cope by avoiding the issue.¹¹²

Servant Leadership

Scholars have recently considered ethical leadership from a new angle by examining **servant leadership** ⓘ.¹¹³ Servant leaders go beyond their self-interest and focus on opportunities to help followers grow and develop. Characteristic behaviors include listening, empathizing, persuading, accepting stewardship, and actively developing followers' potential. Because servant leadership focuses on serving the needs of others, research has focused on its outcomes for the well-being of followers. Perhaps not surprisingly, a study of 126 CEOs

found that servant leadership is negatively correlated with the trait of narcissism.¹¹⁴

What are the effects of servant leadership? One study of 71 general managers of restaurants in the United States and over 1,000 of their employees found that servant leaders tend to create a culture of service (see Chapter 15), which in turn improves the restaurant performance and enhances employee attitudes and performance by increasing employees' identification with the restaurant.¹¹⁵ Another study of Chinese hairstylists found similar results, with servant leadership predicting customer satisfaction and stylists' service performance.¹¹⁶ Second, there is a relationship between servant leadership and follower OCB that appears to be stronger when followers are encouraged to focus on being dutiful and responsible.¹¹⁷ Third, servant leadership increases team potency (a belief that your team has above-average skills and abilities), which in turn leads to higher levels of team performance.¹¹⁸ Fourth, a study with a nationally representative sample found higher levels of servant leadership were associated with a focus on growth and advancement, which in turn was associated with higher levels of creative performance.¹¹⁹



Servant leadership may be more prevalent and effective in certain cultures.¹²⁰

When asked to draw images of leaders, for example, U.S. subjects tended to draw them in front of the group, giving orders to followers. Singaporeans tended to draw leaders at the back of the group, acting more to gather a group's opinions together and then unify them from the rear. This suggests that the East Asian prototype is more like a servant leader, which might mean servant leadership is more effective in these cultures.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.5.1 How is team potency described in the context of servant leadership?

- It is a belief that one's team has above-average skills and abilities.
- It is a psychological state when you agree to make yourself vulnerable to another.

- ☐ It is the ability to influence a group toward the achievement of a vision.
- ☐ It is the degree to which job assignments are procedurized.

Check answer

Reset

13.5.2 All of the following are consequences of a relationship of trust between supervisors and employees, except that _____.

- ☐ trust facilitates information sharing
- ☐ trusting groups are more effective
- ☐ trust discourages taking risks
- ☐ trust enhances productivity

Check answer

Reset

Positive Leadership

13-6 Describe how leaders can have a positive impact on their organizations through building trust and mentoring.

In each of the theories we've discussed, you can see opportunities for the practice of good, bad, or mediocre leadership. Now let's think about the intentional development of positive leadership environments.

Trust

Trust ⓘ is a psychological state that exists when you agree to make yourself vulnerable to another person because you have positive expectations about how things are going to turn out.¹²¹ Although you aren't completely in control of the situation, you are willing to take a chance that the other person will come through for you. Trust is a primary attribute associated with leadership; breaking it can have serious adverse effects on a group's performance.¹²²

Followers who trust a leader are confident that their rights and interests will not be abused.¹²³ Transformational leaders, for example, create support for their ideas in part by arguing that their direction will be in everyone's best interests. People are unlikely to look up to or follow someone they perceive as dishonest or likely to take advantage of them. Thus, as you might expect, transformational leaders generate higher levels of trust from their followers, which in turn are related to higher levels of team confidence and ultimately higher levels of team performance.¹²⁴

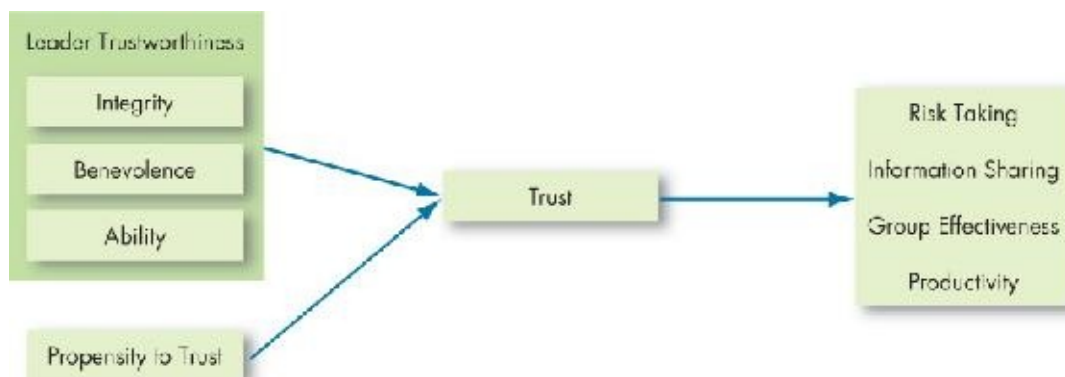
In a simple contractual exchange of goods and services, your employer is legally bound to pay you for fulfilling your job description. But today's rapid reorganizations, diffusion of responsibility, and collaborative team-based work mean employment relationships are not stable long-term contracts with explicit terms. Rather, they are based more than ever before on trusting relationships. You must trust that if you show your supervisor a creative project you've been working on, he or she won't steal the credit behind your back. You must trust that the extra work you've been doing will be recognized in your performance appraisal. In contemporary organizations, where work is less closely documented and specified, voluntary employee contributions based on trust is absolutely necessary. Only a trusted leader will be

able to encourage employees to reach beyond themselves to a transformational goal.

The Outcomes of Trust Trust between supervisors and employees has many specific advantages. Here are just a few from research:

- *Trust encourages taking risks.* Whenever leaders and employees decide to deviate from the usual way of doing things, or when employees decide to take their supervisor's word on a new direction, they are taking a risk. In both cases, a trusting relationship can facilitate that leap.¹²⁵
- *Trust facilitates information sharing.* One big reason employees fail to express concerns at work is that they don't feel psychologically safe revealing their views. When managers demonstrate that they will give employees' ideas a fair hearing and actively make changes, employees are more willing to speak out.¹²⁶
- *Trusting groups are more effective.* When a leader sets a trusting tone in a group, members are more willing to help each other and exert extra effort, which increases trust. Members of mistrusting groups tend to be suspicious of each other, constantly guard against exploitation, and restrict communication with others in the group. These actions tend to undermine and eventually destroy the group.¹²⁷
- *Trust enhances productivity.* The bottom-line interest of companies appears to be positively influenced by trust. Employees who trust their supervisors tend to receive higher performance ratings, indicating higher productivity. People respond to mistrust by concealing information and secretly pursuing their own interests.¹²⁸

Exhibit 13-6 The Nature of Trust



Trust Development What key characteristics lead us to believe a leader is trustworthy? Evidence has identified three: integrity, benevolence, and ability (see Exhibit 13-6).¹²⁹

Integrity refers to honesty and truthfulness. When 570 white-collar employees were given a list of 28 attributes related to leadership, they rated honesty the most important by far.¹³⁰ Integrity also means maintaining consistency between what you do and say.

Benevolence means the trusted person has your interests at heart, even if your interests aren't necessarily in line with her or his interests. Caring and supportive behavior is part of the emotional bond between leaders and followers.

Ability encompasses an individual's technical and interpersonal knowledge and skills. You're unlikely to depend on someone whose abilities you don't believe in even if the person is highly principled and has the best intentions.

Trust Propensity Effective leadership is built on the trust of leaders and followers. **Trust propensity** ⓘ refers to how likely a particular employee is to trust a leader. Some people are simply more likely to believe others can be trusted.¹³¹ Those who carefully document every promise or conversation with their supervisors aren't very high in trust propensity, and they probably aren't going to take a leader's word for anything. Those who think most people are basically honest and forthright will be much more likely to seek evidence that their leaders have behaved in a trustworthy manner. Trust propensity is closely linked to the personality trait of agreeableness, and people with lower self-esteem are less likely to trust others.¹³²



Trust and Culture Does trust look the same in every culture? Using the basic definition of trust, certainly it does. However, in the work context, trust in an employment relationship may be built on very different perceptions from culture to culture. For example, a recent study in Taiwan indicated that employees responded to paternalistic leadership when it is benevolent and ethical with increased trust performance.¹³³ This positive response to paternalism may be unique to the collectivistic context where the Confucian values of hierarchy and relationship predominate. In individualistic societies, we might expect that paternalistic leadership will rankle many employees who prefer not to see themselves as part of a hierarchical family work group. Employees in individualist cultures may build trust along dimensions of leadership support and consistency instead, for instance.



The Role of Time Time is the final component for building trust. We come to trust

people by observing their behavior over a period of time.¹³⁴ To help, leaders need to demonstrate integrity, benevolence, and ability in situations where trust is important—say, where they could behave opportunistically or let employees down. Second, trust can be won in the ability domain by demonstrating competence and apologizing, not denying, when leaders' competence fails them.¹³⁵ Third, research with 100 companies around the world suggests that leaders can build trust by shifting their communication style from top-down commands to ongoing organizational dialogue.¹³⁶ Last, when leaders regularly create interpersonal conversations with their employees that are intimate, interactive, and inclusive and that intentionally follow an agenda, followers demonstrate trust with high levels of engagement.¹³⁷

Regaining Trust Managers who break the psychological contract with workers, demonstrating they aren't trustworthy leaders, will find employees are less satisfied and less committed, have a higher intent toward turnover, engage in less OCB, and have lower levels of task performance.¹³⁸

Once it has been violated, trust can be regained, but only in certain situations and depending on the type of violation.¹³⁹ If the cause is lack of ability, it's usually best to apologize and recognize you should have done better. When lack of integrity is the problem, apologies don't do much good. Regardless of the violation, saying nothing or refusing to confirm or deny guilt is never an effective strategy for regaining trust. Trust can be restored when we observe a consistent pattern of trustworthy behavior by the transgressor. However, if the transgressor used deception, trust never fully returns, not even after apologies, promises, or a consistent pattern of trustworthy actions.¹⁴⁰

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Mentoring

Leaders often take responsibility for developing future leaders. A **mentor** ⓘ is a senior employee who sponsors and supports a less-experienced employee, a protégé.¹⁴¹ Successful mentors are good teachers. They present ideas clearly, listen well, and empathize with protégés' problems. Mentoring relationships serve career and psychosocial functions (see Exhibit 13-7).¹⁴²

In formal mentoring relationships, protégé candidates are identified according to assessments of leadership potential and then matched with leaders in corresponding organizational functions. Informal mentoring relationships develop when leaders identify a less experienced, lower-level employee who appears to have potential for future development.¹⁴³ The protégé is often tested with a particularly challenging assignment. If performance is acceptable, the mentor develops the relationship. In both formal and informal mentoring, the goal is to show the protégé how the organization *really* works outside its formal structures and procedures.

Exhibit 13-7 Career and Psychological Functions of the Mentoring Relationship

Career Functions

- Lobbying to get the protégé challenging and visible assignments
- Coaching the protégé to help develop his or her skills and achieve work objectives
- Providing exposure to influential individuals within the organization
- Protecting the protégé from possible risks to his or her reputation
- Sponsoring the protégé by nominating him or her for potential advances or promotions
- Acting as a sounding board for ideas the protégé might be hesitant to share with a direct supervisor

Psychosocial Functions

- Counseling the protégé to bolster his or her self-confidence
- Sharing personal experiences with the protégé
- Providing friendship and acceptance
- Acting as a role model

Are all employees in an organization likely to participate in a mentoring relationship? Unfortunately, no.¹⁴⁴ However, research continues to indicate that employers should establish mentoring programs because they benefit both mentors and protégés.¹⁴⁵

Although started with the best intentions, formal relationships are not as effective as informal ones,¹⁴⁶ perhaps due to poor planning, design, and communication. Mentors must see the relationship as beneficial to themselves and the protégé, and the protégé must have input into the relationship.¹⁴⁷ Formal mentoring programs are also most likely to succeed if they appropriately match the work style, needs, and skills of protégé and mentor.¹⁴⁸

Mentors may be effective not because of the functions they provide but because of the resources they can obtain; a mentor connected to a powerful network can build relationships that will help the protégé advance. Network ties, whether built through a mentor or not, are a significant predictor of career success.¹⁴⁹ If a mentor is not well connected or not a very strong performer, the best mentoring advice in the world will not be very beneficial.

You might assume that mentoring is valuable for objective outcomes like compensation and job performance, but research suggests the gains are primarily psychological. Thus, while mentoring can have an impact on career success, it is not as much of a contributing factor as ability and personality. It may *feel* nice to have a mentor, but it doesn't appear that having a good mentor, or any mentor, is critical to your career. The mentor is a boost to your confidence.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.6.1 _____ is a psychological state that exists when you agree to make yourself vulnerable to another because you have positive expectations about how things are going to turn out.

- Consideration
- Trust
- Empowerment
- Empathy

Check answer

Reset

13.6.2 The primary benefit(s) of mentoring is/are _____.

- ☐ monetary
- ☐ performance
- ☐ psychological
- ☐ both B and C

Check answer

Reset

Challenges to Our Understanding of Leadership

13-7 Identify the challenges to our understanding of leadership.

“In the 1500s, people ascribed all events they didn’t understand to God. Why did the crops fail? God. Why did someone die? God. Now our all-purpose explanation is leadership.”¹⁵⁰ This may be an astute observation from management consulting, but, of course, much of an organization’s success or failure is due to factors outside the influence of leadership. Sometimes it’s a matter of being in the right or wrong place at a given time. In this section, we present challenges to the accepted beliefs about the value of leadership.

Leadership as an Attribution

As you may remember from Chapter 5, attribution theory examines how people try to make sense of cause-and-effect relationships. The **attribution theory of leadership** ⓘ says that leadership is merely an attribution people make about other individuals.¹⁵¹ We attribute the following to leaders: intelligence, outgoing personality, strong verbal skills, aggressiveness, understanding, and industriousness.¹⁵² At the organizational level, we tend, rightly or wrongly, to see leaders as responsible for both extremely negative and extremely positive performance.¹⁵³



Perceptions of leaders by their followers strongly affect leaders’ ability to be effective. First, one study of 128 major U.S. corporations found that, whereas perceptions of CEO charisma did not lead to objectively better company performance, company performance did lead to perceptions of charisma.¹⁵⁴ Second, employee perceptions of leaders’ behaviors are significant predictors of whether they blame the leader for failure, regardless of how the leader assesses him- or herself.¹⁵⁵ Third, a study of more than 3,000 employees from western Europe, the United States, and the Middle East found people who tended to “romanticize” leadership in general were more likely to believe their own leaders were transformational.¹⁵⁶

We also make demographic assumptions about leaders. Respondents in a study assumed a leader described with no identifying racial information was white at a rate beyond the base rate of white employees in that company.¹⁵⁷ When identical leadership situations are

described but the leaders' race is manipulated, white leaders are rated as more effective than leaders of other racial groups.¹⁵⁸ One large-scale summary found that many individuals hold stereotypes of men as having more leader characteristics than women, although, as you might expect, this tendency to equate leadership with masculinity has decreased over time.¹⁵⁹ Other data suggest women's perceived success as transformational leaders may be based on situations. Teams prefer male leaders when aggressively competing against other teams, but they prefer female leaders when the competition is within teams and calls for improving positive relationships within the group.¹⁶⁰

Attribution theory suggests that what is important is projecting the *appearance* of being a leader rather than focusing on *actual accomplishments*. Leader-wannabes who can shape the perception that they're smart, personable, verbally adept, aggressive, hardworking, and consistent in their style can increase the probability that their bosses, colleagues, and employees will view them as effective leaders.

Substitutes for and Neutralizers of Leadership

One theory of leadership suggests that, in many situations, leaders' actions are irrelevant.¹⁶¹ Experience and training are among the **substitutes** ⓘ that can replace the need for a leader's support or ability to create structure. Organizations such as videogame producer Valve Corporation, Gore-Tex maker W. L. Gore, and collaboration-software firm GitHub have experimented with eliminating leaders and management. Governance in the "bossless" work environment is achieved through accountability to coworkers, who determine team composition and sometimes even pay.¹⁶² Organizational characteristics such as explicit formalized goals, rigid rules and procedures, and cohesive work groups can replace formal leadership, while indifference to organizational rewards can neutralize its effects.

Neutralizers ⓘ make it impossible for leader behavior to make any difference to follower outcomes (see Exhibit 13-8).

Sometimes the difference between substitutes and neutralizers is fuzzy. If I'm working on a task that's intrinsically enjoyable, theory predicts leadership will be less important because the task provides motivation. But does that mean intrinsically enjoyable tasks neutralize leadership effects, substitute for them, or both? Another problem is that, while substitutes for leadership (such as employee characteristics, the nature of the task, etc.) matter to performance, that doesn't necessarily mean leadership doesn't matter.¹⁶³ It's simplistic to

think employees are guided to goal accomplishments solely by the actions of their leaders. We’ve introduced several variables—such as attitudes, personality, ability, and group norms—that affect employee performance and satisfaction. Leadership is simply another independent variable in our overall OB model.

Exhibit 13-8

Substitutes for and Neutralizers of Leadership

Defining Characteristics	Relationship-Oriented Leadership	Task-Oriented Defining Characteristics Leadership
Individual		
Experience/training	No effect on	Substitutes for
Professionalism	Substitutes for	Substitutes for
Indifference to rewards	Neutralizes	Neutralizes
Job		
Highly structured task	No effect on	Substitutes for
Provides its own feedback	No effect on	Substitutes for
Intrinsically satisfying	Substitutes for	No effect on
Organization		
Explicit formalized goals	No effect on	Substitutes for
Rigid rules and procedures	No effect on	Substitutes for
Cohesive work groups	Substitutes for	Substitutes for

Source: Based on K. B. Lowe and W. L. Gardner, “Ten Years of the Leadership Quarterly: Contributions and Challenges for the Future,” *Leadership Quarterly* 11, no. 4 (2000): 459–514.

Selecting Leaders

The process organizations go through to fill management positions is an exercise in the identification of effective leaders. You might begin by reviewing the knowledge, skills, and abilities needed to do the job effectively. Personality tests can identify traits associated with leadership—extraversion, conscientiousness, and openness to experience. High self-monitors

(see Chapter 4) are better at reading situations and adjusting their behavior accordingly. Candidates with high emotional intelligence should have an advantage, especially in situations requiring transformational leadership.¹⁶⁴ Broad experience is a poor predictor of leader effectiveness, but situation-specific experience is relevant.

Because nothing lasts forever, the most important event an organization needs to plan for is a change in leadership. JCPenney hired a CEO with no department store experience who promptly changed its overall strategy, a maneuver so disastrous that JCPenney's stock fell 69 percent in the roughly one year he lasted (after which JCPenney rehired the old CEO it had forced out, and he stayed until the company returned to a better standing). After that debacle, JCPenney seemed to learn its lesson by hiring Marvin Ellison, an executive from Home Depot who also had 15 years of experience at Target. The company's press release repeatedly described Ellison as "a highly-accomplished retail executive [with] an extensive knowledge of store operations."¹⁶⁵



Situation-specific experience played a key role in selecting Satya Nadella (center) as Microsoft's new CEO. To strengthen its position in the growing cloud domain, Microsoft chose Nadella, who formerly led Microsoft's Cloud and Enterprise Group and was instrumental in transforming Microsoft's technology culture from client services to cloud infrastructure and services.

Source: PRNewsFoto/Microsoft Corp/AP Images

In general, organizations seem to spend no time on leadership succession and are surprised

when their picks turn out poorly. HP is on its fourth CEO in under 10 years, including one who lasted a matter of months, causing observers to wonder whether its boards of directors had done their homework in leadership succession. Their choice of Meg Whitman, the current CEO, was based on her role as CEO of eBay, during which she was praised as a top-performing leader. She was also heavily invested in politics, having run for governor of California. Not long ago she was named the “Most Underachieving CEO” for her leadership of HP, although shares of HP have increased drastically over her tenure as she sought to undo the work of her predecessors.¹⁶⁶

Training Leaders

Organizations spend billions of dollars on leadership training and development.¹⁶⁷ These efforts take many forms, from \$50,000 executive leadership programs offered by universities such as Harvard to sailing trips with the Outward Bound program. Goldman Sachs is well known for developing leaders; at one point, *BusinessWeek* called it the “Leadership Factory.”¹⁶⁸ Business schools are placing renewed emphasis on leadership development too.

How can managers get the most from their leadership-training budgets? First, leadership training is likely to be more successful with high self-monitors. Such individuals have the flexibility to change their behavior. Second, organizations can teach implementation skills. Third, skills such as trust building and mentoring can be taught. Leaders can be taught situational-analysis skills. They can learn how to evaluate situations, modify them to match their style more closely, and assess which leader behaviors might be most effective in given situations. BHP Billiton, Best Buy, Nokia, and Adobe have hired coaches to help top executives improve their interpersonal skills and act less autocratically.¹⁶⁹ The effectiveness of leadership training seems to hinge much more on outside characteristics than other types of training that are more closed or technical, such as computer software skills training.¹⁷⁰ Fourth, behavioral training through modeling exercises can increase an individual’s ability to exhibit charismatic leadership qualities. Research also indicates that leaders should engage in regularly reviewing their leadership after key organizational events as part of their development. These after-event reviews are especially effective for leaders who are high in conscientiousness and openness to experience, and who are emotionally stable (low in neuroticism).¹⁷¹ Finally, leaders can be trained in transformational leadership skills that have bottom-line results.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

13.7.1 Which of the following statements accurately describes the attribution theory of leadership?

- Leadership is merely an attribution people make about other individuals.
- Good leaders attribute their successes to their team or group members.
- Leadership qualities are attributions that are independent of performance.
- The achievement of group goals is rarely attributed to good leadership.

Check answer

Reset

13.7.2 Zenith Technologies has a very flat organizational system with few managers. Instead, it has a rigid system of clear, formalized goals, clear procedures, and cohesive work groups. In this case, the various components of the organizational system are acting as _____ to formal leadership by replacing the support and ability offered by leaders.

- ☐ detriments
- ☐ traits
- ☐ attributes
- ☐ substitutes

Check answer

Reset

Summary

Leadership plays a central part in understanding group behavior because it's the leader who usually directs us toward our goals. Knowing what makes a good leader should thus be valuable toward improving group performance. The Big Five personality framework shows strong and consistent relationships between personality and leadership. The major contribution of the behavioral approach was narrowing leadership into task-oriented (initiating structure) and people-oriented (consideration) styles. By considering the situation in which the leader operates, contingency theories promised to improve on the behavioral approach. Contemporary theories have made major contributions to our understanding of leadership effectiveness, and studies of ethics and positive leadership offer exciting promise.

Implications for Managers

- For maximum leadership effectiveness, ensure that your preferences on the initiating structure and consideration dimensions are a match for your work dynamics and culture.
 - Hire candidates who exhibit transformational leadership qualities and who have demonstrated success in working through others to meet a long-term vision. Personality tests can reveal candidates higher in extraversion, conscientiousness, and openness, which may indicate leadership readiness.
 - Hire candidates whom you believe are ethical and trustworthy for management roles and train current managers in your organization's ethical standards to increase leadership effectiveness and reduce abusive supervision.
 - Seek to develop trusting relationships with followers because, as organizations have become less stable and predictable, strong bonds of trust are replacing bureaucratic rules in defining expectations and relationships.
 - Consider investing in leadership training such as formal courses, workshops, and mentoring.
- 

CEOs Start Early

Point

If you really get down to specifics, you can see that CEOs start in leadership roles early in life. They have similar backgrounds, childhood challenges, and coping strategies. In fact, it's easy to see a CEO-in-the-making at your neighborhood lemonade stand.

What's the profile of burgeoning CEOs? It starts with their parents, who are almost all successful through industriousness. For example, Linda Zecher, the former CEO of publisher Houghton Mifflin Harcourt, grew up in a household in which her father ran several businesses. Brent Frei, CEO of software company Smartsheet.com, grew up on an 800-acre farm that his father owned and ran. Aspera CEO Michelle Munson's mother was a professor and her father was the fifth-generation leader of her farm.

Second, future CEOs are raised with responsibilities. Susan Story, CEO of utility company American Water, learned as a child that "no matter how bad things get, it's about working hard and taking personal responsibility, because nobody owes you anything." Frei "had an opportunity to do big things early on. When I was 6 years old, my dad ... put me in the pickup, put it in first gear, and I drove it home with my 5-year-old sister in the passenger seat." Many CEOs grow up working on family farms or taking care of their siblings.

Third, burgeoning CEOs are successful leaders when they're young. Ruth Rathblott, CEO of Harlem Educational Activities Fund, was president of her seventh-grade class, then president of the middle school; Brad Jefferson, CEO of video slide show service Animoto, was the high school quarterback, captain of the football team, and senior class president; and Hannah Paramore, founder of digital agency Paramore, "was always the one in charge. I was always captain of this and captain of that."

Clearly, CEOs start early.

Counterpoint

EOs who start early have good stories to tell when they become successful, but that doesn't necessarily mean they represent the majority. Let's look at a few other aspects of

the tender years of CEOs.

C First, we know that much of our personality is attributable to genetics, but it's incorrect to infer that we can (a) map the genetic trail for a personality trait from ancestors to CEO or (b) tell where a young person's traits will lead. Likewise, we can't say that if the parents are successful through industriousness, their children will be. Story's parents worked in a cotton mill and a wastewater plant, and they "didn't have a lot of money." Frei's family farm "was a little bit below the threshold for break-even." Mitch Rothschild, CEO of website Vitals, observed, "Parents influence you either because you want to be like them or because you want to not be like them."

Second, what child is raised without responsibilities? None, even if all they have to do is go to school. There are plenty of CEOs who had a lot of responsibilities growing up, and others who did not. Munson's parents "emphasized two things. One was education, and the other was participating in 4-H." Zecher "had a paper route. [She] was a girl scout, and [she] was involved in a lot of clubs and sports in high school."

Third, it would be a mistake to conclude that CEOs start as young leaders. The ones who don't simply don't talk about it. Ron Kaplan, CEO of manufacturer Trex, was a marksmanship competitor. Zecher didn't have a plan or a leadership role until after college.

The stories of CEOs who start early make for good press reports, but CEOs do not by definition start early. What we can say, though, is that genetics and experiences both shape young people, and that the relationship between those factors and CEO success is complex.

Sources: Based on A. Bryant, "A Good Excuse Doesn't Fix a Problem," *The New York Times*, December 28, 2014, 2; A. Bryant, "Always Respect the Opportunity," *The New York Times*, October 19, 2014, 2; A. Bryant, "Don't Let Your Strengths Run Amok," *The New York Times*, May 18, 2014, 2; A. Bryant, "Knowing Your Company's Heartbeat," *The New York Times*, May 30, 2014, B2; A. Bryant, "The Danger of 'One Size Fits All,'" *The New York Times*, March 29, 2015, 2; A. Bryant, "The Job Description Is Just the Start," *The New York Times*, September 14, 2014, 2; A. Bryant, "Making Judgments, Instead of Decisions," *The New York Times*, May 4, 2014, 2; A. Bryant, "Pushing Beyond Comfort Zones," *The New York Times*, January 25, 2015, 2; A. Bryant, "Tell Me What's Behind Your Title," *The New York Times*, April 11, 2014, B2; and C. Crossland, J. Zyung, N. J. Hiller, and D. C. Hambrick, "CEO Career Variety: Effects on Firm-Level Strategic and Social Novelty," *Academy of Management Journal* 57, no. 3 (2014): 652–74.

Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 13-1** What are the conclusions of trait theories of leadership?
- 13-2** What are the central tenets and main limitations of behavioral theories of leadership?
- 13-3** What are the contingency theories of leadership?
- 13-4** How do the contemporary theories of leadership relate to earlier foundational theories?
- 13-5** In what ways can leaders create ethical organizations?
- 13-6** How can leaders have a positive impact on their organizations through building trust and mentoring?
- 13-7** What are the challenges to our understanding of leadership?

Application and Employability

Understanding how leaders emerge, what makes leaders effective, and how to lead and influence people to pursue a vision and achieve organizational goals are invaluable skills. These skills will help you become more employable and perhaps improve your chances of being promoted in your job. Not only is this information important for knowing how to lead,

it is also important for knowing how to interact and communicate effectively with your manager or supervisor. From this chapter, we know leadership is a multifaceted concept: Our personality traits can affect whether we become a leader (and if we will tend to be good at it). This may be important when you are in a position where you have a say in appointing a leader to your team or department. You should now have a better idea about what leaders do and how situations constrain them. You also know how important newer conceptualizations of leadership have focused on the specific relationships that managers have with their subordinates and how charisma, authenticity, ethicality, and transformational leadership styles tend to be the most effective. Clearly, you can see that being a leader and being a manager are two separate things—by inspiring and challenging your subordinates, you build trust and develop them so that they not only grow as employees but also help the organization achieve its goals. In this chapter, you improved your critical thinking and your knowledge application and analysis skills by debunking the myth that leaders experience the most stress, learning how to confront an oversharing boss, navigating the tension between ethical leadership and older schools of leadership, and debating whether CEOs start leadership roles earlier in life. In the following section, you will develop these skills, along with your communication and collaboration skills, by identifying examples of leaders from multiple different contexts, considering the ethical obligations of CEOs to their employees when CEOs consider leaving, analyzing the effectiveness of shared leadership, and considering the use of leadership algorithms for leadership development.

Experiential Exercise What's in a Leader?

Break the class into (or allow the class to volunteer to join) one of the following five groups:

GROUP A: Government leaders (president, senator, governor, representative, assemblyperson)

GROUP B: Business leaders (CEO, president, leader in business)

GROUP C: University leaders (university president, provost, dean, professor)

GROUP D: Sports leaders (coach, informal team leader, team captain)

GROUP E: Social/thought leaders (activists, whistle-blowers, authors)

Questions

13-8. Each group selects one leader from popular culture or history to serve as an example that is appropriate for the group. The group discusses that person, identifying the defining characteristics or traits of the leader, not simply by brainstorming but by drawing on examples that most of the group members agree are defining characteristics of the person.

13-9. Reconvene the class. The instructor will draw on the board one column for each of the five groups and list the selected person and his or her characteristics in each column. For each person selected by the groups, decide whether the person's traits or attributions would lead to good or bad leader effectiveness for the group's type of leader. Why or why not? What would the results of the *opposite* or *alternative* strategies in those contexts be, and why? What similarities do you see between the lists? From the results of this exercise, does it appear that what it takes to be a good leader is different depending on the context? For each context, does it appear that what makes for leader emergence within the context is different from what makes leaders effective?

Ethical Dilemma Innocent, but What about Trust?

Innocent Drinks is a London-based company operating in the beverages industry worldwide. The business idea was conceived in 1998 by three Cambridge University graduates, and the company made its début in 1999. The three friends led the business idea by having a clear vision, and they took personal risks to achieve it. Their goal was to produce 100-percent natural smoothies that “do good.” The uniqueness of the company’s products and the unique leadership style combining visionary and charismatic elements became the brand’s selling point. With an inspirational and ethical leadership stance, a business approach that emphasized social responsibility and ethical sources, an employee-led innovation culture, and its stated purpose of “doing good,” Innocent established a reputation and became successful in the market. Since 2014, Innocent has thrived in 15 European countries.

Notwithstanding this success, Innocent recorded losses in 2008 due to the economic downturn, and in 2009 they announced plans to sell 10 percent of the company to Coca-Cola. Following this announcement, Innocent experienced a fall in their Ethiscore from 12.5 to 6.5. Since 2013, Coca-Cola Company has come to hold over 90 percent of Innocent Drinks, leaving very little scope for the former leadership of the company to lead the future of Innocent Drinks. Despite the positive strategic implications for global expansion and product development (including the launch of its coconut water products and Innocent Bubble in 2015), debates have raged over the trustworthiness and the authenticity of the current leadership, leading to a simple question about the brand: can we still trust its innocence?

Questions

- 13-10.** In what way are Innocent’s charismatic, transformational, and transactional elements of leadership now at stake?
- 13-11.** What is ethical leadership, and how could ethical leadership be evidenced in the case of Innocent Drinks?
- 13-12.** Why has the authenticity of ethical leadership of Innocent Drinks come under scrutiny?

Sources: Innocent Drinks Official Site, “Innocent and Coca-Cola Agree Deal for Further Investment,” October, 8, 2015, <http://www.innocentdrinks.co.uk/us/press/release/130222-innocent-and-coca-cola-agree-deal-for-further-investment>; Personnel Today, “Innocent’s Business Approach Inspires Leaders to Adopt New Ways of Working,” May 20, 2010,

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Case Incident 1 Sharing Is Performing

Replacing Nicholas Dirks as the chancellor of University of California at Berkeley, Carol T. Christ is taking on a strategy that her predecessors did not utilize: sharing leadership. Notably, the prior chancellor and provost would not consult other decision makers and stakeholders at the university when they proposed to dissolve completely the College of Chemistry. Christ, on the other hand, met with Frances McGinley, the student vice president of academic affairs, reaching out to “get a beat on what [student government] was doing and how [she] could help.” This move was unusual because McGinley would often have to track down the other administrators to even get a meeting (or would be merely delegated work). Another such arrangement between Jill Martin and David Barrs at a high school in Essex, England, designates special interest areas where each takes the lead, and they both share an educational philosophy, meet daily, have the authority to make decisions on the spot, and challenge one another.

As Declan Fitzsimons suggests in a *Harvard Business Review* article, the twenty-first century moves too quickly and is too dynamic to be handled by one person. By sharing leadership among multiple individuals, the organization can respond more adaptively to challenges, share disparate but complementary perspectives, and ease the burden experienced by the traditional charismatic leader figurehead. However, sharing leadership leads to its own issues and obstacles, which are apparent in the multiple relationships between team members, subordinates, and other employees. Not only do individual identities become involved, but so do collective identities shared as a group. It is also important to recognize that shared leadership is not about delegation but about putting in effort to coordinate and collaborate, along with balancing individual and collective goals.

Recent reviews of the research on shared leadership suggest that, overall, shared leadership is effective at improving team performance, attitudes, and behaviors, especially when the leadership is transformational or charismatic and when the team tasks are complex.

Questions ★

- 13-13.** What kind of obstacles can you foresee in taking a shared leadership approach? How might they (or can they) be solved?
- 13-14.** How would you implement a shared leadership initiative in a company where you

were the CEO? What elements of job design and redesign might you draw on to increase the effectiveness of the shared leadership initiative?

13-15. Can you think of any instances in which nonshared, traditional approaches to leadership would be preferable to a shared leadership approach? What are they, and how are they preferable? What sort of situational or individual factors lead to the traditional approach being more effective in these instances?

Sources: Based on J. Bell, P. Cubías, and B. Johnson, “Five Insights from Directors Sharing Power,” *Nonprofit Quarterly*, March 28, 2017, <https://nonprofitquarterly.org/2017/03/28/five-insights-directors-sharing-power/>; D. Fitzsimons, “How Shared Leadership Changes Our Relationships at Work,” *Harvard Business Review*, May 12, 2016, <https://hbr.org/2016/05/how-shared-leadership-changes-our-relationships-at-work>; N. Morrison, “Two Heads Are Better Than One: A Model of Shared Leadership,” *Forbes*, December 21, 2013, <https://www.forbes.com/sites/nickmorrison/2013/12/21/two-heads-are-better-than-one-a-model-of-shared-leadership/#d3bfeec540ac>; D. Wang, D. A. Waldman, and Z. Zhang, “A Meta-Analysis of Shared Leadership and Team Effectiveness,” *Journal of Applied Psychology* 99, no. 2 (2014): 181–98; and T. Watanabe and R. Xia, “UC Berkeley’s new Chancellor Is Hailed as a ‘Brilliant Choice,’” *Los Angeles Times*, March 13, 2017, <http://www.latimes.com/local/lanow/la-me-ln-uc-berkeley-new-chancellor-20170313-story.html>.

Case Incident 2 Leadership by Algorithm

Is there a single, right way to lead? Research suggests not, the methods explored in this chapter suggest not, and common sense suggests that a one-size-fits-all approach could be disastrous because organizations exist for diverse purposes and develop unique cultures. Leadership development programs generally teach a best-practices model, but experts suggest that individuals trained in leadership techniques that are contrary to their own natures risk losing the authenticity crucial to effective leadership. A promising path to leadership may thus lie in algorithms.

If you've ever taken a strengths-based assessment such as the Harrison Assessment or Gallup's Clifton StrengthsFinder, you know that surveys aimed at discovering your personality, skills, and preferences result in a personal profile. These tools are helpful, but algorithms can take your leadership development to the next level of personalization and application. They can take the results from each survey you complete, for instance, and use them to create a leadership program that matches your needs and abilities.

As the founder of management coaching organization TMBC and author of *StandOut*, Marcus Buckingham is an expert on creating leadership programs. He recommends the following steps:

- Step 1. Find or develop assessment tools.** These might include a personality component, such as a Big Five inventory test, and can include other tests that companies can resource or create according to the leadership characteristics they are seeking to monitor.
- Step 2. Identify the top leaders in the organization and administer the tests to them.** This step is not to determine what all the leaders have in common but to group the top leaders into categories by their similar profiles.
- Step 3. Interview the leaders within each profile category to learn about the techniques they use that work.** Often these techniques will be unique, unscripted, and revealingly correlated to the strengths in each leader's assessment profile. Compile the techniques within each profile category.
- Step 4. The results of top leader profile categories and the leaders' techniques can be**

used to create an algorithm, or tailored method, for developing leaders.

Administer the assessment tests to developing leaders and determine their profile categories. The techniques from successful leaders can now be shared with the developing leaders who are most like them because they share the same profile category.

These steps provide a means for successful leaders to pass along to developing leaders the techniques that are likely to feel authentic to the developing leaders and that encourage creativity. The techniques can be delivered in an ongoing process as short, personalized, interactive, and readily applicable tips and advice that yield results no two-week leadership development course could achieve.

Questions

- 13-16.** If you have participated in leadership development programs, how effective did you find them in (a) teaching you techniques and (b) giving you practical strategies that you could use? What could they do better?
- 13-17.** What are some potential negatives of using Marcus Buckingham's approach to leadership development?
- 13-18.** Would you suggest applying Buckingham's steps to your organization? Why or why not?

Sources: Based on M. Buckingham, "Leadership Development in the Age of the Algorithm," *Harvard Business Review* (June 2012): 86–94; M. D. Watkins, "How Managers Become Leaders," *Harvard Business Review* (June 2012): 64–72; and J. M. Podolny, "A Conversation with James G. March on Learning about Leadership," *Academy of Management Learning & Education* 10 (2011): 502–6.

MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 13-19.** Refer again to Case Incident 2. Why would a personalized leadership development program be preferable to a best-practices teaching program?
- 13-20.** Do you think leaders are more ethical now than ever before? Why or why not?

Endnotes

- ¹ For a review, see D. S. Derue, J. D. Nahrgang, N. Wellman, and S. E. Humphrey, "Trait and Behavioral Theories of Leadership: An Integration and Meta-Analytic Test of Their Relative Validity," *Personnel Psychology* 64 (2011): 7–52.
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- ⁷ R. B. Kaiser, J. M. LeBreton, and J. Hogan, "The Dark Side of Personality and Extreme Leader Behavior," *Applied Psychology: An International Review* 64, no. 1 (2015): 55–92.
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- ¹⁰ P. D. Harms and M. Credé, "Emotional Intelligence and Transformational and Transactional Leadership: A Meta-Analysis," *Journal of Leadership & Organizational Studies* 17, no. 1 (2010): 5–17.
- ¹¹ S. Côté, P. N. Lopez, P. Salovey, and C. T. H. Miners, "Emotional Intelligence and Leadership Emergence in Small Groups," *Leadership Quarterly* 21 (2010): 496–508.
- ¹² N. Ensari, R. E. Riggio, J. Christian, and G. Carslaw, "Who Emerges as a Leader? Meta-Analyses of Individual Differences as Predictors of Leadership Emergence," *Personality and Individual Differences* 51, no. 4 (2011): 532–36.
- ¹³ T. A. Judge, R. F. Piccolo, and R. Ilies, "The Forgotten Ones? The Validity of Consideration and Initiating Structure in Leadership Research," *Journal of Applied Psychology* 89, no. 1 (2004): 36–51.

- ¹⁴ D. Akst, "The Rewards of Recognizing a Job Well Done," *The Wall Street Journal*, January 31, 2007, D9.
- ¹⁵ Judge, Piccolo, and Ilies, "The Forgotten Ones?"
- ¹⁶ M. Javidan, P. W. Dorfman, M. S. de Luque, and R. J. House, "In the Eye of the Beholder: Cross Cultural Lessons in Leadership from Project GLOBE," *Academy of Management Perspectives* 20, no. 1 (2006): 67–90.
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End of Chapter Quiz

Test Your Understanding

1 Leaders who emerge from outside of the formal structures of the organization are called _____.

- ☐ nonsanctioned leaders
- ☐ transformational leaders
- ☐ transactional leaders
- ☐ managers

Check answer

Reset

2 Early research efforts at isolating leadership traits resulted in a number of dead ends. A breakthrough, of sorts, came when researchers began _____.

- ☐ organizing traits around the Big Five personality framework
- ☐ using the Keirsey Temperament Sorter
- ☐ using Cattell's 16 personality factors
- ☐ focusing on Eysenck's three factor model

Check answer

Reset

3 Emotional intelligence (EI) is critical to effective leadership because one of its core components is _____.

- ☐ conscientiousness
- ☐ empathy
- ☐ optimism
- ☐ introversion

Check answer

Reset

4 In the context of behavioral dimensions of leadership identified in the Ohio State Studies, initiating structure refers to the extent to which _____.

- ☐ a person's job relationships are characterized by mutual trust, respect for employees' ideas, and regard for their feelings
- ☐ a leader engages in participative management
- ☐ a leader is accepting of and respects individual differences among various team members
- ☐ a leader is likely to define and structure his or her role and those of employees in the search for goal attainment

Check answer

Reset

5 The two dimensions of leadership behavior identified in the University of Michigan studies are _____.

- ☐ absolute leadership and contingency leadership
- ☐ transformational leaders and authentic leaders
- ☐ employee-oriented leaders and production-oriented leaders
- ☐ initiating structure and consideration

Check answer

Reset

6 If a survey respondent sees his or her least preferred coworker in unfavorable terms, Fiedler would categorize the respondent as _____.

- ☐ high in consideration
- ☐ task-oriented
- ☐ low in initiating structure
- ☐ employee-oriented

Check answer

Reset

7 Fiedler labels the degree of confidence, trust, and respect that subordinates have in their leader as _____.

- leader-member relations
- task structure
- position power

☐ leader-member exchange

Check answer

Reset

8 If you were using the Fiedler contingency model of leadership to establish a scenario in your company which gives managers maximum control, which of the following combinations of situational dimensions would you seek to achieve?

- ☐ high task structure, good leader–member relations, and strong position power
- ☐ limited position power, good leader–member relations, and low task structure
- ☐ less structured jobs, strong position power, and moderate leader–member relations
- ☐ broad employee responsibilities, low position power, and moderate leader–member relations

Check answer

Reset

9 Who was the first researcher to consider charismatic leadership in terms of organizational behavior (OB)?

- ☐ Max Weber
- ☐ Robert House
- ☐ Fred Fiedler
- ☐ John Kotter

Check answer

Reset

10 _____ leaders inspire followers to transcend their self-interests for the good of the organization and can have an extraordinary effect on their followers.

- ☐ Transformational
- ☐ Transactional
- ☐ Task-oriented
- ☐ Laissez-faire

Check answer

Reset

11 According to the full range of leadership model, which of the following leader behaviors will enable leaders to motivate followers to perform above expectations and transcend their self-interest for the sake of the organization?

- ☐ management by exception (active)
- ☐ contingent reward
- ☐ individualized consideration
- ☐ management by exception (passive)

Check answer

Reset

12 The concept of socialized charismatic leadership seeks to integrate charismatic leadership with _____ leadership.

- ☐ transformational
- ☐ production-oriented
- ☐ relational
- ☐ ethical

Check answer

Reset

13 Research indicates that leaders who model _____ help followers to understand the growth process for their own development.

- ☐ intelligence
- ☐ emotional intelligence
- ☐ transformational leadership
- ☐ humility

Check answer

Reset

14 A senior level employee who sponsors and supports a less-experienced employee is a _____.

- protégé
- mentor
- guardian angel
- colleague

Check answer

Reset

15 Within mentoring relationships, _____.

- ☐ only the protégé benefits
- ☐ the protégé mainly benefits, but the mentor might also benefit
- ☐ both the protégé and the mentor benefit
- ☐ the mentor mainly benefits, but the protégé might also benefit

Check answer

Reset

Foundations of Organization Structure



Source: Stephen Barnes/Travel/Alamy Stock Photo

Learning Objectives

After studying this chapter, you should be able to:

- 14-1** Identify seven elements of an organization's structure.
- 14-2** Identify the characteristics of the functional structure, the bureaucracy, and the matrix structure.
- 14-3** Identify the characteristics of the virtual structure, the team structure, and the circular structure.

14-4 Describe the effects of downsizing on organizational structures and employees.

14-5 Contrast the reasons for using mechanistic versus organic structural models.

14-6 Analyze the behavioral implications of different organizational designs.

Employability Skills Matrix (ESM)

	Myth or Science?	Career Objectives	An Ethical Choice	Point/Counterpoint	Experiential Exercise	Ethical Dilemma
Critical Thinking	✓	✓	✓	✓	✓	✓
Communication					✓	
Collaboration	✓		✓	✓	✓	
Knowledge Application and Analysis	✓	✓	✓	✓	✓	✓
Social Responsibility			✓			✓

MyLab Management Chapter Warm Up

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the chapter warm up.

Samsung: Transforming a Hierarchy

Samsung Group is an international leader in electronics—in 2017, nearly one quarter of the global smartphone market was owned by the South Korean conglomerate. While they have had an even higher market share before, this is a significant climb from just 3 percent in 2009. Since then, other big names in the mobile phone market have fallen away, leaving only Apple as a strong competitor.

However, this climb to the top has not been without turbulence. In 2016, Samsung announced a global recall of the Note 7 after several owners discovered their phones on fire. The replacement phones did not solve the problem, and production was halted. As if things couldn't get worse, the heir to the Samsung Group, Jay Y. Lee, was jailed for corruption in early 2017. There was a public outcry, and the firm's reputation was at stake.

Faced with a leadership vacuum, investors demanded a review of the corporate structure. Strategic, operational, financial, legal, tax, and accounting considerations had to be scrutinized to determine the optimal structure for the conglomerate. Clearly there were issues of quality (as in the Note 7 debacle) and transparency (as in the Lee bribery and embezzlement scandal). In spite of all this, Samsung's share price has held; in fact, it has risen. While the decision was taken not to change the fundamental corporate structure, the structures have undergone change internally.

Much attention was given to the Future Strategy Office, the centralized headquarters of Samsung. The Office was referred to as the Control Tower and played an important role in lobbying the government on policy issues. The centralized headquarters also enabled Lee to maneuver as he did, and as a response to his conviction, and for scrutiny of decision making, the Future Strategy Office was dismantled.

This decision promises to provide more autonomy to the subsidiaries. On the face of it, these structural changes appear to address concerns over abuse of power. However, with 59 subsidiaries and 500,000 employees in the Group, questions have been raised as to how organized the Group will be without its central authority in place. The fact is that all group-wide projects and tasks were halted as a result of the decision to disband the Office. Collaboration across the entities is predicted to become more difficult without a central coordinating body.

Will other structural adjustments be on the horizon? With the cut-throat level of hyper-competition in the electronics sector, the ability to innovate is at a premium. Can Samsung attract the innovative talent needed into its still very hierarchical structures?

Sources: Song Su-hyun, "Samsung Prepares Organizational Change Focused on R&D Convergence," *The Korea Herald*, November 17, 2017, <http://www.koreaherald.com/view.php?ud=20171117000626>; Manny Reyes, "Samsung Sets Up Dedicated AI Center as Part of Restructuring," *Android Headlines*, November 23, 2017, <https://www.androidheadlines.com/2017/11/samsung-sets-up-dedicated-ai-center-as-part-of-restructuring.html>; "Samsung Smartphone Market Share Worldwide 2009-2017," *Statistic*, <https://www.statista.com/statistics/276477/global-market-share-held-by-samsung-smartphones/>; F. Richter, "The Size and Scope of Samsung's Business. Manufacturing Business Technology," 2016, retrieved from <https://search-proquest-com.ezproxy.lancs.ac.uk/docview/1828409455?accountid=11979>; Samsung, "Galaxy Note7 Safety Recall and Exchange Program," July 19, 2017, <http://www.samsung.com/us/note7recall/>; "Samsung Confirms Battery Faults as Cause of Note 7 Fires," *BBC News*, January 23, 2017, <http://www.bbc.com/news/business-38714461>; "Samsung Heir Lee Jae-Yong Jailed for Corruption," *BBC News*, August 25, 2017, <http://www.bbc.com/news/business-41033568>; "Samsung Electronics Completes Review of Optimal Corporate Structure," *Samsung Global Newsroom*, April 27, 2017, <https://news.samsung.com/global/samsung-electronics-completes-review-of-optimal-corporate-structure>; "Samsung Damps Investor Hopes of Structural Changes," *Financial Times*, March 24, 2017, <https://www.ft.com/content/08393d8c-1060-11e7-b030-768954394623>; Hansoo Choi, "Conviction, and How Business in South Korea Is Changing," *HBR*, September 29, 2017, <https://hbr.org/2017/09/samsung-lee-jae-yongs-conviction-and-how-business-in-south-korea-is-changing>.

Even for a start-up with only a few employees, choosing an organizational structure requires far more than simply deciding who is the boss and how many employees are needed. The organization's structure determines what relationships form, the formality of those relationships, and many work outcomes. The structure may also change as organizations grow and shrink, as management trends dictate, and as research uncovers better ways of maximizing productivity.

Structural decisions are arguably the most fundamental ones that a leader must make toward sustaining organizational growth.¹ In this chapter, we'll explore how structure affects employee behavior and the organization as a whole.

What Is Organizational Structure?

14-1 Identify seven elements of an organization's structure.

An **organizational structure** ⓘ defines how job tasks are formally divided, grouped, and coordinated.² Managers should address seven key elements when they design their organization's structure: work specialization, departmentalization, chain of command, span of control, centralization and decentralization, formalization, and boundary spanning.³ Exhibit 14-1 presents each element as the answer to an important structural question, and the following sections describe each one.

Work Specialization

Early in the twentieth century, Henry Ford became rich by building automobiles using an assembly line. Every worker was assigned a specific, repetitive task such as putting on the right front wheel or installing the right front door. By dividing jobs into small standardized tasks that could be performed over and over, Ford was able to produce a car every 10 seconds, using employees with relatively limited skills.⁴

Exhibit 14-1 Key Design Questions and Answers for Designing the Proper Organizational Structure

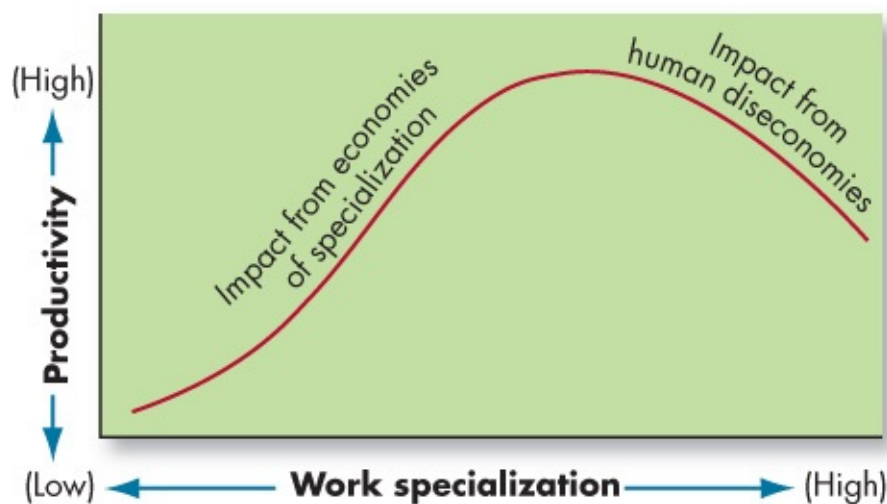
The Key Question

The Answer Is Provided by

- | | |
|---|---------------------|
| 1. To what degree are activities subdivided into separate jobs? | Work specialization |
| 2. On what basis will jobs be grouped together? | Departmentalization |
| 3. To whom do individuals and groups report? | Chain of command |
| | Span of control |

- | | |
|---|-------------------------------------|
| 4. How many individuals can a manager efficiently and effectively direct? | |
| 5. Where does decision-making authority lie? | Centralization and decentralization |
| 6. To what degree will there be rules and regulations to direct employees and managers? | Formalization |
| 7. Do individuals from different areas need to regularly interact? | Boundary spanning |

Exhibit 14-2 Economies and Diseconomies of Work Specialization



Work specialization ⓘ, or *division of labor*, describes the degree to which activities in the organization are divided into separate jobs.⁵ The essence of work specialization is to divide a job into several steps, each completed by a separate individual. Individuals specialize in doing part of an activity rather than the entirety. Specialization is a means of making the most efficient use of employees' skills and even successfully improving them through repetition. Less time is spent changing tasks, putting away tools and equipment from a prior step, and getting ready for another.

By the 1960s, it increasingly seemed that the good news of specialization could be carried too far. Human diseconomies began to surface in the form of boredom, fatigue, stress, low productivity, inferior quality, increased absenteeism, and high turnover, which more than offset the economic advantages (see Exhibit 14-2).⁶ Managers could increase productivity now by enlarging, rather than narrowing, the scope of job activities. Giving employees a variety of activities to do, allowing them to do a whole and complete job, and putting them into teams with interchangeable skills often achieved significantly higher output, with increased employee satisfaction.⁷

Ford demonstrated that work can be performed more efficiently if work is specialized, and the practice still has applications in many industries. For example, could you build a car by yourself? Not likely! Equally important, it's easier and less costly to find and train workers to do specific tasks, especially in highly sophisticated and complex operations. Work specialization increases efficiency and productivity by encouraging the creation of customized inventions and machinery.

Most managers today recognize the economies that specialization provides in certain jobs and the problems when it's carried too far. High work specialization helps fast-food restaurants make and sell hamburgers and fries efficiently, and aids medical specialists in most health maintenance organizations. Wherever job roles can be broken down into specific tasks or projects, specialization is possible. Specialization may still confer advantages outside manufacturing, particularly where job sharing and part-time work are prevalent.⁸ Amazon's Mechanical Turk program, TopCoder, and others like it have facilitated a new trend in microspecialization, e-lancing, or crowd sourcing in which extremely small pieces of programming, data processing, or evaluation tasks are delegated to a global network of individuals by a program manager who then assembles the results.⁹ This opens the way for employers to use online platforms to assign multiple workers to tasks in a broader functional role like marketing.¹⁰ Automation and the use of computers and information systems within organizations are creating a new form of work specialization in which computers take on specialized work.¹¹

Thus, whereas specialization of yesteryear focused on breaking manufacturing tasks into specific duties within the same plant, today's specialization judiciously breaks complex tasks into specific elements by technology, expertise, and region. The core principle, however, is the same.

Departmentalization

Once jobs have been divided through work specialization, they must be grouped so common tasks can be coordinated. The basis by which jobs are grouped is called **departmentalization** ⓘ.¹²

One of the most popular ways to group activities is by the *functions* performed. A manufacturing manager might organize a plant into engineering, accounting, manufacturing, human resources (HR), and supply chain departments. A hospital might have departments for research, surgery, intensive care, accounting, and so forth. A professional football franchise might have departments for player personnel, ticket sales, and travel and accommodations. The major advantage of this type of functional departmentalization is efficiencies gained from putting specialists that focus on similar areas together.

We can also departmentalize jobs by the type of *product* or *service* the organization produces. Procter & Gamble places each major product—such as Tide, Pampers, Charmin, and Pringles—under an executive who has complete global responsibility for it. The major advantage here is increased accountability for performance because all activities related to a specific product or service are under the direction of a single manager.¹³



When a firm is departmentalized based on *geography*, or territory, each function (for example, sales) may have western, southern, midwestern, and eastern regions. This form is valuable when an organization's customers are scattered over a large geographic area and have similar needs within their locations. For this reason, Toyota changed its management structure into geographic regions “so that they may develop and deliver ever better products,” said CEO Akio Toyoda.¹⁴

Process departmentalization works for processing customers as well as products. If you've ever been to a state motor vehicle office to get a driver's license, you probably went through several departments before receiving your license. In one typical state, applicants go through three steps, each handled by a separate department: (1) validation by the motor vehicles division, (2) processing by the licensing department, and (3) payment collection by the treasury department. A final category of departmentalization uses the particular type of *customer* the organization seeks to reach.

Organizations do not always stay with the basis of departmentalization they first adopt. Microsoft, for instance, used customer departmentalization for years, organizing around its customer bases: consumers, large corporations, software developers, and small businesses.

However, in a June 2013 letter from CEO Steve Ballmer to all employees, he announced a restructuring to functional departmentalization, citing a need to foster continuing innovation. The new departments grouped jobs by traditional functions, including engineering, marketing, business development, strategy and research, finance, HR, and legal.¹⁵

Ballmer expected the change in Microsoft's organizational structure to "reshape how we interact with our customers, developers, and key innovation partners, delivering a more coherent message and family of product offerings."¹⁶ As we see throughout this text, whenever changes are deliberately made in organizations to align practices with organizational goals, particularly the goals of strong leaders, a good execution of the changes creates a much higher probability for improvement. In Microsoft's case, the results are not yet determined—Ballmer, who is a strong leader, announced his retirement 2 months later (he officially left Microsoft in 2014), and further changes ensued. Microsoft continued to struggle with the reorganization, announcing additional changes in its leadership personnel and team structure less than a year later. These changes included, for example, product specialization and functional specialization; for instance, the PowerPoint, Excel, and Access teams have been reorganized into content creation and data visualization teams.¹⁷



A global firm that operates on a local scale in more than 200 countries, The Coca-Cola Company is organized into five geographic segments: North America, Latin America, Europe, the Middle East and Africa, and Asia Pacific. The structure

enables it to tailor its strategy to markets in different stages of economic development and with differing consumer tastes and buying behavior.

Source: Kim Kyung-Hoon/Reuters

Chain of Command

While the chain of command was once a basic cornerstone in the design of organizations, it has far less importance today. But managers should still consider its implications, particularly in industries that deal with potential life-or-death situations when people need to rely quickly and suddenly on decision makers. The **chain of command** ⓘ is an unbroken line of authority that extends from the top of the organization to the lowest echelon and clarifies who reports to whom.

We can't discuss the chain of command without also discussing *authority* and *unity of command*. **Authority** ⓘ refers to the rights inherent in a managerial position to give orders and expect them to be obeyed. To facilitate coordination, each managerial position is given a place in the chain of command, and each manager is given a degree of authority to meet his or her responsibilities. The principle of **unity of command** ⓘ helps preserve the concept of an unbroken line of authority. It says that a person should have one and only one superior to whom he or she is directly responsible. If the unity of command is broken, an employee might have to cope with conflicting demands or priorities from several superiors, as is often the case in an organization chart's dotted-line reporting relationships depicting an employee's accountability to multiple managers.¹⁸

Times change, however, and so do the basic tenets of organizational design. A low-level employee today can access information in seconds that was available only to top managers a generation ago, and many employees are empowered to make decisions previously reserved for management.¹⁹ Add the popularity of self-managed and cross-functional teams (see Chapter 10) as well as structural designs that include multiple bosses, and you can see why authority and unity of command may appear to hold less relevance. Yet many organizations still find that they are the most productive when they enforce a chain of command. Indeed, one survey of more than 1,000 managers found that 59 percent agreed with the statement, "There is an imaginary line in my company's organizational chart. Strategy is created by people above this line, while strategy is executed by people below the line." However, this same survey found that lower-level employees' buy-in (agreement and active support) to the

organization's overall, big-picture strategy was inhibited by their reliance on the hierarchy for decision making.²⁰

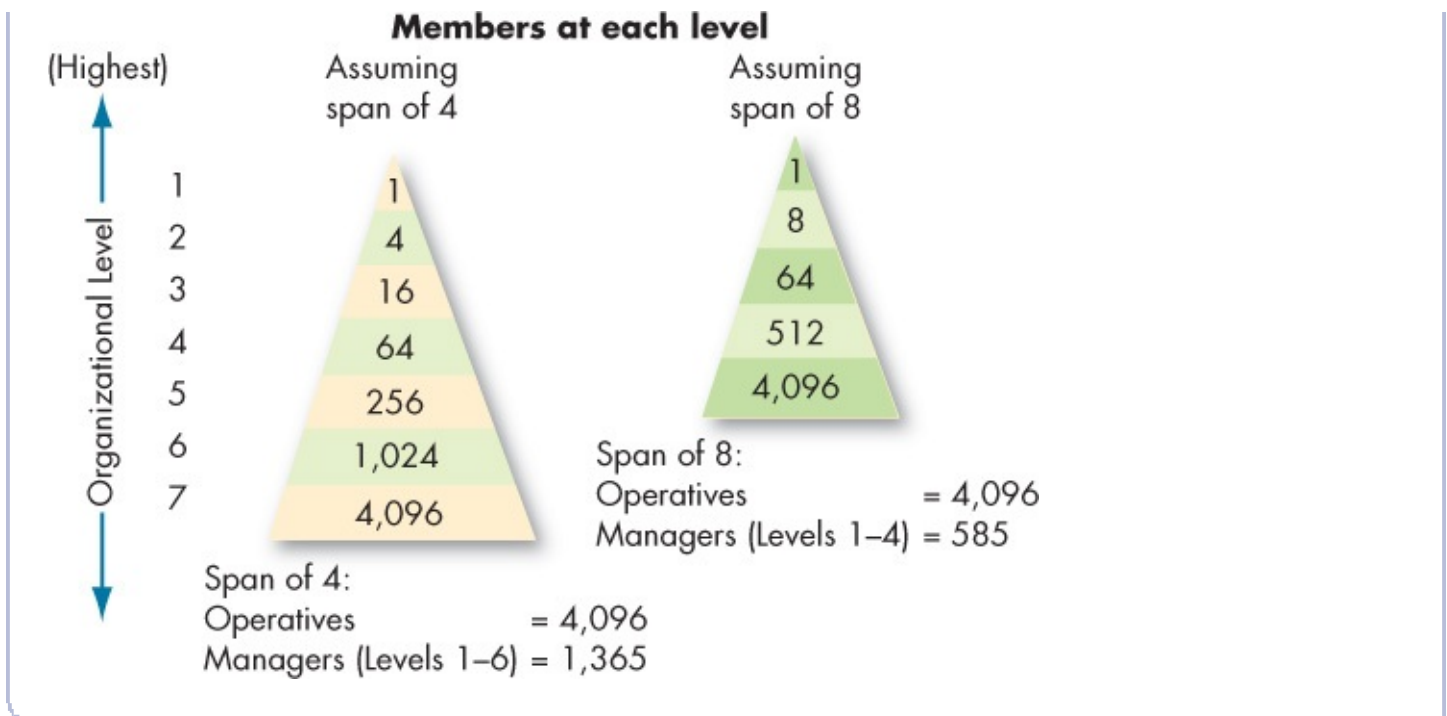
Span of Control

How many employees can a manager direct efficiently and effectively? The **span of control** ⓘ describes the number of levels and managers in an organization.²¹ All things being equal, the wider or larger the span, the fewer the levels, and the more employees at each level, the more efficient the organization.²²

Assume two organizations each have about 4,100 operative-level employees. One has a uniform span of 4 and the other a span of 8. As Exhibit 14-3 illustrates, the wider span of 8 will have two fewer levels and approximately 800 fewer managers. If the average manager makes \$60,000 a year, the wider span will save \$48 million a year in management salaries! Obviously, wider spans are more efficient in terms of cost. However, when supervisors no longer have time to provide subordinates with the necessary leadership and support, effectiveness declines and employee performance suffers.²³

Narrow or small spans have their advocates. By keeping the span of control to five or six employees, a manager can maintain close control.²⁴ But narrow spans have three major drawbacks.²⁵ First, they're expensive because they add levels of management. Second, they make vertical communication in the organization more complex. The added levels of hierarchy slow down decision making and can isolate upper management. Third, narrow spans encourage overly tight supervision and discourage employee autonomy.

Exhibit 14-3 Contrasting Spans of Control



The trend in recent years has been toward wider spans of control.²⁶ They're consistent with firms' efforts to reduce costs, cut overhead, speed decision making, increase flexibility, get closer to customers, and empower employees. To ensure that performance doesn't suffer because of these wider spans, however, organizations might invest heavily in employee training because managers recognize they can handle a wider span best when employees know their jobs well or can turn to coworkers with questions.

Centralization and Decentralization

Centralization ⓘ refers to the degree to which decision making is concentrated at a single point in the organization.²⁷ In *centralized* organizations, top managers make all the decisions, and lower-level managers merely carry out their directives. In organizations at the other extreme, *decentralized* decision making is pushed down to the managers closest to the action or to workgroups.²⁸ The concept of centralization includes only formal authority—that is, the rights inherent to a position.

An organization characterized by centralization is different structurally from one that's decentralized. A decentralized organization can act more quickly to solve problems, more people provide input into decisions, and employees are less likely to feel alienated from those who make decisions that affect their work lives.²⁹ The effects of centralization and decentralization can be predicted: Centralized organizations are better for avoiding

commission errors (bad choices), while decentralized organizations are better for avoiding omission errors (lost opportunities).³⁰



Management efforts to make organizations more flexible and responsive have produced a trend toward decentralized decision making by lower-level managers, who are closer to the action and typically have more detailed knowledge about problems than top managers. When Procter & Gamble empowered small groups of employees to make decisions about new-product development independent of the usual hierarchy, it was able to rapidly increase the proportion of new products ready for market.³¹ Concerning creativity, research investigating a large number of Finnish organizations demonstrated that companies with decentralized research and development (R&D) offices in multiple locations were better at producing innovation than companies that centralized all R&D in a single office.³² Decentralization can have unintended consequences. A study of Italian physicians revealed that decentralization may lead to role overload, role conflict, and role ambiguity. The physicians were confident in their abilities but less interested in roles that are excessively demanding and ill-defined.³³

Decentralization is often necessary for companies with offshore sites because localized decision making is needed to respond to each region's profit opportunities, client base, and specific laws, while centralized oversight is needed to hold regional managers accountable. Failure to successfully balance these priorities can harm not only the organization but also its relationships with foreign governments.³⁴

Formalization

Formalization ⓘ refers to the degree to which jobs within the organization are standardized.³⁵ If a job is highly formalized, the employee has a minimal amount of discretion over what to do and when and how to do it, resulting in consistent and uniform output. There are explicit job descriptions, lots of organizational rules, and clearly defined procedures covering work processes. Formalization eliminates the possibility of employees engaging in alternative behaviors, and it removes the need for them to consider alternatives. Conversely, where formalization is low, job behaviors are relatively unprogrammed and employees have a great deal of freedom to exercise discretion in their work.



With more than 7,000 neighborhood and airport locations throughout North America and Europe, Enterprise Rent-A-Car empowers employees at the local level to make decisions that affect their work. Decentralization gives Enterprise a competitive advantage by enabling employees to provide personalized service that results in high customer satisfaction.

Source: RosaIrene Betancourt 3/Alamy Stock Photo



The degree of formalization can vary widely between and within organizations.

Research from 94 high-technology Chinese firms indicated that formalization is a detriment to team flexibility in decentralized organization structures, suggesting that formalization does not work as well where duties are inherently interactive or where there is a need to be flexible and innovative.³⁶ For example, publishing representatives who call on college professors to inform them of their company's new publications have a great deal of freedom in their jobs. They have a general standardized sales pitch, which they tailor as needed, and rules and procedures governing their behavior may be little more than suggestions on what to emphasize about forthcoming titles and the requirement to submit a weekly sales report. At the other extreme, clerical and editorial employees in the same publishing houses may need to be at their desks by 8:00 A.M. and follow a set of precise procedures dictated by management.

Boundary Spanning

We've described ways that organizations create well-defined task structures and chains of

authority. These systems facilitate control and coordination for specific tasks, but if there is too much division within an organization, attempts to coordinate across groups can be disastrous. One way to overcome this sense of compartmentalization and retain the benefits of structure is to encourage or create boundary-spanning roles.

Within a single organization, **boundary spanning** ⓘ occurs when individuals form relationships with people outside their formally assigned groups.³⁷ An HR executive who frequently engages with the IT group is engaged in boundary spanning, as is a member of an R&D team who implements ideas from a production team. These activities help prevent formal structures from becoming too rigid and, not surprisingly, enhance organization and team creativity, decision making, knowledge sharing, and performance.³⁸

Boundary-spanning activities occur not only within but also between organizations. Positive results are especially strong in organizations that encourage extensive internal communication; in other words, external boundary spanning is most effective when it is followed up with internal boundary spanning.³⁹



BMW encourages all employees, including this production worker at its plant in Jakarta, Indonesia, to build relationships throughout the global company. Boundary spanning at BMW links R&D, design, production, and marketing individuals to speed problem solving and innovation and to adapt to market fluctuations.

Source: Dadang Tri/Bloomberg/Getty Images



In addition, research on 225 manufacturer–distributor dyads in China suggests that ties between salespersons and buyers across organizations are linked with greater relationship quality between two organizations than are ties between executives across organizations, but when there are strong relationships between executives and employees, there may be cooperation and better conflict resolution.⁴⁰

Organizations can use formal mechanisms to facilitate boundary-spanning activities. One method is to assign formal liaison roles or develop committees of individuals from different areas of the organization.⁴¹ Development activities can also facilitate boundary spanning. Employees with experience in multiple functions, such as accounting and marketing, are more likely to engage in boundary spanning.⁴² Many organizations may try to set the stage for these sorts of positive relationships by creating job rotation programs so new hires get a better sense of different areas of the organization. Another method to encourage boundary spanning is to bring attention to overall organizational goals, such as efficiency and innovation, and shared identity concepts.⁴³

You probably have personal experience with at least some of the results of decisions that leaders have made in your school or workplace that were related to the elements of organizational structure. The organizational framework, which can be depicted by drawing an organizational chart, can help you clarify these leaders' decisions. We'll discuss them next.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

14.1.1 A task that is subdivided into many separate jobs is considered to have _____.

- a high degree of departmentalization
- a low degree of decentralization
- a high degree of work specialization
- a wider span of control

[Check answer](#)[Reset](#)

14.1.2 Your trainees are given a case study concerning a local manufacturing firm called Acme Products. In assessing Acme's organizational structure, your trainees notice that all of the company's decisions are made by top management, with little or no input from lower-level personnel. The trainees most likely identify Acme as a(n) _____ organization.

- ☐ highly decentralized
- ☐ highly formalized
- ☐ highly departmentalized
- ☐ highly centralized

Check answer

Reset

Common Organizational Frameworks and Structures

14-2 Identify the characteristics of the functional structure, the bureaucracy, and the matrix structure.

Organizational designs are known by many names and are constantly evolving in response to changes in the way work is done. We will start with three of the more common organizational frameworks: the *simple structure*, the *bureaucracy*, and the *matrix structure*.

Exhibit 14-4 A Simple Structure (Jack Gold's Men's Store)



The Simple Structure

What do a small retail store, an electronics firm run by a hard-driving entrepreneur, and an airline's war room during a pilot's strike have in common? They probably all use the simple structure.⁴⁴ The **simple structure** ⓘ has a low degree of departmentalization, wide spans of control, authority centralized in a single person, and little formalization. It is a flat organization; it usually has only two or three vertical levels, a loose body of employees, and one individual with decision-making authority. Most companies start as a simple structure, and many innovative technology-based firms with short life spans, like cell phone app development firms, remain compact by design.⁴⁵

Exhibit 14-4 is an organization chart for a retail men's store owned and managed by Jack Gold. Jack employs five full-time salespeople, a cashier, and extra workers for weekends and holidays, but he "runs the show." Although this type of organization is typical for a small business, in times of crisis large companies often simplify their structures (though not to this

degree) as a means of focusing their resources.

The strength of the simple structure lies, of course, in its simplicity. It's fast, flexible, and inexpensive to operate, and accountability is clear. One major weakness is that it becomes increasingly inadequate as an organization grows because its low formalization and high centralization tend to create information overload at the top. Decision making typically becomes slower as the single executive tries to continue doing it all. This proves the undoing of many small businesses. If the structure isn't changed and made more elaborate, the firm often loses momentum and can eventually fail.⁴⁶ The simple structure's other weakness is that it's risky—everything depends on one person. An illness for the owner-manager can literally halt the organization's information and decision-making capabilities.⁴⁷

The Bureaucracy

Standardization! That's the key concept that underlies all bureaucracies. Consider the bank where you keep your checking account; the store where you buy clothes; or the government entities that collect your taxes, enforce health regulations, or provide local fire protection. They all rely on standardized work processes for coordination and control.

The **bureaucracy** ⓘ is characterized by highly routine operating tasks achieved through specialization, strictly formalized rules and regulations, tasks grouped into units, centralized authority, narrow spans of control, and decision making that follows the chain of command.⁴⁸ Bureaucracy incorporates all the strongest degrees of departmentalization described earlier.

Bureaucracy is a dirty word in many people's minds. However, this type of organization does have advantages, primarily the ability to perform standardized activities very efficiently. Putting like specialties together in units results in economies of scale, minimum duplication of people and equipment, and a common language employees all share. Bureaucracies can get by with less talented—and hence less costly—middle- and lower-level managers because rules and regulations substitute for managerial discretion. There is little need for innovative and experienced decision makers below the level of senior executives, and innovative employees often do not mesh well with bureaucracy.⁴⁹



Hospitals benefit from standardized work processes and procedures common to a bureaucratic structure because they help employees perform their jobs efficiently. At Christchurch Women's Hospital in New Zealand, registered nurse Megan Coleman(right) and midwife Sally Strathdee follow formal rules and regulations in caring for mothers and newborns.

Source: Greg Wood/AFP/Getty Images

Listen to this conversation among four executives in one company: “You know, nothing happens in this place until we *produce* something,” said the production executive. “Wrong,” commented the R&D manager, “Nothing happens until we *design* something!” “What are you talking about?” asked the marketing executive, “Nothing happens until we *sell* something!” The exasperated accounting manager responded, “It doesn’t matter what you produce, design, or sell. No one knows what happens until we *tally up the results!*” This conversation highlights how bureaucratic specialization can create conflicts in which the unit perspectives override the overall goals of the organization.

The other major weakness of a bureaucracy is something we’ve all witnessed: obsessive concern with following the rules. When cases don’t fit the rules precisely, there is no room for modification. The bureaucracy is efficient only if employees confront familiar problems with programmed decision rules.⁵⁰ There are two types of bureaucracies we should explore: functional and divisional structures.

The Functional Structure The **functional structure** ⓘ groups employees by their similar specialties, roles, or tasks.⁵¹ An organization organized into production, marketing, HR, and

accounting departments is an example. Many large organizations utilize this structure, although this is evolving to allow for quick changes in response to business opportunities. One advantage of the functional structure is that specialists may be able to become experts more easily than if they worked in diversified units. Employees can also be motivated by a clear career path to the top of the organization chart specific to their specialties.

The functional structure works well if the organization is focused on one product or service. Unfortunately, it creates rigid, formal communications because the hierarchy dictates the communication protocol. Coordination among many units is a problem, and infighting in units and between units can lead to reduced motivation.

The Divisional Structure The **divisional structure** ⓘ groups employees into units by product, service, customer, or geographical market area.⁵² It is highly departmentalized. Sometimes this structure is known by the type of division structure it uses: *product/service organizational structure* (for example, units for cat food, dog food, and bird food that report to an animal food producer), *customer organizational structure* (for example, units for outpatient care, inpatient care, and pharmacy that report to hospital administration), or *geographic organizational structure* (for example, units for Europe, Asia, and South America that report to corporate headquarters).

The divisional structure has the opposite benefits and disadvantages of the functional structure. It facilitates coordination in units to achieve their goals while addressing the specific concerns of each unit. It provides clear responsibility for all activities related to a product but with duplication of functions and costs. Sometimes this is helpful, say, when the organization has a unit in Spain and another in China, which are very different markets, and a marketing strategy is needed for a new product. Marketing experts in both places can incorporate the appropriate cultural perspectives into their region's marketing campaign. However, the organization's marketing function employees in two places may represent an increased cost because they are doing basically the same task in two different countries. It appears as if organizations can shift from a divisional to a functional structure, and vice versa; however, those who shift from a functional to a divisional structure tend to perform the best.⁵³

The Matrix Structure

The **matrix structure** ⓘ combines the functional and product structures, and we find it in

advertising agencies, aerospace firms, R&D laboratories, construction companies, hospitals, government agencies, universities, management consulting firms, and entertainment companies.⁵⁴ Companies that use matrixlike structures include ABB, Boeing, BMW, IBM, and P&G.

The most obvious structural characteristic of the matrix is that it breaks the unity-of-command concept. Employees in the matrix have two bosses: their functional department managers and their product managers. Exhibit 14-5 shows the matrix for a college of business administration. The academic departments of accounting, decision and information systems, marketing, and so forth, are functional units. Overlaid on them are specific programs (that is, products). Thus, members in a matrix structure have a dual chain of command: to their functional department and to their product groups. A professor of accounting teaching an undergraduate course may report to the director of undergraduate programs as well as to the chairperson of the accounting department.

Exhibit 14-5 Matrix Structure for a College of Business Administration

Programs Academic Departments	Undergraduate	Master's	Ph.D.	Research	Executive Development	Community Service
Accounting						
Finance						
Decision and Information Systems						
Management						
Marketing						

The strength of the matrix is its ability to facilitate coordination when the organization has many complex and interdependent activities.⁵⁵ Direct and frequent contacts between different specialties in the matrix can let information permeate the organization and reach the people who need it more quickly. The matrix reduces so-called bureaupathologies—its dual lines of authority limit people's tendency to protect their territories at the expense of the

organization's goals.⁵⁶ A matrix also achieves economies of scale and facilitates the allocation of specialists by both providing the best resources and ensuring that they are efficiently used.⁵⁷

The major disadvantages of the matrix lie in the confusion it creates, its tendency to foster power struggles, and the stress it places on individuals.⁵⁸ For individuals who desire security and absence from ambiguity, this work climate can be stressful. Reporting to more than one boss introduces role conflict, and unclear expectations introduce role ambiguity. Without the unity-of-command concept, ambiguity about who reports to whom is significantly increased and often leads to conflict and power struggles between functional and product managers.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

14.2.1 The _____ is characterized by a low degree of departmentalization, wide spans of control, authority centralized in a single person, and little formalization.

- ☐ bureaucratic structure
- ☐ matrix organization
- ☐ simple structure
- ☐ team structure

Check answer

Reset

14.2.2 You describe to your students a new committee within the university that brings together specialists from all different departments to develop a new interdisciplinary program. The structure of the committee best meets the definition of the _____.

- ☐ matrix structure
- ☐ simple structure
- ☐ team organization
- ☐ virtual organization

Check answer

Reset

Alternate Design Options

14-3 Identify the characteristics of the virtual structure, the team structure, and the circular structure.

In the ever-increasing trend toward flatter structures, many organizations have been developing new options with fewer layers of hierarchy and more emphasis on opening the boundaries of the organization.⁵⁹ In this section, we describe three such designs: the *virtual structure*, the *team structure*, and the *circular structure*.

The Virtual Structure

Why own when you can rent? That question captures the essence of the **virtual structure** ⓘ (also sometimes called the *network*, or *modular*, structure), typically a small, core organization that outsources its major business functions.⁶⁰ The virtual structure is highly centralized, with little or no departmentalization.

The prototype of the virtual structure is today's filmmaking organization. In Hollywood's golden era, movies were made by huge, vertically integrated corporations. Studios such as Metro-Goldwyn-Mayer (MGM), Warner Bros., and 20th Century Fox owned large movie lots and employed thousands of full-time specialists—set designers, camera people, film editors, directors, and actors. Today, most movies are made by a collection of individuals and small companies who come together and make films project by project. This structural form allows each project to be staffed with the talent best suited to its demands rather than just with the people employed by the studio. It minimizes bureaucratic overhead because there is no lasting organization to maintain. It lessens long-term risks and their costs because there is no long term—a team is assembled for a finite period and then disbanded.

Exhibit 14-6 shows a virtual structure in which management outsources all the primary functions of the business. The core of the organization is a small group of executives whose job is to oversee directly any activities done in-house and to coordinate relationships with organizations that manufacture, distribute, and perform other crucial functions. The dotted lines represent the relationships typically maintained under contracts. Managers in virtual structures spend most of their time coordinating and controlling external relations.

Exhibit 14-6 A Virtual Structure



Network organizations often take many forms.⁶¹ Some of the more traditional forms include the *franchise form*, in which there are managers, systems, and other experts in the central node (i.e., executive group), and customer sales and services are carried out by franchise units. This popular form of network organization is very common in service business models, such as 7-Eleven, McDonald's, Jimmy John's, and Dunkin' Donuts. In this form, however, franchisees do not tend to collaborate or coordinate with one another and may actually be in direct competition for resources from the executive group. Another example is the *starburst form*, in which a parent firm splits off one of its functions into a spinoff firm.⁶² For example, in 2012, Netflix split off its DVD function into a separate entity, now DVD.com.⁶³

The major advantage of the virtual structure is its flexibility, which allows individuals with an innovative idea and little money to successfully compete against larger, more established organizations. The structure also saves a great deal of money by eliminating permanent offices and hierarchical roles for outsourced functions.⁶⁴ The drawbacks have become increasingly clear as popularity has grown.⁶⁵ Virtual organizations are in a state of perpetual flux and reorganization, which means roles, goals, and responsibilities are unclear,

setting the stage for increased political behavior.

The Team Structure

The **team structure** ⓘ seeks to eliminate the chain of command and replace departments with empowered teams.⁶⁶ This structure removes vertical and horizontal boundaries in addition to breaking down external barriers between the company and its customers and suppliers.



By removing vertical boundaries, management flattens the hierarchy and minimizes status and rank. Cross-hierarchical teams (which include top executives, middle managers, supervisors, and operative employees), participative decision-making practices, and the use of 360-degree performance appraisals (in which peers and others evaluate performance) can be used. For example, at the Danish firm Oticon A/S, the world's largest hearing aid manufacturer, all traces of hierarchy have disappeared.⁶⁷ Everyone works at uniform mobile workstations, and project teams, not functions or departments, coordinate work.

Career OBjectives

What structure should I choose?

I'm running a small but growing business and need help figuring out how to keep positions flexible as we expand. What advice can you give me about designing job structures that will help combine my success today with growth for tomorrow?

— Anika

Dear Anika:

A surprising number of small businesses fail right at the point where they begin to grow, and for many reasons, including financing deficits and competitors that copy their clever ideas. However, a frequent problem is that the structure that the company began with is simply not right for a larger firm.

There are ways to meet the challenge. Start by looking at individual jobs and their responsibilities. Make a list for each job. When job roles and responsibilities aren't defined, you can pick up a great deal of flexibility, assigning employees to tasks exactly

when needed. Unfortunately, this flexibility also means it's hard to determine which skills are available or to identify gaps between planned strategy and available human resources.

Second, you may want to define roles based on broad sets of competencies that span multiple levels of organizational functioning. In this *strategic competency model*, job roles and incentives are defined based on a clear structure. Here are the steps:

- *Look at the top level and think about the future.* In the competency model, you should use the mission statement and overall organizational strategies to evaluate your organization's future needs.
- *Once you've identified the organization's future needs, figure out a smart way to assign responsibilities to individuals.* You'll obviously need some specialization, but at the same time, consider general skills that will be useful for both growth and long-term sustainability.
- *As your business grows, identify applicants with the potential to meet future needs, and develop employee incentives to encourage broad skills profiles.* You'll want to structure your plan so employees increase in competency as they move up the organization chart.

The most important thing to remember is that you aren't creating a job structure just for today—make sure it's ready to grow and change with your business. Grow well!

Sources: Based on G. W. Stevens, "A Critical Review of the Science and Practice of Competency Modeling," *Human Resource Development Review* 12 (March 2013): 86–107; P. Capelli and J. R. Keller, "Talent Management: Conceptual Approaches and Practical Challenges," *Annual Review of Organizational Psychology and Organizational Behavior* 1 (March 2014): 305–31; and C. Fernández-Aráoz, "21st Century Talent Spotting," *Harvard Business Review*, June 2014, <https://hbr.org/2014/06/21st-century-talent-spotting>.

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As previously discussed, functional departments create horizontal boundaries between functions, product lines, and units. The way to reduce them is to replace functional departments with cross-functional teams and organize activities around processes. Xerox, for instance, develops new products through multidisciplinary teams that work on a single process instead of on narrow functional tasks.⁶⁸



When fully operational, the team structure may break down geographic barriers.

Today, most large U.S. companies see themselves as team-oriented global corporations; many, like Coca-Cola and McDonald's, do as much business overseas as in the United States, and some struggle to incorporate geographic regions into their structure. In other cases, the team approach is need-based. Such is the case with Chinese companies, which made 93 acquisitions in the oil and gas industry in five years—incorporating each acquisition as a new team unit—to meet forecasted demand that their resources in China could not meet.⁶⁹ The team structure provides a solution because it considers geography as more of a tactical, logistical issue than a structural one. In short, the goal may be to break down cultural barriers and open opportunities.

An Ethical Choice

Flexible Structures, Deskless Workplaces

Once upon a time, students fresh from business schools couldn't wait for that first cubicle to call home, midlevel managers aspired to an office of their own, and executives coveted the corner office. These days, the walls are coming down. As organizational structures change, so do their physical environments. Many organizations have been trying to make the physical environment reflect the organizational structures they adopt.

At online retailer Zappos, not even the CEO wants an office, and all 1,500 employees are welcome throughout the open spaces. Firms like Google have workplace designs of public rooms with lounge areas and large, multiperson tables. According to Edward Danyo, manager of workplace strategy at pharmaceuticals firm GlaxoSmithKline, shared environments create efficient work gains, including what he

estimates is a 45 percent increase in the speed of decision making. But there are ethical concerns about the dismantling of the physical and mental organizational structure:

- *Where will confidential discussions take place?* In some contemporary workplace designs, ad hoc conference rooms address the need for separate gatherings. This may not be optimal if the walls are made of glass, if employees will feel stigmatized when called into a meeting room, or if they become reluctant to approach human resources staff with issues because of privacy concerns.
- *How can differences in personality traits be overcome?* Employees high in extraversion will be more comfortable building collaborative relationships without assigned workspaces, while introverted individuals may be uncomfortable without an established office structure where they can get to know others over time.
- *How can personal privacy be maintained?* Zappos gives employees personal lockers, asks employees to angle laptop screens away from neighbors, and tries to make open spaces more private by encouraging ear buds to create a sound barrier between working employees.
- *How can you assure your clients about confidentiality?* Even walled, soundproof rooms for virtual or live meetings may not provide the desired level of security for clients who need to know their business will stay on a need-to-know basis.
- *How will expectations and accountabilities be enforced?* In an environment without offices and sometimes without job titles, there is an even greater need for clearly assigned goals, roles, and expectations. Otherwise, open collaborative structures may foster diffusion of responsibility and confusion.

Sources: Based on S. Henn, "'Serendipitous Interaction' Key to Tech Firm's Workplace Design," NPR, March 13, 2013, www.npr.org/blogs/alltechconsidered/2013/03/13/174195695/serendipitous-interaction-key-to-tech-firms-workplace-design; H. El Nasser, "What Office? Laptops Are Workspace," *USA Today*, June 6, 2012, 1B–2B; R. W. Huppke, "Thinking Outside the Cubicle," *Chicago Tribune*, October 29, 2012, 2-1, 2-3; "Inside the New Deskless Office," *Forbes*, July 16, 2012, 34; and E. Maltby, "My Space Is Our Space," *The Wall Street Journal*, May 21, 2012, R9.

Some organizations create teams incorporating their employees and their customers or suppliers. For example, to ensure that important product parts are made reliably and to

exacting specifications by its suppliers, Honeywell International partners some of its engineers with managers at those suppliers.

The Circular Structure

Picture the concentric rings of an archery target. In the center are the executives, and radiating outward in rings grouped by function are the managers, then the specialists, then the workers. This is the **circular structure** ⓘ.⁷⁰ Does it seem like organizational anarchy? There is still a hierarchy, but top management is at the very heart of the organization, with its vision spreading outward.

The circular structure has intuitive appeal for creative entrepreneurs, and some small innovative firms have claimed it. As in many of the current hybrid approaches, however, employees are apt to be unclear about whom they report to and who is running the show. We are still likely to see the popularity of the circular structure spread. The concept may have intuitive appeal for spreading a vision of corporate social responsibility (CSR), for instance.

MyLab Management Personal Inventory Assessments



Go to www.pearson.com/mylab/management to complete the Personal Inventory Assessment related to this chapter.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

14.3.1 The major advantage of the virtual organization is its _____.

- decentralized structure
- ability to enhance role clarity

- ☐ flexibility
- ☐ highly departmentalized structure

Check answer

Reset

14.3.2 HyperShield is an international securities firm which specializes in securing loans for cross-national transactions, such as real estate purchases and joint ventures. With offices in several countries, the organization operates in a virtual format. Lately, the productivity of the organization has been greatly diminishing and the number of completed transactions per month has gone down to 25 per cent of the transactions of this time last year. Which of the following could explain why this organization is struggling?

- ☐ Because of the crossed borders, cultural differences in work-day length are causing communication issues.
- ☐ The presence of leadership at each of the locations is too strong, causing political behaviors and excess communication.
- ☐ The shared goals of the teams have become lost due to cultural alignment.
- ☐ Both A and C

Check answer

Reset

The Leaner Organization: Downsizing

14-4 Describe the effects of downsizing on organizational structures and employees.

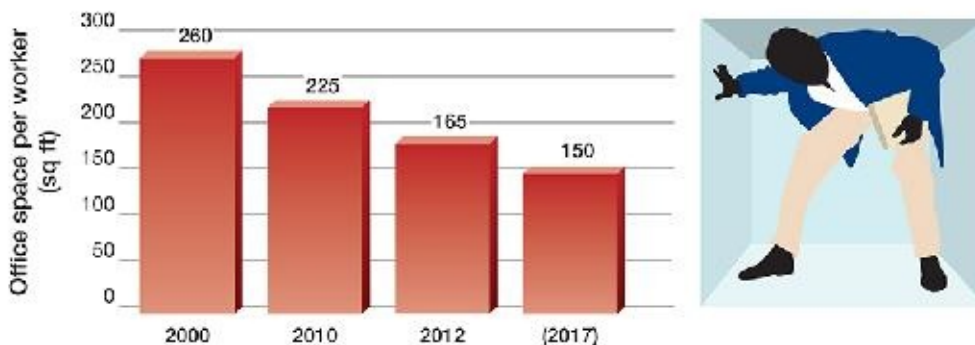
The goal of some organizational structures we've described is to improve agility by creating a lean, focused, and flexible organization. *Downsizing* is a systematic effort to make an organization leaner by closing locations, reducing staff, or selling off business units that don't add value.⁷¹ Downsizing doesn't necessarily mean physically shrinking the size of your office, although that's been happening, too (see OB Poll).



The radical shrinking of Motorola Mobility in 2012 and 2013 is a case of downsizing to survive after its 2011 \$12.5 billion acquisition by Google. In response to declining demand for its smartphones, Motorola cut its workforce by 20 percent in August 2012. When the company posted a \$350 million fourth-quarter loss in 2012, with a 40 percent revenue decline, it cut the workforce again, by 10 percent. Google called this rightsizing.⁷² Motorola Mobility was then sold to China's Lenovo in 2014 for \$2.91 billion.

OB POLL

The Incredible Shrinking Office



Source: Based on February 28, 2012, press release "Office Space per Worker Will Drop to 100 Square Feet or Below," http://www.corenetglobal.org/files/home/info_center/global_press_releases/pdf/pr120227_officespace.pdf.

Other firms downsize to direct all their efforts toward their core competencies. American Express claims to have been doing this in a series of layoffs over more than a decade: 7,700 jobs in 2001, 6,500 jobs in 2002, 7,000 jobs (10 percent of its workforce) in 2008, and 4,000

jobs in 2009. The 2013 cut of 5,400 jobs (8.5 percent of the remaining workforce) represented “its biggest retrenchment in a decade,” with an additional sizable layoff of around 4,000 jobs in 2015. Each layoff has been accompanied by a restructuring, to reflect changing customer preferences, away from personal customer service and toward online customer service. According to CEO Ken Chennault, “Our business and industry continue to become transformed by technology. Because of these changes, we have the need and the opportunity to evolve our organization and cost structure.”⁷³

Some companies focus on lean management techniques to reduce bureaucracy and speed decision making.⁷⁴ Starbucks adopted lean initiatives in 2009, which encompassed all levels of management and focused on faster barista techniques and manufacturing processes.⁷⁵ Customers generally applauded the shortened wait times and improved product consistency.



Despite the advantages of being a lean organization, the impact of downsizing on organizational performance is not without controversy. Reducing the size of the workforce perhaps has positive outcomes in the long run, although the majority of the evidence suggests that downsizing has a negative impact on stock returns the year of downsizing (although this may be contingent on the organization’s goals for downsizing along with other contextual factors).⁷⁶ An example of these contingencies can be found in the case of Russia’s Gorky Automobile Factory (GAZ), which realized a profit for the first time in many years after President Bo Andersson fired 50,000 workers, half the workforce.⁷⁷ Eventually, however, the rampant downsizing policy caught up with Andersson when he was CEO of Russia’s largest car maker, AvtoVAZ. From 2014 to 2016, downsizing at its plant in Togliatti led to tens of thousands of workers losing their jobs. At the time, Sergei Chemezov, an ally of President Vladimir Putin, told Andersson that he was “playing with fire.”⁷⁸ Eventually, Andersson was removed as CEO for his tactics in 2016—what tended to be standard practice in the West (downsizing) was frowned upon in Russia, where the auto industry is revered with nationalistic pride and jobs tend to be preserved rather than cut.⁷⁹

Part of the problem is the effect of downsizing on employee attitudes.⁸⁰ Employees who remain often feel worried about future layoffs, may be less committed to the organization, and may experience a greater amount of stress and strain.⁸¹ Downsizing can also lead to psychological withdrawal and more voluntary turnover, so vital human capital is lost.⁸² The result is a company that is more anemic than lean. Paradoxically, some research suggests that the victims may even fare better than the survivors, experiencing higher control perceptions

and less stress.⁸³

Companies can reduce the negative impact of downsizing by preparing in advance, thus alleviating some employee stress and strengthening support for the new direction. Here are some effective strategies for downsizing:

- *Invest.* Companies that downsize to focus on core competencies are more effective when they invest in high-involvement work practices afterward.
- *Communicate.* When employers make efforts to discuss downsizing with employees early, employees are less worried about the outcomes and feel the company is taking their perspective into account.
- *Participate.* Employees worry less if they can participate in the process in some way. Voluntary early-retirement programs or severance packages can help achieve leanness without layoffs.
- *Assist.* Severance, extended health care benefits, and job search assistance demonstrate that a company cares about its employees and honors their contributions.

In short, companies that make themselves lean can be more agile, efficient, and productive—but only if they make cuts carefully and help employees through the process.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

14.4.1 Which of the following is not a strategy to reduce the negative impact of downsizing?

- ☐ investment in high-involvement work practices
- ☐ early discussion of downsizing with employees
- ☐ employee participation in the downsizing process
- ☐ removal of vertical boundaries

Check answer

Reset

14.4.2 All of the following are negative impacts of downsizing on organizational performance, except _____.

- ☐ increased sickness absences
- ☐ lower concentration on job
- ☐ lower wage costs
- ☐ less commitment to the organization

Check answer

Reset

Why Do Structures Differ?

14-5 Contrast the reasons for using mechanistic versus organic structural models.

We've described many organization design options. Exhibit 14-7 recaps our discussions by presenting two extreme models of organizational design.⁸⁴ One model is the **mechanistic model** ⓘ. It's generally synonymous with the bureaucracy in that it has highly standardized processes for work, high formalization, and more managerial hierarchy. The other extreme is the **organic model** ⓘ. It's flat, has fewer formal procedures for making decisions, has multiple decision makers, and favors flexible practices.⁸⁵

With these two models in mind, let's ask a few questions. Why are some organizations structured along more mechanistic lines whereas others follow organic characteristics? What forces influence the choice of design? In this section, we present major causes or determinants of an organization's structure.⁸⁶

Organizational Strategies

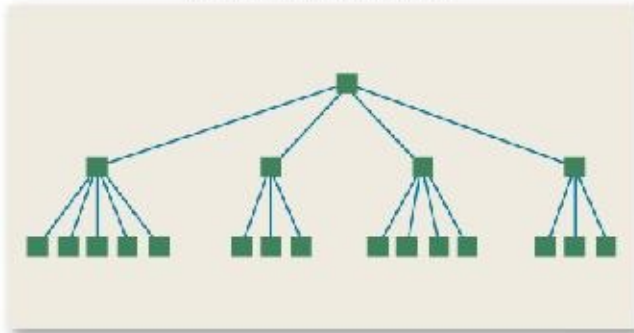
Because structure is a means to achieve objectives, and objectives derive from the organization's overall strategy, it's only logical that structure should follow strategy. If management significantly changes the organization's strategy or its values, the structure must change to accommodate. For example, recent research indicates that aspects of organizational culture may influence the success of corporate social responsibility (CSR) initiatives.⁸⁷ If the culture is supported by the structure, the initiatives are more likely to have clear paths toward application. Most current strategy frameworks focus on three strategy dimensions—innovation, cost minimization, and imitation—and the structural design that works best with each.⁸⁸

To what degree does an organization introduce major new products or services? An **innovation strategy** ⓘ strives to achieve meaningful and unique innovations.⁸⁹ Obviously, not all firms pursue innovation. Apple and 3M do, but conservative retailer Marks & Spencer doesn't. Innovative firms use competitive pay and benefits to attract top candidates and motivate employees to take risks. Some degree of the mechanistic structure can actually benefit innovation. Well-developed communication channels, policies for enhancing long-

term commitment, and clear channels of authority all may make it easier for rapid changes to occur smoothly.

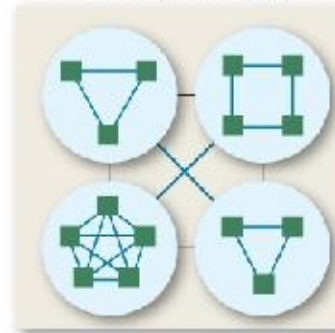
Exhibit 14-7 Mechanistic versus Organic Models

The Mechanistic Model



- High specialization
- Rigid departmentalization
- Clear chain of command
- Narrow spans of control
- Centralization
- High formalization

The Organic Model



- Cross-functional teams
- Cross-hierarchical teams
- Free flow of information
- Wide spans of control
- Decentralization
- Low formalization



Imitating the successful growth strategy of several large fashion firms, Italian retailer Moleskine plans to increase sales of its popular line of notebooks and travel accessories by opening about 20 new stores each year throughout the world. The expansion plan focuses on store openings in metropolitan and business hubs such as New York City, London, and Beijing.

An organization pursuing a **cost-minimization strategy** ⓘ controls costs tightly, refrains from incurring unnecessary expenses, and cuts prices in selling a basic product.⁹⁰ This describes the strategy pursued by Walmart and the makers of generic or store-label grocery products. Cost-minimizing organizations usually pursue fewer policies meant to develop commitment among their workforce.



Organizations following an **imitation strategy** ⓘ try to minimize risk and maximize opportunity for profit, moving new products or entering new markets only after innovators have proven their viability.⁹¹ Mass-market fashion manufacturers that copy designer styles follow this strategy, as do firms such as Hewlett-Packard and Caterpillar. They follow smaller and more innovative competitors with superior products but only after competitors have demonstrated that a market exists. Italy's Moleskine SpA, a small maker of fashionable notebooks, is another example of imitation strategy but in a distinct way: Looking to open more retail shops around the world, it imitates the expansion strategies of larger, successful fashion companies Salvatore Ferragamo SpA and Brunello Cucinelli.⁹²

Exhibit 14-8 describes the structural option that best matches each strategy. Innovators need the flexibility of the organic structure (although, as we noted, they may use some elements of the mechanistic structure as well), whereas cost minimizers seek the efficiency and stability of the mechanistic structure. Imitators combine the two structures. They use a mechanistic structure to maintain tight controls and low costs in their current activities but create organic subunits in which to pursue new undertakings.

Exhibit 14-8 The Strategy–Structure Relationship

Strategy	Structural Option
Innovation	Organic: A loose structure; low specialization, low formalization, decentralized
Cost minimization	Mechanistic: Tight control; extensive work specialization, high formalization, high centralization
Imitation	Mechanistic and organic: Mix of loose with tight properties; tight controls over current activities and looser controls for new undertakings

Organization Size

An organization's size significantly affects its structure.⁹³ Organizations that employ 2,000 or more people tend to have more specialization, more departmentalization, more vertical levels, and more rules and regulations than do small organizations. However, size becomes less important as an organization expands. Why? At around 2,000 employees, an organization is already mechanistic; 500 more employees won't have much impact. But adding 500 employees to an organization of only 300 is likely to significantly shift it toward a more mechanistic structure.

Technology



Technology ⓘ describes the way an organization transfers inputs into outputs. Every organization has at least one technology for converting financial, human, and physical resources into products or services. For example, the Chinese consumer electronics company Haier (the owners of GE Appliances) uses an assembly-line process for mass-produced products, which is complemented by more flexible and innovative structures to respond to customers and design new products.⁹⁴ Regardless, organizational structures adapt to their technology—and vice versa. Organizational structure and culture can become inscribed in the data structure, software, and hardware that an organization uses.⁹⁵

Environment

An organization's **environment** ⓘ includes outside institutions or forces that can affect its structure, such as suppliers, customers, competitors, and public pressure groups.⁹⁶ Dynamic environments create significantly more uncertainty for managers than do static ones. To minimize uncertainty in key market arenas, managers may broaden their structure to sense and respond to threats. Most companies, for example Pepsi and Southwest Airlines, have added social media departments to counter negative information posted on blogs.

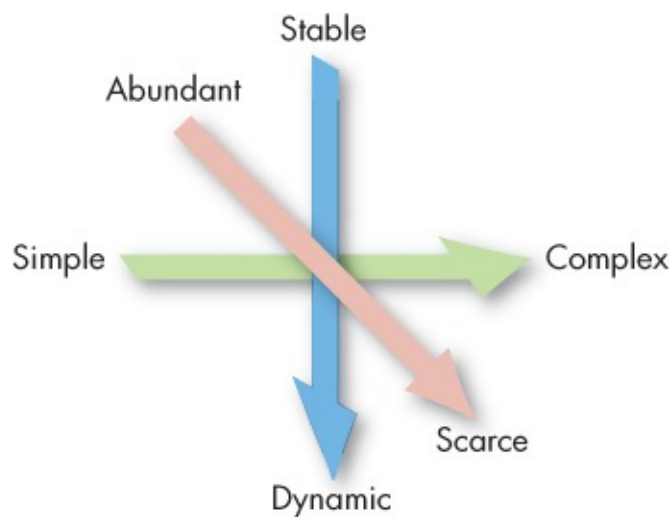
Any organization's environment has three dimensions: capacity, volatility, and complexity.⁹⁷ *Capacity* refers to the degree to which the environment can support growth. Rich and growing environments generate excess resources, which can buffer the organization in times of relative scarcity.

Volatility describes the degree of instability in the environment. A dynamic environment with a high degree of unpredictable change makes it difficult for management to make accurate predictions. Because information technology changes at such a rapid pace, more organizations' environments are becoming volatile.

Complexity is the degree of heterogeneity and concentration among environmental elements. Simple environments—like the tobacco industry where the methods of production, competitive and regulatory pressures, and the like, haven't changed in quite some time—are homogeneous and concentrated. Environments characterized by heterogeneity and dispersion—like the broadband industry—are complex and diverse, with numerous competitors.

Exhibit 14-9 summarizes our definition of the environment along its three dimensions. The arrows indicate movement toward higher uncertainty. Thus, organizations that operate in environments characterized as scarce, dynamic, and complex face the greatest degree of uncertainty because they have high unpredictability, little room for error, and a diverse set of elements in the environment to monitor constantly.

Exhibit 14-9 Three-Dimensional Model of the Environment



Given this three-dimensional definition of *environment*, we can offer some general conclusions about environmental uncertainty and structural arrangements. The more scarce, dynamic, and complex the environment, the more organic a structure should be. The more abundant, stable, and simple the environment, the more the mechanistic structure will be

preferred.

Institutions

Another factor that shapes organizational structure is **institutions** ⓘ. These are cultural factors that act as guidelines for appropriate behavior.⁹⁸ Institutional theory describes some of the forces that lead many organizations to have similar structures and, unlike the theories we've described so far, focuses on pressures that aren't necessarily adaptive. In fact, many institutional theorists try to highlight the ways in which corporate behaviors sometimes *seem* to be performance-oriented but are guided by unquestioned social norms and conformity.



The most obvious institutional factors come from regulatory pressures; certain industries under government contracts, for instance, must have clear reporting relationships and strict information controls. Sometimes simple inertia determines an organizational form—companies can be structured in a particular way just because that's the way things have always been done. Organizations in countries with high power distance might have a structural form with strict authority relationships because it's seen as more legitimate in that culture. Some have attributed problems in adaptability in Japanese organizations to the institutional pressure to maintain authority relationships.

Sometimes organizations start to have a particular structure because of fads or trends. Organizations can try to copy other successful companies just to look good to investors and not because they need that structure to perform better. Many companies have recently tried to copy the organic form of a company like Google only to find that such structures are a very poor fit with their operating environment. Institutional pressures are often difficult to see specifically because we take them for granted, but that doesn't mean they aren't powerful.

MyLab Management Try It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the Mini Sim.

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

14.5.1 Which of the following is typically a characteristic of the mechanistic model of organization?

- ☐ low formalization
- ☐ rigid departmentalization
- ☐ decentralized management
- ☐ wide spans of control

Check answer

Reset

14.5.2 Which of the following is typically a characteristic of the organic model of organization?

- ☐ narrow spans of control
- ☐ centralization
- ☐ free flow of information
- ☐ high formalization

Check answer

Reset

Organizational Designs and Employee Behavior

14-6 Analyze the behavioral implications of different organizational designs.

We opened this chapter by implying that an organization's structure can have significant effects on its members. What might those effects be?

A review of the evidence leads to a pretty clear conclusion: You can't generalize! Not everyone prefers the freedom and flexibility of organic structures. Several factors stand out in different structures as well. In highly formalized, heavily structured mechanistic organizations, the level of fairness in formal policies and procedures (organizational justice) is a very important predictor of satisfaction. In more personal, individually adaptive organic organizations, employees value interpersonal justice more.⁹⁹ Some people are most productive and satisfied when work tasks are standardized and ambiguity is minimized—that is, in mechanistic structures. So any discussion of the effect of organizational design on employee behavior should address individual differences. To do so, let's consider employee preferences for work specialization, span of control, and centralization.¹⁰⁰

The evidence generally indicates that *work specialization* contributes to higher employee productivity—but at the price of job satisfaction. However, work specialization is not an unending source of higher productivity. Problems start to surface, and productivity begins to suffer, when the human diseconomies of doing repetitive and narrow tasks overtake the economies of specialization. As the workforce has become more highly educated and desirous of jobs that are intrinsically rewarding, we seem to reach the point at which productivity begins to decline as a function of specialization more quickly than in the past. While decreased productivity often prompts companies to add oversight and inspection roles, the better answer may be to reorganize work functions and accountability.¹⁰¹

Myth or Science?

Employees Can Work Just as Well from Home

his statement is true—but not unequivocally. Employees who work from home even part of the time report they are happier, and as we saw in Chapter 3, happier employees are likely to be more productive than dissatisfied counterparts. From an organization’s perspective, companies are realizing gains of 5 to 7 extra work hours a week for each employee working from home. There are also cost savings, from reduced overhead for office space and utilities to elimination of unproductive social time. Employers of a home-based workforce can establish work teams and organizational reporting relationships with little attention to office politics, making it possible to assign roles and responsibilities more objectively. These may be some of the reasons organizations have increasingly endorsed the concept of telecommuting, to the point where 3.1 million U.S. payrolled employees work from home.

Although we can all think of jobs that may never be conducive to working from home (such as many in the service industry), not all positions that *could* be based from home *should* be. Research indicates that the success of a work-from-home position depends on the job’s structure even more than on its tasks. The amount of interdependence needed between employees within a team or in a reporting relationship sometimes requires *epistemic interdependence*, which is each employee’s ability to predict what other employees will do. Organization consultants pay attention to how employee roles relate in the *architecture* of the organization chart, realizing that intentional relationship building is key. Thus, while an employee may complete the tasks of a job well by working alone from home, the benefits of teamwork can be lost. We don’t yet fully understand the impact of working at a physical distance without sharing time or space with others, but it is perhaps the reason that Yahoo!, Best Buy, and other corporations have brought their employees back into the office.

The success of a work-from-home program depends on the individual, job, and culture of the organization. Work from home can be satisfying for employees and efficient for organizations, but we are learning it has limits.

Sources: Based on M. Mercer, “Shirk Work? Working at Home Can Mean Longer Hours,” *TriCities.com*, March 4, 2013, www.tricities.com/news/opinion_columns/article_d04355b8-83cb-11e2-bc31-0019bb30f31a.html; P. Puranam, M. Raveendran, and T. Knudsen, “Organization Design: The Epistemic Interdependence Perspective,” *Academy of Management Review* 37, no. 3 (2012): 419–40; N. Shah, “More Americans Working Remotely,” *The Wall Street Journal*, March 6, 2013, A3; and R. E. Silverman and Q. Fottrell, “The Home Office in the Spotlight,” *The Wall*

A segment of the workforce still prefers the routine and repetitiveness of highly specialized jobs. Some individuals want work that makes minimal intellectual demands and provides the security of routine; for them, high work specialization is a source of job satisfaction. The question is whether they represent 2 percent of the workforce or 52 percent. Given that some self-selection operates in the choice of careers, we might conclude that negative behavioral outcomes from high specialization are most likely to surface in professional jobs occupied by individuals with high needs for personal growth and diversity.

It is probably safe to say that no evidence supports a relationship between *span of control* and employee satisfaction or performance. Although it is intuitively attractive that large spans might lead to higher employee performance because they provide more distant supervision and more opportunity for personal initiative, there is a lack of research to support this notion. Some people like to be left alone; others prefer the security of a boss who is available at all times. Consistent with several of the contingency theories of leadership discussed in Chapter 13, we would expect factors such as employees' experiences and abilities, and the degree of structure in their tasks, to explain when wide or narrow spans of control are likely to contribute to performance and job satisfaction. However, some evidence indicates that large spans of control are related to more unsafe behaviors and accidents in the workplace.¹⁰²

We also find evidence linking *centralization* and job satisfaction.¹⁰³ This is partly because, in general, less centralized organizations have a greater amount of autonomy. But, again, while one employee may value freedom, another may find autonomous environments frustratingly ambiguous.

We can draw one obvious insight: People don't select employers randomly. They are attracted to, are selected by, and stay with organizations that suit their personal characteristics.¹⁰⁴ Job candidates who prefer predictability are likely to seek out and take employment in mechanistic structures, and those who want autonomy are more likely to end up in organic structures. Thus, the effect of structure on employee behavior is undoubtedly reduced when the selection process facilitates proper matching of individual characteristics with organizational characteristics. Companies should strive to establish, promote, and maintain the unique identity of their structures, because skilled employees may quit because

of dramatic changes.¹⁰⁵



Research on preferences for job formalization across cultures from subsidiaries of a high-technology company in Taiwan, France, Germany, Italy, Holland, and Britain found that the level of job satisfaction of employees from high-power-distance cultures was dependent on the congruence between the degree of formalization and cultural norms.¹⁰⁶ So consider cultural differences along with individual differences when predicting how structure will affect employee performance and satisfaction.



The changing landscape of organizational structure designs has implications for the individual progressing on a career path. Research with managers in Japan, the United Kingdom, and the United States indicated that employees who weathered downsizing and resulting hybrid organizational structures considered their future career prospects diminished. While this may or may not have been correct, their thinking shows that organizational structure does affect the employee and thus must be designed carefully.¹⁰⁷

MyLab Management Watch It

If your professor has assigned this activity, go to www.pearson.com/mylab/management to complete the video exercise.

ZipCar Organizational Structure

Watch it video.

A **transcript** of this video is available [here](#).

Transcript

ZipCar Organizational Structure

>> [Music]

>> American life used to be straightforward.

>> You expressed your individuality through choice of music

>> and filtered the rest through external groups like family,

>> church and co-workers.

>> Your identity might even shift as you moved

>> between the little compartments in which those groups existed.

>> Today to a greater and greater extent the lines between groups

>> and the limits of their functions are blurring.

>> Work follows you home through email and cell phones.

>> Friends follow you remotely through texting and Twitter.

>> Social organizations are more dynamic and less carved

>> in stone than ever before.

>> And businesses want to keep up with new models of interaction

>> with their employees and customers.

>> ZipCar, a Cambridge,

>> Massachusetts based company is morphing the traditional car

>> owning experience into an increasingly popular alternative

>> called car sharing, the physical sharing of an actual automobile

>> between hundreds of different club members

>> on an as needed basis.

>> The basic idea of a ZipCar transaction is really four

>> simple steps.

>> Joining is easy.

>> It takes a few minutes online with a credit card

>> and a driver's license number.

>> Reserving is very simple, just scrolling over the time

>> that you'd like to use a vehicle.

>> Unlocking the car is as simple as swiping your ZipCard

>> over the card reader in the windshield and then you drive it

>> as if it's your own vehicle.

>> Whether it's been reserved for an hour or couple of days

>> and it's your car to be returned then

>> to the same home location parking

>> that you pick it up from.

>> The result is a transaction that's as easy

>> as downloading a video.

>> Very different from renting a car, where you must be approved

>> for each transaction and visit brick

>> and mortar agency near an airport

>> or something to pick it up.

>> ZipCars are located all over major cities, in garages,

>> reserved parking spaces on streets,

>> apartment buildings and transit stations.

>> The keys to the unattended vehicles are already

>> inside waiting.

>> It's a more organic and economical experience

>> than either owning or renting a car.

>> Less airline ticket reservation and more impromptu cab ride.

>> Club members who live in environments

>> like populous cities

>> or restriction heavy university campuses can dynamically share

>> cars, relieving them of the burdens of ownership.

>> For as little as \$7 an hour they get gas, insurance,

>> 180 free miles and 24/7 assistance.

>> Of course this much service makes it harder on ZipCar

>> and they have to be responsive

>> to dynamic customer needs and spikes in demand.

>> We can use temporary staff to pick up peak season requirements

>> or overtime, and we can also use sometimes contract vendors

>> and suppliers for different things.

>> Or maybe a certain part of the business is best handled

>> by subject matter expert or specifically trained type

>> of organization that does that specialty work all the time.

>> ZipCar structure is flexible enough to allow great ideas

>> to flow in from anywhere.

>> From customers, to partners

>> and to empower frontline customer service staff

>> to solve problems like late returns and cars breaking down.

>> I think of one example got stuck in a hunger walk parade,

>> where traffic was just snarled and got on the phone

>> with the agent who got maps up, picked up parade routes

>> and literally online held their hand to their destination to get

>> through what was a very frustrating traffic situation.

>> Gave him the extra extension on the reservation,

>> given the hassle and some driving credit

>> to make sure it was completely seamless to that member

>> and got them where they were going.

>> By moving away from highly specialized job duties

>> and very specific limits,

>> ZipCar creates a more adaptive workforce capable

>> of fast action.

>> There's still a chain of command of course

>> but with individual areas of control bleeding from employee

>> and even department, into the next,

>> company policy is pulled back to more general principles

>> than specific regulations of behavior.

>> ZipCar has 5 key core values and its part

>> of on-boarding every employee.

>> Every quarter when we do a employee webcast we'll call

>> out people that were nominated for display of one

>> or more of those core values.

>> So when we think of core principles then

>> that support high satisfaction and leading member experience,

>> we measure certain key things that are important to us.

>> Like response time to members and the percentage of issues

>> that get resolved within 24 hours or that get resolved

>> on social media within 2 to 3 hours.

>> Those are things that we track to make sure

>> that we're delivering

>> that leading experience that we're after.

>> ZipCar has a great relationship

>> with its car share members or zipsters, as they are called

>> by the company, but it also has close relationships

>> with stakeholders like city governments

>> and campuses in which it operates.

>> Yes, so car sharing can benefit key strategic partners

>> like municipalities, like developers or universities,

>> who think about reducing their carbon footprint,

>> lowering the cost of investment in building parking structures

>> and allocating those resources into other better investments.

>> And so we'll engage in a longer term partnership agreement

>> that helps us provide that win-win for the partner

>> and prime visible parking over a long term period for ZipCar.

>> ZipCar has overcome barriers like culture, language,

>> and laws to acquire or develop partnerships with companies

>> in coveted overseas markets.

>> But while they now share the same brand,

>> those groups get a lot of leeway in operating in those markets

>> that they're much more familiar with.

>> So historically when ZipCar has made investments

>> or strategic partnerships, we look at, at a high level,

>> whether it's a full acquisition or maybe a minority investment.

>> In an acquisition we think about integration.

>> We think about combining the brands, the combined footprint

>> of vehicles and standard operating processes

>> that can be made consistent to have smooth continuous operation

>> between those various locations.

>> On a minority partnership, we think more about representation.

>> What can we learn about that new market

>> through their own existing processes and procedures

>> and maybe try out some of those things back

>> with the larger organization.

>> ZipCar is trying to change the way people look

>> at the relationship with transportation,

>> taking the established idea of car sharing and reimagining it

>> as a unique business opportunity and community service.

>> As markets get more comfortable with the idea of going car free

>> and grow to depend on a ready resource like ZipCar

>> for their transportation needs,

>> the company itself will change and grow.

>> The company has evolved steadily evolved

>> from the start-up ZipCar once was and will continue to do

>> so in the coming years.

>> But one trait that likely won't change is ZipCar's flexibility

>> in structure.

>> The exciting about ZipCar is that it's

>> such a data driven business so planning is important

>> to really look at historical trends

>> and see where you want to be.

>> We've been successful in the past, we have a close eye

>> on those trends and to see changes and identify,

>> are those external, or are those ZipCar caused changes

>> so that we can be flexible and nimble enough to apply actions

>> to address them and respond to that dynamic marketplace.

>> [Music]

Now test your understanding of what you have just read by attempting the questions below.

Test Your Understanding

14.6.1 Work specialization contributes to higher employee productivity – but at the price of _____.

- ☐ reduced economies of scale
- ☐ increased cost
- ☐ reduced job satisfaction
- ☐ restricted flow of information

Check answer

Reset

14.6.2 Rahael's Bakery is a small organization which specializes in cakes, cookies, and other treats for special events such as birthdays, weddings, and religious affairs. In an effort to increase profit margins, the bakery management is implementing a cost-minimization strategy. Which of the following activities would not be a possible action under this strategy?

- ☐ start selling plainly frosted cakes that the customer could then decorate
- ☐ only sell chocolate chip cookies
- ☐ hold weekly employee meetings
- ☐ stop delivery services

Check answer

Reset

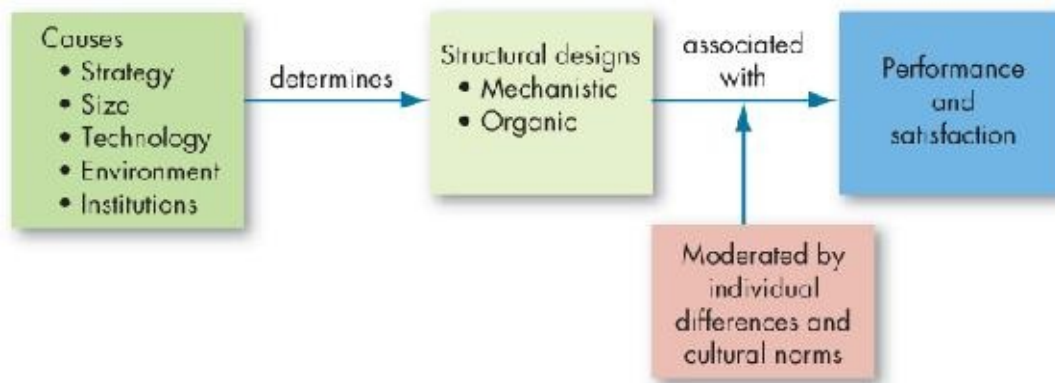
Summary

The theme of this chapter is that an organization's internal structure contributes to explaining and predicting behavior. That is, in addition to individual and group factors, the structural relationships in which people work have a bearing on employee attitudes and behavior. What's the basis for this argument? To the degree that an organization's structure reduces ambiguity for employees and answers questions such as "What am I supposed to do?," "How am I supposed to do it?," "To whom do I report?," and "To whom do I go if I have a problem?," it shapes their attitudes and facilitates and motivates them to higher levels of performance. Exhibit 14-10 summarizes what we've discussed.

Implications for Managers

- Specialization can make operations more efficient, but remember that excessive specialization can create dissatisfaction and reduced motivation.
- Avoid designing rigid hierarchies that overly limit employees' empowerment and autonomy.
- Balance the advantages of remote work against the potential pitfalls before adding flexible workplace options into the organization's structure.
- Downsize your organization to realize major cost savings, and focus the company around core competencies—but only if necessary, because downsizing can have a significant negative impact on employee affect.
- Consider the scarcity, dynamism, and complexity of the environment, and balance organic and mechanistic elements when designing an organizational structure.

Exhibit 14-10 Organizational Structure: Its Determinants and Outcomes



Open-Air Offices Inspire Creativity and Enhance Productivity

Point

Eric Prum, cofounder of W&P Design in Brooklyn, New York, and the rest of his 12 coworkers share a single room on the fourth floor of an open-air, converted warehouse. Although it can occasionally be noisy, the layout has led to some very productive brainstorming sessions. In fact, their latest project, ¡Buenos Nachos!, was a direct result of the open-air office plan. The cofounders were discussing the idea for a hipster nacho cookbook in the office while the coworkers eavesdropped. What turned into a spontaneous idea quickly became a productive brainstorming session. From this open-air plan emerged a cookbook with over 75 recipes from famous chefs and celebrities, including Bill Hader, Andrew Zimmern, and Rachael Ray.

Aside from cost minimization, the logic of the open-air office is that it is meant to tear down the physical barriers between people in the workplace. The functional communication among employees is maximized when these barriers are removed. Starting with the organization's functional goals in mind, an open-air workplace can be tailored so that it accomplishes these goals by setting aside certain areas or spaces so that they are well suited to accomplish specific functions (e.g., a meeting area, a reading area, etc.). For example, the New York branding firm Collins altered aspects of the environment to work around any limitations of an open-air office, including arranging the

tables so that no person faces another employee. Overall, Collins found, in their own internal research, that the open-air office improves a sense of shared vision and mission, community, and creativity perceptions. Additional research also suggests that these open-air plans can reduce the amount of time spent in meetings.

Counterpoint

“Our new, modern Tribeca office was beautifully airy, and yet remarkably oppressive. Nothing was private. On the first day, I took my seat at the table assigned to our creative department, next to a nice woman who I suspect was an air horn in a former life. All day, there was constant shuffling, yelling, and laughing, along with loud music piped through a PA system.” The picture Lindsey Kaufman, a Brooklyn advertising professional, described highlights the strain and dissatisfaction employees in open-air office environments can experience, even when there are cubicles granting at least some privacy. The creator of the cubicle, Robert Probst, envisioned something very different in 1964: a freespace where employees could customize their workplace to accommodate their level of privacy, space needs, and flexibility, and to give them a sense of autonomy in an open office. This “action office” became mass-produced and limited in size, quality, and customizability, leading to what we would now call the modern-day cubicle.

Studies on the open-air office and the confinement cubicles of modern offices paint a dismal picture of their effectiveness. One study reviewing hundreds of office environments found that, despite their cohesion benefits, open-air offices reduced workers’ attention spans, productivity, creative thinking, and satisfaction. One of the biggest factors responsible is the level of noise, which leads to decreased motivation and potential posture issues. The satisfaction levels related to noise, sound privacy, ease of interaction, among others, across 42,764 observations from over 300 office buildings were analyzed by researchers using the Post-Occupancy Evaluation (POE) database from the University of California at Berkeley. They found a clear disparity between satisfaction in open offices versus private offices, and drastically more satisfaction with the latter. And they found that ease of interaction (a goal of open-office plans) was no greater in open offices than in private offices.

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Chapter Review

MyLab Management Discussion Questions

Go to www.pearson.com/mylab/management to complete the problems marked with this icon .

Questions for Review

- 14-1** What seven key elements define an organization's structure?
- 14-2** What are the characteristics of the functional, bureaucracy, and matrix structures?
- 14-3** What are the characteristics of the virtual structure, the team structure, and the circular structure?
- 14-4** How might downsizing affect organizational structures and employees?
- 14-5** How are mechanistic and organic structural models similar and different?
- 14-6** What are the behavioral implications of different organizational designs?

Application and Employability

Knowing the ins and outs of the structure of your organization can help you improve your employability in the future by improving how you make strategic and ethical decisions along with how you collaborate and communicate with others in the workplace. Different forms of organizational structure have different consequences for employee, manager, and customer behaviors; recognizing these effects can help you behave more adaptively. Perhaps some day you will be starting your own organization from the ground up, or you may collaborate to restructure or redesign the work in an organization. Understanding these different forms of structure will help you improve your skills for use in those situations. In this chapter, you

improved your critical thinking as well as your knowledge application and analysis skills by determining whether employees can work just as well from home, considering what type of structure to choose for a small and growing business, considering the ethics of flexibility and structural changes in the workplace, and debating the effectiveness of open-air offices.

In the next section, you will develop these skills, along with your social responsibility knowledge, by participating in the Experiential Exercise: The Sandwich Shop, examining the ethicality behind employment fluidity in the current job market, considering creative deviance and its anti-hierarchical benefits to organizations, and questioning the effectiveness of the bureaucratic structure for a major airline carrier.

Experiential Exercise The Sandwich Shop

Form groups of at least four individuals. Use the following information as background for the exercise.

The managers of a new chain of sandwich shops need to determine what types of sandwiches consumers want and find recipes and ingredients. Ingredient sources, prices, and other logistical requirements (like refrigeration) need to be determined, purchasing decisions are ongoing, and supplier relationships need to be managed. Financing must also be arranged at this early phase. With this groundwork, the company will move to the next stage of marketing, including pricing and the development of advertising materials. Finally, selecting and training workers will occur. Each group creates the following.

A Simple Structure

Determine what a simple structure would look like for this organization. Recall that a simple structure is one in which there is little hierarchy, wide spans of control, and centralized decision making. To whom would the various tasks described in the background above be assigned? What sort of delegation might take place? Who would coordinate the multiple operations? About how many people would be acting in an administrative role, and what sort of spans of control would they have? What challenges will the organization face as it grows?

A Bureaucracy

Determine what a bureaucratic structure would look like for this organization. Bureaucracies are marked by more hierarchy, small spans of control, and specialized decision making. Establish task assignments, delegation, coordination, and the number of individuals required. Also consider possibilities for future growth with a bureaucratic system.

A Virtual Structure

Determine what a virtual structure would look like for this organization if many of the aspects of the business are outsourced. Consider which tasks can be performed adequately by individuals who do not work within the restaurant chain and which tasks should be kept in house.

Debriefing

After all groups have developed different structural options, convene for class discussion for groups to describe how they created responsibilities for different individuals. Then the class should talk about which system of organization seems most beneficial for this business.

Ethical Dilemma Postmillennium Tensions in the Flexible Organization

The message from the business press has been consistent: Don't count on long-term employment. For years, job seekers have been told they should expect to be responsible for their own careers and prepare for the possibility that they will be changing jobs frequently. A simple look at employment trends also confirms that highly routine and well-defined jobs have been decreasing in number.

The shift has often been described in positive terms. Managers work to create organizations that have laudable characteristics like adaptability, flexibility, and creativity. Author Micha Kaufman notes that doing well in contemporary business environments means "having the flexibility to let go of the ideas of the past, the courage to constantly reevaluate plans for the future, and the presence of mind to adapt to life, as it is, in the moment." There is a lot of appeal in creating your own future at work.

At the same time, many workers land in precarious positions. Researchers find that individuals who feel insecure or uncertain about future employment experience higher levels of psychological strain and worry. Insecure workers also get sick more frequently. Contrary to the positive image of the freelance worker with boundless energy and creativity, evidence shows that for many individuals, a lack of job security can result in exhaustion and an apprehensive approach to work problems.

Corporate leaders ask themselves what their role in creating job security should be. Some note that companies built around stability and security are less likely to compete successfully and may go out of business. Many organizations try to maintain flexibility *and* a certain level of security. For example, Scripps Health has maintained a pool of internal transfer opportunities and training assignments for individuals whose job functions are no longer needed. As a result, even within the highly volatile health care industry, it has been able to avoid layoffs. However, systems that provide job security do not come cheaply nor are they feasible for all companies.

Questions

14-7. Do you think that stability is good or bad for employees? Explain your answer.

14-8. Do employers have an ethical responsibility to provide security for employees or just

a warning about a lack of security?

14-9. If long-term employment security isn't feasible, what alternatives might employers provide to help employees make smoother transitions?

Sources: Based on M. Kaufman, "The Wisdom of Job Insecurity," *Forbes*, October 3, 2014, <http://www.forbes.com/sites/michakaufman/2014/10/03/the-wisdom-of-job-insecurity-dont-be-lulled-by-falling-unemployment/>; C. Van Gorder, "A No-Layoffs Policy Can Work, Even in an Unpredictable Economy," *Harvard Business Review*, January 26, 2015, <https://hbr.org/2015/01/a-no-layoffs-policy-can-work-even-in-an-unpredictable-economy>; J. Zumbrun, "Is Your Job 'Routine'? If So, It's Probably Disappearing," *Wall Street Journal*, April 8, 2015, <http://blogs.wsj.com/economics/2015/04/08/is-your-job-routine-if-so-its-probably-disappearing/>; and U. Kinnunen, A. Mäkikangas, S. Mauno, N. De Cuyper, and H. De Witte, "Development of Perceived Job Insecurity across Two Years: Associations with Antecedents and Employee Outcomes," *Journal of Occupational Health Psychology* 19 (2014): 243–58.

Case Incident 1 Kuuki: Reading the Atmosphere

Most Japanese businesses have very complex vertically structured organizations. Indeed, each of the key departments of the organization has its own vertical structure and operates rather like individual businesses. There is very little inter-relationship between departments, each of which has very clearly defined roles.

When the business interacts with customers, it is the sales and marketing departments that handle negotiations. Even when the customer needs technical information and support, sales and marketing are often involved as an intermediary between the company's engineers and the customer. It is common for sales specialists to take on the role of negotiators on behalf of the manufacturing department or research and development. Inter-departmental communications are infrequent.

One of the problems with this situation is that salespeople rarely have technical expertise. The majority of salespeople would not have studied science and technology and are more likely to be qualified in the arts; they are chosen for the sales role due to their social skills. The common perception is that engineers and technical specialists are not as sociable and are therefore not good sellers.

Japanese companies have relied on other ways to make up for this. In their offices, larger Japanese companies tend to have open-plan spaces. This allows the departmental head to learn what other people do and to ensure that they share information. In smaller Japanese businesses, it is common for the business owner to also be situated in an open-plan environment.

The key to success is “reading the air,” or reading the *kuuki*. Being alert to what is being said and what is being done means that Japanese managers have instant access to up-to-date information—they know what individual employees know. Individuals in a department are comfortable with this situation; informal information sharing is seen as an effective and vital process.

Questions ★

14-10. Complex vertical organizational structures are very hierarchical in nature. They are very rigid, with each department having clearly defined roles. Is such an organization capable of being agile and responsive, or is it a disadvantage?

14-11. What are the problems with such strictly defined roles?

14-12. Is reading the air just eavesdropping and spying on others? Would most employees be comfortable with this situation?

Sources: John Spacey, "Why You Need to Read the Air in Japan," *Japan Talk*, "<http://www.japan-talk.com/jt/new/kuuki-yomenai>" (accessed January 24, 2014).

Case Incident 2 Turbulence on United Airlines

The beginning of 2017 was not good for United Airlines. Several incidents involving United Airlines personnel enforcing a variety of rules, regulations, and protocols in employees' interactions with customers caused international outcry. The first incident involved two teenagers who were wearing leggings for their flight from Minneapolis to Denver. They were stopped by the gate agent and not allowed to board for violating the United Airlines travel perk program. These travel perk passes hinge on a requirement for users of the passes to dress themselves so that the airline is presented in a favorable light. United defended its decision via Twitter: "Leggings are not inappropriate attire except in the case of someone traveling as a pass rider." Comedian Seth Rogan tweeted, "We here at @United are just trying to police the attire of the daughters of our employees! That's all! Cool, right?"

A second, more severe incident occurred when David Dao, a doctor who needed to see his patients the following morning, was aboard a Louisville-bound flight from Chicago in April. Four United employees needed to get to Louisville at the last minute, and it was announced that four people needed to give up their seats or else the flight would be cancelled. Attendants called the police after no one complied. The police approached Dao and forcibly removed him from the plane. Dao suffered a broken nose and concussion after his head smashed into an armrest. United policy allowed for the involuntary removal of passengers from flights, although this time United was not as defensive. Dao later filed a lawsuit against United for its actions.

A third incident, in Houston, involved a soon-to-be-married couple, Michael and Amber, headed to Costa Rica for their wedding. When they entered the plane, they noticed a man sleeping in the row where their seats were assigned. Instead of disturbing him, they found some seats three rows up and sat there instead. They were soon asked by an attendant to return to their seats and they complied. A U.S. marshall approached them soon after and ejected them from the plane. According to United statements, the couple "repeatedly" tried to sit in upgraded seats and would not follow the instructions of the attendants and crew members, and, as such, they were within their power to eject the passengers.

These incidents suggest that, starting with the structure as created by the CEO, United employees do not have much latitude or flexibility when dealing with day-to-day policy breaches. Taking cost-minimization and efficiency-boosting strategies to the extreme may

also have had an effect given that the focus drifted from the customer and toward rule following. Many attribute this inflexibility to the strict, rule-following bureaucracy created by United managers. In this bureaucracy, their 85,000 employees may be reluctant to deviate from the rules—intracompany historical precedent suggests that many employees face termination if they break the rules.

Questions

- 14-13.** How do you think United Airlines should have handled the recent string of incidents? Do you think that United Airlines was within its power to have removed these people from the flights? Why or why not?
- 14-14.** What are the pros and cons of having a bureaucratic organizational structure for an airline? Do you think the pros and cons are justified for United Airlines and that they should keep the structure they have? Why or why not?
- 14-15.** What do you think United Airlines should do in the future? Do you have any suggestions for enhancements or improvements to the United Airlines organizational structure? Would you consider restructuring? Why or why not?

Sources: Based on S. Carey, “Behind United Airlines’ Fateful Decision to Call Police; Airline’s Rules-Based Culture in Spotlight after Man Was Dragged off Flight by Law Enforcement,” *The Wall Street Journal*, April 17, 2017; J. Disis and J. Ostrower, “United Airlines in Twitter Trouble over Leggings Rule,” *CNN Money*, March 27, 2017, money.cnn.com/2017/03/26/news/united-airlines-twitter-dress-code/; A. Hartung, “Why United Airlines Abuses Customers: The Risks of Operational Excellence,” *Forbes*, April 10, 2017, <https://www.forbes.com/sites/adamhartung/2017/04/10/why-united-airlines-abuses-customers-the-risks-of-operational-excellence/#78a1af3fbb10>; M. Hiltzik, “At United Airlines and Wells Fargo, Toxic Corporate Culture Starts with the CEO,” *Los Angeles Times*, April 17, 2017, <http://www.latimes.com/business/hiltzik/la-fi-hiltzik-toxic-united-wells-20170411-story.html>; and E. C. McLaughlin, “Man Dragged off United Flight Has Concussion, Will File Suit, Lawyer Says,” *CNN*, April 14, 2017, <http://www.cnn.com/2017/04/13/travel/united-passenger-pulled-off-flight-lawsuit-family-attorney-speak/>.

MyLab Management Writing Assignments

If your instructor has assigned this activity, go to www.pearson.com/mylab/management for the following assisted-graded writing assignments:

- 14-16.** After reading Case Incident 2, do you think it is possible for organizations to

merge more than one type of organizational structure and retain elements of each type? Is it possible for United Airlines to have both a bureaucratic and a more flexible structure at the same time? How so?

14-17. Based on what you’ve discovered about your personality traits on the Big Five Model through your organizational behavior studies in Chapter 4, in which organizational structures might you work best?

14-18. MyLab Management only—additional assisted-graded writing assignment.

Endnotes

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End of Chapter Quiz

Test Your Understanding

1 Which of the following statements is true regarding work specialization?

- ☐ Work specialization indicates to what degree there will be rules and regulations to direct employees and managers.
- ☐ Work specialization decreases the time spent in changing tasks.
- ☐ Work specialization increases the cost of finding and training workers to do specific and repetitive tasks.
- ☐ Work specialization provides an unending source of increased productivity.

Check answer

Reset

2 The basis by which jobs are grouped is called _____.

- ☐ formalization
- ☐ departmentalization
- ☐ chain of command
- ☐ span of control

Check answer

Reset

3 Which one of the following is not one of the primary ways to group jobs?

- skill
- customer
- function

☐ product

Check answer

Reset

4 The unity-of-command principle states that _____.

- ☐ managers should limit their oversight to a maximum of 12 employees
- ☐ managers should oversee 1–4 employees on average
- ☐ an individual should be directly responsible to only one supervisor
- ☐ managers should provide direction to their employees in a unified fashion

Check answer

Reset

5 Employee discretion is inversely related to _____.

- ☐ complexity
- ☐ formalization
- ☐ specialization
- ☐ departmentalization

Check answer

Reset

6 You are interested in explaining the different types of organizational designs to students of basic management. These students need to know the advantages and disadvantages of each structure as well as the structure's characteristics. You extol the virtues and benefits of standardization. You are probably promoting the _____.

- ☐ matrix structure
- ☐ virtual organization
- ☐ bureaucratic structure
- ☐ team structure

Check answer

Reset

7 Which of the following statements is true about the simple structure?

- It is very expensive to operate.
- It is characterized by a high degree of departmentalization.

- ☐ It becomes increasingly inadequate as an organization grows.
- ☐ It is rigid.

Check answer

Reset

8 Which of the following types of organizational designs combines two forms of departmentalization: functional and product?

- ☐ simple structure
- ☐ bureaucratic
- ☐ matrix structure
- ☐ virtual structure

Check answer

Reset

9 A _____ organization is a small, core organization that outsources major business functions.

- ☐ centralized
- ☐ virtual
- ☐ bureaucratic
- ☐ matrix

Check answer

Reset

10 Lotus Inc. is attempting to flatten its organizational hierarchy. It is encouraging the use of cross-hierarchical teams, participative decision-making practices, and the use of 360-degree performance appraisals. Based on this information we can say that Lotus Inc. is attempting to create a _____ organization.

- ☐ highly centralized
- ☐ virtual
- ☐ team
- ☐ highly formalized

Check answer

Reset

11 For which type of organization would a circular structure be especially

appealing?

- ☐ a small restaurant

- ☐ a small tech company
- ☐ a mid-sized retailer
- ☐ a school

Check answer

Reset

12 _____ is a systematic effort to make an organization leaner by selling off business units, closing locations, or reducing staff.

- ☐ Removing boundaries
- ☐ Departmentalizing
- ☐ Decentralizing
- ☐ Downsizing

Check answer

Reset

13 A(n) _____ strategy emphasizes the introduction of major new products and services.

- ☐ innovation
- ☐ cost-minimization
- ☐ imitation
- ☐ organic

Check answer

Reset

14 Which of the following is not part of an organization's environment?

- ☐ public pressure groups
- ☐ customers
- ☐ employees
- ☐ competitors

Check answer

Reset

15 Which of the following dimensions of an environment describes the degree to which the environment can support growth?

- ☐ capacity
- ☐ flexibility
- ☐ volatility
- ☐ sustainability

Check answer

Reset